
Business Owner Policy Underwriting Guidebook

v1

September 2025

Prepared for internal underwriting use.

Section 1. Absolute Exclusions

The following exposures are not eligible for coverage under any circumstances. If identified during underwriting, the submission must be declined immediately.

1. Criminal Fraud/Arson Convictions (Any Principal or Entity)

- **Action:** Decline the risk.
- **Reason:** Unacceptable moral hazard.
- **Reference Code(s):** GQ-04

2. Primary Hazardous Materials Operations (store/transport/treat/dispose/apply)

- **Action:** Decline the risk.
- **Reason:** Environmental and severity profile incompatible with program.
- **Reference Code(s):** GQ-01, GQ-13

3. Manufacturing/Mixing/Relabeling/Repackaging of Products (beyond incidental retail private label)

- **Action:** Decline the risk.
- **Reason:** Manufacturing hazards out of BOP scope.
- **Reference Code(s):** GQ-10

4. Prior SAM/Discrimination/Negligent Hiring Claims (substantiated)

- **Action:** Decline the risk.
- **Reason:** High-severity liability indicator.
- **Reference Code(s):** GQ-15

5. Uncorrected Fire Code Violations

- **Action:** Decline the risk.
- **Reason:** Active life-safety deficiencies.
- **Reference Code(s):** GQ-16

6. Explosives/Pyrotechnics/Fireworks Operations

- **Action:** Decline the risk.
- **Reason:** Severity and accumulation risk.
- **Reference Code(s):** GQ-13

7. Use of Subcontractors without Certificates of Insurance (no risk transfer)

- **Action:** Decline the risk.
- **Reason:** Unbounded vicarious exposure.
- **Reference Code(s):** GQ-03

8. Missing Required Licenses or Legally Mandated Insurance (e.g., WC with employees)

- **Action:** Decline the risk.
- **Reason:** Statutory noncompliance.
- **Reference Code(s):** GQ-07

9. Unsupported Catastrophe-Exclusive Risks (outside program capacity/filings)

- **Action:** Decline the risk.
- **Reason:** Program limitation.
- **Reference Code(s):** GQ-14

10. Material Equipment Rental/Loan to Others without Contracts/COIs

- **Action:** Decline the risk.
- **Reason:** Products/completed ops without transfer.
- **Reference Code(s):** GQ-11

Section 2. Appetite Levels Summary

index	business_type_id	name	appetite_level
1	BT-0001	Accounting & Financial Services	Acceptable
2	BT-0002	Actuarial & Appraisal Services	Preferred
3	BT-0003	Advertising Agencies	Acceptable
4	BT-0004	Air Conditioning & Heating (Sales/Service/Manufacturing)	Preferred
5	BT-0005	Alarm System Installation	Acceptable
6	BT-0006	Ambulance & Emergency Services	Acceptable
7	BT-0007	Animal & Veterinary Services	Acceptable
8	BT-0008	Answering & Telemarketing Services	Acceptable
9	BT-0009	Antique & Collectible Stores	Limited
10	BT-0010	Appliance Sales & Repair	Preferred
11	BT-0011	Army/Navy/Military Surplus Stores	Acceptable
12	BT-0012	Art Galleries & Art Supply Stores	Acceptable
13	BT-0013	Artificial Flowers & Floral Supplies	Preferred
14	BT-0014	Artists & Craft Studios	Preferred
15	BT-0015	Asphalt & Paving Services	Acceptable
16	BT-0016	Assembly & Packaging Services	Preferred
17	BT-0017	Audio & Visual Equipment Sales/Service	Acceptable
18	BT-0018	Auto Parts & Accessories	Preferred
19	BT-0019	Auto Services & Repair (including body shops)	Acceptable
20	BT-0020	Bakeries & Bagel Shops	Acceptable
21	BT-0021	Banks & Credit Unions	Acceptable
22	BT-0022	Barber & Beauty Salons	Acceptable
23	BT-0023	Bath & Bedding Shops	Acceptable
24	BT-0024	Beverage Distributors & Retailers (including Beer, Liquor, Wine)	Preferred
25	BT-0025	Bicycle Sales & Service	Preferred
26	BT-0026	Binderies & Printing Services	Acceptable
27	BT-0027	Boiler & Furnace Installation/Repair	Preferred
28	BT-0028	Bookstores & Magazines	Acceptable
29	BT-0029	Bridal Shops	Acceptable
30	BT-0030	Building Materials & Supplies	Acceptable
31	BT-0031	Business & Management Consultants	Preferred
32	BT-0032	Cable & Telecommunications	Acceptable
33	BT-0033	Camera & Photo Supply Stores	Preferred

index	business_type_id	name	appetite_level
34	BT-0034	Camping & Outdoor Equipment Stores	Acceptable
35	BT-0035	Candy & Confectionery Stores	Acceptable
36	BT-0036	Catering & Food Preparation Services	Acceptable
37	BT-0037	Cellular Phone Sales/Service	Acceptable
38	BT-0038	Cemeteries & Funeral Services	Acceptable
39	BT-0039	Churches & Religious Organizations	Acceptable
40	BT-0040	Clothing & Apparel (Retail & Wholesale)	Preferred
41	BT-0041	Clubs & Recreation Facilities	Acceptable
42	BT-0042	Coffee Shops & Tea Houses	Preferred
43	BT-0043	Computer & Technology Services	Preferred
44	BT-0044	Concrete & Masonry Services	Acceptable
45	BT-0045	Convenience Stores	Preferred
46	BT-0046	Cosmetics & Toiletries	Limited
47	BT-0047	Countertop & Surface Installation	Acceptable
48	BT-0048	Craft & Hobby Stores	Preferred
49	BT-0049	Dairy & Ice Cream Shops	Acceptable
50	BT-0050	Dance, Drama, & Music Schools	Acceptable
51	BT-0051	Day Care & Child Care Centers	Acceptable
52	BT-0052	Delicatessens & Sandwich Shops	Preferred
53	BT-0053	Department & Discount Stores	Acceptable
54	BT-0054	Detective & Security Services	Acceptable
55	BT-0055	Diaper & Linen Services	Preferred
56	BT-0056	Door & Window Installation/Sales	Acceptable
57	BT-0057	Dry Cleaning & Laundry Services	Acceptable
58	BT-0058	Educational & School Supply Stores	Preferred
59	BT-0059	Electrical Equipment & Supplies	Acceptable
60	BT-0060	Electronics Stores & Repair	Preferred
61	BT-0061	Embroidery & Custom Apparel	Preferred
62	BT-0062	Employment Agencies	Acceptable
63	BT-0063	Engineering & Surveying	Limited
64	BT-0064	Fabric & Sewing Stores	Preferred
65	BT-0065	Fast Food & Family Restaurants	Acceptable
66	BT-0066	Financial Planners & Investment Firms	Acceptable
67	BT-0067	Floor Covering & Carpet Installation	Acceptable
68	BT-0068	Florists	Acceptable

index	business_type_id	name	appetite_level
69	BT-0069	Food & Grocery Stores	Preferred
70	BT-0070	Dessert Shops	Acceptable
71	BT-0071	Fruit & Vegetable Markets	Acceptable
72	BT-0072	Furniture Stores & Installation	Limited
73	BT-0073	Garden & Landscaping Services	Acceptable
74	BT-0074	General Contractors & Builders	Limited
75	BT-0075	Gift & Souvenir Shops	Preferred
76	BT-0076	Glass & Window Services	Acceptable
77	BT-0077	Golf & Sporting Equipment Stores	Preferred
78	BT-0078	Graphic Design & Commercial Artists	Acceptable
79	BT-0079	Hardware & Home Improvement Stores	Acceptable
80	BT-0080	Health Food & Vitamin Stores	Acceptable
81	BT-0081	Heating & Refrigeration Services	Preferred
82	BT-0082	Hobby & Model Shops	Preferred
83	BT-0083	Hotels, Motels, Bed & Breakfasts	Preferred
84	BT-0084	Interior Decorating & Design	Acceptable
85	BT-0085	Janitorial & Cleaning Services	Acceptable
86	BT-0086	Jewelry & Watch Stores	Preferred
87	BT-0087	Kitchen & Home Accessories Stores	Acceptable
88	BT-0088	Laundromats & Laundry Services	Acceptable
89	BT-0089	Leather Goods & Luggage Stores	Preferred
90	BT-0090	Libraries & Museums	Acceptable
91	BT-0091	Lighting Fixtures & Supplies	Preferred
92	BT-0092	Locksmiths	Preferred
93	BT-0093	Mail & Packaging Services	Acceptable
94	BT-0094	Medical & Dental Offices	Acceptable
95	BT-0095	Medical & Hospital Supply Stores	Acceptable
96	BT-0096	Monument & Tombstone Sales	Acceptable
97	BT-0097	Musical Instrument Sales & Repair	Acceptable
98	BT-0098	Office Supplies & Equipment	Acceptable
99	BT-0099	Optical Goods & Services	Acceptable
100	BT-0100	Paint & Wallpaper Stores	Acceptable
101	BT-0101	Pet Stores & Pet Grooming	Preferred
102	BT-0102	Photography Studios & Supplies	Preferred
103	BT-0103	Plumbing & HVAC Contractors	Preferred

index	business_type_id	name	appetite_level
104	BT-0104	Post Office & Shipping Centers	Limited
105	BT-0105	Printing & Copying Services	Acceptable
106	BT-0106	Real Estate Agencies	Acceptable
107	BT-0107	Restaurants (Various Types: Full Service, Limited Service, Fast Food)	Preferred
108	BT-0108	Self Storage Facilities	Acceptable
109	BT-0109	Shoe Stores & Repair	Preferred
110	BT-0110	Shopping Centers & Strip Malls	Preferred
111	BT-0111	Sporting Goods Stores	Acceptable
112	BT-0112	Stationery & Paper Products	Acceptable
113	BT-0113	Supermarkets & Grocery Stores	Preferred
114	BT-0114	Tailors & Dressmakers	Preferred
115	BT-0115	Tax Preparation & Accounting	Acceptable
116	BT-0116	Tire & Automotive Centers	Preferred
117	BT-0117	Toy Stores	Preferred
118	BT-0118	Travel Agencies	Acceptable
119	BT-0119	Trophy & Awards Shops	Acceptable
120	BT-0120	Upholstery Services	Acceptable
121	BT-0121	Vacuum Cleaner Sales & Service	Acceptable
122	BT-0122	Variety & General Merchandise Stores	Preferred
123	BT-0123	Video & Media Stores	Preferred
124	BT-0124	Web Design & Online Services	Acceptable
125	BT-0125	Wedding Services & Chapels	Limited
126	BT-0126	Window Treatments & Blinds	Acceptable
127	BT-0127	Woodworking & Carpentry	Limited

Accounting & Financial Services (BT-0001)

Appetite Level: **Acceptable**

Preferred

- Providing individual tax preparation services for local clients, ensuring compliance with current tax regulations.
- Offering basic bookkeeping and payroll processing for small businesses with straightforward financial needs.
- Maintaining accurate financial records for sole proprietors and small partnerships.
- Utilizing secure, industry-standard accounting software for client data management.
- Operating in a professional office or remote environment with robust data security protocols.
- Employing certified public accountants (CPAs) and trained bookkeepers with up-to-date credentials.
- Serving clients with no history of tax evasion, fraud, or regulatory violations.
- Implementing regular internal audits of accounting practices and client files.
- Maintaining clear, written client engagement agreements outlining scope of services and fees.
- Focusing on clients located within the same country as the firm's primary operations.
- Providing transparent, fixed-fee pricing for standard accounting services.
- Maintaining professional liability insurance covering all accounting activities.

Acceptable

- Offering remote accounting services to individuals and small businesses using secure communication tools.
- Providing quarterly or annual financial reporting for small business clients.
- Assisting clients with basic compliance filings, such as sales tax or payroll tax submissions.
- Utilizing cloud-based storage solutions with strong encryption for client data.
- Serving clients in low-risk industries with simple financial structures.
- Employing administrative staff trained in handling sensitive financial information.
- Updating internal policies and procedures in response to changes in tax laws.
- Limiting services to clients whose financial needs do not require specialized or advanced advisory.
- Working with clients who have straightforward domestic business operations.
- Establishing vendor relationships with reputable providers of accounting software and cybersecurity services.
- Conducting background checks on new clients to assess risk of fraud or non-compliance.

Not Acceptable

- Providing financial planning, investment advice, or wealth management services to any client.
- Engaging in complex financial advisory, mergers and acquisitions consulting, or business valuation services.
- Accepting clients with a known history of tax evasion, fraud, or regulatory penalties.
- Serving clients with significant international operations or cross-border financial activities.
- Offering services to high-net-worth individuals with complex investment portfolios.
- Partnering with firms or individuals involved in high-risk financial activities, such as cryptocurrency trading or money transmission.
- Failing to maintain proper licensing or certification for accounting services.
- Neglecting to implement strong data security measures for client information.
- Providing services to clients in industries with elevated regulatory or reputational risk, such as gambling or cannabis.
- Allowing staff without appropriate training or certification to perform accounting tasks.
- Omitting regular audits of internal accounting practices and client records.
- Engaging in any activity that could be construed as providing investment or securities advice.
- Failing to maintain professional liability insurance for accounting operations.
- Serving clients whose financial situations require specialized knowledge outside the firm's expertise.
- Operating without clear, written client engagement agreements outlining services and fees.

Restrictions (with Reasons)

- **Rule:** Do not provide financial planning, investment advice, or wealth management services. — These services fall outside the scope of standard accounting and increase regulatory and liability risk.
- **Rule:** Exclude clients with a history of tax evasion, fraud, or regulatory violations. — Such clients present elevated compliance and reputational risks.
- **Rule:** Limit services to individual taxpayers and small businesses with straightforward financial needs. — Complex financial situations require specialized expertise and increase operational risk.
- **Rule:** Avoid clients with significant international operations or cross-border financial activities. — International exposure introduces additional regulatory and compliance complexities.
- **Rule:** Require all staff to be trained and certified in relevant accounting practices. — Proper training and certification ensure compliance with industry standards and reduce error risk.
- **Rule:** Implement and maintain strong data security measures for all client information. — Protecting sensitive financial data is critical to prevent breaches and maintain client trust.

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- **Rule:** Maintain professional liability insurance for all accounting services provided. — Insurance mitigates financial risk from potential errors or omissions.
 - **Rule:** Conduct regular audits of accounting practices and client records. — Audits help ensure ongoing compliance with legal and industry standards.
 - **Rule:** Establish clear, written client engagement agreements outlining services and fees. — Transparency in agreements reduces misunderstandings and legal disputes.
 - **Rule:** Monitor and update internal policies in response to changes in tax laws and regulations. — Staying current with regulations is essential for continued compliance.
 - **Rule:** Do not partner with firms or individuals involved in high-risk financial activities. — Such partnerships can expose the firm to regulatory scrutiny and reputational harm.

Actuarial & Appraisal Services (BT-0002)

Appetite Level: **Preferred**

Preferred

- Firms with a clean regulatory history and no record of disciplinary actions, ensuring strong compliance culture.
- Businesses that maintain comprehensive, up-to-date written risk management and incident response plans.
- Firms employing certified actuaries and appraisers with advanced degrees and recognized industry certifications.
- Organizations that utilize industry-standard, secure cloud-based platforms with documented cybersecurity protocols.
- Firms with well-documented, consistently applied, and peer-reviewed valuation methodologies.
- Businesses that conduct regular employee training on data security, privacy, and professional ethics.
- Firms that maintain adequate professional liability, cyber, and fidelity insurance coverage with limits appropriate to their operations.
- Organizations that have standardized procedures for data verification and quality assurance in all client engagements.
- Firms that can demonstrate a history of minimal or no claims related to errors, omissions, or data breaches.
- Businesses that partner with reputable software and data analytics vendors with proven compliance records.
- Firms that regularly audit their IT systems and operational controls for vulnerabilities and compliance.
- Organizations that provide evidence of compliance with all relevant federal, state, and industry regulations.
- Firms with robust controls and segregation of duties in shared or co-working environments.
- Businesses that offer optional coverages for data protection, business continuity, and cyber liability.
- Firms that disclose all operational risks and maintain transparent communication with underwriters.

Acceptable

- Firms with minor, fully resolved regulatory issues and clear corrective actions documented.
- Businesses that have basic written risk management procedures but lack regular updates or testing.

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- Firms employing a mix of certified and non-certified staff, provided adequate supervision is in place.
 - Organizations using reputable but not industry-leading technology platforms with some security controls.
 - Firms with valuation methodologies that are documented but not consistently peer-reviewed.
 - Businesses that conduct periodic but not regular employee training on compliance and security.
 - Firms maintaining minimum required insurance coverages, with some gaps in optional protections.
 - Organizations with informal but functional data verification processes.
 - Firms with a limited history of claims, all of which are minor and well-documented.
 - Businesses that use third-party vendors with adequate but not exemplary compliance records.
 - Firms that perform IT and operational audits on an ad hoc basis.
 - Organizations that can demonstrate partial compliance with relevant regulations, with plans for full compliance.
 - Firms operating in shared environments with some, but not all, recommended controls in place.
 - Businesses that consider, but do not always purchase, optional coverages for cyber and business continuity.
 - Firms that provide most, but not all, required disclosures during underwriting.

Not Acceptable

- Firms with ongoing or unresolved regulatory investigations or repeated disciplinary actions.
- Businesses lacking any formal risk management or incident response plans.
- Firms employing unqualified staff without relevant certifications or supervision.
- Organizations using outdated or unsupported technology platforms with inadequate security.
- Firms with undocumented or inconsistently applied valuation methodologies.
- Businesses that do not provide employee training on compliance, ethics, or data security.
- Firms with no professional liability, cyber, or fidelity insurance coverage.
- Organizations with no standardized procedures for data verification or quality control.
- Firms with a significant history of claims, especially related to errors, omissions, or data breaches.
- Businesses that partner with vendors lacking compliance credentials or with known security issues.
- Firms that never audit their IT systems or operational controls.
- Organizations unable or unwilling to demonstrate compliance with relevant regulations.
- Firms operating in shared environments without any access controls or data segregation.

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- Businesses that refuse to disclose operational risks or provide incomplete information during underwriting.
 - Firms with a pattern of late or non-disclosure of claims or regulatory actions.

Restrictions (with Reasons)

- **Rule:** Coverage is restricted for firms with unresolved or recent regulatory actions. — Unresolved regulatory issues indicate ongoing compliance risks and potential for future claims.
- **Rule:** Firms lacking documented risk management and incident response plans are ineligible for preferred coverage. — Absence of formal plans increases exposure to operational and cyber risks.
- **Rule:** Businesses must maintain minimum professional liability and cyber insurance limits as a condition of coverage. — Adequate insurance is necessary to mitigate the financial impact of claims and breaches.
- **Rule:** Firms operating in shared or co-working environments must implement robust access and data segregation controls. — Shared environments increase the risk of data breaches and unauthorized access.
- **Rule:** Coverage may be declined or limited for firms with a history of frequent or severe claims. — Past claims are predictive of future risk and may indicate inadequate controls.
- **Rule:** Businesses must provide full disclosure of all operational risks and claims history during the application process. — Incomplete disclosures hinder accurate risk assessment and underwriting.
- **Rule:** Firms must demonstrate compliance with all applicable data security and privacy regulations. — Non-compliance exposes the firm and insurer to regulatory penalties and reputational harm.
- **Rule:** Coverage for firms using unsupported or outdated technology platforms is not available. — Legacy systems are more vulnerable to cyber threats and operational failures.
- **Rule:** Optional coverages for business continuity and data protection are strongly encouraged for all applicants. — These coverages help ensure resilience in the event of a cyber incident or operational disruption.
- **Rule:** Firms must have standardized, documented procedures for data verification and quality assurance. — Standardization reduces the likelihood of errors and omissions in client deliverables.

Advertising Agencies (BT-0003)

Appetite Level: **Acceptable**

Preferred

- Agencies with a proven track record of compliance with truth-in-advertising laws and industry regulations, reducing legal exposure.
- Firms that utilize robust cybersecurity protocols, including multi-factor authentication and regular security audits, to protect client data.
- Agencies specializing in digital advertising with established processes for content review and approval, minimizing risk of misrepresentation.
- Businesses with documented contracts outlining client specifications and deliverables, supporting clear expectations and reducing disputes.
- Agencies that maintain professional liability (E&O;) coverage in addition to cyber liability, ensuring comprehensive risk management.
- Firms that use reputable, licensed software for creative work, reducing risk of copyright infringement.
- Agencies with established vendor management processes, including vetting of subcontractors and freelancers for compliance and quality.
- Businesses that regularly train staff on advertising regulations and data privacy requirements, lowering the risk of regulatory violations.
- Agencies with secure, encrypted cloud storage solutions for proprietary client data and creative assets.
- Firms with a history of stable operations and no significant prior claims related to advertising errors or data breaches.

Acceptable

- Agencies with limited prior claims history related to advertising content errors, provided corrective measures have been implemented.
- Firms that outsource some creative work to vetted freelancers, with clear contractual protections in place.
- Agencies that have experienced minor data breaches but have since upgraded cybersecurity measures and protocols.
- Businesses that primarily serve small to mid-sized clients in non-regulated industries, such as retail or hospitality.
- Agencies that use third-party analytics or marketing platforms, provided data privacy agreements are in place.
- Firms with hybrid work environments, as long as remote access to sensitive data is secured and monitored.

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- Agencies that occasionally handle product launches or seasonal campaigns with increased advertising spend, provided risk controls are documented.
 - Businesses with basic staff training on advertising standards and data security, with plans to expand training.
 - Agencies that have experienced minor disputes over client specifications but have established improved project management processes.
 - Firms that use standard cloud storage solutions with basic encryption for client data.

Not Acceptable

- Agencies with a history of repeated regulatory violations or legal actions related to false or misleading advertising.
- Firms lacking any form of cyber liability insurance or documented cybersecurity protocols.
- Agencies that routinely make unsubstantiated or high-risk claims in advertisements, increasing exposure to lawsuits.
- Businesses with a pattern of failing to meet client specifications, resulting in frequent disputes or litigation.
- Agencies with no formal contracts or documentation outlining project scope and deliverables.
- Firms that store sensitive client data on unsecured or unencrypted platforms, exposing data to breach risks.
- Agencies that have suffered major, unresolved data breaches or ransomware attacks affecting client information.
- Businesses that do not vet or supervise subcontractors or freelancers, increasing risk of negligent brand representation.
- Agencies with significant prior claims related to copyright infringement or unauthorized use of creative assets.
- Firms that serve high-risk industries with strict advertising regulations (e.g., pharmaceuticals, tobacco) without specialized compliance expertise.
- Agencies that have been cited for negligent brand representation resulting in client reputational harm.
- Businesses that lack any staff training on advertising regulations or data privacy requirements.
- Agencies that have unresolved disputes with media vendors or technology providers affecting campaign execution.
- Firms that do not use licensed software for creative work, risking intellectual property violations.
- Agencies that refuse to implement recommended risk management or operational controls.

Restrictions (with Reasons)

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- **Rule:** Do not write coverage for agencies with unresolved legal actions related to false or misleading advertising. — Ongoing legal disputes indicate high risk of future claims and regulatory penalties.
 - **Rule:** Decline agencies without any cyber liability insurance or documented cybersecurity protocols. — Lack of cyber protections exposes the agency and insurer to unacceptable data breach risks.
 - **Rule:** Exclude agencies that routinely make unsubstantiated claims in advertisements. — High likelihood of claims for misrepresentation or regulatory violations.
 - **Rule:** Do not accept agencies with a history of repeated failure to meet client specifications. — Frequent disputes and litigation increase professional liability exposure.
 - **Rule:** Restrict coverage for agencies serving high-risk industries without specialized compliance expertise. — Strict advertising regulations in certain industries require expert knowledge to avoid violations.
 - **Rule:** Do not write coverage for agencies storing sensitive client data on unsecured or unencrypted platforms. — Unsecured data storage significantly increases the risk of breaches and associated claims.
 - **Rule:** Decline agencies with significant prior claims related to copyright infringement or unauthorized use of creative assets. — Pattern of intellectual property violations indicates poor risk management.
 - **Rule:** Restrict coverage for agencies that do not use formal contracts or documentation for client projects. — Lack of documentation increases the risk of disputes and coverage ambiguity.
 - **Rule:** Do not accept agencies with no staff training on advertising regulations or data privacy. — Untrained staff are more likely to cause regulatory violations or data breaches.
 - **Rule:** Exclude agencies that refuse to implement recommended risk management or operational controls. — Failure to adopt controls increases the likelihood and severity of claims.

Air Conditioning & Heating (Sales/Service/Manufacturing) (BT-0004)

Appetite Level: **Preferred**

Preferred

- Residential HVAC service providers with a documented history of zero OSHA violations in the past five years.
- Businesses employing only certified and licensed HVAC technicians with proof of ongoing professional development.
- Companies maintaining a written safety program, including regular safety meetings and incident reporting protocols.
- Firms with a documented employee training program covering electrical safety, refrigerant handling, and ladder use.
- Businesses with no general liability or workers' compensation claims in the past three years.
- Providers using only EPA-compliant refrigerants and maintaining records of proper refrigerant recovery and disposal.
- Companies utilizing CRM systems to track service appointments, maintenance schedules, and customer communications.
- Firms with written lockout/tagout procedures for all electrical and mechanical work.
- Businesses conducting annual vehicle safety inspections for all service vehicles.
- Companies with a formal return-to-work program for injured employees.
- Firms requiring background checks for all field technicians prior to employment.
- Businesses with documented vendor agreements ensuring supply chain reliability and timely access to parts.
- Providers offering only residential and small commercial HVAC services, excluding industrial or high-rise work.
- Companies with a written heat illness prevention plan for employees working in extreme temperatures.
- Firms with a documented process for verifying customer satisfaction and addressing complaints.

Acceptable

- Businesses performing both residential and light commercial HVAC work, including small office buildings and retail spaces.
- Companies with a moderate claims history (no more than two claims in the past three years) that have implemented corrective actions.
- Firms engaged in large-scale or industrial HVAC projects with robust risk management controls and site-specific safety plans.

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- Businesses performing incidental work with LPG systems, provided all technicians are trained and certified for LPG safety.
 - Companies with a written policy for subcontractor selection and oversight, including proof of insurance and licensing.
 - Firms using temporary or seasonal workers during peak demand, with documented onboarding and safety training.
 - Businesses with a history of minor regulatory violations that have been fully resolved and not repeated.
 - Companies offering installation of energy-efficient HVAC systems in compliance with local building codes.
 - Firms with a documented process for equipment maintenance and calibration of diagnostic tools.
 - Businesses using mobile technology for field service management and job tracking.
 - Companies with a moderate fleet of service vehicles, all insured and regularly maintained.
 - Firms providing 24/7 emergency repair services with established safety protocols for after-hours work.
 - Businesses with a mix of new installations and maintenance contracts, provided risk controls are in place.
 - Companies participating in manufacturer-sponsored training programs for new HVAC technologies.
 - Firms with a history of claims related to property damage, provided risk mitigation improvements are documented.

Not Acceptable

- Businesses performing HVAC work in hazardous industrial environments such as chemical plants, refineries, or power generation facilities.
- Companies with a history of repeated OSHA violations or unresolved safety citations within the past five years.
- Firms employing unlicensed or uncertified technicians for installation or repair work.
- Businesses with more than three general liability or workers' compensation claims in the past three years.
- Companies performing HVAC work on high-rise buildings (over 10 stories) or large-scale commercial projects without specialized safety controls.
- Firms engaging in asbestos abatement, mold remediation, or other environmental hazard work as a primary service.
- Businesses lacking a written safety program or employee training documentation.
- Companies using non-EPA-compliant refrigerants or failing to maintain records of refrigerant handling.

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- Firms with a history of insurance fraud, misrepresentation, or material non-disclosure.
 - Businesses performing significant work on marine, aviation, or rail HVAC systems.
 - Companies with no formal process for background checks or screening of field employees.
 - Firms with a pattern of customer complaints related to safety, property damage, or unlicensed work.
 - Businesses with a history of regulatory fines exceeding \$10,000 in the past three years.
 - Companies lacking adequate insurance coverage for vehicles, equipment, or liability exposures.
 - Firms with no documented process for vendor selection or supply chain management.

Restrictions (with Reasons)

- **Rule:** No coverage for businesses performing HVAC work in hazardous industrial facilities (e.g., refineries, chemical plants, power plants). — High-risk environments significantly increase the likelihood of severe claims and regulatory violations.
- **Rule:** All technicians must be licensed and certified for the scope of work performed. — Unlicensed work increases liability exposure and may violate state or local regulations.
- **Rule:** No acceptance of businesses with more than three claims (GL or WC) in the past three years. — Frequent claims indicate poor risk management and higher future loss potential.
- **Rule:** No coverage for firms performing asbestos abatement, mold remediation, or environmental hazard work as a primary service. — These activities present specialized risks outside standard HVAC operations.
- **Rule:** Businesses must maintain a written safety program and provide documentation upon request. — A formal safety program is essential for risk mitigation and regulatory compliance.
- **Rule:** No coverage for companies with unresolved OSHA violations or outstanding regulatory fines. — Unresolved violations indicate ongoing compliance issues and increased risk.
- **Rule:** No acceptance of businesses performing HVAC work on high-rise buildings (over 10 stories) without specialized safety controls. — High-rise work presents unique fall and injury hazards requiring advanced safety measures.
- **Rule:** All refrigerant handling must comply with EPA regulations, including proper recovery and disposal. — Non-compliance can result in significant environmental liability and regulatory penalties.
- **Rule:** No coverage for businesses lacking adequate insurance for vehicles, equipment, or general liability. — Insufficient insurance increases exposure to uncovered losses and financial instability.
- **Rule:** No acceptance of firms with a pattern of customer complaints related to safety or unlicensed work. — Customer complaints may indicate systemic operational or compliance issues.
- **Rule:** No coverage for businesses performing significant HVAC work on marine, aviation, or rail systems. — These sectors involve specialized risks not contemplated in standard HVAC coverage.

Alarm System Installation (BT-0005)

Appetite Level: **Acceptable**

Preferred

- Firms with documented compliance to NFPA 101 Life Safety Code and all relevant NFPA standards, ensuring regulatory adherence.
- Businesses that maintain comprehensive records of alarm system installation, maintenance, and monitoring activities for underwriting review.
- Companies that conduct and document regular fire safety training for all technical and administrative staff.
- Firms with established emergency response plans, including documented fire drills and response protocols.
- Businesses that perform and retain records of periodic risk assessments, including evaluation of fire safety measures and system vulnerabilities.
- Companies that have strong, long-term vendor relationships with reputable alarm system and monitoring equipment manufacturers.
- Firms that provide third-party verification or certification of alarm system installations and ongoing compliance.
- Businesses that conduct regular inspections and testing of all installed fire safety and alarm equipment, with results documented and available for audit.
- Companies that have a history of no major claims or losses related to fire, theft, or system failure in the past five years.
- Firms that offer ongoing monitoring services and can demonstrate 24/7 response capabilities for installed systems.
- Businesses that implement and document corrective actions following any safety audit or incident.
- Companies that maintain up-to-date protective safeguard endorsements on all installed alarm systems.
- Firms that provide evidence of annual fire safety audits conducted by qualified professionals.
- Businesses that have a dedicated compliance officer or team responsible for regulatory adherence and documentation.
- Companies that align all risk management practices with current NFPA guidelines and industry best practices.

Acceptable

- Firms with partial but improving documentation of NFPA compliance and ongoing efforts to meet all regulatory standards.
- Businesses that conduct regular but not always fully documented maintenance and testing of alarm systems.

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- Companies that provide basic fire safety training for staff, with some records available for review.
 - Firms that have an emergency response plan in place but lack regular fire drill documentation.
 - Businesses with vendor relationships that are stable but not exclusive or long-term.
 - Companies that have experienced minor claims or losses but have implemented corrective measures.
 - Firms that provide monitoring services but may not offer 24/7 coverage for all clients.
 - Businesses that conduct risk assessments annually but may not include all fire safety measures.
 - Companies that have some third-party verification of installations but not for all projects.
 - Firms that maintain protective safeguard endorsements for most but not all installed systems.
 - Businesses that have undergone fire safety audits within the last two years.
 - Companies that are in the process of updating risk management practices to align with NFPA guidelines.
 - Firms that perform inspections of fire safety equipment but may not document every instance.
 - Businesses with a safety history that includes isolated incidents, with evidence of improvement.
 - Companies that can provide some evidence of compliance with underwriting requirements.

Not Acceptable

- Firms with no documented compliance to NFPA 101 Life Safety Code or relevant NFPA standards.
- Businesses that cannot provide any records of alarm system installation, maintenance, or monitoring.
- Companies that do not conduct or document fire safety training for staff.
- Firms lacking an emergency response plan or any documentation of fire drills.
- Businesses with a history of repeated major claims or losses related to fire, theft, or system failure.
- Companies that do not conduct risk assessments or include fire safety measures in their evaluations.
- Firms that have no protective safeguard endorsements for installed alarm systems.
- Businesses that fail to perform or document regular inspections and testing of fire safety equipment.
- Companies that do not maintain vendor relationships with reputable suppliers, leading to questionable equipment quality.
- Firms that have been cited for regulatory violations or non-compliance with NFPA standards.
- Businesses that refuse or are unable to provide documentation required for underwriting review.
- Companies that have never undergone a fire safety audit or third-party verification.

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- Firms with a pattern of ignoring or failing to implement safety recommendations.
 - Businesses that do not offer any monitoring services for installed alarm systems.
 - Companies with a safety history that demonstrates ongoing negligence or disregard for regulatory requirements.

Restrictions (with Reasons)

- **Rule:** Coverage is contingent on documented compliance with NFPA 101 Life Safety Code and all relevant NFPA standards. — Regulatory adherence is essential for risk mitigation and underwriting eligibility.
- **Rule:** Firms must provide evidence of regular maintenance, testing, and monitoring of all installed alarm systems. — Ongoing system reliability reduces the risk of loss and supports claims defensibility.
- **Rule:** Protective safeguard endorsements must be maintained and documented for all alarm systems. — Endorsements are required to validate the presence and operation of protective devices.
- **Rule:** Proof of fire safety training for all staff involved in installation and maintenance must be available upon request. — Trained personnel are less likely to make errors that could compromise safety or compliance.
- **Rule:** Firms must have a written emergency response plan, including documentation of fire drills conducted at least annually. — Preparedness for emergencies is critical for minimizing potential losses and ensuring safety.
- **Rule:** Regular risk assessments, including evaluation of fire safety measures, must be documented and reviewed annually. — Proactive risk management is necessary to identify and address vulnerabilities.
- **Rule:** Third-party verification or certification of alarm system installations may be required for underwriting approval. — Independent verification increases confidence in compliance and installation quality.
- **Rule:** Coverage may be restricted or denied for firms with a history of major claims or regulatory violations. — Past incidents indicate elevated risk and potential for future losses.
- **Rule:** Firms must provide documentation of all fire safety equipment inspections and corrective actions taken. — Regular inspections and follow-up actions are essential for maintaining operational integrity.
- **Rule:** Underwriters may require evidence of annual fire safety audits conducted by qualified professionals. — Audits ensure ongoing compliance and identify areas for improvement.

Ambulance & Emergency Services (BT-0006)

Appetite Level: **Acceptable**

Preferred

- Businesses providing only emergency medical transport to hospitals or trauma centers (ensures focus on core emergency response).
- Providers with a formal quality assurance program and documented incident reporting system (demonstrates commitment to high standards and risk management).
- Services staffed exclusively by certified EMTs and paramedics (ensures qualified personnel deliver care).
- Operations with 24/7 dispatch and response capabilities (supports continuous emergency readiness).
- Ambulance fleets subject to regular maintenance and safety inspections (reduces vehicle-related risks).
- Providers compliant with all local, state, and federal healthcare and transportation regulations (minimizes regulatory risk).
- Businesses with established relationships with licensed medical supply and equipment vendors (ensures reliable access to compliant equipment).
- Providers that transport patients only to licensed hospital emergency rooms (limits liability and scope of care).
- Operations with ongoing staff training and certification renewal programs (maintains clinical competency).
- Providers with no history of regulatory violations or malpractice claims in the past five years (indicates strong compliance and risk management).

Acceptable

- Ambulance services offering both emergency and non-emergency medical transport (if non-emergency is a minor portion of operations).
- Providers with a documented plan for seasonal staffing adjustments (demonstrates awareness of call volume fluctuations).
- Businesses with a mix of full-time and part-time EMTs and paramedics (if all are properly certified).
- Operations that occasionally provide standby services at public events (if within emergency response scope).
- Providers using leased or rented ambulances, provided vehicles meet all regulatory and safety standards.
- Services that subcontract vehicle maintenance to certified third-party vendors (if maintenance records are available).

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- Providers with a history of minor, resolved regulatory infractions (if corrective actions were documented).
 - Ambulance services that accept insurance and private pay, provided billing practices are compliant.
 - Businesses operating in both urban and suburban areas (if response times and coverage are adequate).
 - Providers with a formal employee background check policy (supports safe staffing).

Not Acceptable

- Providers offering ancillary services such as body piercing, pharmacy dispensing, or cosmetic procedures (outside emergency transport scope and increases risk).
- Businesses performing non-medical transport (e.g., taxi or shuttle services) as a primary operation.
- Providers transporting patients to non-hospital destinations (e.g., clinics, private residences, or non-licensed facilities).
- Ambulance services employing uncertified or unlicensed personnel (increases liability and regulatory risk).
- Operations lacking a formal quality assurance or incident reporting system (insufficient risk controls).
- Providers with a history of unresolved regulatory violations or open malpractice claims.
- Businesses offering home healthcare, nursing, or in-home medical services as a primary or significant operation.
- Ambulance services performing elective or cosmetic medical procedures (outside emergency care scope).
- Providers with expired or inadequate vehicle maintenance records (vehicle safety risk).
- Businesses operating without required state or local licenses for ambulance services.
- Providers with a pattern of transporting patients without medical necessity (potential insurance fraud).
- Services with a history of repeated OSHA or workplace safety violations.
- Operations that do not require staff to maintain current CPR and advanced life support certifications.
- Providers with no formal employee screening or background check process.
- Ambulance services that routinely accept patients without proper dispatch or call documentation.

Restrictions (with Reasons)

- **Rule:** Providers offering ancillary services such as body piercing, pharmacy dispensing, or cosmetic procedures are ineligible. — These services fall outside the scope of emergency medical transport and introduce additional regulatory and malpractice risks.

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- **Rule:** Coverage requires that the customer be taken to a hospital emergency room. — Transport to non-hospital destinations increases liability and is not within the intended scope of coverage.
 - **Rule:** A formal quality assurance program and incident reporting system is preferred for underwriting. — These systems demonstrate risk management and commitment to high standards of care.
 - **Rule:** All EMTs and paramedics must hold current, valid certifications and licenses. — Uncertified personnel increase liability and regulatory risk.
 - **Rule:** Ambulance vehicles must be regularly maintained and inspected according to manufacturer and regulatory guidelines. — Vehicle safety is critical for patient and staff protection.
 - **Rule:** Providers must comply with all applicable local, state, and federal regulations. — Non-compliance can result in fines, shutdowns, or increased liability.
 - **Rule:** Operations with unresolved regulatory violations or open malpractice claims are ineligible. — These indicate ongoing risk and poor compliance history.
 - **Rule:** Providers must not perform elective, cosmetic, or non-emergency medical procedures. — Such services are outside the emergency care scope and increase malpractice exposure.
 - **Rule:** All staff must undergo background checks prior to employment. — Ensures safe and qualified personnel are employed.
 - **Rule:** Ambulance services must maintain accurate dispatch and patient transport records. — Proper documentation is essential for compliance and claims validation.

Animal & Veterinary Services (BT-0007)

Appetite Level: **Acceptable**

Preferred

- Practices focused on routine medical care, diagnostics, and minor surgical procedures for companion animals, as these services present lower risk profiles.
- Facilities with secure, well-maintained premises and appropriate animal containment areas, ensuring safety for animals and staff.
- Businesses with a clean regulatory record and no history of veterinary licensing violations, indicating strong compliance culture.
- Operations with robust, documented waste handling protocols, including compliant biohazard and sharps disposal.
- Practices employing only licensed veterinarians and credentialed veterinary technicians, reducing malpractice risk.
- Facilities that do not offer boarding services, or only provide limited, short-term boarding in enclosures meeting or exceeding local animal welfare standards.
- Businesses with established relationships with reputable pharmaceutical and medical supply vendors, ensuring supply chain reliability.
- Operations that regularly maintain and calibrate diagnostic and surgical equipment, supporting accurate and safe care.
- Practices with documented risk management procedures for each service line, especially in mixed-use operations.
- Businesses offering ancillary services (e.g., grooming, training) with clear separation from veterinary care areas to minimize cross-contamination.
- Facilities with clear, posted protocols for animal handling and containment, reducing the risk of animal escape or injury.
- Practices with no major claims involving malpractice, animal injury, or property damage in the past five years.

Acceptable

- Mixed-use operations combining veterinary care with ancillary services such as grooming or pet training, provided robust risk management is in place for each service line.
- Practices offering limited boarding services, provided all enclosures meet or exceed local animal welfare standards and are inspected regularly.
- Businesses with minor, resolved regulatory infractions not related to licensing or malpractice, provided corrective actions are documented.
- Facilities located in leased premises, provided the lease includes provisions for animal care operations and compliance with health codes.

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- Practices employing a small number of cross-trained staff, as long as all medical procedures are performed by licensed personnel.
 - Operations serving both companion animals and livestock, provided appropriate containment and biosecurity measures are in place.
 - Businesses with a history of minor property damage claims, provided no pattern of negligence is evident.
 - Practices using third-party vendors for waste disposal, provided vendor compliance is verified annually.
 - Facilities with seasonal fluctuations in staffing, provided minimum staffing levels are maintained for safe operations.
 - Practices with on-site diagnostic imaging equipment, provided maintenance and calibration logs are up to date.
 - Businesses offering mobile veterinary services as an adjunct to a fixed facility, provided vehicles and equipment meet regulatory standards.
 - Operations with a history of customer complaints, provided all complaints were resolved without regulatory action.

Not Acceptable

- Practices with a history of veterinary licensing violations or unresolved regulatory actions, as these indicate ongoing compliance risks.
- Businesses with major malpractice claims, animal injury, or property damage claims in the past five years.
- Facilities lacking secure animal containment areas or failing to meet local animal welfare standards.
- Operations without documented waste handling protocols or with a history of improper biohazard or sharps disposal.
- Practices offering large-scale or long-term boarding services as a primary business line.
- Businesses employing unlicensed veterinarians or non-credentialed staff for medical procedures.
- Facilities with evidence of unsanitary conditions, pest infestations, or repeated health code violations.
- Operations with inadequate or outdated diagnostic and surgical equipment, or lacking maintenance records.
- Practices with no formal risk management procedures for ancillary services or mixed-use operations.
- Businesses with unresolved customer complaints involving animal harm or regulatory intervention.
- Facilities operating without required local, state, or federal permits or licenses.
- Practices with a pattern of supply chain disruptions due to unreliable vendors.

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- Operations providing high-risk services such as experimental treatments or unapproved pharmaceuticals.
 - Businesses with a history of animal escapes, bites, or attacks on staff or customers.
 - Facilities located in premises not zoned or approved for animal care operations.

Restrictions (with Reasons)

- **Rule:** No history of veterinary licensing violations or unresolved regulatory actions. — Indicates ongoing compliance and legal risks.
- **Rule:** No major malpractice, animal injury, or property damage claims in the past five years. — Demonstrates a strong risk management and safety record.
- **Rule:** Boarding services must be limited or ancillary; large-scale or primary boarding operations are not permitted. — Boarding increases liability and operational complexity.
- **Rule:** All animal containment areas must meet or exceed local animal welfare standards. — Ensures animal safety and regulatory compliance.
- **Rule:** Documented waste handling protocols, including biohazard and sharps disposal, are required. — Prevents health hazards and regulatory violations.
- **Rule:** Only licensed veterinarians and credentialed staff may perform medical procedures. — Reduces malpractice risk and ensures quality of care.
- **Rule:** Facilities must be secure, well-maintained, and free from unsanitary conditions or pest infestations. — Protects animal and staff health and meets inspection standards.
- **Rule:** All diagnostic and surgical equipment must be regularly maintained and calibrated. — Ensures accurate diagnostics and safe procedures.
- **Rule:** Mixed-use operations must have documented risk management for each service line. — Mitigates liability from ancillary services.
- **Rule:** No use of experimental treatments or unapproved pharmaceuticals. — Prevents regulatory violations and patient harm.
- **Rule:** Facilities must operate only in premises zoned and approved for animal care. — Ensures legal operation and community safety.

Answering & Telemarketing Services (BT-0008)

Appetite Level: **Acceptable**

Preferred

- Operations conducted from dedicated office spaces or call centers with monitored alarm systems and/or 24/7 security personnel in place to protect high-value electronics, ensuring robust theft and vandalism mitigation.
- Firms providing inbound and outbound telemarketing or answering services for small to medium-sized enterprises (SMEs) in industries such as healthcare, retail, real estate, or financial services.
- Businesses employing standardized scripts and call monitoring to ensure regulatory compliance and consistent customer interactions.
- Operations that utilize CRM software and telecommunications equipment sourced from reputable vendors with proven data security protocols.
- Firms demonstrating documented risk management practices, including regular security assessments and staff training on data protection.
- Telemarketing services that require and document consumer opt-in for all automated or AI-driven communications.
- Businesses with clear, transparent consumer disclosures regarding the use of AI or automated voice bots in communications.
- Firms with flexible staffing models to accommodate seasonal fluctuations without compromising operational oversight or security.
- Operations that regularly monitor and report on key performance metrics such as call volume, conversion rates, and customer satisfaction.
- Businesses maintaining up-to-date compliance with the Telephone Consumer Protection Act (TCPA) and other relevant consumer protection laws.
- Firms that have established relationships with reputable telecommunications, CRM, and data security vendors.
- Operations with written policies and procedures for handling and securing customer data, including encryption and access controls.

Acceptable

- Firms offering remote work options for staff, provided that data security protocols and secure access to company systems are enforced.
- Businesses using AI-driven voice bots for limited, clearly disclosed purposes and with documented consumer consent.
- Operations located in multi-tenant office buildings, provided that suite-level security measures are in place for high-value electronics.

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- Telemarketing firms serving a broader range of industries, as long as the risk profile remains consistent with standard telemarketing operations.
 - Firms that outsource IT management, provided that third-party vendors meet industry data security standards.
 - Businesses with seasonal or fluctuating staffing levels, as long as background checks and training are maintained for all personnel.
 - Operations that have experienced minor, non-systemic theft or vandalism incidents but have since implemented improved security measures.
 - Firms using cloud-based CRM or telephony systems, provided that vendors are compliant with data protection regulations.
 - Businesses that have undergone recent regulatory audits and are actively addressing minor compliance gaps.
 - Firms with a mix of inbound and outbound services, provided all activities adhere to consumer protection and privacy laws.
 - Operations that occasionally update or upgrade telecommunications equipment, provided proper disposal and data wiping procedures are followed.
 - Firms that conduct periodic internal risk assessments and adjust security protocols as needed.

Not Acceptable

- Operations utilizing drones for marketing, delivery, or any business activity due to aviation liability exposures.
- Businesses providing on-site spa, bodywork, massage, or similar personal services in conjunction with telemarketing operations.
- Firms offering educational, training, or instructional services on-site as part of their telemarketing business.
- Locations housing high-value electronics without monitored alarm systems or 24/7 security personnel.
- Telemarketing operations that fail to obtain or document consumer opt-in for automated or AI-driven communications.
- Firms lacking clear disclosures to consumers regarding the use of AI or automated systems in communications.
- Operations engaging in activities that materially alter the risk profile from standard telemarketing services, such as in-person sales or field marketing.
- Businesses with a history of repeated theft, vandalism, or data breaches without evidence of corrective action.
- Firms failing to comply with the Telephone Consumer Protection Act (TCPA) or other relevant consumer protection regulations.

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- Operations that do not implement or maintain risk management practices for theft, vandalism, or data security.
 - Businesses that do not secure high-value electronics, resulting in increased exposure to loss.
 - Firms engaging in activities that introduce additional liability exposures, such as product sales, warehousing, or physical delivery.
 - Operations that do not maintain transparency in communication practices or fail to respect consumer privacy and consent.
 - Firms unable to provide evidence of compliance with evolving regulations on AI-driven communications.
 - Businesses whose risk profiles do not align with typical answering or telemarketing services.

Restrictions (with Reasons)

- **Rule:** Drones for marketing or delivery are strictly prohibited. — Drones introduce significant aviation liability exposures not contemplated in standard telemarketing operations.
- **Rule:** On-site spa, bodywork, or educational services disqualify telemarketing operations. — These activities present materially different risk profiles and liability exposures.
- **Rule:** Locations with high-value electronics must have monitored alarm systems or 24/7 security. — Adequate security is necessary to mitigate theft and vandalism risks and maintain coverage eligibility.
- **Rule:** Automated voice bots or AI-driven communications require documented consumer opt-in and clear disclosures. — Regulatory compliance and consumer protection laws mandate transparency and consent for automated communications.
- **Rule:** Operations must not involve activities that significantly alter the risk landscape from standard telemarketing services. — Non-standard activities may introduce unanticipated liability exposures.
- **Rule:** Coverage may be restricted or premiums increased for locations lacking adequate security measures. — Insufficient security increases the risk of loss or damage to high-value assets.
- **Rule:** Specialized underwriting is required for services outside standard telemarketing operations. — Non-standard services may require additional risk evaluation and controls.
- **Rule:** Firms must demonstrate risk management practices to mitigate theft and vandalism risks. — Proactive risk management is essential for coverage eligibility and loss prevention.
- **Rule:** Evidence of compliance with consumer protection laws and AI communication regulations is mandatory. — Regulatory adherence is required to avoid legal and financial penalties.
- **Rule:** Automated communications must respect consumer privacy and consent at all times. — Failure to do so can result in regulatory action and reputational harm.
- **Rule:** Risk profiles must align with typical telemarketing services to qualify for coverage. — Material deviations may introduce unacceptable exposures.

Antique & Collectible Stores (BT-0009)

Appetite Level: **Limited**

Preferred

- Stores with professionally installed and monitored climate control systems maintaining stable temperature and humidity levels year-round, as verified by maintenance logs.
- Businesses with a documented disaster mitigation plan addressing water, fire, and theft risks, including regular staff training and annual plan reviews.
- Stores located outside of flood zones, wildfire-prone areas, or other high-risk geographic regions as determined by FEMA or equivalent local authorities.
- Operations with a proven track record of no significant insurance claims related to environmental or theft losses in the past five years.
- Stores that maintain detailed, up-to-date inventory records including item descriptions, provenance documentation, appraised values, and photographs.
- Businesses that require regular professional appraisals (at least annually) for all items valued over \$10,000.
- Locations with UL-rated security systems, including 24/7 monitored alarms, surveillance cameras, and secure display cases for high-value items.
- Stores that restrict inventory to items with stable materials (e.g., ceramics, metals, glass) and avoid highly sensitive materials such as unprotected paper, textiles, or wood.
- Operations with written policies for proper storage and display of all inventory, including use of UV-filtering glass and controlled lighting.
- Businesses that collaborate with certified restoration and conservation professionals for any repair or maintenance work on inventory.
- Stores that do not accept consignment items unless full provenance and condition documentation is provided and verified.
- Locations with a dedicated, secure, and climate-controlled storage area for inventory not on display.
- Businesses that conduct quarterly inventory audits and provide results to their insurer upon request.
- Stores that exclude items with known restoration history from coverage unless restoration was performed by a certified professional and fully documented.
- Operations that do not display or store inventory in basements or other areas prone to water intrusion.

Acceptable

- Stores with basic but functional climate control systems and a written maintenance schedule, even if not professionally monitored.

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- Businesses with a general disaster preparedness plan that addresses at least two major risks (e.g., fire and water damage).
 - Locations in moderate-risk geographic areas with some history of environmental events but with recent mitigation improvements.
 - Operations with minor insurance claims history (no more than one claim under \$10,000 in the past five years).
 - Stores that maintain inventory records with item descriptions and values, but with less frequent updates (semi-annual).
 - Businesses that obtain professional appraisals for high-value items (over \$25,000) at least every two years.
 - Locations with basic security measures such as lockable display cases and alarm systems, but lacking 24/7 monitoring.
 - Stores that carry a mix of stable and moderately sensitive materials, provided sensitive items are stored in controlled environments.
 - Operations that allow consignment items only with partial provenance documentation and visual inspection.
 - Businesses that store some inventory in areas with minor water risk but have implemented protective measures (e.g., raised shelving, water sensors).
 - Stores that have had restoration work performed on items, provided restoration is documented and performed by reputable professionals.
 - Locations that use standard lighting and display methods, with some use of UV protection for sensitive items.
 - Businesses that conduct inventory audits at least annually.
 - Stores that insure items at appraised value but may have some items awaiting updated appraisals.
 - Operations with a moderate claims history but have implemented corrective actions to address previous losses.

Not Acceptable

- Stores lacking any climate control systems or with a history of uncontrolled temperature and humidity fluctuations.
- Businesses located in high-risk flood, wildfire, or hurricane zones without adequate mitigation measures.
- Operations with a history of multiple significant insurance claims (over \$10,000 each) in the past five years.
- Stores that do not maintain inventory records or have incomplete documentation of item provenance and value.
- Locations without any security systems or with repeated incidents of theft or vandalism.

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- Businesses that store inventory in basements, attics, or other areas highly susceptible to water or environmental damage.
 - Stores that display or store highly sensitive materials (e.g., unprotected paper, textiles, wood) without climate control or protective measures.
 - Operations that accept consignment items without any documentation or verification of authenticity and condition.
 - Businesses that have no disaster mitigation or emergency response plans in place.
 - Stores that routinely restore items without using certified professionals or without maintaining restoration records.
 - Locations with a history of repeated environmental losses (e.g., water, mold, fire) regardless of mitigation efforts.
 - Businesses that cannot provide proof of insurance-required security or climate control systems upon request.
 - Stores that refuse regular inventory audits or do not update inventory records for extended periods (over two years).
 - Operations that insure items at estimated or purchase value rather than at current appraised value.
 - Locations in geographic areas explicitly excluded by insurer due to catastrophic risk exposure.

Restrictions (with Reasons)

- **Rule:** Coverage is excluded for items not stored or displayed in a climate-controlled environment. — Antique and collectible items are highly sensitive to temperature and humidity fluctuations, which can cause irreversible damage.
- **Rule:** Items with incomplete or unverifiable provenance documentation are not eligible for coverage. — Provenance is critical for establishing authenticity and value, both of which are necessary for underwriting and claims.
- **Rule:** Coverage is limited or excluded for items with known restoration history unless restoration was performed by a certified professional and fully documented. — Restoration can affect both the value and structural integrity of antiques, increasing risk.
- **Rule:** High-value items (over \$10,000) require regular professional appraisals and updated inventory records for coverage to apply. — Accurate valuation is essential for proper risk assessment and claims settlement.
- **Rule:** Items stored in basements, attics, or other high-risk areas for water or environmental damage are excluded from coverage. — These areas are prone to flooding, leaks, and temperature extremes that can damage sensitive items.
- **Rule:** Coverage may be denied for stores located in geographic areas designated as high-risk for natural disasters unless approved mitigation measures are in place. — Environmental risks such as floods, wildfires, and hurricanes significantly increase the likelihood of loss.

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- **Rule:** Security measures, including monitored alarms and secure display cases, are required for coverage of high-value collections. — Theft and vandalism are significant risks for valuable and portable items.
 - **Rule:** Inventory must be listed and described in detail, including photographs, appraised values, and condition notes, to qualify for coverage. — Detailed records are necessary for underwriting, risk management, and claims processing.
 - **Rule:** Coverage may be limited or excluded for items made of highly sensitive materials (e.g., unprotected paper, textiles, wood) unless stored in specialized environments. — These materials are particularly vulnerable to environmental damage and require additional protection.
 - **Rule:** Policies may exclude coverage for items on consignment without full documentation of authenticity and condition. — Consignment items present increased risk due to lack of control over provenance and maintenance.

Appliance Sales & Repair (BT-0010)

Appetite Level: **Preferred**

Preferred

- Business operates primarily from a physical storefront or showroom with secure, well-maintained inventory storage.
- Centrally monitored alarm system (UL-listed or equivalent) is installed and active at all times.
- Electrical system has been professionally upgraded within the last five years to current code standards.
- Less than 25% of total operations involve off-site activities such as delivery, installation, or emergency repair.
- Commercial auto insurance and liability limits are maintained for all vehicles used in off-site operations.
- Staff are trained and certified in manufacturer installation protocols and industry safety standards.
- Inventory is stored in a locked, organized area with restricted access to non-employees.
- Low frequency of historical claims, especially regarding installation errors, property damage, or liability incidents.
- Vendor relationships are established with reputable manufacturers, wholesalers, or authorized distributors.
- All repair and installation tools are regularly inspected and maintained for safety compliance.
- Business maintains up-to-date records of all sales, repairs, and customer interactions.
- No history of regulatory violations or citations related to electrical, fire, or safety codes.
- Administrative staff manage scheduling, inventory, and customer service using a digital management system.
- Business does not engage in appliance recycling, salvage, or hazardous material disposal.
- No on-site storage of flammable or hazardous materials beyond standard appliance inventory.

Acceptable

- Business conducts up to 25% of operations off-site, including delivery, installation, or emergency repair.
- Alarm system is centrally monitored but not UL-listed, provided it meets local security standards.
- Electrical system upgrades completed within the last 7 years, with documentation available.
- Occasional use of subcontractors for delivery or installation, with proof of insurance and compliance.
- Inventory storage area is secure but may lack restricted access for all non-employees.
- Moderate historical claims, all resolved with corrective action and no repeat incidents.

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- Business offers minor appliance recycling or disposal services in compliance with local regulations.
 - Staff training in installation protocols is documented but not manufacturer-certified.
 - Commercial auto coverage is maintained but liability limits are at the minimum required by law.
 - Vendor relationships include some non-authorized distributors, but majority are reputable.
 - Administrative processes are partially manual but records are kept up-to-date.
 - Business occasionally stores small quantities of non-standard parts or materials on-site.
 - Alarm system is not centrally monitored but premises have other security measures in place.
 - Electrical system has minor deficiencies identified in recent inspection, with remediation scheduled.
 - Business has received minor regulatory citations in the past, all corrected and closed.

Not Acceptable

- Business conducts more than 25% of operations off-site, including frequent delivery, installation, or repair.
- No centrally monitored alarm system or equivalent security measures in place.
- Electrical system has not been upgraded in the last 10 years or fails to meet current code.
- No commercial auto insurance or liability coverage for vehicles used in business operations.
- Frequent or unresolved historical claims related to installation errors, property damage, or liability.
- Staff lack training or certification in manufacturer installation protocols or safety standards.
- Inventory is stored in unsecured, open-access areas or off-site locations without security.
- Business engages in appliance salvage, recycling, or hazardous material disposal without proper permits.
- Use of uninsured or unvetted subcontractors for delivery, installation, or repair services.
- Vendor relationships are primarily with unauthorized or gray-market suppliers.
- Administrative records are incomplete, missing, or not maintained.
- Multiple unresolved regulatory violations or ongoing investigations for safety or code non-compliance.
- On-site storage of flammable or hazardous materials beyond standard appliance inventory.
- Business has a history of fire, theft, or major property damage incidents within the last five years.
- No documented procedures for installation, repair, or customer service processes.

Restrictions (with Reasons)

- **Rule:** No more than 25% of total operations may be conducted off-site, including delivery, installation, or emergency repair. — Higher off-site activity increases liability and auto risk exposure.

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- **Rule:** A centrally monitored alarm system (UL-listed or equivalent) must be installed and operational. — Enhanced security is required to protect valuable inventory from theft or vandalism.
 - **Rule:** Electrical system upgrades must have been completed within the last five years and meet current code standards. — Recent upgrades reduce fire and electrical hazard risks.
 - **Rule:** Commercial auto insurance and appropriate liability limits are mandatory for all vehicles used in business operations. — Off-site activities present increased auto and third-party liability exposures.
 - **Rule:** Staff must be trained and, where applicable, certified in manufacturer installation protocols and safety standards. — Proper training reduces the risk of installation errors and liability claims.
 - **Rule:** Inventory must be stored in a secure, locked area with restricted access to non-employees. — Secure storage minimizes theft and unauthorized access risks.
 - **Rule:** No engagement in appliance salvage, recycling, or hazardous material disposal without proper permits and compliance. — Improper handling of hazardous materials increases environmental and regulatory risks.
 - **Rule:** Use of subcontractors for delivery or installation requires proof of insurance and compliance with safety standards. — Uninsured or unvetted subcontractors increase liability and claim potential.
 - **Rule:** Businesses with unresolved regulatory violations or ongoing investigations are not eligible. — Regulatory non-compliance indicates elevated operational risk.
 - **Rule:** No history of frequent or unresolved claims related to installation, property damage, or liability within the last five years. — A poor claims history signals ongoing operational or safety issues.
 - **Rule:** No on-site storage of flammable or hazardous materials beyond standard appliance inventory. — Excess hazardous materials increase fire and environmental risks.

Army/Navy/Military Surplus Stores (BT-0011)

Appetite Level: **Acceptable**

Preferred

- Stores sourcing inventory exclusively from domestic government auctions and approved military surplus wholesalers (ensures regulatory compliance and traceability).
- Operations with robust inventory management systems that track item origin, value, and turnover (reduces risk of loss and regulatory breaches).
- Locations with comprehensive fire and water protection systems, such as sprinklers and monitored alarms (minimizes property loss exposure).
- Businesses with documented employee training in regulatory compliance and safe handling of military surplus goods (reduces liability and compliance risk).
- Retailers with established procedures for regular (at least annual) inventory appraisals and valuation updates (ensures accurate underwriting and risk assessment).
- Stores with restricted access to high-value or sensitive inventory, including locked display cases and secure storage (mitigates theft and loss risk).
- Operations with clear, documented policies prohibiting the sale of restricted items such as firearms, explosives, or controlled tactical gear without proper licensing (ensures legal compliance).
- Businesses with a strong digital security protocol for online sales, including encrypted payment processing and regular cybersecurity audits (reduces cyber risk exposure).
- Retailers located in areas with low crime rates and adequate physical security measures, such as surveillance cameras and alarm systems (reduces theft and vandalism risk).
- Stores with established protocols for customer interaction, including incident reporting and liability mitigation procedures (addresses public interaction risks).

Acceptable

- Stores sourcing primarily from approved domestic surplus channels but with occasional third-party vendor purchases, provided full documentation is maintained (acceptable if traceability is ensured).
- Operations with basic fire and water protection systems, such as fire extinguishers and smoke detectors, but lacking full sprinkler coverage (moderate property risk).
- Retailers with a mix of in-store and online sales, provided digital sales are managed through secure, reputable platforms (acceptable if cyber risk controls are in place).
- Businesses with periodic (less than annual) inventory appraisals, provided inventory is otherwise well-documented (acceptable with some risk of valuation inaccuracy).
- Stores with moderate public interaction and standard liability insurance coverage (acceptable if risk management practices are in place).

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- Operations with limited on-site repair or modification of military gear, provided all activities comply with safety and regulatory standards (acceptable with oversight).
 - Retailers located in mixed-use or suburban areas with average security measures (acceptable if additional risk controls are considered).
 - Businesses with some high-value inventory, provided items are secured and regularly inventoried (acceptable if loss prevention measures are adequate).
 - Stores with staff trained in basic compliance and customer service, but lacking formalized ongoing training programs (acceptable if compliance is monitored).
 - Operations with a history of regulatory compliance and no recent violations (acceptable if ongoing compliance is demonstrated).

Not Acceptable

- Stores sourcing inventory from foreign military entities or unverified international suppliers (prohibited due to national security and compliance risks).
- Operations selling restricted items such as firearms, explosives, or tactical gear without proper permits or licenses (not acceptable due to legal liability).
- Businesses with inadequate or absent fire and water protection systems, such as no sprinklers or alarms (unacceptable property risk).
- Retailers with no documented inventory management or appraisal practices (unacceptable risk of loss and valuation errors).
- Stores with a history of regulatory violations, including improper sourcing or illegal sales (not acceptable due to compliance concerns).
- Operations with high-value or sensitive inventory stored in unsecured or publicly accessible areas (unacceptable theft and loss exposure).
- Businesses lacking any digital security measures for online sales, such as unencrypted payment processing (unacceptable cyber risk).
- Retailers located in high-crime areas with minimal physical security (unacceptable risk of theft and vandalism).
- Stores permitting public access to restricted or hazardous items without supervision (not acceptable due to liability exposure).
- Operations engaging in the sale or modification of military-grade weapons or equipment for civilian use without explicit legal authorization (not acceptable due to regulatory and safety risks).
- Businesses with no employee training in compliance, safety, or customer interaction (unacceptable operational risk).
- Retailers failing to comply with local, state, or federal regulations governing the sale of military surplus goods (not acceptable for underwriting).

Restrictions (with Reasons)

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- **Rule:** Sourcing from foreign military entities or unverified international suppliers is strictly prohibited. — National security and regulatory compliance concerns.
 - **Rule:** Sale of firearms, explosives, or controlled tactical gear requires all necessary permits and licenses. — Legal compliance and liability mitigation.
 - **Rule:** Comprehensive fire and water protection systems, such as sprinklers and alarms, are required for acceptance. — To minimize property loss and meet underwriting standards.
 - **Rule:** Regular (at least annual) inventory appraisals and documentation are mandatory. — Ensures accurate valuation and risk assessment.
 - **Rule:** High-value or sensitive inventory must be secured in locked or restricted-access areas. — To reduce theft and loss exposure.
 - **Rule:** Digital sales channels must employ robust cybersecurity measures, including encrypted payment processing. — To mitigate cyber risk and protect customer data.
 - **Rule:** All staff must receive training in regulatory compliance and safe handling of military surplus goods. — Reduces operational and liability risks.
 - **Rule:** Public access to restricted or hazardous items is not permitted without supervision. — To prevent liability and ensure customer safety.
 - **Rule:** Businesses with a history of regulatory violations or illegal sourcing are not eligible. — Demonstrates unacceptable compliance risk.
 - **Rule:** Failure to comply with local, state, or federal regulations governing military surplus sales results in ineligibility. — Regulatory compliance is mandatory for underwriting acceptance.

Art Galleries & Art Supply Stores (BT-0012)

Appetite Level: **Acceptable**

Preferred

- Art galleries with professionally appraised inventories updated at least annually, ensuring accurate valuation for insurance and sales purposes.
- Art supply stores with comprehensive inventory management systems and regular documentation reviews.
- Art galleries equipped with robust fire and water protection systems, including sprinklers and humidity controls.
- Art supply stores that conduct regular staff training on customer service and product safety.
- Art galleries that host regular exhibitions and community events with documented risk management plans.
- Art supply stores with established relationships with reputable hobby, craft, or artists' supply distributors.
- Businesses with documented compliance with all local, state, and federal regulations relevant to art sales and retail operations.
- Art galleries and supply stores with enhanced security measures for high-value inventory, such as alarm systems and surveillance cameras.
- Art supply stores that offer workshops or product demonstrations with proper safety protocols in place.
- Art galleries that maintain up-to-date insurance coverage tailored to the value and nature of their inventory.

Acceptable

- Art supply stores with moderate inventory values and standard security protocols.
- Art galleries with basic fire and water protection systems and annual inventory reviews.
- Art supply stores that utilize digital sales channels with documented cybersecurity measures.
- Art galleries that source inventory from local artists and art fairs with proper documentation.
- Art supply stores with seasonal sales spikes and documented inventory management adjustments.
- Art galleries with public interaction events and crowd management plans.
- Art supply stores located in retail centers with shared security and fire protection systems.
- Art galleries with mixed-value inventory and periodic professional appraisals.
- Art supply stores that accept returns and exchanges with clear policies to mitigate loss.
- Art galleries and supply stores that maintain regular staff background checks and training.

Not Acceptable

- Art galleries lacking annual professional inventory appraisals or accurate valuation records.
- Art supply stores with inadequate or absent fire and water protection systems.
- Art galleries with no documented inventory management practices or loss prevention measures.
- Art supply stores with a history of regulatory violations or non-compliance with local laws.
- Art galleries operating in facilities with known structural deficiencies or high flood risk.
- Art supply stores that store hazardous materials without proper containment or safety protocols.
- Art galleries or supply stores with repeated theft or vandalism incidents and no corrective actions.
- Art supply stores sourcing inventory from unverified or high-risk suppliers.
- Art galleries with high-value inventory and no enhanced security measures in place.
- Art supply stores with poor customer safety records or unresolved liability claims.
- Art galleries or supply stores that do not maintain up-to-date insurance coverage.
- Art supply stores operating exclusively online without documented cybersecurity or fraud prevention protocols.
- Art galleries that fail to comply with mandatory local, state, or federal regulations.
- Art supply stores with inadequate staffing or lack of employee training on safety and loss prevention.
- Art galleries or supply stores that do not review or update inventory management practices regularly.

Restrictions (with Reasons)

- **Rule:** Art galleries must maintain professionally appraised inventories, updated at least annually. — Ensures accurate valuation for insurance and risk assessment.
- **Rule:** Robust fire and water protection systems, such as sprinklers, are mandatory for art galleries. — Protects high-value and sensitive inventory from catastrophic loss.
- **Rule:** Art supply stores must document and regularly review inventory management practices. — Reduces risk of loss and ensures compliance with underwriting guidelines.
- **Rule:** Enhanced security measures are required for art galleries with high-value inventory. — Mitigates theft and vandalism risks associated with valuable artworks.
- **Rule:** Compliance with all local, state, and federal regulations is mandatory. — Prevents legal liabilities and ensures business operations meet legal standards.
- **Rule:** Digital sales channels must have documented cybersecurity and fraud prevention protocols. — Addresses operational risks associated with online transactions.
- **Rule:** Art supply stores must implement safety protocols for hazardous materials. — Protects staff and customers from exposure and reduces liability.

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- **Rule:** Businesses with repeated regulatory violations or unresolved liability claims are not eligible. — Indicates ongoing risk and non-compliance with industry standards.
 - **Rule:** Regular staff training on safety, customer service, and loss prevention is required. — Improves operational risk management and customer experience.
 - **Rule:** Inventory insurance coverage must be maintained and reviewed annually. — Ensures adequate financial protection against loss or damage.

Artificial Flowers & Floral Supplies (BT-0013)

Appetite Level: **Preferred**

Preferred

- Brick-and-mortar retail or wholesale operations with established, maintained fire protection systems such as sprinklers and smoke detectors; reduces fire risk in environments with combustible materials.
- Businesses with secured, climate-controlled storage areas for bulk inventory, especially for heat-sensitive or flammable artificial floral materials; maintains product quality and reduces spoilage/fire risk.
- Operations with a documented low-claims history over the past five years; indicates effective risk management and operational stability.
- Primary focus on product sales and basic floral design or consultation services without engaging in high-risk event installations; limits liability exposure.
- Limited delivery exposure, defined as less than 20% of total revenue from delivery services; minimizes transportation-related risks.
- Staff trained in basic floral design principles and customer service, with documented safety training; improves workplace safety and customer satisfaction.
- Use of standard floral arrangement tools (scissors, wire, adhesives) and display fixtures only; avoids hazardous equipment.
- Point-of-sale systems and inventory management software in use; enhances operational efficiency and reduces shrinkage.
- Compliance with all local fire codes, zoning laws, and business licensing requirements; ensures legal operation.
- Established relationships with reputable domestic or international suppliers with documented quality controls; ensures consistent product quality.
- Seasonal staffing adjustments with documented training for temporary staff; maintains safety and service standards during peak periods.
- No history of regulatory violations or fines in the past five years; demonstrates compliance culture.

Acceptable

- Businesses providing event floral design or on-site event setup, provided they have documented risk controls and insurance coverage for off-site activities.
- Moderate delivery operations, defined as 20–40% of total revenue from delivery, with maintained vehicle safety programs and driver background checks.
- Enterprises with online sales constituting less than 50% of total revenue, provided physical operations remain primary and inventory is stored in secured facilities.

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- Use of third-party logistics providers for delivery, with contracts specifying insurance and liability responsibilities.
 - Occasional participation in local trade shows or markets, with appropriate temporary insurance coverage.
 - Storage of limited quantities of flammable adhesives or cleaning agents, with proper labeling and segregation from main inventory.
 - Employment of part-time or seasonal staff, provided all receive documented safety and operational training.
 - Use of basic delivery vehicles (e.g., vans, small trucks) owned or leased by the business, with regular maintenance records.
 - Engagement in basic custom arrangement services for events, provided no high-risk installation (e.g., large suspended displays) is performed.
 - Businesses with a minor history of claims, provided corrective actions and risk mitigation measures are documented.
 - Operations in shared commercial spaces, provided adequate separation and fire protection measures are in place.

Not Acceptable

- Businesses operating exclusively online with no physical storefront or warehouse; lacks required fire protection and inventory controls.
- Operations engaging in high-risk event installations, such as large-scale suspended floral displays or complex rigging at venues.
- More than 50% of total revenue derived from delivery or transportation services; indicates primary exposure outside core retail/wholesale operations.
- Storage of significant quantities of hazardous or highly flammable chemicals beyond standard adhesives or cleaning agents.
- No established fire protection systems (e.g., absence of sprinklers, smoke detectors) in primary storage or retail areas.
- History of multiple or severe insurance claims in the past five years without documented remediation.
- Non-compliance with local zoning, fire, or business licensing regulations.
- Use of heavy machinery or industrial equipment not standard to floral supply operations (e.g., forklifts in small retail spaces).
- Operations with unsecured or non-climate-controlled storage for bulk inventory of heat-sensitive materials.
- Businesses with a history of regulatory violations, fines, or consumer safety complaints in the past three years.

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- Engagement in international shipping of products without documented compliance with import/export regulations.
 - Operations in residential or non-commercially zoned properties.
 - No documented employee safety training or operational procedures.
 - Businesses that manufacture artificial flowers on-site using hazardous processes or chemicals.
 - Participation in high-traffic public events (e.g., large festivals) without adequate risk controls and insurance.

Restrictions (with Reasons)

- **Rule:** Online sales must not exceed 50% of total revenue. — Ensures primary risk exposure remains within controlled, physical retail or wholesale environments.
- **Rule:** No high-risk event installations or complex rigging activities allowed. — Prevents exposure to significant liability and injury risks associated with elaborate event setups.
- **Rule:** All storage areas for bulk inventory must be secured and climate-controlled. — Reduces risk of fire, spoilage, and product degradation, especially for heat-sensitive materials.
- **Rule:** Established fire protection systems (sprinklers, smoke detectors) must be present and maintained. — Mitigates fire risk in environments storing combustible materials.
- **Rule:** Delivery operations must not exceed 40% of total revenue and require documented vehicle safety programs. — Limits transportation-related exposures and ensures safe delivery practices.
- **Rule:** No storage or use of hazardous chemicals beyond standard adhesives and cleaning agents. — Prevents increased fire and health hazards not typical to the sector.
- **Rule:** All employees, including seasonal and part-time, must receive documented safety and operational training. — Maintains workplace safety and reduces risk of accidents or claims.
- **Rule:** Businesses must comply with all local zoning, fire, and business licensing regulations. — Ensures legal operation and reduces regulatory risk.
- **Rule:** No operations in residential or non-commercially zoned properties. — Prevents increased risk due to inadequate facilities and regulatory non-compliance.
- **Rule:** No manufacturing of artificial flowers on-site using hazardous processes. — Avoids exposures outside the intended scope of retail/wholesale operations.
- **Rule:** No history of multiple or severe insurance claims in the past five years without documented remediation. — Indicates ongoing risk management issues that are not adequately addressed.

Artists & Craft Studios (BT-0014)

Appetite Level: **Preferred**

Preferred

- Studios engaged exclusively in non-hazardous artistic activities such as painting, drawing, digital art, and textile crafts, minimizing exposure to dangerous chemicals or equipment.
- Use of non-toxic, water-based, or otherwise safe art materials with proper storage and clear documentation of safe handling procedures.
- Studios with comprehensive fire detection and suppression systems installed, including sprinklers and smoke alarms, to protect workspace and inventory.
- Facilities with secure storage areas and alarm systems for safeguarding valuable artwork, tools, and customer information.
- Studios implementing robust cybersecurity measures, such as encrypted payment processing and secure customer data storage, especially for online sales.
- Online-only studios or those with minimal on-site operations, reducing risks associated with physical premises.
- Studios maintaining secure, documented inventory management systems to track supplies and finished products, ensuring reliable fulfillment and loss prevention.
- Workspaces with proper ventilation and use of personal protective equipment (PPE) where applicable, particularly for activities involving dust, fibers, or fumes.
- Studios sourcing supplies from reputable vendors that offer sustainable and non-toxic products, supporting safety and environmental responsibility.
- Single-artist or small team studios with limited public access, reducing liability and exposure to third-party risks.
- Studios with established emergency procedures and regular safety training for all staff and workshop participants.
- Facilities compliant with all local zoning, health, and fire safety regulations, including occupancy limits and egress requirements.
- Studios offering public workshops or classes only with documented safety protocols and participant waivers.
- Regular assessment and documentation of operational efficiency, customer feedback, and safety compliance.
- Studios with insurance coverage appropriate for art studios, including property, liability, and cyber insurance.

Acceptable

- Studios offering public workshops or classes with established and documented safety protocols, including first aid kits and emergency exits.

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- Shared studio spaces with clear delineation of work areas and responsibilities for safety compliance among all occupants.
 - Use of limited quantities of low-toxicity solvents or adhesives with proper ventilation and storage in compliance with safety guidelines.
 - Studios operating from mixed-use buildings, provided all fire and safety codes are met and non-art-related hazards are not present.
 - Occasional participation in off-site art fairs or markets with documented transport and display procedures for artwork and equipment.
 - Employment of part-time administrative or marketing staff with clear training on studio safety and data security protocols.
 - Studios with moderate on-site customer traffic, provided access controls and visitor management procedures are in place.
 - Use of basic security measures such as locked doors and surveillance cameras for studios without high-value inventory.
 - Studios storing small amounts of flammable or hazardous materials in approved containers and away from ignition sources.
 - Facilities with basic fire detection (smoke alarms) but without full sprinkler systems, provided other mitigation measures are in place.
 - Studios using digital tools and platforms for sales and marketing with basic cybersecurity protections (e.g., strong passwords, regular updates).
 - Studios located in older buildings, provided all necessary upgrades for safety and code compliance have been completed.
 - Studios with limited use of power tools or equipment, provided all safety guards and training are in place.
 - Studios with seasonal increases in production or staffing, provided temporary staff receive safety training.
 - Studios with minor lapses in documentation, provided corrective actions are underway and no major incidents have occurred.

Not Acceptable

- Studios engaged in hazardous activities such as glassblowing, metalworking, welding, or large-scale woodworking involving combustible dust.
- Use or storage of highly toxic, flammable, or volatile chemicals (e.g., oil-based paints, industrial solvents, resins) without proper containment and ventilation.
- Facilities lacking any fire detection or suppression systems, or with known deficiencies in fire safety compliance.
- Studios with a history of fire, theft, or significant safety violations within the past five years.

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- Studios operating in residential spaces without proper zoning or permits for commercial/artistic use.
 - Studios with unrestricted public access and no visitor management or safety protocols in place.
 - Failure to implement any cybersecurity measures, resulting in repeated data breaches or customer information loss.
 - Studios with inadequate or unsecured storage for valuable artwork, tools, or customer data.
 - Use of banned or highly hazardous materials (e.g., lead-based paints, asbestos-containing supplies) in any capacity.
 - Studios with significant structural deficiencies, such as faulty wiring, blocked exits, or lack of emergency lighting.
 - Studios operating in flood-prone or otherwise high-risk locations without mitigation plans or insurance.
 - Studios with no documented safety training or emergency procedures for staff or workshop participants.
 - Studios with ongoing legal disputes related to zoning, safety, or customer injury claims.
 - Studios that regularly exceed occupancy limits or operate outside of permitted hours.
 - Studios with repeated violations of local, state, or federal regulations governing health, safety, or environmental standards.

Restrictions (with Reasons)

- **Rule:** Studios must not engage in hazardous artistic activities such as glassblowing, welding, or large-scale woodworking. — These activities present elevated fire, injury, and property risks beyond acceptable thresholds.
- **Rule:** Use or storage of highly toxic, flammable, or volatile chemicals is prohibited unless fully contained and ventilated per code. — Improper handling of such materials significantly increases fire and health hazards.
- **Rule:** Studios must have comprehensive fire detection and suppression systems, including smoke alarms and sprinklers, where required by code. — Fire safety systems are critical for protecting people, property, and valuable artwork.
- **Rule:** Studios must use only non-toxic or low-toxicity materials, with proper storage and documentation of safe handling procedures. — Reduces risk of health issues and environmental contamination.
- **Rule:** Studios must implement robust cybersecurity measures for any online sales or customer data storage. — Protects against data breaches and financial losses.
- **Rule:** Studios must comply with all local zoning, health, and safety regulations, including occupancy limits and egress requirements. — Ensures legal operation and reduces liability exposure.
- **Rule:** Studios offering public workshops or classes must have established safety protocols and participant waivers. — Mitigates liability and ensures participant safety.

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- **Rule:** Studios must maintain secure storage for valuable artwork, tools, and customer information. — Prevents theft, loss, and unauthorized access.
 - **Rule:** Studios must not operate in residential spaces without proper commercial/artistic use permits. — Improper zoning increases risk of regulatory action and insurance denial.
 - **Rule:** Studios must not have a history of significant fire, theft, or safety violations within the past five years. — Past incidents indicate ongoing risk and poor risk management.
 - **Rule:** Studios must not use banned or highly hazardous materials under any circumstances. — These materials pose unacceptable health and environmental risks.

Asphalt & Paving Services (BT-0015)

Appetite Level: **Acceptable**

Preferred

- Businesses specializing in residential driveway paving with no history of severe claims (lower risk, predictable projects).
- Operations with a documented safety program and regular employee training on heavy equipment (reduces injury risk).
- Companies with established long-term vendor relationships for asphalt and aggregates (ensures supply chain stability).
- Firms operating exclusively in non-coastal, temperate climates with minimal weather-related delays (less seasonality risk).
- Applicants with no employee injury claims in the past five years (demonstrates strong safety culture).
- Businesses that do not subcontract critical operations and maintain direct oversight of all projects (better quality control).
- Operations with business interruption coverage in place (mitigates financial risk from weather delays).
- Companies using modern, well-maintained equipment with documented maintenance schedules (reduces breakdown and accident risk).
- Firms with clear environmental compliance records and no violations (lowers regulatory risk).
- Applicants with diversified customer bases (municipal, commercial, residential) and no concentration in high-risk sectors.
- Businesses with effective project management systems for scheduling and client communication (improves operational efficiency).

Acceptable

- Businesses performing both residential and commercial paving with moderate claims history (manageable risk).
- Operations with seasonal shutdowns but documented plans for weather-related interruptions (shows preparedness).
- Companies that occasionally subcontract specialized services but require proof of insurance from subcontractors.
- Applicants with minor, resolved environmental citations and corrective action plans in place.
- Firms operating in regions with moderate weather volatility and established contingency protocols.
- Businesses with some older equipment but active maintenance and replacement schedules.

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- Companies with a mix of new and experienced staff, provided ongoing safety training is documented.
 - Operations that have experienced property damage claims but have implemented corrective measures.
 - Applicants with a history of minor employee injuries but no severe or repeated incidents.
 - Businesses that have completed projects for public entities with standard regulatory oversight.
 - Firms with a limited number of projects at commercial airports, provided they meet all underwriting criteria.
 - Companies with a moderate concentration of municipal contracts but diversified secondary clientele.

Not Acceptable

- Businesses with a history of frequent or severe employee injury claims related to heavy equipment operation.
- Operations performing paving or repairs at commercial airports without meeting specific underwriting criteria.
- Applicants with unresolved environmental violations or repeated regulatory non-compliance.
- Companies that manufacture or distribute non-beverage alcohol as a primary or secondary business.
- Firms involved in the installation or servicing of alarm systems as a core operation.
- Businesses that manufacture commercial appliances or perform appliance-related artisan services.
- Operations with a primary focus on amusement parks, amusement devices, or similar high-risk venues.
- Applicants with ambulance services, first aid squads, or other emergency medical operations.
- Companies with a history of third-party property damage claims exceeding industry norms.
- Businesses operating in regions with extreme weather volatility and no business interruption coverage.
- Firms with no documented safety program or history of OSHA violations.
- Applicants with a pattern of insurance fraud or misrepresentation in prior applications.
- Operations with a primary focus on analytical chemistry or antique store operations.
- Businesses with a history of significant supply chain disruptions impacting project delivery.
- Companies that have been denied coverage by multiple insurers for operational or claims-related reasons.

Restrictions (with Reasons)

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- **Rule:** Applicants with a history of frequent or severe employee injury claims are subject to automatic referral or declination. — Heavy equipment operations present elevated injury risks that impact insurability.
 - **Rule:** Paving operations at commercial airports require adherence to specific underwriting criteria and may be restricted. — Aviation-related projects involve heightened safety and liability exposures.
 - **Rule:** Businesses with unresolved environmental violations are not eligible for coverage. — Non-compliance with environmental regulations increases regulatory and reputational risk.
 - **Rule:** Applicants must maintain business interruption coverage for weather-related operational delays. — Seasonal and weather-dependent operations are vulnerable to revenue loss from project delays.
 - **Rule:** Subcontracted work must be fully insured and documented; otherwise, coverage may be limited or denied. — Uninsured subcontractors increase liability exposure for the primary business.
 - **Rule:** Operations involving the manufacturing or servicing of alarm systems, appliances, or non-beverage alcohol are excluded. — These activities fall outside the underwriting appetite for paving services.
 - **Rule:** Applicants with a history of third-party property damage claims above industry benchmarks may be declined. — Frequent property damage claims indicate poor risk management.
 - **Rule:** Businesses must have a documented safety program and regular employee training on equipment use. — A strong safety culture reduces the likelihood of workplace accidents.
 - **Rule:** Coverage is not available for operations primarily focused on amusement parks, amusement devices, or emergency medical services. — These sectors present unique risks not contemplated in standard paving underwriting.
 - **Rule:** Applicants with prior insurance fraud or material misrepresentation are ineligible. — Trust and transparency are essential for underwriting integrity.

Assembly & Packaging Services (BT-0016)

Appetite Level: **Preferred**

Preferred

- Operations conducted in dedicated warehouses or manufacturing facilities with robust central alarm systems and continuous video surveillance to ensure security of personnel and inventory.
- Manual or semi-automated assembly and packaging processes that allow for operational flexibility and adaptability to various product types.
- Comprehensive inventory safeguards in place, including regular cycle counts, secured storage areas, and documented inventory management procedures to prevent loss or theft.
- Businesses that do not engage in relabeling, repackaging, or modification of third-party products, thereby reducing regulatory and liability exposures.
- Stable, well-documented supplier chains with established relationships to minimize risks of supply disruptions and maintain consistent quality standards.
- Up-to-date IT security protocols implemented, such as firewalls, multi-factor authentication, and regular security audits, to protect sensitive business and customer information.
- Staff training programs focused on quality control, safety, and operational efficiency, with documented procedures for ongoing development.
- Operations serving a diverse customer base across multiple industries, including consumer goods, electronics, pharmaceuticals, and food and beverage, with clear documentation of customer requirements.
- Businesses that maintain moderate levels of online sales, provided that all IT security measures are documented and regularly reviewed.
- Clear separation of assembly, packaging, and storage areas within the facility to optimize workflow and minimize cross-contamination risks.
- Documented compliance with all applicable local, state, and federal regulations, especially for businesses handling regulated products such as food or pharmaceuticals.
- Regularly updated emergency response and disaster recovery plans to ensure business continuity and minimize operational disruptions.
- Use of basic hand tools and semi-automated machinery that is regularly maintained and inspected for safety and efficiency.
- Inventory management systems that provide real-time tracking and reporting to enhance accuracy and transparency.
- Transparent operational processes with full disclosure of all assembly and packaging activities to clients and regulatory bodies.

Acceptable

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- Operations that include repackaging or relabeling of products, provided there is full disclosure of processes and strict adherence to regulatory standards.
 - Businesses with moderate levels of online sales, as long as documented IT security measures are in place and regularly updated.
 - Facilities that utilize a mix of manual, semi-automated, and limited automated equipment, provided all equipment is properly maintained and staff are adequately trained.
 - Seasonal adjustments in staffing and production schedules to accommodate fluctuations in demand, with documented procedures for scaling operations.
 - Use of third-party logistics providers for distribution, contingent upon verification of their security and compliance protocols.
 - Operations that handle a limited range of regulated products, provided all necessary certifications and compliance documentation are maintained.
 - Businesses that outsource certain assembly or packaging tasks, provided subcontractors meet the same security and quality standards.
 - Facilities located in multi-tenant industrial parks, provided there are adequate physical security measures and access controls.
 - Use of cloud-based inventory or order management systems, provided data security and privacy protocols are documented and enforced.
 - Limited engagement in product modification activities, provided all changes are documented and approved by clients.
 - Operations with a moderate number of temporary or seasonal workers, provided all staff receive appropriate training and supervision.
 - Businesses that occasionally handle high-value or sensitive products, provided enhanced security measures are implemented during such periods.
 - Participation in industry certification programs (e.g., ISO 9001) to demonstrate commitment to quality and operational excellence.
 - Implementation of basic environmental controls (e.g., temperature, humidity) for products requiring special handling.
 - Periodic third-party audits of operational and security practices to ensure ongoing compliance and risk mitigation.

Not Acceptable

- Operations that regularly engage in unauthorized relabeling, repackaging, or modification of third-party products without full disclosure or client approval.
- Facilities lacking central alarm systems, video surveillance, or other basic security measures to protect inventory and personnel.
- Businesses with significant cyber exposure and no documented IT security protocols, such as absence of firewalls or multi-factor authentication.

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- Operations that handle large volumes of highly regulated or hazardous products without proper certifications, training, or compliance documentation.
 - Facilities with poor inventory controls, frequent discrepancies, or history of significant inventory losses.
 - Businesses that rely on unstable or undocumented supplier chains, leading to frequent supply disruptions or quality issues.
 - Operations conducted in unsecured or shared spaces without adequate physical access controls or separation from other tenants.
 - Businesses with a history of regulatory violations, product recalls, or non-compliance with safety and labeling standards.
 - Facilities that use outdated or unsafe equipment without regular maintenance or safety inspections.
 - Operations with excessive reliance on temporary or untrained workers, leading to increased risk of errors or accidents.
 - Businesses that do not provide regular staff training on quality control, safety, or operational procedures.
 - Operations with high levels of online sales but lacking documented IT security measures or data privacy protocols.
 - Facilities that do not have emergency response or disaster recovery plans in place.
 - Businesses that fail to disclose operational processes to clients or regulatory bodies, resulting in transparency or compliance issues.
 - Operations that routinely handle counterfeit, stolen, or otherwise illicit products.

Restrictions (with Reasons)

- **Rule:** No acceptance of businesses lacking central alarm systems and continuous video surveillance. — Absence of robust security measures increases risk of theft, loss, and liability.
- **Rule:** No acceptance of operations regularly engaging in unauthorized relabeling, repackaging, or modification of third-party products. — Such practices elevate regulatory, legal, and reputational risks.
- **Rule:** Businesses must maintain up-to-date IT security protocols, including firewalls and multi-factor authentication. — Inadequate IT security exposes sensitive business and customer data to cyber threats.
- **Rule:** No acceptance of facilities with poor inventory controls or history of significant inventory losses. — Weak inventory management increases the risk of loss, errors, and insurance claims.
- **Rule:** Operations handling highly regulated or hazardous products must provide all required certifications and compliance documentation. — Non-compliance with regulatory standards can result in severe penalties and operational shutdowns.
- **Rule:** No acceptance of businesses with a history of regulatory violations, product recalls, or non-compliance. — Past violations indicate ongoing compliance and operational risks.

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- **Rule:** Facilities must have documented emergency response and disaster recovery plans. — Preparedness is essential for minimizing losses and ensuring business continuity.
 - **Rule:** No acceptance of operations conducted in unsecured or shared spaces without adequate physical access controls. — Shared or unsecured environments increase the risk of unauthorized access and loss.
 - **Rule:** All staff must receive regular training on quality control, safety, and operational procedures. — Untrained staff increase the likelihood of errors, accidents, and quality issues.
 - **Rule:** Businesses must disclose all assembly, packaging, and related processes to clients and regulatory bodies. — Transparency is necessary for compliance and risk management.

Audio & Visual Equipment Sales/Service (BT-0017)

Appetite Level: **Acceptable**

Preferred

- Retail sales of new audio and visual equipment such as televisions, amplifiers, and microphones, with no used goods sold (ensures product quality and reduces liability).
- Rental services for event-related A/V equipment including speakers, mixers, lighting, and projectors, provided all equipment is maintained and tested regularly (minimizes risk of malfunction).
- Businesses operating from a dedicated retail storefront or showroom with appropriate security measures in place (reduces theft and property risk).
- Online sales of A/V equipment with secure payment processing and verified shipping methods (limits fraud and loss exposure).
- Installation, servicing, and repair of A/V equipment by certified technicians with documented experience (ensures professional standards and reduces claims).
- Businesses with a minimum of three years of operating experience at the insured location (demonstrates stability and operational knowledge).
- Inventory management systems in place to track stock and sales trends (improves loss control and reduces shrinkage).
- Contents insured at Actual Cash Value (ACV) with a minimum \$500 property damage deductible (aligns with underwriting guidelines).
- Water softening equipment installation, servicing, or repair as a secondary service (low risk, related trade).

Acceptable

- Retail sales of both new and used A/V equipment, provided used items are inspected and certified (slightly higher risk but manageable with controls).
- Rental of A/V equipment for private parties, weddings, and small corporate events (moderate exposure, manageable with contracts and waivers).
- Businesses operating from mixed-use premises with clear separation of retail and storage areas (requires additional risk assessment).
- Limited on-site installation services for residential and small business clients (increases exposure but acceptable with proper protocols).
- Seasonal fluctuations in sales and rentals, provided inventory and staffing are adjusted accordingly (requires monitoring but not inherently risky).
- Sales associates and technicians with less than three years of experience, if supervised by experienced management (training mitigates risk).

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- Businesses sourcing inventory from multiple reputable suppliers to ensure product availability (supply chain complexity but manageable).
 - Retail locations with basic alarm systems but no central station monitoring (higher theft risk but acceptable with other controls).
 - Businesses offering basic customer support and troubleshooting for A/V products (minimal professional liability exposure).
 - Limited online sales through third-party platforms (e.g., eBay, Amazon) with clear return policies (slightly higher fraud risk).

Not Acceptable

- Video rental stores without a central station or local alarm system (unacceptable theft and property risk).
- Businesses with less than three years of experience at the insured location for video rental operations (insufficient operational history).
- Operations involving the sale or rental of pirated, counterfeit, or unlicensed A/V media or equipment (illegal and high liability).
- Businesses lacking inventory management or loss prevention systems (unacceptable risk of shrinkage and loss).
- Retailers or rental services operating solely online with no physical presence or verifiable address (difficult to assess and monitor risk).
- A/V businesses offering professional web design, software development, or IT consulting as a primary service (outside appetite and excluded professional liability).
- Operations with no property damage deductible or a deductible below \$500 (does not meet minimum underwriting requirements).
- Businesses failing to insure contents at Actual Cash Value (ACV) (coverage misalignment).
- A/V equipment installation or repair involving high-rise buildings, industrial facilities, or hazardous environments (unacceptable exposure).
- Businesses with a history of frequent claims, regulatory violations, or unresolved customer complaints (poor risk profile).
- Operations storing or servicing equipment in unsecured or unalarmed locations (unacceptable property risk).
- Businesses providing large-scale event production, concert staging, or pyrotechnics (exceeds acceptable risk threshold).
- Rental or sales of medical imaging, surveillance, or law enforcement A/V equipment (specialized and high-risk).

Restrictions (with Reasons)

- **Rule:** Video rental stores must have a central station or local alarm system. — Reduces theft and property loss risk.

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- **Rule:** A minimum of three years of experience at the insured location is required for video rental operations. — Ensures operational stability and reduces risk of claims.
 - **Rule:** Contents must be insured at Actual Cash Value (ACV) only. — Aligns with underwriting guidelines and limits overvaluation.
 - **Rule:** A minimum property damage deductible of \$500 is required. — Controls frequency of small claims and aligns with risk appetite.
 - **Rule:** Professional liability coverage is excluded for web site designers. — Web design is outside the scope of covered operations.
 - **Rule:** Financials must be reviewed for video rental stores. — Assesses business viability and risk exposure.
 - **Rule:** Operations involving the sale or rental of pirated or unlicensed media are prohibited. — Illegal activity increases liability and regulatory risk.
 - **Rule:** Businesses must maintain inventory management and loss prevention systems. — Reduces risk of shrinkage and improves claim outcomes.
 - **Rule:** No coverage for operations involving large-scale event production or pyrotechnics. — Exceeds acceptable risk profile for this class.
 - **Rule:** A/V equipment installation or repair in hazardous or industrial environments is not permitted. — Exposure is outside standard appetite.

Auto Parts & Accessories (BT-0018)

Appetite Level: **Preferred**

Preferred

- Automotive repair shops specializing in mechanical repairs, diagnostics, and routine maintenance with documented OSHA compliance and safety protocols.
- Automobile parts and supplies distributors operating from secure, well-maintained facilities with effective inventory management systems.
- Automobile parts and supplies retail stores with established vendor relationships and robust fire protection measures.
- Automobile quick lubrication and oil change service centers with trained staff and proper handling of flammable materials.
- Automobile paint and body shops with automatic sprinkler systems or approved fire extinguishers and documented flammable storage procedures.
- Automobile rustproofing operations with compliance to local, state, and federal safety regulations.
- Automobile repair or service businesses with a strong safety culture and regular employee training.
- Manufacturers of operating parts for automobiles, buses, and trucks with documented safety and fire protection protocols.
- Businesses with effective, documented fire safety measures in all work and storage areas.
- Facilities with secure, restricted access and regular safety audits.
- Operations with comprehensive employee safety training programs and ongoing compliance monitoring.
- Businesses that maintain year-round operations with diversified service offerings to minimize seasonality risk.
- Shops that do not operate 24 hours and have clear closing and security procedures.
- Facilities with up-to-date OSHA training records and safety certifications.
- Businesses with a documented emergency response plan and regular fire drills.

Acceptable

- Automobile renting or leasing companies with on-site maintenance and parts storage that comply with fire and safety regulations.
- Automobile paint and body shops with approved fire extinguishers but no automatic sprinkler system, provided flammable storage is well managed.
- Automobile parts and supplies distributors with minor gaps in inventory management but strong safety protocols.

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- Automobile parts and supplies retail stores with minor deficiencies in vendor documentation but no history of safety violations.
 - Automobile quick lubrication and oil change services with temporary staff, provided all receive OSHA training.
 - Automobile rustproofing operations with seasonal fluctuations but consistent adherence to safety standards.
 - Automobile repair or service businesses with minor past OSHA violations that have been fully remediated.
 - Manufacturers of operating parts for automobiles, buses, and trucks with minor fire safety improvements in progress.
 - Facilities with older but well-maintained security systems and no recent incidents.
 - Shops with limited hours of operation extending into evenings but not overnight.
 - Businesses with partial documentation of safety protocols but strong evidence of compliance in practice.
 - Operations with a small percentage of specialty services, provided high-risk activities are excluded.
 - Facilities with shared premises, provided all tenants adhere to fire and safety regulations.
 - Businesses with a moderate volume of commercial fleet customers, provided inventory and safety controls are robust.
 - Shops with minor lapses in fire drill frequency but otherwise strong safety culture.

Not Acceptable

- Shops engaged in racing modifications, demolition work, or other high-risk automotive activities.
- Facilities operating 24 hours a day without adequate security or supervision.
- Businesses involved in salvage, dismantling, or recycling of vehicles or parts.
- Self-service automobile repair shops where customers perform their own repairs on-site.
- Manufacturers of automobile, bus, or truck body parts that are not operating parts.
- Facilities with no documented fire protection measures or inadequate fire suppression systems.
- Businesses with repeated or unresolved OSHA violations or a history of workplace accidents.
- Operations with unsecured or poorly maintained premises prone to theft or vandalism.
- Shops storing large quantities of flammable materials without proper containment or ventilation.
- Businesses lacking any form of employee safety training or compliance documentation.
- Facilities with a history of regulatory non-compliance or ongoing legal disputes.
- Operations with no inventory management system, leading to frequent stockouts or overstocking.
- Shops with a significant focus on high-performance or custom vehicle modifications.

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- Businesses that routinely allow customers unsupervised access to repair bays or hazardous areas.
 - Facilities located in areas with high crime rates and no additional security measures.

Restrictions (with Reasons)

- **Rule:** No coverage for businesses engaged in racing modifications, demolition work, or other high-risk automotive activities. — These activities present elevated safety and liability risks beyond standard automotive operations.
- **Rule:** Facilities must not operate 24 hours a day. — Extended hours increase exposure to theft, accidents, and insufficient supervision.
- **Rule:** Self-service automobile repair shops are not eligible. — Customer-performed repairs increase the risk of injury and liability.
- **Rule:** Salvage, dismantling, or recycling operations are excluded. — These activities involve higher fire, environmental, and liability risks.
- **Rule:** Manufacturing of non-operating automobile, bus, or truck body parts is not acceptable. — Such operations often involve higher fire and equipment risks not aligned with standard parts businesses.
- **Rule:** All facilities must have documented fire protection measures, including automatic sprinkler systems or approved fire extinguishers. — Proper fire safety is critical due to the presence of flammable materials.
- **Rule:** Compliance with OSHA regulations and employee safety training is mandatory. — Workplace safety reduces the risk of injury and regulatory penalties.
- **Rule:** Paint and flammable storage areas must have additional fire safety controls. — These areas present increased fire hazards requiring enhanced protection.
- **Rule:** Businesses must maintain secure, well-maintained premises. — Security and maintenance reduce the risk of theft, vandalism, and accidents.
- **Rule:** No coverage for businesses with unresolved OSHA violations or a history of repeated safety incidents. — Ongoing safety issues indicate unacceptable risk.
- **Rule:** All operations must comply with local, state, and federal regulations. — Regulatory compliance is essential for legal operation and risk mitigation.
- **Rule:** Underwriters must assess the nature of services provided and avoid high-risk activities. — Proper risk assessment ensures alignment with underwriting appetite.

Auto Services & Repair (including body shops)

(BT-0019)

Appetite Level: **Acceptable**

Preferred

- Auto repair shops specializing in routine maintenance for private passenger vehicles (e.g., oil changes, tire rotations, brake inspections) – lower risk, predictable operations.
- Body shops performing cosmetic repairs and paintwork for private passenger vehicles – controlled environment, standard exposures.
- Facilities located in rural or suburban areas with low crime rates – reduced theft and vandalism risk.
- Shops with certified mechanics and ongoing training programs – ensures compliance and quality control.
- Businesses with established vendor relationships for parts and supplies – reliable supply chain reduces operational delays.
- Operations with robust environmental compliance programs for waste disposal and hazardous materials – minimizes regulatory risk.
- Shops with scheduled appointment systems and managed workflow – reduces congestion and liability exposures.
- Facilities with up-to-date diagnostic and safety equipment – enhances service quality and employee safety.
- Businesses with a minimum \$500 property damage deductible per claim for car wash exposure – limits small claim frequency.
- Shops that do not operate 24 hours and have defined business hours – reduces late-night risk exposures.
- Facilities with secure storage for vehicles and parts – lowers theft and vandalism risk.
- Shops with documented safety protocols and regular employee training – reduces workplace accidents.
- Operations serving primarily local, repeat customers – stable revenue and lower liability risk.
- Shops with incidental wrecker exposure only for their own repair service – controlled towing risk.
- Businesses with effective inventory management practices – reduces errors and improves efficiency.

Acceptable

- Auto repair shops offering a mix of scheduled and walk-in services for private passenger and pick-up vehicles – standard industry practice.

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- Body shops with paint booths and frame straightening equipment for collision repairs – typical for the sector.
 - Shops performing light mechanical repairs (e.g., brakes, suspension, exhaust) on private passenger vehicles – manageable risk.
 - Facilities located in small urban areas with moderate foot traffic – average exposure.
 - Shops with support staff such as service advisors and administrative personnel – normal business operations.
 - Businesses with incidental brake work as part of broader repair services – limited exposure.
 - Shops that offer seasonal services (e.g., winterization, AC repair) – aligns with industry demand cycles.
 - Facilities with on-site car wash operations, provided minimum deductible requirements are met – controlled exposure.
 - Shops with a mix of individual and small fleet customers – diversified but manageable risk.
 - Operations with basic environmental and safety compliance measures in place – meets minimum regulatory standards.
 - Shops with secure but not fully fenced lots – moderate theft/vandalism risk.
 - Facilities with limited overnight vehicle storage – standard for the industry.
 - Businesses using local wholesalers for consumables – typical supply chain practice.
 - Shops with basic marketing and community engagement – supports business stability.
 - Operations with some walk-in traffic but primarily by appointment – manageable workflow.

Not Acceptable

- Auto repair shops offering emergency or contract wrecker/towing services – high liability and uncontrolled exposures.
- Shops performing heavy truck, bus, or commercial vehicle repairs – increased risk and specialized exposures.
- Facilities operating 24 hours or with significant overnight activity – elevated security and liability risks.
- Businesses with on-site go-kart tracks, batting cages, or other amusement activities – non-standard exposures.
- Shops with gasoline sales as a primary operation – different risk profile, not aligned with auto repair classification.
- Facilities with significant car wash operations but without required property damage deductible – unacceptable claim frequency.
- Shops performing brake work as a primary service – higher risk, not incidental.
- Businesses with significant urban exposure in high-crime areas – elevated theft and vandalism risk.

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- Shops with inadequate environmental controls for hazardous waste – regulatory and pollution liability.
 - Facilities with more than incidental wrecker/towing exposure – uncontrolled risk.
 - Shops servicing motorcycles, RVs, or specialty vehicles as primary business – outside standard appetite.
 - Businesses with no certified mechanics or lacking required technician licensing – compliance and quality risk.
 - Shops with significant fleet or commercial vehicle contracts (e.g., delivery, taxi fleets) as primary revenue – higher exposure.
 - Facilities with poor security, open lots, or history of theft/vandalism – unacceptable risk.
 - Shops located in high-rise buildings or performing glass installation in buildings exceeding three stories – prohibited exposure.

Restrictions (with Reasons)

- **Rule:** Emergency or contract wrecker/towing services are prohibited. — These services introduce uncontrolled liability and accident exposures.
- **Rule:** Light auto repair is only acceptable for private passenger and pick-up type vehicles. — Heavy vehicles and commercial fleets present higher risk and specialized exposures.
- **Rule:** Brake work must be incidental to other repairs, not a primary service. — Primary brake work increases liability and claim frequency.
- **Rule:** Minimum \$500 property damage deductible per claim is required for any car wash exposure. — Reduces frequency of small claims and controls loss costs.
- **Rule:** 24-hour operations are generally unacceptable. — Extended hours increase security and liability risks.
- **Rule:** Incidental wrecker exposure is only acceptable if used in connection with the business's own repair service. — Limits towing risk to controlled, in-house operations.
- **Rule:** Rural exposure is preferred over urban or high-crime areas. — Rural locations have lower theft, vandalism, and liability exposures.
- **Rule:** Shops must comply with all environmental and hazardous waste regulations. — Non-compliance can result in significant regulatory penalties and pollution liability.
- **Rule:** All mechanics and technicians must hold appropriate certifications and licenses as required by state law. — Ensures quality of service and regulatory compliance.
- **Rule:** Glass dealers and glaziers are prohibited from installation in high-rise buildings (exceeding 3 stories). — High-rise work introduces unique and unacceptable risks.
- **Rule:** Operations with significant overnight vehicle storage must have secure, fenced lots. — Reduces risk of theft and vandalism.
- **Rule:** Shops must not operate or have amusement activities (e.g., go-karts, batting cages) on premises. — Non-standard exposures increase liability and are outside appetite.

Bakeries & Bagel Shops (BT-0020)

Appetite Level: **Acceptable**

Preferred

- Bakeries that bake on premises with documented food safety programs such as ServSafe certification in place (ensures food safety compliance).
- Bagel shops that bake on premises and maintain proper sanitation and refrigeration controls (reduces foodborne illness risk).
- Light café-style bakeries or bagel shops with automatic extinguishing systems installed over all cooking equipment (mitigates fire risk).
- Establishments with monitored fire and burglar alarm systems (reduces fire and theft exposures).
- Bakeries or bagel shops with robust cybersecurity measures for online ordering, including data encryption and regular system updates (protects customer data).
- Businesses with strong vendor relationships ensuring consistent ingredient quality and supply (reduces operational disruptions).
- Operations with early morning hours and peak sales during breakfast and lunch, reflecting stable, predictable patterns (lower volatility).
- Staff trained in food safety and, if serving alcohol, in responsible alcohol service (reduces liability exposures).
- Establishments that do not serve alcohol or have appropriate liquor liability coverage if they do (limits liquor-related risks).
- Bakeries or bagel shops with regular health inspections and a record of compliance (demonstrates regulatory adherence).
- Businesses with clear separation between food prep and customer areas (limits contamination risk).
- Establishments sourcing ingredients from reputable, local, or certified suppliers (ensures product quality and traceability).

Acceptable

- Bakeries with both baking and limited cooking on premises, provided all safety and food handling protocols are documented and followed.
- Bagel shops that primarily cook but have documented food safety programs and maintain proper sanitation.
- Operations with only basic fire and burglar alarms (not monitored) but with a plan to upgrade within 6 months.
- Bakeries or bagel shops that use third-party online ordering platforms with evidence of vendor cybersecurity compliance.

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- Establishments with minor past health code violations that have been fully corrected and show ongoing compliance.
 - Businesses with seasonal fluctuations in staffing, provided all staff receive food safety training.
 - Operations with limited seating or takeout-only models, provided all food safety and sanitation controls are in place.
 - Bakeries or bagel shops with a liquor license that primarily sell baked goods and have liquor liability coverage and trained staff.
 - Establishments with a history of adapting product offerings to seasonal demand, demonstrating business resilience.
 - Businesses with a mix of wholesale and retail sales, provided retail operations meet all safety and regulatory requirements.
 - Bakeries or bagel shops with shared kitchen spaces, provided all tenants adhere to safety and sanitation protocols.
 - Operations with a recent change in ownership, provided all regulatory and safety requirements are met.

Not Acceptable

- Bakeries or bagel shops lacking automatic extinguishing systems over cooking equipment (unacceptable fire exposure).
- Establishments without any fire or burglar alarm systems (high risk for fire and theft losses).
- Operations without documented food safety programs or ServSafe certification (unacceptable food safety risk).
- Businesses with repeated or unresolved health code violations (demonstrates ongoing regulatory non-compliance).
- Bakeries or bagel shops that serve alcohol without appropriate liquor liability coverage (unacceptable liquor risk).
- Staff serving alcohol without documented responsible service training (increases liability exposure).
- Operations using online ordering platforms without data encryption or regular system updates (unacceptable cybersecurity risk).
- Establishments with a history of major fire or theft losses in the past three years (unacceptable loss history).
- Bakeries or bagel shops that only sell (no baking or cooking) but are misclassified as B or C (classification error).
- Businesses sourcing ingredients from unverified or high-risk suppliers (increases contamination and recall risk).
- Operations with no separation between food prep and customer areas (increases contamination risk).

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- Establishments operating outside of regulatory compliance, such as lacking required licenses or inspections.
 - Bakeries or bagel shops with no plan to address known safety deficiencies (unacceptable risk posture).
 - Businesses that have been denied or cancelled insurance coverage for fire, liability, or theft in the past.
 - Operations that do not maintain proper sanitation and refrigeration controls (increases spoilage and illness risk).

Restrictions (with Reasons)

- **Rule:** All bakeries and bagel shops must have automatic extinguishing systems over all cooking equipment. — Reduces the risk and severity of fire losses.
- **Rule:** Monitored fire and burglar alarm systems are required for all locations. — Significantly lowers fire and theft exposures.
- **Rule:** Documented food safety programs, such as ServSafe certification, are mandatory for all light café-style bakeries and bagel shops. — Ensures compliance with food safety regulations and reduces foodborne illness risk.
- **Rule:** Proper sanitation and refrigeration controls must be maintained at all times. — Prevents spoilage and contamination of food products.
- **Rule:** Businesses serving alcohol must have appropriate liquor liability coverage and staff must be trained in responsible alcohol service. — Mitigates liquor-related liability exposures.
- **Rule:** Operations using online ordering platforms must implement robust cybersecurity measures, including data encryption and regular system updates. — Protects customer information and reduces cyber risk.
- **Rule:** Bakeries or bagel shops without required safety measures (fire suppression, alarms, food safety) are not acceptable. — Unacceptable risk of loss or regulatory action.
- **Rule:** Establishments must be classified correctly: baking on premises as B, cooking as C, selling only as A. — Ensures accurate risk assessment and policy application.
- **Rule:** Businesses with unresolved or repeated health code violations are not eligible. — Indicates ongoing non-compliance and elevated risk.
- **Rule:** Ingredient suppliers must be reputable and verifiable. — Reduces risk of contamination and product recalls.

Banks & Credit Unions (BT-0021)

Appetite Level: **Acceptable**

Preferred

- Community banks with fewer than 10 branch locations and a strong record of regulatory compliance, demonstrating robust internal controls.
- Credit unions serving local residents and small businesses, with no history of regulatory violations in the past five years.
- Institutions with a comprehensive employee training program covering compliance, customer service, and data security.
- Banks or credit unions that have implemented multi-factor authentication and encryption for all online banking services.
- Establishments with a documented disaster recovery and business continuity plan reviewed annually.
- Institutions that conduct regular third-party security audits and promptly address any findings.
- Banks or credit unions with a dedicated compliance officer responsible for monitoring regulatory changes and internal adherence.
- Locations with secure, monitored vaults and restricted access to sensitive areas, supported by electronic surveillance.
- Institutions that offer financial literacy programs or community outreach initiatives as part of their service model.
- Banks or credit unions with a clean loss history (no claims or losses exceeding \$5,000 in the past three years).
- Facilities with up-to-date fire suppression systems and regular maintenance of all safety equipment.
- Institutions that maintain a written vendor management policy, including due diligence on all technology and service providers.
- Banks or credit unions that have not experienced any data breaches or cyber incidents in the past five years.
- Locations with a formalized incident response plan for both physical and cyber threats.
- Institutions with a low staff turnover rate, indicating stable operations and consistent customer service.

Acceptable

- Smaller community banks or credit unions with a consistent compliance history and no recent regulatory violations.
- Institutions with fewer than 50 employees and limited geographic reach (single county or region).

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- Banks or credit unions that primarily serve individuals and small businesses, with minimal exposure to high-risk commercial lending.
 - Establishments with a documented loss prevention program and regular staff safety meetings.
 - Institutions that utilize reputable third-party vendors for core banking software and cybersecurity solutions.
 - Banks or credit unions with a written policy for handling customer data and privacy, reviewed annually.
 - Locations with secure cash handling procedures and dual control for vault access.
 - Institutions that have passed all regulatory examinations in the past three years without significant findings.
 - Banks or credit unions that provide online banking services with basic security protocols in place.
 - Facilities with controlled public access and visitor sign-in procedures.
 - Institutions that participate in local business partnerships or community events.
 - Banks or credit unions with a history of stable financial performance and positive customer feedback.
 - Establishments that have not been subject to any major lawsuits or legal actions in the past five years.
 - Institutions with a formal employee handbook covering safety, compliance, and operational procedures.
 - Banks or credit unions that maintain regular communication with local law enforcement regarding security concerns.

Not Acceptable

- Any institution with a history of regulatory violations or enforcement actions in the past three years.
- Banks, building & loan associations, savings & loan associations, credit unions, credit agencies, stockbrokers, finance companies, investment brokers, or similar financial institutions operating outside the community or local focus.
- Any risk that is predominantly bailee, such as those holding property primarily for others.
- Establishments involved in storage or sorting of cardboard, paper, or rags as a primary business activity.
- Institutions with a history of data breaches, cyber incidents, or failure to implement basic cybersecurity measures.
- Banks or credit unions with more than \$1 billion in assets or operating in multiple states.
- Facilities lacking secure vaults or with inadequate physical security measures.
- Institutions that do not conduct background checks on employees handling cash or sensitive information.

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- Banks or credit unions with unresolved compliance issues or pending regulatory investigations.
 - Institutions that outsource all core banking operations to unvetted or non-reputable third parties.
 - Any establishment that also operates as an advertising agency, detective agency, or labor/trade union.
 - Banks or credit unions engaged in the sale or repair of lawn mowers, snowmobiles, snow blowers, or other small engines.
 - Institutions that also function as art galleries, coin and stamp dealers, fur and jewelry stores, or medical appliance dealers.
 - Banks or credit unions with annual gross sales exceeding \$1,000,000 from non-banking retail operations.
 - Facilities with a poor loss history, including multiple claims or losses exceeding \$10,000 in the past three years.

Restrictions (with Reasons)

- **Rule:** Institutions must have a documented and up-to-date compliance program. — Ensures adherence to regulatory requirements and reduces risk of violations.
- **Rule:** No acceptance of risks with unresolved or recent regulatory violations. — Recent violations indicate ongoing compliance or operational issues.
- **Rule:** Institutions must not engage in predominantly bailee operations. — Bailee risks are outside the intended appetite and present unique exposures.
- **Rule:** No acceptance of institutions involved in storage or sorting of cardboard, paper, or rags. — Such activities increase fire and property risks not aligned with financial institutions.
- **Rule:** Institutions must maintain secure vaults and restricted access to sensitive areas. — Physical security is critical to prevent theft and loss of sensitive assets.
- **Rule:** No acceptance of institutions with a history of data breaches or cyber incidents in the past five years. — Cybersecurity lapses indicate inadequate risk management.
- **Rule:** Institutions must not operate as or in conjunction with advertising agencies, detective agencies, or labor/trade unions. — These business types present unrelated and higher-risk exposures.
- **Rule:** No acceptance of institutions with annual non-banking retail sales exceeding \$1,000,000. — High retail sales indicate a business model outside the intended appetite.
- **Rule:** Institutions must conduct background checks on all employees handling cash or sensitive information. — Reduces risk of internal theft and fraud.
- **Rule:** No acceptance of institutions with unresolved lawsuits or legal actions related to financial operations. — Legal disputes may indicate underlying operational or compliance issues.
- **Rule:** Institutions must have a formal loss prevention and employee safety program. — Promotes a culture of safety and reduces the likelihood of claims.

Barber & Beauty Salons (BT-0022)

Appetite Level: **Acceptable**

Preferred

- Barber shops and beauty salons operating in dedicated commercial spaces with up-to-date professional liability coverage (BP 08 01 or BP 08 09); ensures regulatory compliance and risk mitigation.
- Salons with licensed staff for all services provided; reduces exposure to claims from unqualified work.
- Establishments using only approved and professional-grade products and equipment; minimizes product liability risks.
- Salons with robust sanitation protocols and documented cleaning schedules; lowers risk of health code violations.
- Operations with digital appointment and client management systems; improves operational efficiency and reduces scheduling errors.
- Salons offering standard hair cutting, styling, dyeing, shaving, conditioning, and shampooing services only; aligns with covered activities.
- Businesses with a history of no or minimal claims in the past five years; indicates strong risk management.
- Salons that do not perform electrolysis, hair implanting, or eyelash dyeing; avoids excluded services.
- Shops with clear, posted safety and hygiene policies for staff and customers; demonstrates proactive risk control.
- Salons participating in continuing education for staff on safety and best practices; keeps skills current and reduces errors.
- Barber and/or beauty shops with forms LS-76 and LS-76A attached; ensures compliance with underwriting requirements.
- Salons with separate, well-ventilated areas for chemical treatments; reduces exposure to hazardous fumes.
- Salons with up-to-date business licenses and all required local/state permits; ensures legal compliance.
- Shops maintaining strong relationships with reputable suppliers for products and equipment; ensures product quality.
- Salons with comprehensive incident reporting and response procedures; enables quick mitigation of issues.

Acceptable

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- Barber shops and beauty salons classified as acceptable risks per underwriting guidelines; meets minimum standards.
 - Salons offering family services, including children's haircuts and event packages; broadens customer base.
 - Shops with a mix of walk-in and appointment-based business; reflects common operational patterns.
 - Salons with support staff such as receptionists and assistants; supports smooth operations.
 - Establishments running seasonal promotions to manage fluctuations in demand; demonstrates business adaptability.
 - Salons using standard salon equipment (chairs, dryers, clippers, etc.) in good working order; reduces equipment-related incidents.
 - Salons with up to 10 styling stations or treatment rooms; manageable size for risk control.
 - Salons located in retail centers or standalone commercial buildings; typical occupancy for the class.
 - Salons that retail beauty products as a secondary revenue stream; aligns with industry norms.
 - Barber and beauty supplies retailers; related and acceptable risk profile.
 - Salons with a documented staff training program on customer service and safety; supports quality control.
 - Salons with a moderate history of claims but evidence of corrective action; shows improvement in risk management.
 - Salons with regular equipment maintenance schedules; reduces breakdown and injury risk.
 - Salons that do not offer invasive or medical-grade procedures; stays within covered scope.
 - Salons with clear policies for handling customer complaints and incidents; supports customer satisfaction and risk reduction.

Not Acceptable

- Barber and/or beauty shops without forms LS-76 and LS-76A attached; fails underwriting requirements.
- Salons performing electrolysis, hair implanting, or dyeing eyelashes; excluded services under BP 08 01.
- Salons operating without required state or local licenses for staff or business; non-compliant with regulations.
- Salons offering medical or invasive cosmetic procedures (e.g., Botox, fillers, laser treatments); outside covered scope.
- Establishments with a history of frequent or severe liability claims; indicates poor risk management.
- Salons operating in residential or non-commercial spaces; increases unmonitored risk.

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- Salons with unlicensed or uncertified staff performing services; increases professional liability exposure.
 - Salons using non-professional or unapproved products and equipment; increases product liability risk.
 - Salons with poor or undocumented sanitation practices; high risk of health violations.
 - Salons with more than 20 styling stations or treatment rooms; exceeds manageable risk size.
 - Salons sharing space with other high-risk businesses (e.g., tattoo parlors, medical spas); increases exposure.
 - Salons with no professional liability insurance in force; exposes business to uncovered claims.
 - Salons with ongoing regulatory or legal actions against them; indicates unresolved compliance issues.
 - Salons offering services outside the scope of BP 08 01 or BP 08 09 (e.g., massage therapy, acupuncture); not covered.
 - Salons with a history of fire, chemical, or major property losses; indicates high property risk.

Restrictions (with Reasons)

- **Rule:** Barber and/or beauty shops must have forms LS-76 and LS-76A attached to be eligible. — These forms are required for underwriting and risk assessment.
- **Rule:** Electrolysis, hair implanting, and dyeing of eyelashes are not covered services. — These activities are specifically excluded under BP 08 01 and BP 08 09.
- **Rule:** All staff performing services must be appropriately licensed and certified per state/local regulations. — Unlicensed work increases professional liability and regulatory risk.
- **Rule:** Salons must not offer medical or invasive cosmetic procedures. — Such services fall outside the scope of covered professional liability forms.
- **Rule:** Operations must be conducted in commercial spaces, not residential or mixed-use premises. — Commercial settings provide better oversight and risk controls.
- **Rule:** Salons must maintain up-to-date professional liability insurance (BP 08 01 or BP 08 09). — Insurance is essential for managing claims related to bodily injury or property damage.
- **Rule:** Salons must adhere to all applicable health, safety, and sanitation regulations. — Non-compliance increases the risk of claims and regulatory penalties.
- **Rule:** Salons with a history of frequent or severe claims may be subject to additional underwriting review or exclusion. — Past claims are a strong indicator of future risk.
- **Rule:** Salons must not share space with prohibited or high-risk businesses (e.g., tattoo parlors, medical spas). — Shared spaces can introduce uncontrolled exposures.
- **Rule:** Salons must not exceed 20 styling stations or treatment rooms. — Larger operations present increased risk and complexity.
- **Rule:** Salons must use only professional-grade and approved products and equipment. — Non-approved products can increase liability and health risks.

Bath & Bedding Shops (BT-0023)

Appetite Level: **Acceptable**

Preferred

- Shops with fully functional and regularly maintained fire suppression systems, including sprinklers and alarms, to mitigate fire risk.
- Businesses that conduct documented inventory audits at least quarterly to identify and address discrepancies.
- Retailers with locked storage rooms or cabinets for high-value inventory such as linens, towels, and bedding sets.
- Operations with comprehensive CCTV surveillance covering all sales floors, storage areas, and points of entry/exit.
- Shops that provide ongoing employee training on theft prevention and inventory control procedures.
- Businesses located in modern, well-maintained commercial shopping centers with up-to-date fire safety infrastructure.
- Retailers with a documented history of minimal or no unexplained inventory shortages over the past three years.
- Operations that do not directly import products for retail sale, sourcing inventory only from domestic wholesalers or distributors.
- Shops that maintain clear, up-to-date documentation for all inventory and supply chain transactions.
- Businesses with a written fire safety plan and regular fire drills for staff.
- Retailers that limit high-value inventory exposure by displaying only a small quantity of each item on the sales floor.
- Shops with dedicated inventory managers responsible for loss prevention and compliance.
- Operations that utilize point-of-sale systems integrated with inventory management software for real-time tracking.
- Businesses that have not experienced any fire-related claims or major theft incidents in the past five years.
- Retailers that adhere strictly to all local fire codes and regulatory requirements.

Acceptable

- Shops with basic fire safety measures in place, such as fire extinguishers and smoke detectors, but lacking full sprinkler systems.
- Businesses that perform inventory audits semi-annually and address discrepancies within 30 days.

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- Retailers with CCTV surveillance in primary sales areas but limited coverage in storage rooms.
 - Operations that provide employee theft prevention training annually.
 - Shops located in older commercial buildings that meet minimum local fire code requirements.
 - Retailers with minor, explained inventory shortages that are promptly investigated and resolved.
 - Businesses that source inventory from domestic suppliers with occasional indirect imports handled by third parties.
 - Shops that maintain partial documentation for supply chain and inventory transactions.
 - Operations with locked display cases for only the most expensive items, while other high-value goods are accessible.
 - Retailers that have experienced minor theft or fire incidents but have implemented corrective measures.
 - Businesses with basic inventory management systems not fully integrated with point-of-sale.
 - Shops that conduct fire safety checks annually but lack formal fire drills.
 - Retailers that display moderate quantities of high-value inventory on the sales floor.
 - Operations with general employee training that includes some inventory control content.
 - Businesses that have had isolated regulatory compliance issues but are currently in good standing.

Not Acceptable

- Shops with no functional fire suppression systems or fire alarms present on the premises.
- Businesses that have experienced repeated, unexplained inventory shortages or significant shrinkage in the past two years.
- Retailers that directly import products for retail sale without providing clear documentation for underwriting.
- Operations with no CCTV surveillance or security measures in place for high-value inventory.
- Shops that do not conduct regular inventory audits or have no process for addressing discrepancies.
- Businesses with a history of major fire-related claims or unresolved fire code violations.
- Retailers that display large quantities of high-value inventory openly on the sales floor without security controls.
- Shops located in buildings with outdated or non-compliant fire safety infrastructure.
- Operations with no employee training on theft prevention or inventory control.
- Businesses that cannot provide documentation for supply chain or inventory sources.
- Retailers with more than 10% of direct retail sales from high-susceptibility items such as electronics or specialty supplies.

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- Shops that have experienced multiple regulatory violations related to fire safety or inventory control.
 - Operations that store flammable bedding materials in unsecured or non-compliant areas.
 - Businesses that have not addressed prior claims related to faulty electrical wiring or fire hazards.
 - Retailers that fail to adhere to local fire codes or have outstanding citations from regulatory authorities.

Restrictions (with Reasons)

- **Rule:** Risks may have no more than 10% of direct retail sales from high-susceptibility items (e.g., clothing, electronics, specialty supplies). — High-susceptibility items increase theft and loss exposure beyond acceptable thresholds.
- **Rule:** Risks may not directly import products for retail sale. — Direct importation complicates supply chain verification and increases regulatory and quality control risks.
- **Rule:** Functional fire suppression systems (e.g., sprinklers) and fire alarms must be present and maintained. — Bedding materials are highly flammable, making fire safety systems critical for loss prevention.
- **Rule:** Regular inventory audits must be conducted and documented. — Frequent audits are essential to detect and address inventory discrepancies and mitigate theft.
- **Rule:** Locked storage rooms or secure display cases are required for high-value inventory. — Physical security controls reduce the risk of pilferage and shrinkage.
- **Rule:** CCTV surveillance must be installed in sales and storage areas. — Video monitoring deters theft and provides evidence in the event of loss.
- **Rule:** Employee training on theft prevention and inventory control must be provided at least annually. — Well-trained staff are essential for effective loss prevention and operational compliance.
- **Rule:** Businesses must adhere to all local fire codes and regulatory requirements. — Non-compliance increases the risk of fire-related losses and regulatory penalties.
- **Rule:** Documentation for all inventory sources and supply chain transactions must be available for underwriting review. — Clear documentation ensures transparency and compliance with underwriting standards.
- **Rule:** Operations with a history of major unexplained inventory shortages or unresolved fire code violations are ineligible. — Past issues indicate ongoing risk that cannot be adequately controlled.

Beverage Distributors & Retailers (including Beer, Liquor, Wine) (BT-0024)

Appetite Level: **Preferred**

Preferred

- Businesses with documented, ongoing compliance with all federal, state, and local alcohol licensing and regulatory requirements (ensures legal operation and reduces regulatory risk)
- Retailers and distributors with robust age verification procedures and responsible beverage service training for all staff (minimizes underage sales and liability exposure)
- Operations with central station alarm systems in place when inventory or contents exceed \$500,000 (enhances security and reduces theft risk)
- Businesses with 100% replacement cost valuation on Business Personal Property (BPP) (ensures adequate coverage and risk management)
- Establishments with regular inventory assessments and sales tracking systems (demonstrates strong operational controls)
- Retailers with less than 10% of revenue from incidental repair operations (limits exposure to non-core activities)
- Businesses with less than 75% of revenue from online sales (maintains traditional retail risk profile)
- Operations that do not sell repackaged or private-label alcoholic beverages (reduces product liability risk)
- Distributors and retailers with established relationships with licensed manufacturers, wholesalers, or importers (ensures supply chain reliability and compliance)
- Businesses that do not operate as supermarkets, grocery stores, or convenience stores (avoids higher-risk retail classes)
- Retailers located in commercial spaces with adequate access for delivery vehicles and customer foot traffic (supports operational efficiency)
- Staffing models that include trained sales associates, inventory managers, and delivery personnel (supports compliance and customer service)
- Businesses that implement seasonal inventory and staffing adjustments based on historical sales data (demonstrates proactive management)
- Retailers and distributors that do not engage in adult-themed or tobacco-focused sales (avoids excluded classes)
- Operations with documented procedures for responsible beverage service and customer engagement (reduces liability and enhances reputation)

Acceptable

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- Businesses with minor, documented compliance lapses that have been promptly corrected (shows commitment to regulatory adherence)
 - Retailers with up to 20% of revenue from online sales (maintains majority in-person retail exposure)
 - Operations with contents/inventory between \$250,000 and \$500,000 and basic security measures in place (moderate theft risk)
 - Businesses with up to 20% of sales from prepared foods, provided they are not classified as restaurants (limits exposure to food liability)
 - Retailers with limited incidental repair operations (up to 10%) outside of restricted geographic areas (manageable risk)
 - Distributors with occasional bulk sales to corporate clients for events (within standard distribution practices)
 - Businesses located in mixed-use commercial areas with adequate zoning for alcohol sales (ensures legal operation)
 - Operations that have undergone recent ownership changes but maintain experienced management (continuity of operations)
 - Retailers with seasonal pop-up locations, provided all regulatory requirements are met (temporary but compliant operations)
 - Businesses that utilize third-party delivery services with proper contracts and insurance (manages delivery risk)
 - Retailers with some private event hosting, provided alcohol service remains compliant (controlled risk)
 - Operations with minor, non-alcoholic product lines (less than 10% of sales) (focus remains on core business)
 - Businesses with documented corrective action plans for prior regulatory violations (demonstrates improvement)
 - Retailers with limited promotional events involving alcohol sampling, with proper permits (controlled exposure)
 - Distributors with multi-state operations, provided all state-specific regulations are met (complex but compliant)

Not Acceptable

- Businesses with over 75% of revenue from online sales (exceeds acceptable e-commerce exposure)
- Supermarkets, grocery stores, or convenience stores selling alcoholic beverages (excluded retail classes)
- Hardware stores in Florida and Louisiana (specifically ineligible by underwriting guidelines)

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- Self-storage facilities, pawnshops, or tobacconists selling alcoholic beverages (excluded business types)
 - Adult-themed businesses or those with significant adult product sales (excluded for reputational and liability reasons)
 - Businesses selling repackaged or private-label alcoholic beverages (increased product liability risk)
 - Operations with more than 30% of sales from prepared foods (classified as restaurants, not eligible under this code)
 - Businesses lacking required federal, state, or local alcohol licenses or with a history of license revocation (regulatory non-compliance)
 - Retailers or distributors without any age verification procedures in place (high risk of underage sales)
 - Businesses with contents/inventory exceeding \$500,000 and no central alarm system (unacceptable theft risk)
 - Operations with more than 10% of revenue from repair services (exceeds acceptable incidental repair threshold)
 - Businesses operating in restricted New York City boroughs or certain counties with repair operations (geographically excluded)
 - Retailers or distributors with a history of repeated regulatory violations or unresolved compliance issues (unacceptable risk profile)
 - Businesses primarily engaged in tobacco, cannabis, or vaping product sales (not within beverage distribution/retail appetite)
 - Operations that do not maintain 100% replacement cost coverage on Business Personal Property (inadequate insurance coverage)

Restrictions (with Reasons)

- **Rule:** Applicants with over \$500,000 in contents/inventory must have a central alarm system. — Reduces risk of theft and ensures adequate security for high-value inventory.
- **Rule:** Liability is rated on Business Personal Property (BPP) at 100% replacement cost value. — Ensures sufficient coverage for property losses and proper risk assessment.
- **Rule:** Businesses must demonstrate ongoing compliance with all federal, state, and local alcohol licensing and regulatory requirements. — Maintains legal operation and reduces risk of fines or license revocation.
- **Rule:** Age verification procedures and responsible beverage service training are required for all staff. — Prevents underage sales and reduces liability exposure.
- **Rule:** Meat/Fish markets with over 30% sales in prepared food are classified as Restaurants and are not eligible under this code. — Prepared food sales above threshold change risk profile to restaurant class.

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- **Rule:** Operations with both retail and installation must be quoted as retail, with contractor code added for installation payroll. — Ensures accurate classification and rating for combined operations.
 - **Rule:** Incidental repair operations are acceptable up to 10% of revenue, except in specific New York City boroughs and certain counties. — Limits exposure to non-core activities and addresses geographic underwriting concerns.
 - **Rule:** Businesses with over 75% of revenue from online sales are ineligible. — Exceeds acceptable e-commerce exposure and alters risk profile.
 - **Rule:** Ineligible businesses include hardware stores in Florida & Louisiana, supermarkets/grocery stores, convenience stores, self-storage, pawnshops, tobacconists, and adult-themed businesses. — These classes are specifically excluded due to higher or non-standard risk.
 - **Rule:** Businesses selling repackaged or private-label alcoholic beverages are not eligible. — Increases product liability risk and complicates traceability.
 - **Rule:** Businesses must not operate primarily as tobacco, cannabis, or vaping product retailers. — These are outside the beverage distribution/retail appetite and present different risks.

Bicycle Sales & Service (BT-0025)

Appetite Level: **Preferred**

Preferred

- Retail-only bicycle sales operations with a dedicated physical storefront and established security measures such as alarm systems, surveillance cameras, and secure display cases to protect inventory.
- Businesses that do not offer bicycle rental or loaner programs, thereby reducing liability exposure associated with temporary use.
- Operations with stable financial performance, demonstrated by consistent revenue and profitability over the past three years.
- Businesses with clear, documented ownership structures and active management oversight.
- Retailers that limit off-site activities, such as events or instructional classes, to those with defined risk management protocols and pre-approved venues.
- Staffed by trained bicycle technicians and sales associates with documented expertise in bicycle mechanics and customer service.
- Inventory management systems in place to track sales, repairs, and stock levels, reducing risk of loss or theft.
- Compliance with all local, state, and federal business licensing and safety regulations, including sales tax collection and product safety standards.
- Businesses that maintain comprehensive liability insurance coverage, including product and premises liability.
- Regular maintenance and inspection of repair tools and diagnostic equipment to ensure safe and efficient operations.
- Vendors and suppliers are reputable, with established histories of timely delivery and product quality.
- Seasonal promotional strategies are implemented to maintain customer engagement and mitigate sales fluctuations.
- Customer engagement is prioritized through knowledgeable staff, organized displays, and in-store events with documented safety protocols.
- Community outreach limited to sponsorships or programs with pre-approved risk management controls in place.
- No history of significant claims, regulatory violations, or financial instability in the past five years.

Acceptable

- Mobile repair services or on-site bicycle maintenance, provided these are not conducted in high-crime or high-traffic urban areas.

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- Event sponsorships or instructional programs, provided there are defined risk management controls, waivers, and insurance coverage for off-site activities.
 - Retailers that offer minor accessory installations at customer locations, with documented safety procedures.
 - Businesses with moderate seasonal fluctuations, provided they have strategies in place to manage inventory and staffing during off-peak periods.
 - Operations that occasionally participate in community events, provided all activities are pre-approved and supervised by trained staff.
 - Retailers with a small percentage of revenue from online sales, provided the majority of business is conducted in-store.
 - Businesses that utilize third-party delivery services for bicycle transport, provided contracts include indemnification clauses.
 - Limited consignment sales of used bicycles, provided all products are inspected and meet safety standards.
 - Retailers that offer basic fitting services, provided these are performed by trained personnel in-store.
 - Operations with minor past regulatory issues, provided corrective actions have been documented and implemented.
 - Businesses that temporarily store customer bicycles for repair, provided secure storage protocols are in place.
 - Retailers that accept trade-ins, provided all used inventory is inspected and refurbished before resale.
 - Operations with a small number of part-time or seasonal staff, provided all employees receive adequate training.
 - Businesses that participate in manufacturer-sponsored promotions, provided all marketing materials comply with advertising regulations.
 - Retailers that offer financing options through third-party providers, provided all credit checks and disclosures are compliant with applicable laws.

Not Acceptable

- Businesses that operate primarily as bicycle rental or loaner services, including daily or hourly rentals.
- Operations located in high-crime or high-traffic urban areas without adequate security measures or risk controls.
- Retailers that regularly host or organize off-site cycling events, races, or group rides without comprehensive risk management and insurance.
- Businesses with a history of significant financial instability, bankruptcy, or unresolved regulatory violations.

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- Operations that sell or service motorized vehicles, mopeds, or scooters in addition to bicycles.
 - Retailers that lack documented employee training in bicycle mechanics or customer service.
 - Businesses that fail to comply with local, state, or federal licensing, tax, or safety regulations.
 - Operations with no physical storefront, such as online-only retailers or home-based businesses.
 - Retailers that offer unsupervised instructional programs or youth camps without background checks or safety protocols.
 - Businesses that do not maintain adequate liability insurance coverage for products and premises.
 - Operations that store large quantities of high-value inventory without secure storage or alarm systems.
 - Retailers that have experienced multiple significant claims or lawsuits related to product liability or customer injury.
 - Businesses that engage in the sale or repair of non-bicycle vehicles, such as ATVs or motorcycles.
 - Operations that subcontract repair services to unlicensed or untrained third parties.
 - Retailers that participate in unregulated or unsanctioned cycling events or competitions.

Restrictions (with Reasons)

- **Rule:** No bicycle rental or loaner programs permitted. — Rental and loaner programs increase liability exposure and risk of loss or damage.
- **Rule:** Mobile repair services only allowed outside high-crime or high-traffic urban areas. — Mobile operations in such areas face elevated risks of theft, injury, and property damage.
- **Rule:** All off-site events or instructional programs must have defined risk management controls and pre-approval. — Uncontrolled off-site activities increase liability and complicate risk assessment.
- **Rule:** Physical storefront must have established security measures including alarm systems and surveillance cameras. — Adequate security is necessary to protect high-value inventory and reduce theft risk.
- **Rule:** No sales or service of motorized vehicles, mopeds, or scooters. — These products fall outside the intended risk profile and present additional hazards.
- **Rule:** All staff performing repairs must have documented training in bicycle mechanics. — Proper training reduces the risk of faulty repairs and associated liability.
- **Rule:** Compliance with all applicable business licenses, sales tax, and safety regulations is mandatory. — Regulatory compliance is essential for legal operation and risk mitigation.
- **Rule:** Adequate liability insurance coverage must be maintained at all times. — Insurance protects against claims arising from accidents, injuries, or defective products.
- **Rule:** No online-only or home-based retail operations accepted. — Lack of a physical storefront increases risk and complicates oversight.

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- **Rule:** No unsupervised youth programs or camps without background checks and safety protocols. — Unsupervised activities with minors present significant liability concerns.
 - **Rule:** No subcontracting of repair services to unlicensed or untrained third parties. — Third-party repairs without oversight increase the risk of faulty work and liability.

Binderies & Printing Services (BT-0026)

Appetite Level: **Acceptable**

Preferred

- Binderies and printing services operating exclusively indoors with compliant fire safety and ventilation systems in place, ensuring adherence to OSHA standards.
- Businesses with fully documented and regularly updated quality control procedures for all stages of production, including pre-press, printing, binding, and finishing.
- Operations that use only water-based or low-VOC inks, eliminating the need for specialized solvent ventilation.
- Facilities with a proven track record of regulatory compliance, including up-to-date fire safety inspections and certifications.
- Businesses serving commercial clients such as publishers, educational institutions, and corporations, with no direct-to-consumer retail operations.
- Operations with robust risk management and fire hazard mitigation strategies, including employee training and emergency response plans.
- Binderies and printers that maintain strong supplier relationships, ensuring consistent material quality and supply chain reliability.
- Businesses that have never engaged in drone operations or publishing activities, focusing solely on printing and binding services.
- Facilities equipped with modern, well-maintained machinery and equipment, with documented maintenance schedules.
- Operations with a stable, experienced workforce, including skilled operators and quality control personnel.
- Businesses that conduct regular internal audits of safety and quality procedures, with corrective actions documented and implemented.
- Binderies and printing services with no history of liability claims related to printer's errors or omissions.
- Operations that maintain comprehensive compliance documentation, readily available for underwriting review.
- Businesses that adhere to industry standards for environmental safety, including proper disposal of inks and chemicals.
- Facilities with clear, documented workflow processes designed to minimize operational risks and maximize efficiency.

Acceptable

- Binderies and printing services with minor lapses in documentation, provided corrective actions are underway and verifiable.

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- Operations using solvent-based inks only in areas with certified, compliant ventilation systems and regular air quality monitoring.
 - Businesses with seasonal fluctuations in staffing, provided all staff receive adequate safety and quality control training.
 - Facilities that have undergone recent upgrades to fire safety systems, with documentation of improvements.
 - Operations serving a mix of commercial and small business clients, provided all activities fall within standard printing and binding services.
 - Businesses with a single minor regulatory infraction in the past three years, with evidence of corrective measures taken.
 - Binderies and printers with limited use of specialized equipment, provided all operators are properly trained and certified.
 - Operations that have implemented, but not yet fully optimized, risk management strategies for fire and operational hazards.
 - Facilities with minor, non-critical equipment maintenance delays, provided contingency plans are in place.
 - Businesses that have recently transitioned to water-based inks, with a clear timeline for full implementation.
 - Operations with documented, but infrequently updated, quality control procedures, provided updates are scheduled.
 - Binderies and printing services with a small number of direct-to-consumer projects, provided these do not involve high-risk activities.
 - Businesses with a moderate history of minor, non-liability claims, with evidence of improved risk mitigation.
 - Facilities with partial compliance documentation, provided missing elements are being addressed.
 - Operations that occasionally outsource finishing processes, provided vendors meet equivalent safety and quality standards.

Not Acceptable

- Binderies and printing services engaged in publishing activities, including content creation and distribution.
- Operations utilizing drones for any business purpose, including delivery, aerial photography, or inventory management.
- Facilities lacking compliant fire safety systems or with a history of fire code violations.
- Businesses using solvent-based inks indoors without certified, OSHA-compliant ventilation systems.
- Operations without documented quality control or safety procedures for any stage of production.

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- Binderies and printers with a history of significant liability claims related to printer's errors or omissions.
 - Facilities with untrained or inadequately supervised staff operating specialized equipment.
 - Businesses with no documented risk management or fire hazard mitigation strategies.
 - Operations that fail to maintain or provide compliance documentation during underwriting.
 - Binderies and printing services involved in high-risk activities such as drone operations or hazardous material handling.
 - Facilities with repeated regulatory infractions or ongoing investigations by safety authorities.
 - Businesses that do not adhere to industry standards for environmental safety or waste disposal.
 - Operations with a pattern of equipment neglect, resulting in frequent breakdowns or safety incidents.
 - Binderies and printers serving primarily high-risk or excluded industries, such as fireworks manufacturers or chemical plants.
 - Facilities operating in non-dedicated or mixed-use spaces where safety and workflow cannot be adequately controlled.

Restrictions (with Reasons)

- **Rule:** Publishing and drone operations are strictly excluded from eligibility. — These activities introduce elevated and distinct risk profiles not covered under standard printing and binding services.
- **Rule:** Use of solvent-based inks indoors is prohibited unless compliant ventilation systems are in place and certified to OSHA standards. — Solvent-based inks pose significant fire and health hazards without proper ventilation, increasing liability and regulatory risk.
- **Rule:** Applicants must provide documented quality control processes for all production stages. — Lack of documented quality control disqualifies businesses from printer's errors & omissions liability coverage.
- **Rule:** Adequate fire safety measures, including alarms, extinguishers, and clear evacuation plans, are mandatory. — Fire safety is critical due to the flammable nature of printing materials and processes.
- **Rule:** Businesses must demonstrate robust risk management and fire hazard mitigation strategies. — Effective risk mitigation is essential for eligibility and reduces the likelihood of claims.
- **Rule:** Compliance documentation for all relevant safety and regulatory requirements must be maintained and available for review. — Underwriting requires verification of compliance to assess risk and determine eligibility.
- **Rule:** Operations involving hazardous materials or high-risk activities beyond standard printing and binding are not eligible. — Such activities exceed the risk appetite and are excluded from coverage.

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- **Rule:** Staff operating specialized equipment must be properly trained and supervised. — Untrained staff increase the risk of accidents and operational errors.
 - **Rule:** Facilities must be dedicated to printing and binding operations, not shared with unrelated high-risk activities. — Mixed-use environments complicate risk assessment and control.
 - **Rule:** Regular maintenance and inspection of all equipment is required, with records available for review. — Proper equipment maintenance reduces operational and safety risks.

Boiler & Furnace Installation/Repair (BT-0027)

Appetite Level: **Preferred**

Preferred

- Residential boiler installation and repair where all technicians are OSHA-certified and safety protocols are documented; ensures low-risk, compliant operations.
- Light commercial furnace servicing for small businesses with no exposure to hazardous materials or high-risk environments; demonstrates strong risk management.
- Routine maintenance contracts for residential and light commercial heating systems with documented safety and maintenance schedules; supports proactive risk mitigation.
- Installation of carbon monoxide and smoke detectors as part of heating system upgrades, provided all work complies with local codes; enhances customer safety.
- Use of manufacturer-approved parts and equipment sourced from reputable vendors with traceable supply chains; reduces risk of equipment failure.
- Employment of HVAC-certified technicians with ongoing, documented safety and regulatory training; ensures up-to-date compliance.
- Seasonal hiring of additional staff or subcontractors for peak demand, provided all carry required insurance and meet safety standards; maintains operational flexibility.
- Chemical treatments for boilers performed according to EPA and local environmental regulations, with all safety data sheets maintained; ensures regulatory compliance.
- Ancillary services such as thermostat installation or heating system efficiency upgrades, provided they are directly related to core heating operations and compliant with regulations.
- Strict adherence to local, state, and federal building codes for all installation and repair work; demonstrates regulatory awareness.
- Documented risk management programs, including incident reporting and claims review processes; supports a culture of safety.
- Vendor relationships with established suppliers of boilers, furnaces, and safety equipment; ensures quality and reliability.
- Use of indemnification agreements with all subcontractors to transfer liability for their work; protects primary contractor from third-party claims.
- Maintenance of a clean or minimal claims history, with evidence of corrective actions taken for any past incidents; indicates proactive risk management.
- Regular internal audits of safety practices and equipment maintenance logs; ensures ongoing compliance and risk reduction.

Acceptable

- Installation and repair of heating systems in multi-family residential buildings up to three stories, provided no hazardous material exposure; moderate risk but manageable with controls.

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- Use of subcontractors for specialized HVAC tasks, provided they are vetted for insurance and safety compliance; requires oversight.
 - Replacement of outdated boilers or furnaces in older buildings, excluding any work involving asbestos or lead paint; acceptable if hazardous materials are not present.
 - Installation of smart thermostats and basic automation controls as part of heating system upgrades; acceptable if within technician expertise.
 - Emergency repair services during peak season, provided all safety protocols are followed and staff are not overextended; requires careful scheduling.
 - Limited work in small commercial kitchens or restaurants, provided no exposure to grease ducts or fire suppression systems; moderate risk.
 - Installation of associated piping and venting for heating systems, provided all work is above ground and not in confined spaces; manageable risk.
 - Use of temporary labor for non-technical support roles (e.g., material handling), provided all receive safety orientation; requires supervision.
 - Routine servicing of oil-fired boilers, provided all fuel handling complies with environmental and fire safety regulations; moderate risk.
 - Participation in manufacturer training programs for new equipment models; acceptable if training is documented.
 - Offering maintenance contracts that include annual safety inspections and tune-ups; acceptable if scope is clearly defined.
 - Work in light commercial office buildings, provided no exposure to industrial processes or hazardous environments; moderate risk.
 - Installation of low-voltage alarm wiring associated with heating systems; acceptable if within scope of technician training.
 - Providing written safety and maintenance instructions to customers; acceptable as part of customer service.
 - Use of mobile diagnostic equipment for on-site troubleshooting, provided all devices are maintained and calibrated.

Not Acceptable

- Any work involving demolition, structural alterations, or removal of walls, ceilings, or floors; high risk of injury and exposure to unknown hazards.
- Handling, removal, or abatement of asbestos, lead paint, or other hazardous materials; requires specialized licensing and presents significant health risks.
- Installation or repair of heating systems in industrial, manufacturing, or high-hazard commercial environments (e.g., chemical plants, refineries); exceeds acceptable risk profile.
- Participation in blasting, excavation, or trenching activities as part of heating system installation; high risk of injury and regulatory violations.

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- Work on boilers or furnaces located in confined spaces without proper permits, training, and rescue procedures; unacceptable safety risk.
 - Repair or installation of heating systems in buildings with known environmental contamination or ongoing remediation; unacceptable exposure.
 - Use of unlicensed or uninsured subcontractors for any aspect of installation or repair; exposes business to significant liability.
 - Failure to maintain documented safety programs, employee training records, or equipment maintenance logs; indicates poor risk management.
 - Engagement in any work that requires hot work permits (e.g., welding, cutting) without proper controls and documentation; high fire risk.
 - Installation or servicing of heating systems in high-rise buildings (over three stories) or large commercial complexes; exceeds intended risk appetite.
 - Any operation involving the storage, handling, or disposal of hazardous chemicals beyond routine boiler treatments; unacceptable environmental risk.
 - Failure to comply with local, state, or federal building codes and safety regulations; exposes business to fines and legal action.
 - Allowing employees or subcontractors to work without current OSHA or industry-required safety training; unacceptable risk.
 - Providing services outside the scope of heating system installation, maintenance, or repair (e.g., electrical panel upgrades, plumbing unrelated to heating); not within business appetite.
 - Failure to require or enforce indemnification agreements with subcontractors; exposes primary contractor to third-party liability.

Restrictions (with Reasons)

- **Rule:** No work involving demolition, structural alterations, or removal of building components. — Such activities introduce high-risk exposures not aligned with the intended risk profile.
- **Rule:** Strictly prohibit any handling, removal, or abatement of asbestos, lead paint, or other hazardous materials. — These tasks require specialized licensing and present significant health and liability risks.
- **Rule:** Operations must be limited to residential and light commercial environments only. — Industrial and high-hazard commercial sites present unacceptable risk exposures.
- **Rule:** All employees and subcontractors must have current OSHA and industry-required safety training. — Ensures compliance with safety regulations and reduces risk of workplace injuries.
- **Rule:** Subcontractors must carry insurance meeting specified standards and provide proof prior to work. — Protects the business from liability arising from subcontractor actions.
- **Rule:** Indemnification agreements must be in place for all subcontracted work. — Transfers liability for subcontractor actions away from the primary contractor.
- **Rule:** No work permitted in environments with known environmental contamination or ongoing remediation. — Such sites present unacceptable health and environmental risks.

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- **Rule:** All chemical treatments must comply with EPA and local environmental regulations. — Ensures safe handling and disposal of chemicals, reducing environmental liability.
 - **Rule:** Documentation of safety practices, employee training, and equipment maintenance is mandatory. — Supports proactive risk management and regulatory compliance.
 - **Rule:** No services outside the scope of heating system installation, maintenance, or repair are permitted. — Prevents exposure to risks outside the business's expertise and intended appetite.
 - **Rule:** Claims history must reflect minimal incidents, with evidence of corrective actions for any past claims. — Indicates a strong safety culture and effective risk management.
 - **Rule:** All work must comply with local, state, and federal building codes and safety regulations. — Non-compliance exposes the business to legal and financial penalties.

Bookstores & Magazines (BT-0028)

Appetite Level: **Acceptable**

Preferred

- Bookstores with clear, well-lit aisleways and regular safety inspections to reduce slip-and-fall risks.
- Retail bookstores operating standard business hours (not 24/7) with moderate to high customer traffic.
- Bookstores that maintain up-to-date inventory management systems and conduct regular inventory assessments.
- Stores with established relationships with reputable publishers and distributors, ensuring reliable supply chains.
- Bookstores that host occasional, supervised events such as book signings or readings with documented safety protocols.
- Operations with robust theft prevention measures, including surveillance cameras and alarm systems.
- Bookstores with premises liability coverage that meets or exceeds industry standards.
- Retailers that schedule high-value or rare books separately for insurance purposes with accurate appraisals.
- Bookstores that regularly review and update their insurance policies to reflect changes in inventory and operations.
- Stores that provide employee training on customer service, safety, and theft recognition.
- Bookstores located in commercial zones with low crime rates and adequate exterior lighting.
- Operations that do not sell adult materials or operate as adult bookstores.
- Bookstores that do not accept consignment items without clear contractual agreements and insurance verification.

Acceptable

- Bookstores with some rare or collectible inventory, provided items are specifically scheduled and valued.
- Retail bookstores in mixed-use areas with moderate foot traffic and standard security protocols.
- Stores that occasionally host community events, provided additional liability coverage is in place.
- Bookstores using basic inventory management systems but conducting manual inventory checks at least quarterly.
- Operations with standard point-of-sale systems and basic theft deterrence measures.
- Bookstores with a mix of new and lightly used books, provided used inventory is less than 10% and well-documented.

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- Retailers that engage in consignment with local authors or artists under controlled agreements.
 - Bookstores with minor prior claims history, provided corrective actions have been implemented.
 - Stores that employ part-time staff with documented safety and security training.
 - Bookstores located in suburban or urban areas with average crime rates and standard safety measures.
 - Operations that have experienced minor property damage claims but have since improved risk management.
 - Bookstores with a moderate number of high-value items, provided regular appraisals are conducted.
 - Retailers that periodically review insurance limits and coverage adequacy.

Not Acceptable

- Adult bookstores or retailers selling primarily adult materials due to elevated liability and reputational risks.
- Used bookstores where the majority of inventory is pre-owned, due to increased reputational and valuation risks.
- Bookstores operating 24-hour or late-night hours, increasing liability and security exposure.
- Stores with a history of frequent or severe liability or theft claims without evidence of improved risk management.
- Bookstores lacking clear aisleways, proper lighting, or regular safety inspections.
- Operations with no inventory management system or infrequent inventory assessments.
- Bookstores that do not schedule high-value or rare items for insurance purposes.
- Retailers located in high-crime areas without adequate security measures.
- Bookstores that regularly host large, unsupervised events without additional liability coverage.
- Stores with inadequate or expired premises liability insurance.
- Bookstores with significant uninsured property or inventory.
- Operations that do not provide employee training on safety or theft prevention.
- Bookstores that allow unrestricted public access to storage or backroom areas.
- Retailers with unresolved regulatory violations or non-compliance with zoning, tax, or health and safety laws.
- Bookstores that do not review or update insurance coverage in response to operational changes.

Restrictions (with Reasons)

- **Rule:** Adult bookstores are ineligible for coverage. — Elevated liability and reputational risks associated with adult materials.

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- **Rule:** Used bookstores are ineligible for coverage. — Difficulties in inventory valuation and increased reputational risk.
 - **Rule:** 24-hour or late-night operations are not eligible. — Increased liability and security risks during non-standard hours.
 - **Rule:** High-value or rare inventory must be specifically scheduled and appraised. — Ensures accurate valuation and adequate insurance coverage.
 - **Rule:** Bookstores must maintain clear aisleways and proper lighting. — Reduces risk of slip-and-fall accidents and customer injuries.
 - **Rule:** Premises liability coverage is required at industry-standard limits or higher. — Protects against bodily injury and property damage claims.
 - **Rule:** Bookstores must implement theft prevention measures, including security systems. — Mitigates risk of internal and external theft, especially for rare items.
 - **Rule:** Regular inventory assessments are required for all insured bookstores. — Ensures accurate coverage and valuation of inventory.
 - **Rule:** Bookstores must not have unresolved regulatory violations. — Non-compliance increases operational and liability risks.
 - **Rule:** Bookstores hosting events must have additional liability coverage. — Events increase exposure to customer injury and property damage.
 - **Rule:** Insurance policies must be reviewed annually or upon significant operational changes. — Ensures coverage remains adequate as risks evolve.

Bridal Shops (BT-0029)

Appetite Level: **Acceptable**

Preferred

- Bridal shops with robust cybersecurity controls, including secure payment processing and end-to-end data encryption, reducing exposure to cyber liability.
- Operations with a documented and tested incident response plan for cyber events, demonstrating preparedness for ransomware or data breach scenarios.
- Shops maintaining strong inventory turnover management practices, minimizing inventory buildup and associated cash flow risks.
- Businesses with established relationships with reputable vendors and suppliers, ensuring consistent product quality and timely delivery.
- Shops that schedule customer appointments for fittings and consultations, indicating a focus on personalized service and operational control.
- Locations with modern, well-maintained premises and up-to-date point-of-sale systems, reducing property and operational risks.
- Bridal shops with a mix of full-time and part-time staff, including experienced seamstresses, supporting quality alterations and customer satisfaction.
- Businesses that regularly review and update their business interruption coverage to reflect current revenue and operational exposures.
- Shops with clear policies for handling customer data, including compliance with relevant consumer protection and privacy laws.
- Operations that utilize inventory management software integrated with e-commerce platforms, improving accuracy and efficiency.
- Shops that provide staff training on cybersecurity awareness and safe handling of sensitive information.
- Businesses with a history of low claims frequency and severity, indicating effective risk management practices.
- Shops located in areas with low crime rates and minimal exposure to natural catastrophe risks.
- Operations that participate in industry associations or attend bridal expos, staying current with trends and best practices.
- Bridal shops that maintain up-to-date business licenses and comply with all local, state, and federal regulations.

Acceptable

- Bridal shops with basic cybersecurity measures in place, such as password protection and antivirus software, but lacking advanced controls.
- Operations with informal or partially documented incident response plans for cyber events.

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- Shops experiencing moderate seasonal fluctuations in demand, with some inventory buildup during off-peak periods.
 - Businesses sourcing from a mix of established and newer vendors, with occasional supply chain delays.
 - Shops that allow walk-in customers in addition to scheduled appointments, potentially increasing operational variability.
 - Locations with older but functional premises and equipment, with plans for future upgrades.
 - Bridal shops employing primarily part-time staff with limited experience, but providing on-the-job training.
 - Businesses with business interruption coverage that may not fully reflect current operational exposures.
 - Shops with basic data privacy policies, but lacking formal compliance documentation.
 - Operations using manual inventory tracking methods, with occasional discrepancies or inefficiencies.
 - Shops providing minimal staff training on cybersecurity and data handling.
 - Businesses with a moderate claims history, but demonstrating willingness to improve risk management.
 - Shops located in areas with moderate crime rates or some exposure to weather-related risks.
 - Operations that occasionally attend industry events or expos, but are not consistently engaged.
 - Bridal shops with minor lapses in regulatory compliance, but actively working to address issues.

Not Acceptable

- Bridal shops with no cybersecurity controls, exposing customer data and payment information to significant risk.
- Operations lacking any form of incident response plan for cyber threats or data breaches.
- Shops with chronic inventory buildup and poor turnover management, leading to persistent cash flow problems.
- Businesses with a history of frequent supply chain disruptions or unreliable vendors, resulting in delayed or missed deliveries.
- Shops operating solely on a walk-in basis with no appointment system, leading to overcrowding and poor customer service.
- Locations with outdated, poorly maintained premises or equipment, increasing property and liability risks.
- Bridal shops employing untrained or unvetted staff, particularly in roles requiring access to sensitive customer data.
- Businesses with no business interruption coverage or coverage that is grossly inadequate for their operational exposures.

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- Shops with no policies or procedures for handling customer data, violating consumer protection or privacy laws.
 - Operations relying entirely on manual processes for inventory, sales, and customer management, with frequent errors.
 - Shops with no staff training on cybersecurity or data privacy, increasing the likelihood of breaches.
 - Businesses with a high frequency or severity of claims, indicating poor risk management.
 - Shops located in high-crime areas or regions with significant natural catastrophe exposure and no mitigation measures.
 - Operations with a pattern of regulatory violations or expired business licenses.
 - Bridal shops with unresolved legal or compliance issues related to consumer complaints or product quality.

Restrictions (with Reasons)

- **Rule:** No coverage for bridal shops without documented cybersecurity controls, including secure payment processing and data encryption. — Absence of these controls exposes the business to unacceptable cyber liability risks.
- **Rule:** No coverage for shops lacking a written and tested incident response plan for cyber events. — Preparedness for cyber incidents is essential to mitigate business interruption losses.
- **Rule:** No coverage for businesses with persistent inventory buildup and no inventory turnover management strategy. — Chronic inventory issues can lead to severe cash flow problems and increased financial risk.
- **Rule:** No coverage for bridal shops with a history of frequent supply chain disruptions or unreliable vendors. — Supply chain instability increases the risk of business interruption and customer dissatisfaction.
- **Rule:** No coverage for shops operating in high-crime areas without adequate security measures in place. — Elevated property and liability risks are unacceptable without mitigation.
- **Rule:** No coverage for bridal shops with expired business licenses or unresolved regulatory violations. — Regulatory compliance is a fundamental requirement for insurability.
- **Rule:** No coverage for businesses with no business interruption insurance or coverage that is grossly inadequate. — Lack of adequate coverage exposes both the business and insurer to excessive financial risk.
- **Rule:** No coverage for shops with a high frequency or severity of prior claims without evidence of corrective action. — Unaddressed loss history indicates ongoing operational or risk management deficiencies.
- **Rule:** No coverage for bridal shops with no staff training on cybersecurity or data privacy. — Untrained staff significantly increase the likelihood of cyber incidents.
- **Rule:** No coverage for businesses with unresolved legal actions related to consumer protection or product quality. — Active legal issues present unacceptable liability exposure.

Building Materials & Supplies (BT-0030)

Appetite Level: **Acceptable**

Preferred

- Businesses primarily engaged in the distribution of new construction materials with no repair or maintenance operations; reduces operational complexity and risk.
- Warehouses and storage facilities equipped with automatic sprinkler systems and firebreaks for outdoor lumber storage; minimizes fire exposure.
- Facilities with secured perimeters, including fencing, controlled access gates, and monitored surveillance systems; deters theft and vandalism.
- Inventory management systems in place to track stock levels and high-value items; supports loss prevention and efficient operations.
- Regularly scheduled safety audits and documented safety protocols for storage, handling, and delivery; demonstrates proactive risk management.
- Delivery fleets with GPS tracking and secure vehicle storage when not in use; reduces risk of theft during transit.
- Businesses with a documented history of low or no claims related to fire or theft; indicates strong risk controls.
- Compliance with all local, state, and federal regulations regarding storage and transportation of building materials; ensures legal operation.
- Strong vendor relationships ensuring reliable supply chain and timely deliveries; reduces operational disruptions.
- Facilities with adequate lighting throughout storage yards and warehouses; improves security and reduces accident risk.
- Businesses with contingency plans for fire and theft incidents, including employee training and emergency procedures; enhances resilience.
- Outdoor storage areas for combustible materials separated from main structures and equipped with fire suppression systems; limits fire spread.
- Warehouses storing high-value items (e.g., copper piping, electrical wiring) in locked, access-controlled areas; reduces theft risk.
- Businesses with up-to-date maintenance records for all equipment, including forklifts and delivery vehicles; reduces accident risk.
- Operations located in areas with low crime rates and good access to emergency services; lowers exposure to loss events.

Acceptable

- Businesses distributing both new construction and limited renovation materials, provided repair services are not offered; maintains focus on supply.

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- Warehouses with manual fire extinguishers and fire alarms but lacking full sprinkler systems; moderate fire risk.
 - Outdoor storage yards with partial fencing and basic lighting; some exposure to theft and vandalism.
 - Inventory includes moderate amounts of combustible materials with documented fire prevention measures; manageable risk.
 - Delivery fleets without GPS but with established driver protocols and secure overnight parking; some transit risk.
 - Businesses with a small number of past claims, provided corrective actions have been implemented; indicates learning from incidents.
 - Facilities in moderate crime areas with additional security patrols during off-hours; risk partially mitigated.
 - Businesses with periodic, but not regular, safety audits and some documented protocols; room for improvement.
 - Outdoor storage of untreated lumber with firebreaks but no sprinkler system; increased but controlled fire risk.
 - Warehouses with basic surveillance (e.g., cameras at entrances) but lacking full coverage; some security gaps.
 - Inventory management performed manually with periodic reconciliations; higher risk of errors or losses.
 - Businesses with insurance coverage limits adjusted to reflect high-value inventory; risk recognized and managed.
 - Suppliers with some exposure to theft-prone items but with partial security measures in place; moderate risk.
 - Operations in areas with average emergency response times; acceptable but not optimal.
 - Facilities with aging infrastructure but documented maintenance and repair schedules; risk managed through upkeep.

Not Acceptable

- Businesses primarily engaged in repair, maintenance, or installation services rather than material supply; outside underwriting appetite.
- Warehouses or storage yards lacking any fire prevention measures (no sprinklers, firebreaks, or extinguishers); unacceptable fire risk.
- Outdoor storage of untreated lumber adjacent to buildings with no separation or fire protection; extreme fire hazard.
- Facilities with no fencing, lighting, or surveillance for outdoor storage; high exposure to theft and vandalism.

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- Businesses with a history of frequent or severe claims related to fire, theft, or vandalism; indicates poor risk management.
 - Warehouses storing high-value items in unsecured or open-access areas; unacceptable theft risk.
 - Delivery fleets with no security protocols, GPS, or secure parking; high risk of loss during transit.
 - Operations in high-crime areas with no additional security measures; excessive exposure to loss.
 - Suppliers failing to comply with local, state, or federal regulations regarding storage or transportation; legal and operational risk.
 - No documented safety protocols or employee training for fire, theft, or emergency response; unacceptable operational risk.
 - Inventory of hazardous or highly combustible materials stored improperly or in excess of regulatory limits; extreme risk.
 - Facilities with significant deferred maintenance or structural deficiencies; increased likelihood of loss.
 - No inventory management system or controls in place; high risk of undetected losses.
 - Businesses unwilling or unable to provide documentation of safety and security measures for underwriting review; lack of transparency.
 - Suppliers with ongoing regulatory violations or unresolved citations related to safety or environmental standards; unacceptable compliance risk.

Restrictions (with Reasons)

- **Rule:** No coverage for businesses primarily engaged in repair, maintenance, or installation services. — These operations fall outside the intended risk profile and present different exposures.
- **Rule:** Facilities must have documented fire prevention measures for all combustible inventory. — Combustible materials like lumber and solvents present significant fire risk without proper controls.
- **Rule:** Outdoor storage of untreated lumber must be separated from buildings and protected by firebreaks or sprinkler systems. — Proximity and lack of protection greatly increase fire hazard and potential loss severity.
- **Rule:** Warehouses and outdoor storage yards must have adequate fencing, lighting, and surveillance. — Unsecured premises are highly susceptible to theft and vandalism, especially for high-value items.
- **Rule:** Businesses with a history of frequent or severe theft or fire claims may be subject to coverage restrictions or denial. — Past loss experience indicates ongoing or unmitigated risk.
- **Rule:** All suppliers must comply with local, state, and federal regulations regarding storage and transportation of materials. — Non-compliance can result in legal penalties and increased risk exposure.
- **Rule:** Proof of regular safety audits and employee training must be provided for underwriting review. — Demonstrates commitment to risk management and ongoing safety improvements.

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- **Rule:** Insurance coverage limits may be adjusted based on the type and value of inventory stored. — High-value or high-risk inventory requires tailored coverage to reflect potential loss.
 - **Rule:** Delivery fleets must have documented security protocols for transit and overnight storage. — Materials in transit are vulnerable to theft and loss without proper controls.
 - **Rule:** Risk assessments are required for suppliers with significant outdoor storage or high-value inventory. — These exposures require detailed evaluation to determine insurability.
 - **Rule:** Facilities with significant deferred maintenance or structural deficiencies are not eligible for coverage. — Poor facility condition increases the likelihood and severity of losses.
 - **Rule:** Businesses must document all security measures and safety protocols for underwriting review. — Transparency and documentation are essential for accurate risk assessment.

Business & Management Consultants (BT-0031)

Appetite Level: **Preferred**

Preferred

- Consulting firms operating exclusively from office-based or fully remote environments in jurisdictions with stable regulatory frameworks, ensuring minimal exposure to physical and legal risks.
- Firms with a Total Insured Value (TIV) under \$4 million, reflecting limited property and asset exposure.
- Consultants who maintain comprehensive, documented cybersecurity protocols to protect sensitive client and firm data, demonstrating robust risk management.
- Firms holding active professional liability (errors & omissions) insurance coverage that aligns with the scope and scale of their advisory services.
- Consultants specializing in advisory services with limited or no in-person client interaction, reducing liability and physical risk exposures.
- Consulting businesses with a strong, ongoing focus on risk management and regulatory compliance, evidenced by internal policies and regular training.
- Consultants with established, legally vetted client contracts that clearly limit liability exposure and outline dispute resolution procedures.
- Firms with a clear, documented business continuity plan addressing operational disruptions, data loss, and client service continuity.
- Consultants serving a diversified client base across multiple industries, mitigating concentration and sector-specific risks.
- Consulting firms with a strong reputation, evidenced by positive client feedback, industry recognition, or third-party reviews.
- Consultants who proactively identify, assess, and manage emerging risks through regular internal audits and risk assessments.
- Firms with a history of low claims frequency and severity, demonstrating effective risk mitigation and operational controls.
- Consultants who adhere to ethical practices and comply with all relevant industry standards and codes of conduct.
- Firms that utilize secure, up-to-date technology platforms to enhance service delivery while maintaining strict data protection standards.
- Consultants who engage in ongoing professional development and training focused on risk management, compliance, and industry best practices.

Acceptable

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- Consultants operating from condominium offices or shared workspaces where building safety and security measures are enforced and documented.
 - Firms with TIV up to \$4.75 million, provided all exposures are well documented and risk mitigation strategies are in place.
 - Consultants with frequent domestic travel, provided that travel risk mitigation protocols (e.g., travel insurance, safety training) are implemented.
 - Firms that have implemented remote work policies to reduce physical interaction and associated risks.
 - Consultants who maintain adequate insurance coverage limits relative to their operational size and client exposure.
 - Firms that conduct regular risk assessments and audits to identify and address operational vulnerabilities.
 - Consultants who have established partnerships with reputable service providers (e.g., IT, legal, insurance) to support risk management.
 - Firms that utilize technology for service delivery, provided that data privacy and cybersecurity risks are actively managed.
 - Consultants who engage in ongoing training and development for staff on risk management and compliance topics.
 - Firms with a documented history of low claims frequency and severity, even if not zero.
 - Consultants who serve clients in higher-risk industries, provided that enhanced risk controls and contract protections are in place.
 - Firms that maintain up-to-date written policies on data protection, confidentiality, and client information handling.
 - Consultants who occasionally provide limited on-site services, provided that risk assessments are conducted and exposures are minimal.
 - Firms that have a documented process for reviewing and updating client contracts to reflect current legal and regulatory requirements.
 - Consultants who demonstrate a commitment to continuous improvement in operational and risk management practices.

Not Acceptable

- Consulting firms operating from high-risk or unregulated environments where legal, political, or physical risks are elevated and not adequately controlled.
- Firms with a TIV exceeding \$5 million, indicating significant property or asset exposures beyond acceptable risk appetite.
- Consultants providing services that require frequent or prolonged international travel to high-risk regions without robust travel risk management protocols.

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- Firms lacking professional liability insurance or with lapsed/insufficient coverage relative to their operations.
 - Consultants engaging in high-risk activities such as physical site inspections, hazardous material handling, or direct management of client operations.
 - Firms with a history of frequent or severe claims, unresolved litigation, or regulatory violations.
 - Consultants who do not maintain documented cybersecurity protocols or have a record of data breaches or information security incidents.
 - Firms that fail to implement or enforce written risk management and compliance policies.
 - Consultants who routinely interact with clients in high-risk physical environments (e.g., construction sites, industrial facilities) without appropriate controls.
 - Firms that do not utilize written client contracts or have contracts that do not limit liability or address dispute resolution.
 - Consultants who provide financial or investment advice without appropriate licensing, regulatory compliance, or insurance coverage.
 - Firms with significant uninsured exposures, such as valuable equipment or proprietary data, not addressed by their insurance program.
 - Consultants who do not engage in regular staff training or professional development related to risk management and compliance.
 - Firms that have no documented business continuity or disaster recovery plan.
 - Consultants with a concentrated client base in a single high-risk industry or sector, increasing exposure to sector-specific downturns or regulatory changes.

Restrictions (with Reasons)

- **Rule:** Do not accept firms with a Total Insured Value (TIV) exceeding \$5 million. — Higher property and asset exposures increase potential loss severity beyond risk appetite.
- **Rule:** Do not accept consultants operating in high-risk or unregulated jurisdictions. — Elevated legal, political, and physical risks are difficult to control and insure.
- **Rule:** Require all firms to maintain active professional liability insurance. — Protects against claims arising from advisory services and is industry standard.
- **Rule:** Do not accept firms with a history of frequent or severe claims or unresolved litigation. — Indicates poor risk management and higher likelihood of future losses.
- **Rule:** Do not accept consultants providing services involving hazardous materials, physical site management, or direct operational control. — Such activities introduce exposures outside the intended scope of advisory consulting.
- **Rule:** Require documented cybersecurity protocols for all firms handling sensitive client data. — Mitigates risk of data breaches and associated liabilities.
- **Rule:** Do not accept firms without written client contracts that limit liability and address dispute resolution. — Absence of contracts increases legal exposure and complicates claims handling.

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- **Rule:** Do not accept consultants providing regulated financial or investment advice without proper licensing and compliance. — Unlicensed activities violate regulations and increase liability risk.
 - **Rule:** Require all firms to have a documented business continuity and disaster recovery plan. — Ensures operational resilience and service continuity during disruptions.
 - **Rule:** Do not accept firms with significant uninsured exposures (e.g., valuable equipment, proprietary data). — Uninsured risks can result in substantial uncovered losses.
 - **Rule:** Require regular staff training on risk management and compliance for all firms. — Ongoing education reduces operational and compliance risks.

Cable & Telecommunications (BT-0032)

Appetite Level: **Acceptable**

Preferred

- Retail sales of audio/visual (A/V) equipment such as televisions, amplifiers, and speakers, where no installation work is performed; lower risk due to limited on-site exposure.
- Rental of A/V equipment for events with delivery and pickup only, no on-site setup; reduces liability from installation errors.
- Installation and repair services for residential customers involving low-voltage wiring and standard consumer electronics; typically less complex and lower hazard.
- Businesses with a documented safety program and technician training certifications; demonstrates risk management.
- Operations with a history of no claims or losses in the past five years; indicates strong risk controls.
- Retail storefronts located in low-crime, non-catastrophe-prone areas; minimizes property and theft risks.
- Businesses that do not subcontract installation or repair work; reduces exposure to third-party liability.
- Consultants providing project management for telecommunications projects without direct involvement in construction; limited physical risk.
- Operations that maintain up-to-date inventory and equipment maintenance logs; supports loss prevention.
- Businesses with written contracts for all rental and installation services; clarifies liability and responsibilities.

Acceptable

- Rental services for event-related A/V gear where staff perform on-site setup and breakdown; moderate exposure to property and liability risks.
- Installation and repair services for small to medium-sized commercial clients, provided work is limited to non-structural cabling and device setup.
- Use of subcontractors for installation work, provided all subcontractors carry their own insurance and contracts include hold harmless agreements.
- Retail operations with limited on-site storage of high-value electronics; moderate theft and property risk.
- Businesses operating in areas with moderate weather-related risks, provided mitigation measures are in place.
- Technicians performing installations in multi-family dwellings, with documented adherence to safety protocols.

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- Consultants or project managers involved in telecommunications infrastructure upgrades, not involving heavy construction.
 - Operations with seasonal fluctuations in rental demand, provided inventory management is robust.
 - Businesses that provide limited network infrastructure setup for SMEs, not involving major construction or industrial sites.
 - Retailers who also offer basic troubleshooting and repair services at customer locations.

Not Acceptable

- Contractors engaged in reconstruction, erection, or repair of buildings as a primary business activity; high construction risk outside appetite.
- Subcontracted work involving major building construction, reconstruction, or industrial facility upgrades; elevated liability and complexity.
- Operations providing installation or repair services for high-voltage or utility infrastructure; significant safety and regulatory risk.
- Businesses with a history of frequent or severe claims related to property damage, theft, or liability.
- Retailers or rental operations storing large quantities of high-value electronics in unprotected or high-crime areas.
- Any operation with no documented safety or technician training program; unacceptable risk management.
- Businesses providing services for large-scale public events (e.g., stadium concerts) involving complex A/V installations.
- Consultants or project managers directly overseeing or managing building construction or reconstruction.
- Operations that do not require subcontractors to carry their own insurance or lack hold harmless agreements.
- Businesses with significant exposure to off-premises utility service failures as a core risk.
- Coverage requests for loss or damage to electronic data or computer systems as a primary exposure.
- Operations located in areas with extreme catastrophe risk (e.g., flood zones, wildfire-prone regions) without mitigation.
- Businesses involved in the sale, installation, or repair of industrial telecommunications infrastructure.
- Retailers or rental businesses with inadequate inventory controls or loss prevention measures.
- Any operation failing to comply with applicable federal, state, or local telecommunications regulations.

Restrictions (with Reasons)

- **Rule:** Coverage is eliminated for loss or damage caused by utility service failures occurring off-premises. — Off-premises utility failures are outside the insured's control and present unpredictable risk.
- **Rule:** Exclusion for loss or damage to 'computer(s)' and 'electronic data' does not apply. — Policy specifically does not cover these exposures, which are considered uninsurable or require separate coverage.
- **Rule:** Contractors involved in reconstruction, erection, or repair of buildings are subject to specific underwriting guidelines. — Construction activities present higher risk and require additional scrutiny.
- **Rule:** Subcontracted work related to building construction, reconstruction, or repair is subject to underwriting restrictions. — Third-party liability and control issues increase risk profile.
- **Rule:** Coverage for contractors' work is categorized based on the type of construction (e.g., industrial use, one or two-family dwellings). — Different construction types carry varying levels of risk.
- **Rule:** Specific underwriting guidelines apply to consultants and project managers. — Professional liability and project oversight exposures require tailored assessment.
- **Rule:** Coverage may be contingent upon adherence to safety and operational standards. — Proper safety protocols reduce the likelihood of claims and losses.
- **Rule:** Coverage for A/V equipment may be limited based on the nature of the rental or sales operations. — Certain uses or types of equipment present higher risk of loss or damage.
- **Rule:** Underwriting appetite may be restricted based on the risk associated with specific operations. — Some activities exceed the insurer's risk tolerance.
- **Rule:** Coverage may require additional endorsements or modifications for contractors. — Contractor exposures may not be fully addressed by standard policy forms.
- **Rule:** Specific limits may apply to the types of equipment covered under the policy. — High-value or specialized equipment increases potential loss severity.

Camera & Photo Supply Stores (BT-0033)

Appetite Level: **Preferred**

Preferred

- Retail camera and photo supply stores with inventory valued under \$500,000 to minimize property exposure.
- Businesses primarily selling photographic equipment, accessories, and standard studio lighting.
- Stores located in commercial or retail zones with no residential occupancy.
- Operations without on-site chemical processing or film development to reduce hazardous material risk.
- Staffed by knowledgeable sales associates or photographers with no heavy manual labor.
- Retailers offering e-commerce sales in addition to a physical storefront.
- Photography studios focused on portrait, event, product, or commercial photography using standard equipment.
- Businesses that offer photography workshops or classes in-store, provided no hazardous materials are used.
- Retailers with established vendor relationships and consistent supply chain practices.
- Stores with customer loyalty programs and regular marketing initiatives.
- Operations that do not use drones or aerial photography equipment.
- Retailers offering ancillary services such as makeup and hairstyling for photography clients.
- Businesses with regular inventory assessments and loss prevention protocols.
- Retailers with compliant business licenses and up-to-date sales tax registrations.
- Stores that do not engage in equipment rental for hazardous or industrial uses.

Acceptable

- Photography studios that travel globally for shoots, provided proper travel endorsements are in place.
- Retailers that occasionally rent equipment to professional photographers with signed rental agreements.
- Stores located in mixed-use buildings with adequate fire separation and security measures.
- Retailers that offer minor camera repair services without soldering or use of hazardous chemicals.
- Businesses that host small photography events or meetups on premises.
- Retailers with inventory occasionally exceeding \$500,000 for short peak periods, with proper controls.
- Stores that sell used or refurbished photographic equipment with clear return policies.

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- Retailers that provide basic photo printing services using non-chemical digital printers.
 - Businesses that participate in local fairs or festivals as vendors.
 - Retailers with limited online-only operations, provided inventory is stored in secure, insured locations.
 - Stores that offer educational classes for amateur photographers, following local educational regulations.
 - Retailers with a small number of part-time or seasonal staff during peak periods.
 - Photography studios with in-house makeup and hairstyling services for clients.
 - Retailers that provide delivery or shipping of equipment using insured carriers.
 - Stores that maintain a basic security system and inventory tracking.

Not Acceptable

- Businesses engaged in on-site chemical film processing or darkroom operations.
- Stores that provide drone sales, rentals, or aerial photography services.
- Operations offering pet grooming, animal photography, or animal handling services.
- Retailers with inventory regularly exceeding \$1,000,000 or storing high-value collectibles.
- Businesses located in high-crime or unprotected areas without adequate security.
- Stores that rent equipment for industrial, hazardous, or construction purposes.
- Operations with significant repair services involving soldering, welding, or hazardous materials.
- Retailers that operate as pawn shops or accept items on consignment.
- Businesses that sublet space to unrelated third parties or share premises with unrelated businesses.
- Stores that do not comply with local business licensing, tax, or consumer protection regulations.
- Retailers offering large-scale event production, staging, or pyrotechnics.
- Operations with significant warehousing or distribution outside of standard retail scope.
- Businesses with a history of frequent insurance claims or regulatory violations.
- Retailers that store or handle hazardous chemicals, flammable liquids, or compressed gases.
- Stores that provide services unrelated to photography, such as general electronics repair or printing.

Restrictions (with Reasons)

- **Rule:** No on-site chemical processing or darkroom operations. — Reduces exposure to hazardous materials and fire risk.
- **Rule:** No drone sales, rentals, or aerial photography services. — Avoids aviation liability and regulatory complications.

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- **Rule:** Inventory must not regularly exceed \$500,000 in value. — Limits property exposure and ensures manageable risk.
 - **Rule:** No pet grooming, animal photography, or animal handling services. — Prevents liability from animal-related incidents.
 - **Rule:** No equipment rental for industrial, hazardous, or construction uses. — Restricts risk to standard photography-related activities.
 - **Rule:** Business must comply with all local business licensing and tax regulations. — Ensures legal operation and reduces regulatory risk.
 - **Rule:** No significant repair services involving hazardous materials or soldering. — Minimizes fire and injury hazards.
 - **Rule:** No subletting or sharing of premises with unrelated businesses. — Maintains clear operational control and reduces third-party risk.
 - **Rule:** No pawn shop operations or consignment sales. — Avoids exposure to theft, fraud, and regulatory scrutiny.
 - **Rule:** No warehousing or distribution outside of standard retail scope. — Limits exposure to large-scale property and logistics risks.
 - **Rule:** No large-scale event production, staging, or pyrotechnics. — Prevents exposure to high-risk event activities.
 - **Rule:** No storage or handling of hazardous chemicals, flammable liquids, or compressed gases. — Reduces risk of fire, explosion, and environmental liability.

Camping & Outdoor Equipment Stores (BT-0034)

Appetite Level: **Acceptable**

Preferred

- Retail stores specializing in new camping, hiking, and outdoor recreational equipment with a strong focus on customer education and safety.
- Businesses with robust inventory management systems and documented vendor relationships with reputable outdoor brands.
- Locations with comprehensive staff training programs, including regular workshops on product knowledge and customer service.
- Stores implementing advanced security protocols, such as monitored burglar alarms and surveillance systems, especially in high-risk areas.
- Operations with a documented history of regulatory compliance, including adherence to product safety standards and consumer protection laws.
- Retailers offering in-store instructional activities that promote safe and responsible use of outdoor equipment.
- Businesses that diversify product offerings to address seasonality, such as including winter sports gear or indoor recreational items.
- Stores with established procedures for evaluating and limiting product exposure, including clear guidelines on surplus and refurbished goods.

Acceptable

- Stores selling restored or refurbished surplus outdoor equipment with limited, documented modifications and compliance with safety standards.
- Retailers located in urban or suburban areas with moderate theft or vandalism risk, provided enhanced security measures are in place.
- Businesses sourcing products from multiple vendors, including surplus suppliers, as long as all items meet regulatory requirements.
- Operations that occasionally host outdoor expos or promotional events to drive seasonal sales.
- Stores that maintain a central station or local burglar alarm system as required by local risk assessments.
- Retailers offering a wide range of outdoor gear, including technical equipment, provided all items are legal for retail sale.
- Locations that have implemented physical security measures such as reinforced doors, secure display cases, and inventory controls.
- Businesses that do not engage in the sale or rental of equipment to schools or other institutional buyers.

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- Stores that have a documented process for reviewing and updating compliance with ITAR, EAR, and other international shipping laws.
 - Retailers that provide expert advice and customer support but do not perform equipment repairs or modifications beyond manufacturer guidelines.

Not Acceptable

- Businesses selling restricted military goods, firearms, ammunition, or tactical equipment without proper federal or state documentation.
- Operations with a history of theft, burglary, or vandalism incidents and lacking adequate physical security measures.
- Stores failing to comply with International Traffic in Arms Regulations (ITAR), Export Administration Regulations (EAR), or other international shipping laws.
- Retailers offering gun repair, gunsmithing, or any form of weapon modification services.
- Businesses renting or leasing outdoor equipment to customers, including tents, sleeping bags, or technical gear.
- Applicants supplying athletic or outdoor equipment directly to schools, universities, or organized youth groups.
- Facilities operating without a central station or local burglar alarm in areas identified as high risk for theft or vandalism.
- Stores with inadequate staff training or insufficient product knowledge, leading to increased liability or customer safety risks.
- Retailers accepting or selling heavily modified surplus items that do not meet current safety or regulatory standards.
- Operations with poor inventory controls or lacking documented vendor relationships, increasing the risk of counterfeit or unsafe products.
- Businesses failing to evaluate and limit product exposure, resulting in excessive high-value inventory on premises.
- Locations with no in-store instructional activities or customer engagement programs, indicating limited focus on safety and education.
- Retailers with unresolved regulatory violations or pending legal actions related to product safety or consumer protection.

Restrictions (with Reasons)

- **Rule:** Gun repair and gunsmithing services are strictly prohibited. — These activities introduce significant liability and regulatory risk.
- **Rule:** Rental or leasing of outdoor equipment is not permitted. — Rental operations increase exposure to loss, damage, and liability claims.
- **Rule:** Applicants must not supply athletic or outdoor equipment to schools or institutional buyers. — Supplying to institutions presents unique liability and contractual risks.

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- **Rule:** Sale of restricted military goods, firearms, or tactical equipment without proper documentation is not allowed. — Violates federal and state regulations and increases regulatory exposure.
 - **Rule:** Facilities must have adequate physical security measures, including burglar alarms, especially in high-risk areas. — Reduces risk of theft, burglary, and associated losses.
 - **Rule:** All operations must comply with ITAR, EAR, and other international shipping laws. — Non-compliance can result in severe legal and financial penalties.
 - **Rule:** Thorough evaluation of product exposure is required; excessive high-value inventory must be avoided. — Limits potential loss severity in the event of theft or disaster.
 - **Rule:** Only restored or refurbished surplus items with limited modifications and full regulatory compliance are acceptable. — Ensures product safety and reduces liability from defective or unsafe goods.
 - **Rule:** Applicants must maintain documented vendor relationships and inventory controls. — Prevents introduction of counterfeit or non-compliant products.
 - **Rule:** Check for in-store instructional activities and staff training programs. — Promotes customer safety and reduces risk of misuse or injury.

Candy & Confectionery Stores (BT-0035)

Appetite Level: **Acceptable**

Preferred

- Retail candy and confectionery stores with no on-site cooking or manufacturing (lower fire and liability risk)
- Candy stores located in enclosed shopping malls with established security and fire suppression systems
- Stores with robust inventory management and theft prevention protocols
- Retailers sourcing products exclusively from licensed and inspected manufacturers
- Stores with documented allergen labeling and food safety compliance
- Retailers with established vendor relationships and reliable supply chains
- Stores with no history of food safety violations or regulatory penalties
- Retailers with strong seasonal sales planning and cash flow management
- Candy stores with limited or no seating/eating areas (reducing slip/fall exposure)
- Retailers with comprehensive employee training on food handling and customer service

Acceptable

- Candy, nut, and confectionery stores with cooking on premises and proper ventilation/fire suppression
- Stores producing small-batch or artisanal confections with documented food safety protocols
- Retailers offering sampling/tasting stations with strict hygiene controls
- Candy stores with limited beverage sales (non-alcoholic only)
- Retailers located in mixed-use retail centers with adequate security
- Stores with minor in-house packaging or repackaging of bulk candies
- Retailers with seasonal pop-up locations and temporary permits
- Candy stores with online sales in addition to brick-and-mortar operations
- Retailers participating in local events or markets with proper licensing
- Stores offering gift baskets or custom packaging services
- Retailers with refrigeration for perishable items and regular maintenance logs
- Candy stores with limited seating for customers (snack bar or counter only)
- Retailers with basic confectionery equipment (e.g., tempering machines, mixers) and documented maintenance
- Stores with minor off-site catering for events (with appropriate permits)

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- Retailers with loyalty programs and digital marketing strategies

Not Acceptable

- Candy stores manufacturing large-scale or industrial quantities of confections on-site
- Retailers with significant on-premises deep frying or high-heat cooking processes
- Stores with a history of repeated food safety violations or regulatory shutdowns
- Retailers selling unlicensed or uninspected imported candies
- Candy stores with significant seating and full-service dining (restaurant model)
- Retailers selling alcoholic beverages or cannabis-infused products
- Stores operating without required health permits or food handling certifications
- Retailers with significant off-site catering or event production (banquet/catering hall exposure)
- Candy stores located in high-crime areas without adequate security measures
- Retailers with extensive self-serve bulk bins and no sanitation controls
- Stores with significant non-candy retail (e.g., toys, electronics) exceeding 50% of sales
- Retailers with on-site amusement devices or play areas (increased liability)
- Candy stores operating 24/7 without adequate staffing or security
- Retailers with significant history of product recalls or contamination incidents
- Stores with live animal mascots or petting areas

Restrictions (with Reasons)

- **Rule:** No on-site deep frying or high-heat cooking processes exceeding 20% of operations —
Reduces fire and burn risk
- **Rule:** All food production must comply with local health department regulations and inspections —
Ensures food safety and regulatory compliance
- **Rule:** No sale of alcoholic or cannabis-infused products — Avoids regulatory and liability exposures
- **Rule:** Bulk self-serve bins must have sanitation controls and regular cleaning schedules —
Prevents contamination and foodborne illness
- **Rule:** No significant non-candy retail (e.g., toys, electronics) exceeding 50% of total sales —
Maintains focus on core business and risk profile
- **Rule:** Allergen labeling and food safety information must be clearly displayed on all products —
Reduces risk of allergic reactions and legal claims
- **Rule:** No live animal mascots, petting areas, or animal-based entertainment on premises —
Limits liability and health risks
- **Rule:** Stores must maintain current health permits and food handling certifications for all staff —
Ensures ongoing regulatory compliance

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- **Rule:** No operation in high-crime areas without documented security measures (alarms, cameras) — Reduces theft and liability exposure
 - **Rule:** No 24/7 operations without adequate staffing and security protocols — Prevents fatigue-related errors and security incidents
 - **Rule:** Sampling/tasting stations must have strict hygiene protocols and single-use utensils — Prevents cross-contamination
 - **Rule:** No history of repeated regulatory violations or food safety shutdowns — Indicates ongoing risk management issues

Catering & Food Preparation Services (BT-0036)

Appetite Level: **Acceptable**

Preferred

- Catering businesses that maintain full compliance with FDA Food Safety Modernization Act (FSMA) or equivalent local food safety regulations, ensuring documented ingredient sourcing and handling.
- Operations with a documented risk management plan addressing foodborne illness prevention, incident response, and regular staff training on food safety procedures.
- Businesses that maintain up-to-date records of ingredient sourcing and supplier certifications, available for insurer review upon request.
- Caterers that utilize commercial-grade equipment for food storage and transportation, including temperature-controlled vehicles for perishable goods.
- Operations that conduct regular internal audits of food safety practices and maintain logs of corrective actions taken.
- Businesses that have not had any foodborne illness claims or regulatory violations in the past five years.
- Catering services that require all staff to complete certified food handler training and maintain current certifications.
- Operations that purchase recommended optional coverages, such as Cyber Liability Insurance and Business Interruption Insurance, and have documented data security protocols.
- Caterers that primarily serve low-risk venues (e.g., corporate offices, banquet halls) with controlled environments and minimal outdoor exposure.
- Businesses with established relationships with reputable, licensed ingredient suppliers and documented supply chain traceability.
- Catering operations that have a clear, written plan for responding to food safety incidents and communicate this plan to all staff.
- Businesses that regularly review and update their risk management practices to align with current industry standards and insurer recommendations.

Acceptable

- Catering businesses that comply with most local food safety regulations but may have minor, non-critical documentation gaps that are being addressed.
- Operations that have experienced isolated, non-severe food safety incidents but have implemented corrective actions and improved training.
- Businesses that occasionally serve outdoor or off-site events, provided they have protocols for maintaining temperature control and safe food handling.

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- Caterers that use a mix of commercial and residential kitchen facilities but can demonstrate compliance with health and safety standards.
 - Operations that have experienced minor claims unrelated to foodborne illness, such as property damage or minor slip-and-fall incidents.
 - Businesses that process customer payments and store personal data but have basic, rather than advanced, cybersecurity measures in place.
 - Catering services that experience moderate seasonal fluctuations in demand and have a financial plan to manage off-peak periods.
 - Operations that offer specialized dietary options (e.g., gluten-free, vegan) with documented procedures to prevent cross-contamination.
 - Businesses that have undergone recent changes in ownership or management but have maintained consistent food safety practices.
 - Caterers that serve a mix of event types, including weddings, corporate events, and community gatherings, with appropriate risk management for each.
 - Operations located in areas with average risk for foodborne illnesses and no recent history of outbreaks.
 - Businesses that are in the process of implementing enhanced risk management strategies as recommended by insurers.

Not Acceptable

- Catering businesses that fail to comply with FDA FSMA or equivalent local food safety regulations, or cannot provide documentation of compliance.
- Operations with a history of repeated foodborne illness claims or regulatory violations within the past five years.
- Businesses that do not maintain records of ingredient sourcing or cannot demonstrate supply chain traceability.
- Caterers that lack temperature-controlled storage and transportation for perishable ingredients, increasing risk of foodborne illness.
- Operations that do not provide regular food safety training to staff or have no documented training records.
- Businesses that have been declined coverage or had policies cancelled due to non-compliance with food safety standards.
- Catering services that primarily operate in high-risk environments (e.g., outdoor festivals, remote locations) without adequate risk controls.
- Operations that do not have a written plan for responding to food safety incidents or fail to communicate procedures to staff.
- Businesses that have experienced significant data breaches or cyberattacks and have not implemented corrective cybersecurity measures.

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- Caterers that source ingredients from unlicensed or unverified suppliers, or cannot provide supplier certifications.
 - Operations that have significant gaps in insurance coverage, such as lacking general liability or business interruption insurance.
 - Businesses that have outstanding regulatory actions or unresolved health department citations.
 - Catering operations that refuse insurer inspections or fail to provide requested documentation during underwriting.
 - Businesses located in areas with a high incidence of foodborne illness outbreaks and no enhanced risk mitigation strategies.
 - Operations that consistently operate outside of approved or licensed facilities.

Restrictions (with Reasons)

- **Rule:** Coverage may be excluded or declined for businesses that do not comply with FDA FSMA or equivalent local food safety regulations. — Non-compliance with food safety regulations increases the risk of foodborne illness claims and regulatory action.
- **Rule:** Coverage for foodborne illness claims may be limited or excluded if proper ingredient sourcing and documentation are not maintained. — Lack of traceability and documentation impedes claim investigation and increases liability exposure.
- **Rule:** Businesses must provide proof of compliance with local health regulations as part of the underwriting process. — Insurers require evidence of regulatory compliance to assess risk and determine eligibility.
- **Rule:** Catering operations must maintain records of ingredient sourcing and supplier certifications. — Documented supply chain traceability is essential for managing food safety risks.
- **Rule:** Coverage may be restricted for businesses with a history of foodborne illness claims or regulatory violations. — Prior incidents indicate elevated risk and potential for future claims.
- **Rule:** Businesses operating primarily in high-risk environments (e.g., outdoor events, remote locations) may face additional underwriting scrutiny or restrictions. — Uncontrolled environments increase exposure to food safety and operational risks.
- **Rule:** Cyber Liability Insurance is strongly recommended for businesses processing customer payments or storing personal data. — Data breaches and cyberattacks are significant risks for businesses handling sensitive information.
- **Rule:** Business Interruption Insurance is recommended for operations that rely on consistent event income. — Loss of income due to covered perils can significantly impact business continuity.
- **Rule:** Regular staff training on food safety and handling procedures is required to maintain coverage eligibility. — Ongoing training reduces the likelihood of food safety incidents and claims.
- **Rule:** Coverage options and premiums may vary based on the size, scope, and geographic location of the catering operation. — Larger or geographically dispersed operations may present higher or unique risks.

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- **Rule:** Insurers may require additional documentation for businesses offering specialized catering services or serving high-risk populations. — Specialized services and vulnerable populations require enhanced risk management and oversight.

Cellular Phone Sales/Service (BT-0037)

Appetite Level: **Acceptable**

Preferred

- Businesses with robust cybersecurity protocols in place, including regular employee training and multi-factor authentication, reducing risk of data breaches.
- Retailers that source inventory directly from authorized manufacturers or reputable distributors, minimizing exposure to counterfeit products.
- Operations with comprehensive inventory management systems and regular audits, lowering risk of employee theft and inventory shrinkage.
- Businesses that maintain clear, written repair and warranty policies communicated to customers, reducing disputes and liability.
- Retailers with incident response plans for cyber events, demonstrating preparedness for operational disruptions.
- Businesses that require background checks for employees handling high-value inventory, mitigating internal theft risk.
- Operations with separate, secure storage for lithium-ion batteries and hazardous components, reducing fire and injury risk.
- Retailers that maintain up-to-date insurance coverage for cyber liability and product liability, ensuring financial protection.
- Businesses that regularly review and update compliance with data protection regulations (e.g., GDPR, CCPA), reducing regulatory fine exposure.
- Retailers with a history of minimal or no claims related to product liability, cyber incidents, or employee dishonesty.

Acceptable

- Businesses with basic cybersecurity measures (e.g., antivirus, firewalls) but lacking advanced protections, presenting moderate cyber risk.
- Retailers that occasionally use third-party repair providers, provided due diligence is performed on vendor reliability.
- Operations with periodic, but not frequent, inventory audits, resulting in moderate risk of undetected theft.
- Businesses that sell both new and refurbished devices, provided all products are tested and certified before sale.
- Retailers with some prior claims history, but with evidence of corrective actions taken to address root causes.
- Businesses that provide limited repair services (e.g., screen replacements only), reducing exposure to complex repair liability.

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- Operations that offer online sales in addition to brick-and-mortar, provided secure payment processing is used.
 - Retailers with basic employee training on repair protocols and customer data handling, but lacking formalized programs.
 - Businesses that have experienced minor regulatory issues in the past but are now compliant with all relevant laws.
 - Retailers that use standard inventory controls but do not employ advanced tracking technologies.

Not Acceptable

- Businesses with no cybersecurity measures or history of unresolved data breaches, posing high risk of regulatory fines and reputational damage.
- Retailers known to sell counterfeit, untested, or grey-market devices, significantly increasing product liability exposure.
- Operations that outsource all repairs to unvetted third-party providers, lacking oversight of repair quality and safety.
- Businesses with repeated or severe claims related to battery fires, device explosions, or customer injuries from repairs.
- Retailers with a pattern of employee theft or inventory loss without corrective action, indicating poor internal controls.
- Operations that do not comply with data protection regulations or have been fined for mishandling customer information.
- Businesses that lack any form of inventory management or tracking, making loss detection impossible.
- Retailers that refuse to provide or clarify warranty terms to customers, increasing dispute and liability risk.
- Businesses operating exclusively online with no secure payment or data protection protocols.
- Retailers with a history of selling recalled or banned products, exposing them to regulatory and legal action.
- Operations that do not carry any insurance for cyber or product liability, leaving them financially exposed.
- Businesses that have been subject to class-action lawsuits for product defects or data breaches.
- Retailers that do not conduct any employee background checks, especially for staff handling cash or inventory.
- Operations that ignore or fail to implement corrective actions after risk assessments or audits.
- Businesses with unresolved regulatory violations or ongoing investigations by consumer protection agencies.

Restrictions (with Reasons)

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- **Rule:** No coverage for businesses with unresolved or ongoing data breach incidents. — Active breaches indicate high risk of further regulatory fines and reputational harm.
 - **Rule:** No coverage for retailers selling counterfeit, untested, or grey-market devices. — These products significantly increase product liability and regulatory exposure.
 - **Rule:** No coverage for businesses with a history of repeated battery fires or device-related injuries. — Frequent incidents indicate systemic repair or sourcing issues.
 - **Rule:** No coverage for operations lacking any inventory management or theft prevention controls. — Absence of controls leads to unmitigated risk of loss and employee dishonesty.
 - **Rule:** No coverage for businesses that do not comply with applicable data protection regulations. — Non-compliance exposes the business to regulatory fines and legal action.
 - **Rule:** No coverage for businesses refusing to clarify or honor warranty terms for repairs or products. — Ambiguous or absent warranties increase dispute and liability risk.
 - **Rule:** No coverage for retailers with a pattern of unresolved regulatory violations or investigations. — Ongoing violations suggest persistent non-compliance and elevated risk.
 - **Rule:** No coverage for businesses that do not carry any form of cyber or product liability insurance. — Lack of insurance leaves the business and insurer exposed to catastrophic losses.
 - **Rule:** No coverage for operations that outsource repairs to unvetted or unlicensed third-party providers. — Unvetted providers increase risk of faulty repairs and liability claims.
 - **Rule:** No coverage for businesses with a history of class-action lawsuits related to product defects or data breaches. — Such history indicates high frequency and severity of claims.

Cemeteries & Funeral Services (BT-0038)

Appetite Level: **Acceptable**

Preferred

- Linen supply companies specializing exclusively in funeral and memorial service linens with documented sanitation protocols and no history of regulatory violations.
- Funeral homes with licensed funeral directors and embalmers, compliant with all local and state regulations, and no claims in the past five years.
- Cemetery operators with established risk management practices, including employee training and documented safety procedures for handling hazardous materials.
- Businesses with contracts in place with reputable funeral service providers and clear delineation of liability responsibilities.
- Operations with robust environmental controls for laundering processes, including wastewater management and chemical handling.
- Companies with a proven track record of timely vendor payments and strong financial stability as evidenced by audited financial statements.
- Businesses that maintain comprehensive liability coverage, including third-party claims and property insurance, with limits appropriate to their size.
- Operators with a positive reputation in the community, as demonstrated by customer testimonials and lack of negative media coverage.
- Linen supply companies that provide regular employee training and maintain up-to-date documentation of all safety and sanitation procedures.
- Funeral service providers with no history of intentional acts or gross negligence claims.
- Businesses that have undergone recent risk assessments and implemented recommended improvements.
- Operators with clear, written contracts outlining service expectations and indemnification clauses.
- Cemetery and funeral service businesses located in low-risk geographic areas with minimal exposure to natural disasters.
- Companies that have not experienced supply chain disruptions in the past three years.
- Businesses that demonstrate compliance with all applicable environmental and health regulations.

Acceptable

- Linen supply companies serving both funeral and other hospitality sectors, provided funeral linens are processed separately and meet sanitation standards.
- Funeral homes with minor, resolved regulatory infractions and a demonstrated commitment to ongoing compliance.

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- Cemetery operators with limited claims history, provided corrective actions have been documented and implemented.
 - Businesses with moderate financial stability, as evidenced by consistent vendor payments and positive cash flow.
 - Operators with adequate but not comprehensive employee training programs, with plans for improvement.
 - Companies that have experienced isolated supply chain delays but have contingency plans in place.
 - Funeral service providers with minor, non-recurring customer complaints that have been satisfactorily resolved.
 - Businesses located in areas with moderate environmental risks, provided mitigation strategies are documented.
 - Operators with basic risk management practices and plans to enhance protocols within the next policy period.
 - Linen supply companies with one or two minor claims in the past five years, provided claims were not due to gross negligence.
 - Funeral homes with some reliance on third-party vendors, provided contracts are reviewed and liability is clearly assigned.
 - Cemetery operators with aging equipment, provided maintenance schedules are documented and up to date.
 - Businesses that have recently updated their insurance coverage to address identified gaps.
 - Operators with limited marketing activities, provided all materials are compliant with industry standards.
 - Companies with average community reputation but no significant negative incidents.

Not Acceptable

- Linen supply companies with a history of repeated sanitation violations or regulatory non-compliance.
- Funeral homes or cemeteries with unresolved claims related to intentional acts, gross negligence, or criminal activity.
- Businesses lacking required licenses for funeral directors, embalmers, or cemetery operations.
- Operators with frequent claims (three or more in the past five years) or ongoing litigation.
- Companies with no documented employee training or safety protocols for handling linens and hazardous materials.
- Businesses with significant financial instability, such as bankruptcy filings or repeated vendor payment defaults.
- Funeral service providers with a pattern of negative media coverage or community complaints.

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- Linen supply companies that do not process funeral linens separately from other commercial linens.
 - Operators with inadequate or expired insurance coverage for property, equipment, or liability.
 - Cemetery or funeral service businesses located in high-risk geographic areas prone to frequent natural disasters without mitigation plans.
 - Companies with a history of environmental violations related to laundering or waste disposal processes.
 - Businesses that refuse to provide documentation of contracts, employee training, or risk management practices.
 - Operators with ongoing regulatory investigations or unresolved compliance issues.
 - Funeral homes or cemeteries that outsource all core services without clear contractual liability protections.
 - Companies with exclusionary marketing practices or misleading advertising in violation of industry guidelines.

Restrictions (with Reasons)

- **Rule:** Coverage is excluded for claims arising from intentional acts or gross negligence. — To prevent insuring uninsurable risks and encourage responsible business practices.
- **Rule:** Businesses must provide documentation of employee training programs related to sanitation and safety. — To ensure compliance with industry standards and reduce the risk of claims.
- **Rule:** Operators must maintain all required local and state licenses for funeral and cemetery services. — Licensing is a legal requirement and a key indicator of regulatory compliance.
- **Rule:** Linen supply companies must process funeral and memorial service linens separately from other commercial linens. — To prevent cross-contamination and maintain strict sanitation standards.
- **Rule:** Coverage limits will be adjusted based on the size and scope of the business. — To ensure adequate protection without over-insuring or under-insuring the risk.
- **Rule:** Environmental risks associated with laundering processes must be evaluated and mitigated. — To address potential liability from pollution or regulatory violations.
- **Rule:** Businesses with unresolved claims or ongoing litigation are not eligible for coverage. — Active legal issues indicate elevated risk and potential for future losses.
- **Rule:** Operators must have written contracts with all third-party vendors and service providers. — To clarify liability and reduce the risk of disputes or uncovered exposures.
- **Rule:** Coverage may be limited or declined for businesses with a history of frequent claims. — Frequent claims suggest poor risk management or operational issues.
- **Rule:** All marketing materials must comply with industry guidelines and avoid misleading representations. — To reduce reputational risk and potential regulatory action.

Churches & Religious Organizations (BT-0039)

Appetite Level: **Acceptable**

Preferred

- Organizations operating from well-maintained, modern facilities with up-to-date electrical and fire safety systems (reduces property and fire risk).
- Churches and religious organizations with established child protection policies and background checks for all staff and volunteers (mitigates abuse and liability exposures).
- Entities with no history of major property or liability claims in the past five years (demonstrates strong risk management).
- Operations with limited cooking activities using commercial-grade kitchen equipment and regular inspections (reduces food service and fire hazards).
- Organizations that do not serve or permit alcohol at events (minimizes liability exposures).
- Facilities with controlled access and security systems in place (reduces theft and vandalism risk).
- Churches with formalized volunteer management and training programs (improves safety and reduces negligence claims).
- Entities that regularly maintain and inspect playgrounds and youth areas (reduces injury risk for minors).
- Organizations with written emergency and evacuation plans (improves preparedness for incidents).
- Churches that contract with licensed vendors for maintenance and repairs (reduces property and liability exposures).

Acceptable

- Churches and religious organizations operating from older buildings that have undergone recent safety upgrades (partial mitigation of property risk).
- Facilities with occasional alcohol service under strict supervision and compliance with local laws (controlled liability exposure).
- Organizations with a moderate history of minor claims but evidence of corrective actions taken (shows risk awareness).
- Entities using volunteers for childcare and youth programs with documented training (addresses some liability concerns).
- Churches located in urban or higher-crime areas with security measures in place (mitigates theft and vandalism).
- Operations hosting large seasonal events with crowd control plans and event insurance (addresses group gathering risks).
- Facilities with basic kitchen equipment and limited food preparation (manageable food service risk).

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- Organizations with periodic, documented facility inspections for safety hazards (reduces slip-and-fall exposures).
 - Churches offering off-site community outreach with transportation plans and driver screening (addresses auto and liability risks).
 - Entities with a mix of paid staff and volunteers, all subject to background checks (addresses personnel risks).

Not Acceptable

- Organizations engaging in high-risk activities such as clay or shale digging (outside underwriting appetite).
- Churches with a history of severe abuse, molestation, or major liability claims (unacceptable risk profile).
- Facilities with outdated, uninspected electrical or heating systems and no plans for upgrades (high fire/property risk).
- Entities serving alcohol without proper licensing, controls, or supervision (unacceptable liability exposure).
- Operations with no child protection policies or background checks for staff/volunteers (unacceptable abuse risk).
- Churches that regularly host overnight events without adequate adult supervision or safety protocols (increased liability).
- Organizations with no formal maintenance or inspection routines for facilities (increased property and injury risk).
- Facilities located in areas with repeated incidents of theft, vandalism, or arson and no security measures (unacceptable property risk).
- Entities operating unlicensed daycare or childcare programs (regulatory and liability risk).
- Churches that allow unsupervised access to rooftops or hazardous building areas (unacceptable injury risk).
- Organizations with frequent, unsupervised off-site trips for minors (increased liability exposure).
- Churches that clean outside surfaces of buildings without proper safety equipment or training (unacceptable risk of falls/injury).
- Facilities with significant deferred maintenance or known structural hazards (unacceptable property risk).
- Entities that do not comply with local health codes or fire safety regulations (regulatory risk).
- Churches with no insurance coverage for special events or large gatherings (unacceptable liability exposure).

Restrictions (with Reasons)

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- **Rule:** Decline coverage for any organization engaging in clay or shale digging. — Such activities are outside the underwriting appetite and present unacceptable risk.
 - **Rule:** Do not accept risks where alcohol is served without proper licensing and supervision. — Uncontrolled alcohol service significantly increases liability exposure.
 - **Rule:** Require evidence of background checks for all staff and volunteers involved with minors. — To mitigate abuse and molestation risks.
 - **Rule:** Do not write coverage for facilities with outdated, uninspected electrical or heating systems. — Such conditions present a high fire and property risk.
 - **Rule:** Decline organizations with a history of severe abuse, molestation, or major liability claims. — Past severe claims indicate unacceptable risk.
 - **Rule:** Require compliance with all local health codes and fire safety regulations for food service operations. — Non-compliance increases regulatory and liability risks.
 - **Rule:** Do not accept risks where there are no formal child protection policies in place. — Lack of policies increases liability for abuse claims.
 - **Rule:** Restrict coverage for organizations that regularly clean outside building surfaces without proper safety protocols. — This activity presents an elevated risk of falls and injuries.
 - **Rule:** Do not accept risks for organizations operating unlicensed daycare or childcare programs. — Unlicensed operations present regulatory and liability exposures.
 - **Rule:** Require written emergency and evacuation plans for facilities with regular large gatherings. — Preparedness reduces risk during emergencies.
 - **Rule:** Do not write coverage for facilities with significant deferred maintenance or known structural hazards. — These conditions present unacceptable property and injury risks.

Clothing & Apparel (Retail & Wholesale) (BT-0040)

Appetite Level: **Preferred**

Preferred

- Retail clothing stores with inventory valued at or below \$500,000, minimizing exposure to theft and loss claims.
- Businesses with less than 75% of total revenue from online sales, reducing cyber and fulfillment risks.
- Operations with incidental repair or alteration services comprising less than 10% of total business activity, limiting liability exposure.
- Retailers and wholesalers with a central alarm system in place when inventory exceeds \$500,000, ensuring asset protection.
- Businesses using inventory management software and point-of-sale systems for efficient operations and loss prevention.
- Retailers located in shopping malls or standalone storefronts with established security protocols.
- Businesses maintaining compliance with all labor laws, safety standards, and consumer protection regulations.
- Operations with a balanced mix of physical and digital sales channels, supporting business resilience.
- Wholesalers supplying to boutiques and specialty shops with documented supply chain relationships.
- Businesses with seasonal staffing adjustments and inventory management aligned to peak sales periods.
- Applicants with liability rated on Business Personal Property (BPP) at 100% replacement cost value.
- Retailers that do not sell repackaged, relabeled, or private-label products, ensuring product traceability.
- Businesses with efficient theft prevention and loss mitigation strategies in high-traffic environments.
- Retailers with display fixtures and merchandising practices that meet industry safety standards.
- Operations with documented vendor relationships, including fabric suppliers and garment manufacturers.

Acceptable

- Retail clothing stores with inventory slightly above \$500,000, provided a robust central alarm system is installed.
- Businesses with online sales approaching but not exceeding 75% of total revenue, with strong cyber risk controls.

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- Operations offering minor alteration services up to the 10% threshold of total business activity.
 - Wholesalers with multiple distribution channels and documented inventory management practices.
 - Retailers in mixed-use commercial spaces with adequate security and compliance measures.
 - Businesses with temporary staffing during peak seasons and documented training protocols.
 - Operations with a history of compliance with insurance and liability requirements.
 - Retailers using both physical and digital sales channels, with a clear plan to maintain channel balance.
 - Businesses with inventory management practices designed to minimize excess stock and carrying costs.
 - Retailers with a central alarm system and additional security measures for high-value inventory.
 - Operations with a small percentage of sales from accessories and footwear in addition to apparel.
 - Businesses that have passed recent safety and regulatory inspections.
 - Retailers with a documented plan for loss prevention and theft mitigation.
 - Wholesalers with a history of timely vendor payments and supply chain reliability.
 - Businesses with a demonstrated ability to adapt to seasonal fluctuations in demand.

Not Acceptable

- Businesses with inventory exceeding \$500,000 and no central alarm system, increasing risk of loss.
- Operations with more than 75% of revenue from online sales, elevating cyber and fulfillment risks.
- Businesses selling repackaged, relabeled, or private-label products, compromising product traceability.
- Retailers or wholesalers with more than 10% of business activity in repair or alteration services.
- Businesses operating as supermarkets, grocery stores, convenience stores, or self-storage facilities.
- Pawnshops, tobacconists, or adult-themed businesses, due to elevated liability and regulatory risks.
- Hardware stores located in Florida or Louisiana, which are specifically excluded.
- Businesses classified as meat/fish markets with over 30% of sales in prepared food (classified as Restaurant).
- Operations with both retail and installation activities not quoted as retail or lacking contractor code consultation.
- Retailers in New York City or specified counties with any repair operations, due to local restrictions.
- Businesses lacking compliance with labor, safety, or consumer protection regulations.

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- Retailers with a history of significant theft or loss claims without corrective action.
 - Businesses with no documented inventory management or loss prevention practices.
 - Operations with excessive excess stock or poor inventory turnover.
 - Retailers or wholesalers with unverified or high-risk vendor relationships.

Restrictions (with Reasons)

- **Rule:** Inventory value should be at or below \$500,000 unless a central alarm system is installed. — Limits exposure to theft and loss claims and ensures asset protection for high-value inventory.
- **Rule:** Online sales must constitute less than 75% of total revenue. — Reduces cyber and fulfillment risks associated with high-volume e-commerce operations.
- **Rule:** Repair or alteration services must be less than 10% of total business activity. — Minimizes liability exposure from incidental repair operations.
- **Rule:** Businesses with inventory exceeding \$500,000 must have a robust central alarm system. — Required for insurance and liability compliance to safeguard high-value assets.
- **Rule:** Liability must be rated on Business Personal Property (BPP) at 100% replacement cost value. — Ensures adequate coverage in the event of loss or damage.
- **Rule:** Businesses selling repackaged, relabeled, or private-label products are ineligible. — Prevents product traceability issues and potential liability concerns.
- **Rule:** Businesses with more than 75% of revenue from online sales are ineligible. — High online sales increase cyber and fulfillment risks beyond acceptable thresholds.
- **Rule:** Hardware stores in Florida and Louisiana are ineligible. — Specific regional exclusions due to elevated risk or regulatory requirements.
- **Rule:** Supermarkets, grocery stores, convenience stores, self-storage, pawnshops, tobacconists, and adult-themed businesses are ineligible. — These business types present risks outside the intended appetite for this class.
- **Rule:** Meat/fish markets with over 30% sales in prepared food are classified as Restaurants. — Prepared food operations fall under a different risk and regulatory category.
- **Rule:** Retailers in New York City or specified counties cannot have any repair operations. — Local regulations prohibit incidental repair activities in these jurisdictions.
- **Rule:** Operations with both retail and installation activities must be quoted as retail and require contractor code consultation. — Ensures proper classification and risk assessment for mixed operations.

Clubs & Recreation Facilities (BT-0041)

Appetite Level: **Acceptable**

Preferred

- Clubs and recreation facilities with moderate-risk activities such as golf courses, tennis courts, swimming pools, and bowling alleys, as these offer structured environments with manageable exposures.
- Facilities with no on-site food or alcohol service, reducing liability related to foodborne illness or liquor law violations.
- Clubs with robust financial statements, stable cash flow, and adequate reserves, demonstrating financial stability and operational continuity.
- Facilities with comprehensive security measures, including controlled access points and surveillance systems, to deter unauthorized entry and enhance patron safety.
- Clubs with documented maintenance programs and regular equipment inspections, ensuring safe and reliable operations.
- Facilities that require all staff to complete formal training in safety, emergency response, and customer service, minimizing operational risks.
- Clubs that own or lease their operating premises, providing stability and control over the environment.
- Recreation facilities that maintain strong vendor relationships for timely supply of equipment and materials, supporting uninterrupted operations.
- Clubs with established protocols for evaluating and managing liability exposures related to sponsored activities and external events.
- Facilities that cater to families and community groups, fostering a positive and inclusive environment.

Acceptable

- Clubs offering food and/or alcohol service with strict controls, including trained servers and adherence to all local health and liquor laws, to mitigate liability exposures.
- Facilities with seasonal operations, provided they have appropriate staffing plans and risk management strategies for peak periods.
- Clubs that lease their premises under long-term agreements, ensuring operational continuity.
- Recreation facilities with moderate-risk activities that implement regular safety audits and compliance checks.
- Clubs that host member-only events with documented guest policies and liability waivers.
- Facilities with a mix of indoor and outdoor activities, provided all areas are subject to the same safety and maintenance standards.

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- Clubs that sponsor youth or senior programs with appropriate supervision and background checks for staff.
 - Facilities that contract with reputable vendors for food, beverage, or equipment supply, ensuring quality and compliance.
 - Service clubs and charitable organizations without cooking or liquor exposures, minimizing risk.
 - Clubs with a history of regulatory compliance and no significant violations in the past five years.

Not Acceptable

- Facilities offering high-risk activities such as rock climbing, trampoline parks, or motorized sports, due to elevated injury exposures.
- Clubs operating without owned or leased premises, except for office-only purposes, as this limits control over the environment.
- Operations with undocumented or inadequate maintenance and safety programs, increasing the risk of accidents.
- Facilities serving alcohol without trained servers or lacking strict adherence to local liquor laws, heightening liability.
- Clubs with a history of significant regulatory violations, fines, or unresolved compliance issues.
- Facilities with inadequate security measures, such as no controlled access or surveillance, exposing patrons and staff to risk.
- Clubs that regularly host large-scale public events without proper risk assessment or insurance coverage.
- Operations with insufficient financial reserves or unstable cash flow, indicating potential business continuity issues.
- Facilities that allow unsupervised access to pools, gyms, or other potentially hazardous areas.
- Clubs that do not require background checks or training for staff working with minors or vulnerable populations.
- Recreation facilities with frequent equipment failures or poor maintenance records.
- Clubs that sublet or share premises with unrelated high-risk businesses, increasing exposure to uncontrolled risks.
- Facilities with unresolved claims or ongoing litigation related to patron injury or property damage.
- Clubs that do not evaluate or manage liability exposures for sponsored or third-party activities.
- Operations that disregard local health, safety, or zoning regulations.

Restrictions (with Reasons)

- **Rule:** Clubs must own or lease the buildings or premises used for their operations. — Ownership or long-term lease provides control over the environment and ensures stability.

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- **Rule:** Operations without on-site food or alcohol service are preferred. — Eliminates exposures related to foodborne illness and liquor liability.
 - **Rule:** Facilities must have comprehensive security measures, including controlled access and surveillance systems. — Reduces risk of unauthorized entry, theft, and harm to patrons or staff.
 - **Rule:** Clubs providing food and/or alcohol service must have strict controls, including trained servers and compliance with local liquor laws. — Mitigates liability exposures and ensures regulatory compliance.
 - **Rule:** Facilities must maintain documented maintenance programs and employee training protocols. — Ensures safe operations and reduces risk of accidents or equipment failure.
 - **Rule:** Evaluate all sponsored activities and events for potential liability exposures. — Prevents unanticipated risks from third-party or external events.
 - **Rule:** Clubs without owned or leased buildings, except for office purposes, require referral for approval. — Lack of premises control increases operational and liability risks.
 - **Rule:** High-risk activities such as motorized sports, trampoline parks, or rock climbing are not acceptable. — These activities present elevated injury and liability exposures.
 - **Rule:** Clubs must demonstrate robust financial statements with stable cash flow and reserves. — Financial stability is essential for ongoing operations and risk management.
 - **Rule:** Service clubs and charitable organizations are only acceptable if there are no cooking or liquor exposures. — Cooking and liquor service introduce additional liability and compliance requirements.

Coffee Shops & Tea Houses (BT-0042)

Appetite Level: **Preferred**

Preferred

- Establishments operating in spaces of 7,500 square feet or less, ensuring manageable risk exposures and effective fire control.
- Seating capacity does not exceed 150 patrons, reducing crowd-related risks and facilitating safe evacuation.
- No alcohol service provided, minimizing liquor liability and related claims.
- No live entertainment or amplified music, reducing noise complaints and liability exposures.
- Continuous operation year-round with no more than 30 consecutive days closed, minimizing risks associated with property vacancy.
- Demonstrated strong fire safety protocols, including maintained extinguishers, clear exits, and regular fire drills.
- Menu focused on brewed beverages, snacks, and light meals, avoiding high-risk cooking operations.
- Staff trained in food safety and customer service, reducing the likelihood of foodborne illness claims.
- Effective inventory management practices to minimize spoilage and waste.
- Relationships with reputable local or regional suppliers for consistent product quality.
- Clean, well-maintained premises with regular sanitation schedules.
- No bar operations or areas dedicated solely to alcohol consumption.
- Loyalty programs and customer engagement strategies that do not increase liability risks.
- Compliance with all local health, safety, and zoning regulations.
- Seasonal menu adjustments without significant operational changes or closures.

Acceptable

- Establishments with minor seasonal closures not exceeding 30 consecutive days, provided security and maintenance protocols are in place.
- Limited live acoustic music during off-peak hours, with strict volume controls and no dance floor.
- Occasional private events, provided occupancy and operational guidelines are maintained.
- Shared kitchen or commissary use, if food safety and cleanliness standards are documented.
- Outdoor seating areas, provided they are within property boundaries and meet safety codes.
- Use of third-party delivery services, with clear protocols for food safety and order accuracy.
- Menu includes limited pre-packaged alcoholic beverages (e.g., beer, wine) with food, but no full bar service.

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- Temporary increases in seating for special events, not exceeding 10% above standard capacity and with prior approval.
 - Minor renovations or layout changes, provided fire exits and safety systems remain unobstructed.
 - Use of specialty equipment (e.g., nitro cold brew taps) with proper maintenance and safety training.
 - Participation in local markets or pop-up events, provided core operational guidelines are followed.
 - Limited use of open flames (e.g., candles) with strict fire safety measures.
 - Part-time or seasonal staffing, provided all employees receive required training.
 - Occasional menu expansion to include additional light meals, with no deep frying or high-risk cooking.
 - Shared building occupancy with other low-risk businesses, provided fire separation is adequate.

Not Acceptable

- Establishments exceeding 7,500 square feet in total floor area, increasing fire and liability exposures.
- Seating capacity above 150 patrons, creating evacuation and crowd control challenges.
- Full bar operations or primary focus on alcohol service, significantly increasing liquor liability.
- Live entertainment involving amplified music, DJs, or dance floors, raising noise and liability risks.
- Extended closures exceeding 30 consecutive days, resulting in increased vacancy and property risks.
- Non-compliance with fire safety codes, such as blocked exits or lack of extinguishers.
- Deep frying or use of commercial cooking equipment without proper fire suppression systems.
- Failure to adhere to local health, safety, or zoning regulations.
- Shared occupancy with high-risk businesses (e.g., nightclubs, cannabis dispensaries).
- History of frequent claims related to slip and fall, fire, or foodborne illness.
- No documented staff training in food safety or emergency procedures.
- Lack of regular cleaning and maintenance, leading to unsanitary conditions.
- Use of hazardous materials or equipment not typical for coffee shops or tea houses.
- Seasonal closures that leave the property vacant for extended periods without security.
- Any operation that does not primarily serve brewed beverages and light food items.

Restrictions (with Reasons)

- **Rule:** Maximum total floor area is 7,500 square feet. — Larger spaces increase fire and liability exposures beyond acceptable thresholds.
- **Rule:** Seating capacity must not exceed 150 patrons. — Higher occupancy complicates evacuation and increases crowd-related risks.

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- **Rule:** No alcohol service is permitted. — Alcohol service introduces significant liquor liability exposures.
 - **Rule:** No live entertainment or amplified music allowed. — Live entertainment increases noise complaints and liability claims.
 - **Rule:** Continuous operation is required; closures may not exceed 30 consecutive days. — Extended closures increase risks related to property vacancy and maintenance lapses.
 - **Rule:** Strong fire safety protocols must be demonstrated and maintained. — Fire safety is critical for loss prevention and underwriting eligibility.
 - **Rule:** No bar operations or areas dedicated solely to alcohol consumption. — Bar operations elevate liability and are outside the preferred risk profile.
 - **Rule:** Compliance with all local health, safety, and zoning regulations is mandatory. — Non-compliance can result in increased claims and regulatory action.
 - **Rule:** No deep frying or high-risk cooking operations without approved fire suppression. — High-risk cooking increases fire hazards and insurance exposures.
 - **Rule:** Premises must be clean and well-maintained at all times. — Poor maintenance leads to increased slip, trip, and foodborne illness claims.

Computer & Technology Services (BT-0043)

Appetite Level: **Preferred**

Preferred

- Businesses providing remote IT support and consulting services to small and medium-sized enterprises, as these typically involve low on-site exposure and manageable data security risks.
- Firms specializing in software development and application programming for commercial clients, given the controlled work environment and professional clientele.
- Managed service providers (MSPs) offering network monitoring, cybersecurity, and cloud management for business clients, due to established protocols and regulatory compliance.
- Technology consultants operating from home offices or co-working spaces with no client foot traffic, minimizing premises liability.
- Businesses providing data backup, recovery, and secure cloud storage solutions for other businesses, as these services are typically governed by strong security practices.
- IT training and education services delivered online or in classroom settings, with no direct hardware sales or installation.
- Firms offering website development, hosting, and maintenance for commercial clients, as these activities are primarily digital and pose limited physical risk.
- Businesses providing software installation and configuration services for standard business applications, with no custom hardware manufacturing.
- Providers of cybersecurity assessments and compliance consulting for regulated industries, given the professional nature and documentation of services.
- Technology service firms with established vendor relationships for hardware and software procurement, ensuring reliable supply chains and reduced operational disruption.

Acceptable

- Businesses providing on-site IT support and troubleshooting at client locations, provided proper safety protocols and background checks are in place.
- Firms engaged in limited hardware sales and installation, as long as they do not manufacture or modify equipment.
- Technology service providers offering remote helpdesk and customer support for individual consumers, with documented data protection policies.
- Small businesses managing data migration and system upgrades for educational institutions, with evidence of regulatory compliance.
- IT consultants who occasionally subcontract specialized work, provided subcontractor agreements and insurance are verified.
- Businesses providing technical support for non-profit organizations, with clear service agreements and data handling procedures.

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- Providers of managed print services, including printer and scanner maintenance, as long as no manufacturing or assembly is involved.
 - Firms offering software customization for off-the-shelf products, with no proprietary software development.
 - Businesses conducting periodic on-site network audits for clients, with appropriate safety and security measures.
 - Technology service providers participating in technology conferences or trade shows, provided activities are limited to demonstrations and consulting.

Not Acceptable

- Businesses manufacturing or assembling custom computer hardware or electronic devices, due to increased product liability exposure.
- Firms developing or distributing proprietary software for critical infrastructure (e.g., utilities, healthcare systems) without robust risk management protocols.
- Technology service providers operating data centers with physical server hosting for third parties, due to high property and cyber risk.
- Businesses providing IT services for cryptocurrency mining operations or blockchain infrastructure, given regulatory uncertainty and volatility.
- Firms offering technology services to cannabis-related businesses, due to federal legal restrictions.
- Providers of IT services for adult entertainment or gambling websites, due to reputational and regulatory concerns.
- Businesses with significant international operations in countries subject to US sanctions or embargoes.
- Firms involved in the repair or refurbishment of used or salvaged computer equipment, due to uncertain equipment history and liability.
- Technology service providers with a history of unresolved data breaches or regulatory violations.
- Businesses providing IT services for high-risk sectors such as defense contractors, weapons manufacturers, or surveillance technology.
- Firms offering services involving the operation or programming of production-type machinery or industrial automation systems.
- Technology service providers storing or processing unencrypted sensitive personal data without adequate security controls.
- Businesses with no formal data protection or cyber liability insurance in place.

Restrictions (with Reasons)

- **Rule:** Coverage excludes computers used to operate production-type machinery. — Such equipment presents higher operational and liability risks outside the intended scope.

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- **Rule:** No coverage for businesses manufacturing or assembling custom computer hardware. — Product liability and quality control risks are significantly higher in manufacturing operations.
 - **Rule:** Businesses must maintain current cyber liability insurance covering data breach notification and remediation expenses. — To ensure adequate protection against financial losses from data breaches.
 - **Rule:** Coverage is not available for businesses with a history of unresolved regulatory violations or data breaches. — Prior incidents indicate elevated risk and potential for future claims.
 - **Rule:** No coverage for IT services provided to cannabis, adult entertainment, or gambling industries. — These industries pose heightened legal, regulatory, and reputational risks.
 - **Rule:** Businesses must comply with all applicable data protection regulations (e.g., GDPR, CCPA). — Regulatory compliance is essential to mitigate legal and financial exposure.
 - **Rule:** No coverage for businesses providing services for critical infrastructure without documented risk management protocols. — Critical infrastructure projects require specialized controls and oversight.
 - **Rule:** Coverage excludes businesses operating physical data centers for third-party server hosting. — Data centers present significant property and cyber aggregation risks.
 - **Rule:** Businesses must have documented data handling and security policies. — Formal policies are necessary to reduce the risk of data loss or unauthorized access.
 - **Rule:** No coverage for businesses with significant international operations in sanctioned or embargoed countries. — Legal and compliance risks are elevated in these jurisdictions.

Concrete & Masonry Services (BT-0044)

Appetite Level: **Acceptable**

Preferred

- Residential concrete and masonry projects with experienced, licensed contractors and a strong safety record (minimizes risk of claims and regulatory issues).
- Commercial masonry work for low-rise office buildings with established safety protocols and regular safety audits (lower exposure to falls and structural failures).
- Projects with comprehensive risk management plans, including documented worker training and equipment maintenance schedules (demonstrates proactive risk mitigation).
- Contractors with no history of OSHA violations or major claims in the past five years (indicates strong compliance and risk control).
- Businesses with general liability, workers' compensation, and equipment breakdown coverage in place (ensures adequate protection for common exposures).
- Masonry services in regions with low natural disaster risk (reduces likelihood of catastrophic losses).
- Projects that do not involve hazardous materials or demolition activities (limits high-risk exposures).
- Contractors who regularly conduct environmental impact assessments for large projects (shows attention to regulatory and environmental risks).
- Operations with clear subcontractor management and risk transfer protocols (reduces liability from third-party actions).
- Projects with standard construction timelines allowing for weather delays (minimizes rushed work and associated accidents).

Acceptable

- Small-scale historic restoration projects with documented experience and specialized training (higher risk but manageable with expertise).
- Commercial masonry work on mid-rise buildings with enhanced safety measures and regular inspections (moderate risk due to project size).
- Contractors with one or two minor claims in the past five years but demonstrated improvements in safety practices (shows learning from past incidents).
- Projects involving limited use of scaffolding and ladders with strict adherence to fall protection standards (increased risk but controlled).
- Businesses operating in regions with moderate weather-related risks and contingency plans in place (seasonal delays possible but managed).
- Contractors using innovative materials or techniques with manufacturer support and training (potential unknowns but mitigated by training).

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- Projects with tight timelines but documented safety oversight and additional staffing (higher accident risk but offset by controls).
 - Contractors with moderate financial stability and positive client references (some risk but generally reliable).
 - Operations with periodic but not regular safety audits (acceptable if other controls are strong).
 - Projects requiring additional permits or regulatory oversight, provided all documentation is current (manageable with compliance).
 - Businesses with some subcontractor use and written agreements outlining liability (risk present but partially transferred).
 - Masonry work in urban areas with established emergency response plans (higher exposure but mitigated by planning).
 - Projects involving minor demolition activities with proper risk assessments (elevated risk but controlled).
 - Contractors with ongoing maintenance and repair contracts for commercial clients (unique exposures but manageable with experience).
 - Coverage limits set at industry standard levels for project size and complexity (adequate but not exceptional).

Not Acceptable

- Projects involving large-scale demolition or hazardous material abatement without specialized training or risk controls (unacceptable risk of injury and regulatory violations).
- Contractors with a history of major claims, OSHA violations, or regulatory penalties in the past three years (demonstrates ongoing risk and non-compliance).
- Businesses lacking general liability or workers' compensation insurance (unacceptable exposure to uninsured losses).
- Masonry services in high-risk natural disaster zones without adequate mitigation measures (catastrophic loss potential).
- Projects with no documented safety protocols or worker training programs (unacceptable risk of accidents and claims).
- Operations with frequent use of unvetted subcontractors and no written risk transfer agreements (excessive liability exposure).
- Contractors with poor financial stability or ongoing bankruptcy proceedings (high risk of project abandonment and unpaid claims).
- Projects requiring extensive use of scaffolding or ladders without fall protection plans (unacceptable injury risk).
- Businesses with repeated claims for property damage or bodily injury in the past two years (pattern of unsafe operations).

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- Masonry work involving unapproved or experimental materials without manufacturer support (unknown risks and liability).
 - Projects with unrealistic deadlines and no contingency planning for weather or supply chain delays (increased accident and claim risk).
 - Operations with no regular equipment maintenance or inspection records (higher likelihood of equipment failure and injury).
 - Contractors operating without required local permits or in violation of building codes (regulatory and legal exposure).
 - Projects with no environmental impact assessment where required by law (potential for fines and legal action).
 - Coverage requests with limits far below industry standards for project size and scope (inadequate protection for exposures).

Restrictions (with Reasons)

- **Rule:** No coverage for contractors with a history of major OSHA violations or regulatory penalties in the past three years. — Indicates ongoing non-compliance and elevated risk of future claims.
- **Rule:** Projects involving large-scale demolition or hazardous material abatement are excluded unless specialized risk controls are in place. — These activities present high risk of injury and regulatory scrutiny.
- **Rule:** All insureds must maintain active general liability and workers' compensation coverage. — Uninsured exposures can result in significant uncovered losses.
- **Rule:** Coverage not available for contractors operating without required local permits or in violation of building codes. — Non-compliance with regulations increases legal and claim risks.
- **Rule:** Projects in high-risk natural disaster zones require documented mitigation measures. — Catastrophic losses are more likely in these areas without proper planning.
- **Rule:** Subcontractor use must be governed by written agreements outlining risk transfer and liability. — Unmanaged subcontractor risk can result in unexpected claims.
- **Rule:** Coverage limits must be appropriate for the scale and complexity of the project. — Inadequate limits may leave exposures uninsured.
- **Rule:** Regular safety audits and documented worker training are required for all insureds. — Proactive safety management reduces accident frequency and severity.
- **Rule:** No coverage for projects using unapproved or experimental materials without manufacturer support. — Unknown risks and lack of support increase liability exposure.
- **Rule:** Contractors with ongoing bankruptcy proceedings are ineligible for coverage. — Financial instability increases risk of project abandonment and unpaid claims.

Convenience Stores (BT-0045)

Appetite Level: **Preferred**

Preferred

- Convenience stores located in non-urban or suburban areas with limited operating hours, closing before 10 PM, to reduce exposure to late-night crime.
- Store footprint is under 3,000 square feet, minimizing inventory and operational complexity.
- No onsite fuel sales or handling of hazardous materials, reducing environmental and fire risks.
- Strong physical security measures in place, including functioning alarm systems and surveillance cameras covering all customer and employee areas.
- Minimal or no history of theft, robbery, or liability claims in the past 3–5 years, indicating effective risk management.
- Limited food preparation or quick-service food options, with no extensive cooking or open-flame equipment.
- Clear separation between retail and food service areas to minimize cross-contamination and liability.
- Primary product offerings include canned goods, dairy, prepackaged meats, and shelf-stable items, reducing spoilage and contamination risks.
- Ancillary sales of newspapers, magazines, beverages, cigarettes, beer, wine, and novelties, provided all regulatory requirements are met.
- Documented cash handling procedures and regular staff training to mitigate theft and internal fraud.
- Adequate lighting inside and outside the premises to enhance security and deter criminal activity.
- Clean, organized environment with regular housekeeping and maintenance schedules to reduce slip, trip, and fall risks.
- Documented emergency response plan and regular staff drills to ensure preparedness for incidents.
- Regular security audits and reviews of safety measures to maintain eligibility for coverage.
- Reliable supply chain relationships with reputable wholesalers and distributors, ensuring consistent inventory availability.

Acceptable

- Convenience stores in mixed-use or light commercial areas with moderate evening hours, provided security measures are robust.
- Store size between 2,500 and 3,000 square feet with moderate inventory turnover and clear operational procedures.

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- Limited history of minor claims (theft, slip and fall) that have been addressed with corrective actions.
 - Limited cooking or food warming equipment, such as microwaves or hot dog rollers, with proper safety protocols.
 - Sales of beer, wine, and tobacco products in compliance with all local and state regulations.
 - Stores with a small number of ancillary services, such as lottery ticket sales or ATM machines, with appropriate security.
 - Stores with a single prior liability claim, provided corrective measures and documentation are in place.
 - Retail layout includes clear sightlines from the checkout area to all parts of the store for enhanced supervision.
 - Periodic but not continuous security audits, with willingness to implement recommended improvements.
 - Stores located in areas with moderate crime rates, provided enhanced security and staff training are demonstrated.
 - Documented cleaning and maintenance schedules, even if not daily, to maintain a safe environment.
 - Emergency response plans in place, though not regularly drilled, with staff aware of basic procedures.
 - Stores that have undergone recent renovations to improve security or layout, with supporting documentation.
 - Acceptable history of supply chain disruptions, provided contingency plans are documented.
 - Stores with moderate inventory levels and clear inventory management practices.

Not Acceptable

- Convenience stores with onsite fuel sales or gasoline pumps, due to increased fire and environmental hazards.
- Stores located in high-crime urban areas with extended or 24-hour operating hours, increasing exposure to theft and violence.
- Store size exceeding 3,000 square feet, indicating higher operational complexity and risk.
- History of multiple or severe claims related to theft, robbery, assault, or liability incidents within the past 3–5 years.
- Absence of physical security measures such as alarms, surveillance cameras, or adequate lighting.
- Handling or sale of hazardous products, chemicals, or materials not permitted by regulations.
- Extensive food preparation or cooking involving open flames, deep fryers, or commercial kitchens.

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- Lack of documented cash handling procedures or history of internal theft or fraud.
 - Stores with a cluttered, disorganized, or unsanitary environment, increasing liability and health risks.
 - No emergency response plan or staff training for crisis situations.
 - Failure to comply with local, state, or federal regulations regarding product sales or health and safety.
 - Frequent supply chain disruptions with no contingency planning, leading to inventory shortages.
 - No separation between retail and food service areas, increasing cross-contamination and liability risks.
 - Repeated failure to implement recommended security or safety improvements after audits.
 - Stores with a significant history of liability or environmental claims, or ongoing litigation.

Restrictions (with Reasons)

- **Rule:** No onsite fuel sales or gasoline pumps are permitted. — Fuel sales introduce significant fire, explosion, and environmental risks outside the appetite for standard convenience stores.
- **Rule:** Store size must not exceed 3,000 square feet. — Larger stores have greater operational complexity and inventory, increasing risk exposure.
- **Rule:** Operating hours must not extend beyond 10 PM. — Late-night operations are associated with higher rates of theft, robbery, and liability incidents.
- **Rule:** No handling or sale of hazardous products or chemicals. — Hazardous materials increase environmental and health risks, which are not acceptable for this business type.
- **Rule:** Physical security measures, including alarm systems and surveillance cameras, are mandatory. — Security systems are essential to deter and document theft, robbery, and other criminal activity.
- **Rule:** Stores must maintain a clean, organized environment with regular housekeeping. — Cleanliness reduces liability risks from slips, trips, falls, and food contamination.
- **Rule:** Documented cash handling procedures must be in place and followed. — Proper cash management reduces the risk of theft and internal fraud.
- **Rule:** No significant history of theft, robbery, or liability claims in the past 3–5 years. — A history of frequent claims indicates elevated risk and poor risk management.
- **Rule:** Limited food preparation only; no commercial kitchens or open-flame cooking allowed. — Extensive food preparation increases fire and health risks beyond acceptable levels.
- **Rule:** Adequate lighting must be provided inside and outside the premises. — Proper lighting deters crime and reduces the risk of accidents.
- **Rule:** Emergency response plan must be documented and accessible to all staff. — Preparedness for emergencies reduces the impact of incidents and liability exposure.
- **Rule:** Stores must comply with all local, state, and federal regulations regarding product sales and health standards. — Regulatory compliance is essential to minimize legal and liability risks.

Cosmetics & Toiletries (BT-0046)

Appetite Level: **Limited**

Preferred

- Retail-only operations selling pre-packaged, branded cosmetics and toiletries with no on-site manufacturing (lower product liability exposure)
- Businesses with annual gross sales under \$500,000 (reduced exposure to large-scale claims)
- Locations with no on-site mixing, blending, or repackaging of products (minimizes contamination risk)
- Retailers that source products exclusively from FDA-registered manufacturers (ensures regulatory compliance)
- E-commerce businesses with no physical customer interaction or in-person services (reduces premises liability)
- Retailers with robust inventory tracking and recall procedures (improves response to product issues)
- Businesses that do not offer any beauty treatments or application services (limits professional liability)
- Retailers with no private label or house-brand products (avoids additional manufacturing liability)
- Operations with no international product sales or distribution (limits jurisdictional risk)
- Retailers with written vendor agreements requiring suppliers to carry product liability insurance (risk transfer)
- Businesses with no history of product recalls or regulatory violations (demonstrates strong compliance)
- Retailers that do not sell products containing CBD, THC, or other controlled substances (avoids regulatory complications)

Acceptable

- Retailers with limited on-site product sampling or demonstrations (controlled exposure to product application)
- Businesses offering minor private label products sourced from reputable contract manufacturers (moderate manufacturing risk)
- Retailers with annual gross sales between \$500,000 and \$1,500,000 (moderate exposure)
- Operations with limited in-store services such as basic skin consultations (minimal professional liability)
- Retailers selling products that include natural or organic ingredients, provided all are FDA-compliant (ensures safety)

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- Businesses with a documented employee training program for product knowledge and safety (reduces risk of misapplication)
 - Retailers with a formalized customer complaint and incident reporting process (improves claims management)
 - Retailers that sell products for sensitive skin or allergy-prone customers, provided all products are hypoallergenic and tested (minimizes adverse reactions)
 - Retailers with minor international sales to countries with similar regulatory standards as the US (manageable jurisdictional risk)
 - Retailers that occasionally participate in pop-up events or trade shows (temporary increased exposure)
 - Retailers with a mix of branded and private label products, provided private label is under 25% of sales (limits manufacturing risk)

Not Acceptable

- Businesses manufacturing cosmetics or toiletries on-site (high contamination and product liability risk)
- Retailers selling products containing banned or restricted ingredients (regulatory non-compliance)
- Operations offering invasive beauty treatments (e.g., microneedling, injectables, chemical peels) (high professional liability)
- Retailers selling products with unsubstantiated health or medical claims (risk of regulatory action and lawsuits)
- Businesses with a history of product recalls, lawsuits, or regulatory violations (demonstrated risk)
- Retailers selling products containing CBD, THC, or other controlled substances (regulatory and legal exposure)
- Operations with no documented supplier vetting or quality control processes (increased risk of unsafe products)
- Retailers with significant international sales to countries with differing or lax regulatory standards (complex jurisdictional risk)
- Businesses that repackage or relabel bulk products without proper regulatory compliance (increased liability)
- Retailers offering permanent makeup, tattooing, or body modification services (high bodily injury risk)
- Businesses with annual gross sales exceeding \$2,000,000 (large-scale exposure)
- Retailers with no product recall or crisis management plan (unprepared for adverse events)
- Retailers selling products for infants or children under 3 years old (heightened safety standards and liability)
- Operations with a history of insurance claims related to product liability or professional services (demonstrated loss history)

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- Retailers selling imported products from unverified or unregulated suppliers (unknown safety and compliance)

Restrictions (with Reasons)

- **Rule:** No coverage for on-site manufacturing or blending of cosmetics or toiletries. — On-site manufacturing increases contamination and product liability risk.
- **Rule:** No coverage for businesses selling products containing banned, restricted, or controlled substances (e.g., CBD, THC). — Such products pose significant regulatory and legal risks.
- **Rule:** No coverage for operations offering invasive or medical-grade beauty treatments. — These services carry high professional and bodily injury liability.
- **Rule:** No coverage for businesses with a history of product recalls, regulatory violations, or lawsuits. — Past incidents indicate elevated risk and poor compliance.
- **Rule:** No coverage for retailers with annual gross sales exceeding \$2,000,000. — Large-scale operations exceed small business underwriting appetite.
- **Rule:** No coverage for retailers selling products for infants or children under 3 years old. — Products for young children are subject to stricter safety standards and higher liability.
- **Rule:** No coverage for businesses that repackage or relabel products without regulatory compliance. — Improper repackaging increases risk of mislabeling and contamination.
- **Rule:** No coverage for retailers selling imported products from unverified or unregulated suppliers. — Unverified imports may not meet safety or labeling standards.
- **Rule:** No coverage for operations with no documented supplier vetting or quality control process. — Lack of quality control increases risk of unsafe products reaching consumers.
- **Rule:** No coverage for retailers offering permanent makeup, tattooing, or body modification services. — These services present high bodily injury and infection risks.

Countertop & Surface Installation (BT-0047)

Appetite Level: **Acceptable**

Preferred

- Businesses with a documented history of compliance with local building codes and fire safety regulations, reducing regulatory and fire loss risks.
- Operations that require all subcontractors to provide proof of current liability insurance, minimizing liability exposure.
- Companies that conduct formal risk assessments prior to each installation project, identifying and mitigating potential hazards.
- Installers with at least three years of experience handling granite, quartz, marble, and laminate materials, reducing risk of installation errors.
- Businesses that maintain written safety protocols and provide regular safety training to all installation staff.
- Firms with clear, signed contracts outlining project scope, payment terms, and timelines for every installation project.
- Operations that have established relationships with reputable, reliable material suppliers, ensuring timely and quality material delivery.
- Companies with a clean claims history and no record of frequent or severe insurance claims in the past five years.
- Businesses that use only insured and vetted subcontractors for installation work.
- Firms that implement proper handling and storage procedures for all countertop materials to prevent accidental damage.
- Operations that regularly inspect and maintain installed surfaces as part of their service offering.
- Businesses that communicate potential installation risks and maintenance requirements clearly to clients.
- Companies with robust inventory management and supply chain controls to avoid project delays.
- Firms that have no history of non-payment to vendors or ongoing legal disputes.
- Operations that do not perform structural modifications unless proper engineering expertise and permits are obtained.

Acceptable

- Businesses with minor, resolved claims history but demonstrated improvements in risk management practices.
- Operations that occasionally use subcontractors but require proof of insurance and conduct basic vetting.

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- Installers with at least one year of experience and documented on-the-job training in countertop installation.
 - Companies that have informal but consistent safety protocols in place for installation processes.
 - Firms that primarily install non-structural surfaces and rarely engage in structural modifications.
 - Operations that experience moderate seasonality and adjust staffing accordingly to manage workload fluctuations.
 - Businesses that have experienced minor supply chain delays but have contingency plans to minimize project impact.
 - Companies that provide basic post-installation maintenance guidance to clients.
 - Firms that have had isolated vendor payment issues but have since resolved them and improved financial controls.
 - Operations that use standard contracts for most projects, with occasional exceptions for small jobs.
 - Businesses that have had minor regulatory infractions but have since implemented corrective actions.
 - Installers who have handled a limited range of materials but are expanding their expertise through training.
 - Companies that have experienced occasional accidental damage to materials but have claims management procedures in place.
 - Firms that use a mix of owned and rented equipment, ensuring all operators are trained.
 - Operations that have experienced minor legal disputes but resolved them without ongoing litigation.

Not Acceptable

- Businesses operating in premises that do not comply with fire safety codes, increasing fire and regulatory risks.
- Companies with a history of non-payment to vendors or ongoing, unresolved legal disputes.
- Operations that regularly use uninsured or unvetted subcontractors for installation work.
- Firms that perform structural modifications without proper engineering expertise or required permits.
- Businesses with frequent or severe insurance claims related to installation errors or property damage.
- Installers lacking formal training or experience with heavy materials such as granite and quartz.
- Operations with no documented safety protocols or history of safety violations.
- Companies that do not require or verify liability insurance from subcontractors.
- Firms with poor financial histories, including bankruptcy or repeated vendor payment issues.
- Businesses that fail to conduct risk assessments prior to project commencement.

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- Operations that have been cited for repeated non-compliance with local building codes.
 - Installers with a pattern of accidental chipping, cracking, or scratching of installed surfaces.
 - Companies that do not use contracts or have unclear project documentation.
 - Firms that have ongoing disputes with clients regarding installation quality or project completion.
 - Operations that store materials improperly, leading to frequent damage or loss.

Restrictions (with Reasons)

- **Rule:** All subcontractors must provide proof of current liability insurance before commencing work. — Reduces liability exposure from third-party contractors.
- **Rule:** Businesses must comply with all local building codes and fire safety regulations. — Non-compliance increases risk of regulatory action and fire-related losses.
- **Rule:** Structural modifications may only be performed with appropriate engineering oversight and permits. — Improper modifications can compromise building integrity and increase liability.
- **Rule:** Operations with unresolved legal disputes or history of non-payment to vendors are not eligible. — Indicates financial instability and increased risk of claims or litigation.
- **Rule:** Installers must have documented training and experience with all materials handled. — Reduces risk of installation errors and material damage.
- **Rule:** Written safety protocols must be in place and enforced for all installation activities. — Ensures consistent risk management and regulatory compliance.
- **Rule:** Risk assessments must be conducted prior to the start of each installation project. — Identifies and mitigates potential hazards before work begins.
- **Rule:** Clear, signed contracts outlining scope, payment terms, and timelines are required for all projects. — Prevents legal disputes and clarifies expectations for all parties.
- **Rule:** Businesses with frequent or severe claims history may be subject to higher premiums or coverage restrictions. — Indicates elevated operational risk and likelihood of future claims.
- **Rule:** Proper handling and storage procedures for materials must be documented and followed. — Prevents accidental damage and loss during installation.

Craft & Hobby Stores (BT-0048)

Appetite Level: **Preferred**

Preferred

- Retail stores specializing in hobby, craft, and model-building supplies with no sales or rentals of hazardous materials exceeding minimal quantities, reducing risk of fire or chemical exposure.
- Businesses with robust inventory control systems, including documented regular stock audits and secure storage areas to minimize shrinkage and loss.
- Shops with a clean safety record and no customer or employee injury claims in the past five years, indicating strong risk management.
- Premises that are well-maintained, with clear, unobstructed aisles and proper lighting throughout the retail space to prevent slips, trips, and falls.
- Businesses that strictly adhere to all applicable local fire and safety codes, including regular inspections and up-to-date permits.
- Stores that provide employee training on safe handling of craft tools, materials, and equipment, reducing workplace accidents.
- Shops that offer instructional classes or workshops and maintain appropriate professional liability insurance coverage for these activities.
- Retailers that source products from reputable vendors with documented safety and quality standards, minimizing risk of defective or unsafe merchandise.
- Locations with security measures such as monitored alarm systems and secure cash handling procedures to deter theft and loss.
- Businesses that implement regular cleaning schedules and pest control to maintain a hygienic environment.
- Stores with emergency exits clearly marked and unobstructed, and with staff trained in emergency evacuation procedures.
- Retailers that maintain up-to-date Material Safety Data Sheets (MSDS) for any chemicals or potentially hazardous materials on site.
- Shops that display clear signage for safety instructions and warnings where necessary, especially in workshop or demonstration areas.
- Businesses that limit the use of open flames, hot tools, or other high-risk equipment to supervised, designated areas only.
- Retailers that engage in community outreach and educational programs, fostering a positive reputation and responsible business practices.

Acceptable

- Hobby shops offering instructional classes or workshops, provided they carry appropriate professional liability coverage to address potential instructional risks.

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- Stores with minor, non-recurring maintenance issues that are promptly addressed and documented.
 - Businesses with a single, resolved minor claim related to customer or employee injury, with corrective actions implemented and no recurrence.
 - Retailers that temporarily store small quantities of hazardous materials (e.g., solvents, adhesives) in compliance with local regulations and with proper containment.
 - Shops with inventory control systems that are in the process of being upgraded, with a clear timeline for completion.
 - Stores operating in older buildings that have undergone recent safety upgrades and passed all relevant inspections.
 - Businesses that utilize third-party vendors for workshops, provided vendor insurance and credentials are verified.
 - Retailers with seasonal outdoor sales or events, provided all safety measures and permits are in place.
 - Shops that have implemented basic employee safety training, with plans for ongoing education.
 - Stores with minor, non-structural premises issues (e.g., chipped paint, worn flooring) that do not impact safety or operations.
 - Businesses that have undergone recent ownership changes, with documented continuity of safety and operational standards.
 - Retailers that have experienced minor inventory discrepancies, with corrective measures documented and implemented.
 - Shops that offer limited food or beverage items (e.g., bottled water, packaged snacks) for sale, provided all health codes are met.
 - Businesses that have recently expanded product lines, with updated safety protocols in place.
 - Stores that participate in local fairs or markets, provided all offsite activities are insured and compliant with safety standards.

Not Acceptable

- Shops that sell or rent hazardous materials (e.g., flammable chemicals, pressurized gases) in quantities exceeding minimal, consumer-safe amounts, increasing risk of fire or injury.
- Businesses with a history of multiple claims related to customer or employee injuries within the past five years, indicating poor risk management.
- Shops lacking documented inventory control systems or regular stock audits, increasing risk of loss and theft.
- Premises that do not meet local fire and safety codes, including missing or expired permits, or failed inspections.
- Stores with poorly maintained premises, such as blocked aisles, inadequate lighting, or visible structural hazards.

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- Businesses with unresolved pest infestations or sanitation violations, posing health risks to customers and staff.
 - Retailers that allow unsupervised use of high-risk equipment (e.g., open flames, power tools) by customers or untrained staff.
 - Shops operating without any form of professional liability coverage for instructional classes or workshops.
 - Businesses with a pattern of ignoring or delaying corrective actions after safety incidents or regulatory violations.
 - Stores that have experienced recent fires, major thefts, or other significant losses without documented remediation.
 - Retailers that store hazardous materials in unapproved or unsecured locations, violating local regulations.
 - Shops with repeated complaints or citations for accessibility violations, such as blocked emergency exits or lack of ADA compliance.
 - Businesses that fail to provide safety training or documentation for employees handling potentially dangerous materials.
 - Stores with evidence of counterfeit, recalled, or unsafe products on shelves.
 - Retailers that have been subject to regulatory shutdowns or cease-and-desist orders in the past three years.

Restrictions (with Reasons)

- **Rule:** No sales or rentals of hazardous materials exceeding minimal, consumer-safe quantities. — Reduces risk of fire, chemical exposure, and regulatory violations.
- **Rule:** Must maintain a clean safety record with no recent claims related to customer or employee injuries. — Indicates effective risk management and safe operating practices.
- **Rule:** Premises must be well-maintained, with clear aisles, proper lighting, and no visible hazards. — Prevents slips, trips, falls, and other common retail injuries.
- **Rule:** Strict adherence to all local fire and safety codes is required, including up-to-date permits and regular inspections. — Ensures compliance with legal requirements and reduces risk of catastrophic loss.
- **Rule:** Businesses must have documented inventory control systems, including regular stock audits and secure storage. — Minimizes loss from theft, shrinkage, and mismanagement.
- **Rule:** Instructional classes or workshops must be covered by appropriate professional liability insurance. — Protects against claims arising from instructional activities.
- **Rule:** No history of regulatory shutdowns, cease-and-desist orders, or unresolved safety violations in the past three years. — Demonstrates ongoing compliance and operational reliability.
- **Rule:** All hazardous materials must be stored in approved, secured locations with proper labeling and documentation. — Prevents accidental exposure and ensures regulatory compliance.

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- **Rule:** Emergency exits must be clearly marked, unobstructed, and accessible at all times. — Facilitates safe evacuation in case of emergency.
 - **Rule:** Employee safety training must be provided and documented for all staff handling tools, equipment, or hazardous materials. — Reduces risk of workplace accidents and injuries.
 - **Rule:** No evidence of counterfeit, recalled, or unsafe products on premises. — Protects customers and reduces liability exposure.

Dairy & Ice Cream Shops (BT-0049)

Appetite Level: **Acceptable**

Preferred

- Shops with no cooking on premises and no use of melters or hot food preparation equipment, as these present minimal fire hazards.
- Establishments with a documented, ongoing staff training program in food safety and customer service, reducing operational and liability risks.
- Locations with modern, well-maintained electrical systems and equipment, minimizing the risk of electrical fires.
- Businesses that maintain a strong relationship with reputable suppliers, ensuring consistent ingredient quality and reducing product liability exposure.
- Shops with a comprehensive ingredient labeling and allergen disclosure policy, mitigating risks of allergic reactions.
- Operations that conduct regular, documented risk assessments to identify and address potential hazards.
- Shops with security systems in place, such as surveillance cameras and alarm systems, to deter theft and vandalism.
- Businesses that demonstrate a proactive attitude towards loss prevention, including staff training on security protocols.
- Establishments located in high-traffic, well-lit areas, reducing the risk of burglary and vandalism.
- Shops that maintain a consistent level of staffing year-round, ensuring adequate training and operational safety.
- Operations with a history of compliance with all local health and safety regulations, minimizing regulatory risk.
- Businesses that have a documented equipment maintenance schedule, reducing the likelihood of mechanical or fire hazards.

Acceptable

- Shops with limited on-premises cooking, provided that mandatory fire suppression systems are installed and maintained.
- Businesses that use melters or similar equipment but have documented maintenance and cleaning protocols to prevent grease buildup.
- Establishments that employ seasonal or temporary staff, provided that all workers receive adequate food safety and operational training.
- Locations in suburban or mixed-use areas with moderate foot traffic, provided that security measures are in place.

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- Shops with some prior minor health code violations, if corrective actions have been documented and implemented.
 - Businesses that have experienced minor theft or vandalism incidents but have since upgraded security protocols.
 - Operations with older equipment, provided that maintenance records are up-to-date and equipment is in safe working order.
 - Shops that adjust staffing levels seasonally but maintain a core group of trained, permanent employees.
 - Establishments that have implemented ingredient labeling but are working towards full allergen disclosure compliance.
 - Businesses that conduct periodic, though not always regular, risk assessments and safety audits.
 - Shops with a moderate history of insurance claims, provided that loss prevention measures have been strengthened.

Not Acceptable

- Shops conducting on-premises cooking without a fire suppression system, as this presents a significant fire hazard.
- Establishments with a history of major health code violations or repeated food safety infractions.
- Businesses that do not provide any staff training in food safety or customer service, increasing operational and liability risks.
- Locations with persistent electrical issues or outdated wiring that has not been upgraded or inspected.
- Shops that lack any form of ingredient labeling or allergen disclosure, exposing the business to product liability claims.
- Operations with no documented equipment maintenance schedule or history of equipment-related incidents.
- Businesses located in isolated or high-crime areas with no security measures in place.
- Shops with a pattern of frequent theft, burglary, or vandalism incidents and no corrective action taken.
- Establishments that rely exclusively on temporary or untrained staff during peak seasons.
- Businesses that have failed to address previous insurance claim recommendations or loss prevention requirements.
- Shops with a history of significant product liability claims related to allergic reactions or foodborne illnesses.
- Operations that do not comply with local, state, or federal food safety regulations.
- Establishments that refuse to conduct risk assessments or implement safety improvements.

Restrictions (with Reasons)

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- **Rule:** Mandatory fire suppression systems are required for any shop conducting cooking on premises. — Cooking equipment increases fire risk; suppression systems are essential for safety and underwriting.
 - **Rule:** Shops must maintain documented food safety training for all staff, including temporary and seasonal workers. — Inadequate training increases the risk of foodborne illness and liability claims.
 - **Rule:** Ingredient labeling and allergen disclosure must be implemented for all products sold. — Proper disclosure reduces product liability exposure from allergic reactions.
 - **Rule:** Regular equipment maintenance and cleaning schedules must be documented and followed. — Poorly maintained equipment increases the risk of fire and operational breakdowns.
 - **Rule:** Security measures, such as surveillance cameras or alarm systems, are required for shops in areas with limited foot traffic. — Low-traffic locations are at higher risk for theft and vandalism.
 - **Rule:** Shops must comply with all local, state, and federal food safety regulations. — Non-compliance can lead to regulatory action and increased liability.
 - **Rule:** Risk assessments must be conducted at least annually to identify and mitigate hazards. — Regular assessments help prevent losses and ensure ongoing safety compliance.
 - **Rule:** Shops with a history of major health code violations or significant product liability claims are ineligible. — Such histories indicate unacceptable risk for underwriting.
 - **Rule:** Businesses must demonstrate a proactive attitude towards loss prevention for underwriting approval. — A safety-conscious approach reduces the likelihood of claims.
 - **Rule:** Shops relying exclusively on untrained or temporary staff during peak seasons are not eligible. — Lack of trained staff increases operational and liability risks.

Dance, Drama, & Music Schools (BT-0050)

Appetite Level: **Acceptable**

Preferred

- Businesses where all instructors hold current, verifiable certifications or professional qualifications relevant to their discipline, ensuring compliance with local regulations.
- Schools with a documented history of zero or minimal claims related to staff qualifications or facility safety within the past five years.
- Facilities that are purpose-built or recently renovated, featuring modern safety features such as sprung floors, secure sound systems, and accessible emergency exits.
- Operations that maintain up-to-date maintenance records for all equipment and facilities, demonstrating proactive risk management.
- Schools offering structured training programs for staff, including ongoing professional development and safety training.
- Businesses that require background checks and child safety clearances for all staff working with minors.
- Schools with robust risk management protocols, including written emergency procedures and regular safety drills.
- Operations that maintain active partnerships with accredited educational institutions for instructor training and curriculum development.
- Businesses with comprehensive liability insurance policies and a clean claims history.
- Schools that limit class sizes to ensure adequate supervision and safety for all participants.
- Operations that provide clear documentation of compliance with all local, state, and federal regulations regarding instructor qualifications and facility safety.
- Schools with a stable financial history and evidence of sound fiscal management.
- Businesses that offer age-appropriate programming and have clear policies for participant supervision.
- Schools that regularly review and update their marketing materials to ensure accuracy and compliance with advertising standards.
- Operations that have a formal process for evaluating and updating their curriculum based on student feedback and industry best practices.

Acceptable

- Businesses where the majority of instructors are certified or licensed, with a plan in place to bring all staff into compliance within a defined timeframe.
- Schools operating in leased or shared facilities that meet minimum safety and maintenance standards.

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- Operations with a moderate claims history, provided corrective actions have been implemented to address past issues.
 - Schools that conduct annual safety audits and address identified deficiencies promptly.
 - Businesses that provide basic staff training on safety and emergency procedures.
 - Schools that maintain adequate but not comprehensive liability insurance coverage.
 - Operations that occasionally exceed recommended class sizes but have additional staff or safety measures in place.
 - Schools offering a mix of group and individual instruction, with supervision policies for all activities.
 - Businesses that have informal partnerships with local organizations for instructor development.
 - Schools that serve a broad age range but have clear policies for age-appropriate instruction.
 - Operations that have experienced minor lapses in regulatory compliance but have since corrected deficiencies.
 - Schools that use standard marketing practices and have not been subject to regulatory action for advertising.
 - Businesses with some financial fluctuations but no history of insolvency or bankruptcy.
 - Schools that have experienced minor equipment or facility issues but have resolved them promptly.
 - Operations that are located in areas with moderate risk factors, such as urban centers with higher foot traffic.

Not Acceptable

- Businesses employing instructors without any verifiable certifications, licenses, or relevant professional qualifications.
- Schools with a history of repeated or unresolved claims related to staff misconduct, facility safety, or participant injury.
- Operations that fail to comply with local, state, or federal regulations regarding instructor qualifications or facility safety.
- Facilities with significant safety hazards, such as damaged floors, inadequate emergency exits, or non-functioning fire alarms.
- Schools that do not conduct background checks or child safety screenings for staff working with minors.
- Businesses operating without any form of liability insurance coverage.
- Schools with a documented history of financial instability, insolvency, or bankruptcy within the past three years.
- Operations that routinely exceed safe class sizes without adequate supervision or safety measures.

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- Schools that have been subject to regulatory action or closure due to non-compliance with health or safety standards.
 - Businesses that do not maintain or regularly inspect equipment and facilities, leading to increased risk of injury.
 - Schools that offer high-risk activities (e.g., aerial dance, pyrotechnics) without specialized safety protocols or qualified staff.
 - Operations that misrepresent staff qualifications or program offerings in marketing materials.
 - Schools that lack clear policies for participant supervision, especially for minors.
 - Businesses that have no documented risk management or emergency response procedures.
 - Schools located in areas with extreme risk factors, such as buildings with known structural deficiencies or in high-crime neighborhoods without adequate security.

Restrictions (with Reasons)

- **Rule:** Coverage is restricted or declined if any staff member lacks required certifications or professional qualifications for their instructional role. — Unqualified staff increase the risk of injury and regulatory non-compliance, leading to higher claims and potential legal action.
- **Rule:** Businesses must provide verifiable documentation of all instructor credentials during the underwriting process. — Verification ensures compliance with regulatory standards and reduces the risk of misrepresentation.
- **Rule:** Coverage is limited or declined for schools with a history of unresolved claims related to staff qualifications or facility safety. — A poor claims history indicates ongoing operational risks that are not being adequately addressed.
- **Rule:** Facilities must meet minimum safety standards, including functional emergency exits, fire alarms, and regular maintenance of equipment. — Unsafe facilities pose a significant risk to participants and increase the likelihood of claims.
- **Rule:** All staff working with minors must undergo background checks and child safety screenings. — Protecting vulnerable populations is a legal and ethical requirement for these businesses.
- **Rule:** Coverage is restricted for businesses operating without active liability insurance. — Liability insurance is essential for managing the financial impact of potential claims.
- **Rule:** Schools must have documented risk management and emergency response procedures in place. — Preparedness reduces the impact of emergencies and demonstrates responsible business practices.
- **Rule:** Businesses offering high-risk activities must have specialized safety protocols and qualified staff for those activities. — High-risk activities require additional oversight to mitigate the increased potential for injury.
- **Rule:** Coverage may be limited for businesses with unstable financial histories or recent insolvency. — Financial instability can impact a business's ability to maintain safe operations and meet regulatory requirements.

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- **Rule:** Schools must comply with all local, state, and federal regulations regarding instructor certifications and facility safety. — Regulatory compliance is necessary to operate legally and safely, reducing exposure to claims and penalties.

Day Care & Child Care Centers (BT-0051)

Appetite Level: **Acceptable**

Preferred

- Centers with no history of regulatory violations or licensing infractions, demonstrating consistent compliance with all state and local requirements.
- Facilities located in low-crime, suburban, or residential neighborhoods with strong community ties and visible security measures.
- Centers maintaining staff-to-child ratios that meet or exceed state-mandated minimums at all times.
- Operators who require and document ongoing staff training in child development, first aid, CPR, and emergency response.
- Centers with secure, controlled entry systems and comprehensive child-proofing throughout the premises.
- Facilities with documented emergency procedures, regular fire drills, and up-to-date evacuation plans.
- Centers that maintain thorough records of attendance, incidents, and parental communications.
- Operators with established relationships with reputable vendors for food, cleaning, and educational supplies.
- Centers that implement strict food allergy protocols and have clear plans for managing allergic reactions.
- Facilities with well-maintained, age-appropriate playground equipment and regularly inspected safety surfaces.
- Operators who provide regular parent updates and transparent incident reporting.
- Centers with no history of child injury, illness, or neglect claims in the past five years.

Acceptable

- Centers with minor, promptly resolved regulatory violations and a demonstrated commitment to compliance improvements.
- Facilities in mixed-use or urban areas with moderate crime rates, provided enhanced security measures are in place.
- Centers that occasionally fall slightly below optimal staff-to-child ratios but have corrective action plans documented.
- Operators who provide annual staff training but may not exceed minimum requirements.
- Centers with basic security features such as locked doors and visitor sign-in protocols.
- Facilities with up-to-date fire extinguishers and smoke detectors, but lacking advanced fire suppression systems.

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- Centers that have experienced isolated, non-severe child injury or illness claims, with corrective actions taken.
 - Operators who maintain adequate but not exemplary documentation of incidents and compliance.
 - Centers that outsource food preparation to licensed vendors with documented food safety practices.
 - Facilities with playground equipment that meets minimum safety standards but shows signs of normal wear.
 - Operators who communicate with parents primarily at pick-up/drop-off, with limited written updates.
 - Centers with a moderate history of staff turnover but stable core management.

Not Acceptable

- Centers located in high-crime or high-risk urban areas without robust security protocols or physical barriers.
- Facilities with repeated or unresolved violations of health, safety, or licensing regulations.
- Operators with a history of multiple claims related to child injury, illness, or neglect within the past three years.
- Centers lacking adequate staff-to-child ratios for extended periods or with chronic staffing shortages.
- Facilities operating without current state-mandated licenses or with lapsed certifications.
- Centers with documented incidents of child abuse, neglect, or failure to report suspected abuse.
- Operators who do not require staff background checks or fail to verify staff qualifications.
- Facilities with significant fire hazards, such as unattended stoves, malfunctioning heating equipment, or blocked exits.
- Centers with a pattern of failing to address food allergy risks or communicable disease outbreaks.
- Operators with poor or missing documentation of attendance, incidents, or regulatory compliance.
- Facilities with unsafe, broken, or outdated playground equipment posing injury risks.
- Centers with a history of significant property damage claims related to fire, water, or vandalism.
- Operators who do not maintain insurance coverage for liability or property risks.
- Facilities with evidence of pest infestations or unsanitary conditions.
- Centers that have been subject to license revocation or government-mandated closure in the past five years.

Restrictions (with Reasons)

- **Rule:** Do not accept centers located in high-crime or high-risk urban areas without advanced security measures. — Elevated risk of theft, violence, and liability for child safety incidents.

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- **Rule:** Decline facilities with repeated or unresolved violations of health, safety, or licensing regulations. — Demonstrates ongoing non-compliance and increased regulatory risk.
 - **Rule:** Do not write centers with a history of multiple claims related to child injury, illness, or neglect within the past three years. — Indicates systemic operational or supervision failures.
 - **Rule:** Exclude centers lacking adequate staff-to-child ratios for more than 30 days in the past year. — Insufficient supervision increases risk of accidents and regulatory action.
 - **Rule:** Do not accept facilities operating without current state-mandated licenses or with lapsed certifications. — Illegal operation and heightened exposure to fines or closure.
 - **Rule:** Decline centers with documented incidents of child abuse, neglect, or failure to report suspected abuse. — Severe liability and reputational risk.
 - **Rule:** Do not write centers with significant fire hazards, such as unattended stoves or malfunctioning heating equipment. — Increased risk of property loss and injury.
 - **Rule:** Exclude operators who do not require staff background checks or fail to verify staff qualifications. — Potential for unqualified or unsafe personnel caring for children.
 - **Rule:** Do not accept centers with a pattern of failing to address food allergy risks or communicable disease outbreaks. — Elevated risk of severe child illness or death.
 - **Rule:** Decline facilities with unsafe, broken, or outdated playground equipment. — Increased risk of child injury and liability claims.
 - **Rule:** Do not write centers with evidence of pest infestations or unsanitary conditions. — Health code violations and risk of disease transmission.

Delicatessens & Sandwich Shops (BT-0052)

Appetite Level: **Preferred**

Preferred

- Establishments with no cooking on premises, only food assembly using pre-prepared ingredients (minimizes fire and foodborne illness risk).
- Operations using only household-type appliances such as microwave ovens and toasters (reduces regulatory and fire exposure).
- Annual gross revenue less than \$500,000 (limits overall exposure and risk).
- No use of open flames or commercial cooking equipment (reduces fire hazard).
- Located in urban or suburban settings with standard retail foot traffic (predictable risk profile).
- Staffed primarily by part-time employees with food safety training (supports compliance and reduces liability).
- Ingredient sourcing from reputable, licensed vendors (ensures product quality and traceability).
- Compliance with all local health department regulations and food safety standards (reduces regulatory risk).
- No on-premises catering or event hosting (limits crowd and liability exposure).
- No alcohol sales or service (reduces liability and regulatory complexity).
- No deep frying, grilling, or broiling equipment present (minimizes fire and grease risks).
- No drive-thru operations (reduces auto and pedestrian exposure).
- No delivery vehicles owned or operated by the business (limits auto liability exposure).
- No outdoor seating or patio service (reduces slip, trip, and fall exposures).
- No use of hazardous cleaning chemicals or storage of flammable materials (limits environmental and fire risk).

Acceptable

- Limited use of household-type cooking appliances with clear safety protocols (slightly increased risk, but manageable).
- Annual gross revenue between \$500,000 and \$1,000,000 (higher exposure, but within acceptable limits).
- Occasional catering for small events off-premises (increases exposure, but manageable with controls).
- Shared kitchen spaces with other low-risk food businesses (requires additional oversight).
- Limited outdoor seating with clear safety measures in place (increases slip/trip risk, but can be managed).
- Minimal use of commercial refrigeration or warming equipment (slightly higher equipment risk).

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- Participation in third-party delivery services (increases exposure, but risk is transferred).
 - Seasonal menu changes or promotions that do not significantly alter operations (manageable operational variance).
 - Minor renovations or expansions that do not introduce new cooking methods (temporary construction risk).
 - Use of pre-packaged desserts or snacks for resale (low additional exposure).
 - Limited sale of bottled non-alcoholic beverages (minimal additional risk).
 - Located in mixed-use buildings with adequate fire separation (slightly increased fire risk).
 - Occasional pop-up or temporary locations for special events (short-term, manageable risk).
 - Use of part-time or temporary staff during peak periods (requires additional training oversight).
 - Participation in local farmers markets or food fairs (short-term, off-site exposure).

Not Acceptable

- Any establishment with open flame cooking (e.g., gas burners, grills, broilers) on premises (significant fire hazard).
- Use of deep fryers or commercial-grade cooking equipment (increases fire and liability risk).
- Annual gross revenue exceeding \$1,000,000 (exceeds risk appetite for this class).
- On-premises catering or hosting of large events (increases crowd and liability exposure).
- Sale or service of alcoholic beverages (introduces liquor liability and regulatory risk).
- Drive-thru operations or significant auto exposure (increases accident and liability risk).
- Ownership or operation of delivery vehicles (auto liability exposure not acceptable).
- Non-compliance with local health department or food safety regulations (unacceptable regulatory risk).
- History of foodborne illness outbreaks or repeated health code violations (demonstrates poor risk management).
- Use of hazardous chemicals or improper storage of flammable materials (environmental and fire risk).
- Operations in high-crime or high-risk locations without adequate security measures (increased theft/vandalism risk).
- Significant portion of revenue from non-food retail or unrelated business activities (diverges from core appetite).
- Shared kitchen spaces with high-risk food operations (e.g., full-service restaurants, catering kitchens).
- Extensive on-site food preparation involving raw meats or seafood (increases contamination risk).
- Lack of employee food safety training or certification (increases risk of foodborne illness and liability).

Restrictions (with Reasons)

- **Rule:** No open flame cooking or use of commercial-grade cooking equipment is permitted. — Open flames and commercial equipment significantly increase fire and liability risk.
- **Rule:** Annual gross revenue must not exceed \$500,000 for preferred status. — Higher revenues indicate increased exposure and operational complexity.
- **Rule:** Only household-type appliances (microwave ovens, toasters) may be used for food preparation. — Household appliances present lower fire and regulatory risk than commercial equipment.
- **Rule:** No on-premises catering or event hosting is allowed. — Large gatherings increase liability and crowd management risks.
- **Rule:** No sale or service of alcoholic beverages. — Alcohol sales introduce liquor liability and regulatory complexity.
- **Rule:** No ownership or operation of delivery vehicles. — Owning or operating vehicles increases auto liability exposure.
- **Rule:** Compliance with all local health department and food safety regulations is mandatory. — Non-compliance increases risk of regulatory action and foodborne illness.
- **Rule:** No deep frying, grilling, or broiling equipment allowed on premises. — These cooking methods present significant fire and grease risks.
- **Rule:** No outdoor seating or patio service for preferred status. — Outdoor areas increase slip, trip, and fall exposures.
- **Rule:** Ingredient sourcing must be from licensed, reputable vendors. — Ensures food quality and traceability, reducing contamination risk.
- **Rule:** All staff must receive food safety training appropriate to their duties. — Proper training reduces the risk of foodborne illness and liability.

Department & Discount Stores (BT-0053)

Appetite Level: **Acceptable**

Preferred

- Department stores with annual sales over \$500,000 and diversified product lines, with less than 10% of revenue from repair services (ensures primary retail focus).
- Department stores with robust inventory management systems and documented loss prevention protocols (reduces shrinkage risk).
- Discount stores located in suburban shopping centers with established customer traffic (lower crime and property risk).
- Department stores with less than 25% of receipts from installation or off-premises services (limits exposure to liability from non-retail activities).
- Department stores with no on-premises cooking or food preparation (minimizes fire and health risks).
- Discount stores with a history of compliance with local, state, and federal retail regulations (demonstrates responsible operations).
- Department stores with dedicated security staff and surveillance systems (reduces theft and liability exposure).
- Department stores with less than 75% of revenue from online sales (maintains physical retail focus).
- Discount stores with established vendor relationships and diversified supply chains (reduces supply disruption risk).
- Department stores with documented employee training programs for customer service and safety (improves risk management).

Acceptable

- Department stores with annual sales under \$500,000 and limited product categories (smaller scale, manageable risk).
- Discount stores operating in mixed-use retail plazas (moderate exposure to neighboring business risks).
- Department stores with up to 10% incidental repair operations, except in New York City and restricted counties (within acceptable operational limits).
- Department stores with seasonal inventory adjustments and promotional sales (common retail practice).
- Discount stores with limited on-premises food sales, provided no cooking occurs (minimizes health code risk).
- Department stores with less than 25% of receipts from installation services (acceptable ancillary activity).

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- Department stores with standard retail equipment such as cash registers, barcode scanners, and inventory software (industry norm).
 - Discount stores with a diverse customer base and moderate foot traffic (typical retail exposure).
 - Department stores with a history of minor regulatory violations that have been corrected (demonstrates improvement).
 - Discount stores with less than 10% of revenue from repair or alteration services (within acceptable limits).

Not Acceptable

- Department or discount stores with more than 75% of revenue from online sales (not primarily physical retail).
- Department stores with on-premises commercial kitchens or significant food preparation (increases fire and health risks).
- Department or discount stores operating as supermarkets or convenience stores (ineligible business type).
- Department stores with more than 10% of revenue from repair operations (exceeds allowable ancillary activity).
- Department or discount stores located in high-crime urban areas without security measures (unacceptable risk exposure).
- Department stores with significant pawnshop, tobacconist, or adult-themed product sales (ineligible business activity).
- Department or discount stores operating as self-storage or with self-storage services (not a retail operation).
- Department stores with a history of repeated regulatory violations or non-compliance (demonstrates poor risk management).
- Department or discount stores with more than 25% of receipts from installation or off-premises services (exceeds acceptable limit).
- Department stores with unlicensed or undocumented employees (violates labor and regulatory requirements).
- Department or discount stores with significant on-premises repair shops (not incidental to retail).
- Department stores classified as supermarkets or with primary grocery operations (ineligible class).
- Department or discount stores operating in New York City or restricted counties with any repair operations (not allowed).
- Department stores with more than 30% of sales in prepared food (classified as restaurant, not retail).
- Department or discount stores with no physical retail presence (online-only operations are ineligible).

Restrictions (with Reasons)

- **Rule:** Department stores with more than 75% of revenue from online sales are ineligible. — Business must be primarily physical retail to qualify.
- **Rule:** Supermarkets, convenience stores, self-storage, pawnshops, tobacconists, and adult-themed businesses are not eligible. — These business types fall outside the acceptable retail classification.
- **Rule:** Incidental repair operations must not exceed 10% of revenue, except in New York City and certain counties where any repair is prohibited. — Limits exposure to non-retail risks and complies with local regulations.
- **Rule:** Department stores with on-premises cooking or commercial kitchens are not acceptable. — Cooking increases fire and health risks beyond acceptable retail exposure.
- **Rule:** Department stores with more than 25% of receipts from installation or off-premises services are not eligible. — Excessive non-retail activity increases liability and operational risk.
- **Rule:** Department stores with more than 30% of sales in prepared food are classified as restaurants and are not eligible. — Prepared food sales shift the business classification to restaurant.
- **Rule:** Unlicensed or undocumented employees are not permitted. — Violates labor laws and increases regulatory risk.
- **Rule:** Department stores must comply with all local, state, and federal retail regulations. — Non-compliance increases risk of fines, closure, and liability.
- **Rule:** Department stores must not operate as primary grocery stores or supermarkets. — Grocery operations are classified separately and are not eligible.
- **Rule:** Department stores must not operate as self-storage facilities or offer self-storage services. — Self-storage is not a retail business and is outside the appetite.

Detective & Security Services (BT-0054)

Appetite Level: **Acceptable**

Preferred

- Unarmed security guard services for commercial office buildings with monitored central alarm systems in place (ensures lower risk and compliance with key requirements).
- Private investigation firms specializing in background checks and surveillance for corporate clients (minimal physical risk exposure).
- Security consulting businesses providing risk assessments and security audits without direct involvement in physical security operations (advisory only, no field work).
- Unarmed patrol services for gated residential communities with contents under \$500,000 (lower value, reduced theft risk).
- Security system installation and monitoring companies not involved in on-site armed response (technology-focused, not personnel-based).
- Event security services for small-scale, private functions with no alcohol service and no cash handling (controlled environment, limited liability).
- Loss prevention consulting for retail stores not involving physical apprehension of suspects (advisory, not enforcement).
- Security staffing agencies providing only unarmed, licensed personnel to low-risk venues (compliance with licensing, lower risk profile).
- Alarm monitoring centers with no field response teams (remote operations, minimal physical exposure).
- Security training providers offering classroom-based instruction only (no field exercises, no live weapons).

Acceptable

- Unarmed security guard services for retail establishments with contents valued under \$500,000 (moderate risk, manageable exposure).
- Mobile patrol services for industrial sites with adequate lighting and surveillance systems (increased exposure, but mitigated by controls).
- Unarmed security for educational institutions during regular hours (youth exposure, but unarmed and regulated).
- Security consulting for event organizers of medium-sized public events with crowd control plans in place (some crowd risk, but mitigated by planning).
- Private investigation services involving field surveillance in low-crime areas (some field risk, but not high-crime).
- Security guard services for residential apartment complexes with monitored access and security cameras (multi-unit risk, but mitigated).

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- Unarmed security for warehouses with contents between \$250,000 and \$500,000 (moderate property value, unarmed only).
 - Security system installation for small businesses with no cash handling or on-site armed response (technology risk only).
 - Unarmed security for healthcare facilities with established emergency protocols (vulnerable population, but protocols in place).
 - Security personnel for parking facilities with video surveillance and regular police patrols (property crime risk, but controls present).

Not Acceptable

- Armed security guard services of any kind without separate underwriting review (strictly excluded due to high liability).
- Security operations for nightclubs, bars, or venues with regular alcohol service (high violence and liability exposure).
- Bodyguard or executive protection services involving armed personnel (high personal risk, not within standard appetite).
- Security for cannabis dispensaries or other high-value/high-risk businesses (elevated theft and regulatory risk).
- Unlicensed or uncertified security personnel deployments (non-compliance with regulatory requirements).
- Security services for locations with contents exceeding \$500,000 without a monitored central alarm system (non-compliance with key safeguard).
- Failure to report protective system failures to insurer within 48 hours (violates reporting requirements, increases risk).
- Security services for correctional facilities, detention centers, or prisons (extreme risk environment).
- Armed response teams for alarm monitoring companies (armed operations not within standard appetite).
- Security for large-scale public events (over 5,000 attendees) without comprehensive risk management plans (mass casualty potential).
- Security services for political rallies, protests, or demonstrations (civil unrest risk).
- Security for cash-in-transit or armored car operations (high theft and armed robbery risk).
- Security for construction sites with high-value equipment and no perimeter controls (theft and vandalism risk).
- Security services for international operations or overseas assignments (jurisdictional and regulatory complications).
- Security for jewelry stores, pawn shops, or other high-value retail with inadequate safeguards (target for armed theft).

Restrictions (with Reasons)

- **Rule:** Locations with contents valued over \$500,000 must have a monitored central alarm system. — Reduces theft and property loss risk for high-value locations.
- **Rule:** Failures of protective systems must be reported to the insurer within 48 hours. — Ensures timely risk mitigation and compliance with policy conditions.
- **Rule:** Coverage is limited to unarmed operations; armed security services require separate underwriting review. — Armed operations present significantly higher liability and require specialized assessment.
- **Rule:** All security personnel must be properly licensed and certified as required by local and state regulations. — Regulatory compliance is essential to reduce legal and operational risks.
- **Rule:** No coverage for security services at nightclubs, bars, or venues with regular alcohol service. — These environments have elevated risk of violence and liability claims.
- **Rule:** No coverage for cash-in-transit, armored car, or similar high-risk operations. — These services are targeted for theft and armed robbery, exceeding standard risk appetite.
- **Rule:** No coverage for security services at correctional facilities, detention centers, or prisons. — Extreme risk environments with high potential for violence and liability.
- **Rule:** No coverage for unlicensed or uncertified security personnel deployments. — Non-compliance with licensing laws increases legal exposure and invalidates coverage.
- **Rule:** No coverage for security services at cannabis dispensaries or other federally restricted businesses. — Regulatory uncertainty and elevated crime risk make these operations outside standard appetite.
- **Rule:** No coverage for international or overseas security operations. — Jurisdictional and regulatory complexities increase risk and complicate claims handling.

Diaper & Linen Services (BT-0055)

Appetite Level: **Preferred**

Preferred

- Businesses with a documented history of OSHA compliance and no regulatory violations, ensuring adherence to safety standards.
- Operations utilizing automated equipment for washing, drying, and folding, which reduces manual handling risks and workplace injuries.
- Long-standing businesses (5+ years in operation) with a clean safety and claims record, demonstrating operational stability.
- Facilities with documented, routine equipment maintenance schedules and logs, minimizing breakdowns and fire hazards.
- Businesses with comprehensive employee safety training programs, including chemical handling and ergonomics.
- Self-service laundries and linen supply operations with minimal on-site chemical storage or use, reducing exposure risks.
- Companies with established relationships with reputable textile and chemical vendors, ensuring consistent supply chain quality.
- Operations with a proactive risk management approach, including regular safety audits and incident reporting.
- Businesses with a strong reputation in the community, as evidenced by positive client references or reviews.
- Facilities with clear, written hygiene and contamination control protocols, especially for healthcare and childcare clients.
- Operations that have implemented environmental best practices for waste disposal and chemical use.
- Businesses with a dedicated safety officer or risk manager overseeing compliance and training.
- Pickup and delivery services with well-maintained, insured vehicles and documented driver safety training.
- Companies that maintain comprehensive insurance coverage, including liability and workers' compensation.
- Operations with low employee turnover, indicating a stable and well-trained workforce.

Acceptable

- Businesses with moderate chemical use but established safety protocols and PPE requirements in place.
- Newer operations (1–5 years) with documented safety practices and no history of claims or violations.

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- Facilities with partially automated equipment but clear manual handling procedures and training.
 - Operations serving a mix of commercial and residential clients, provided hygiene standards are maintained.
 - Companies with periodic (but not continuous) equipment maintenance records and responsive repair protocols.
 - Businesses with some prior minor claims, provided corrective actions and improved safety measures are documented.
 - Operations that have passed recent regulatory inspections with only minor findings addressed promptly.
 - Facilities with basic environmental compliance measures, such as proper chemical storage and waste disposal.
 - Businesses with seasonal fluctuations in demand, provided staffing and workload management are addressed.
 - Companies with a written, but not yet fully implemented, risk management plan.
 - Operations with moderate manual handling, provided ergonomic training and lifting aids are available.
 - Businesses with a mix of experienced and new staff, provided all receive initial and ongoing safety training.
 - Facilities with shared or leased equipment, provided maintenance responsibilities are clearly defined.
 - Operations with some reliance on third-party vendors for cleaning agents, provided vendor safety data is reviewed.
 - Businesses with a history of minor regulatory infractions that have been fully resolved and not repeated.

Not Acceptable

- Operations with a history of regulatory violations, including OSHA or environmental breaches, indicating poor compliance.
- Businesses with frequent employee injuries or high workers' compensation claims, reflecting unsafe work practices.
- Facilities lacking documented employee safety training or hygiene protocols, increasing risk of accidents and contamination.
- Operations with significant chemical exposure and no established safety measures or PPE requirements.
- Businesses with inadequate or infrequent equipment maintenance, leading to increased fire or mechanical failure risk.
- Companies with poor safety records, including repeated or unresolved claims or incidents.

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- Operations that do not comply with environmental regulations regarding waste disposal or chemical use.
 - Businesses with high manual handling requirements and no ergonomic controls or lifting aids.
 - New businesses with no operational or safety history and no documented risk management plan.
 - Facilities with outdated or malfunctioning equipment that poses safety hazards.
 - Operations with high fire exposure due to improper storage of flammable materials or lack of fire suppression systems.
 - Businesses with no insurance coverage for liability or workers' compensation.
 - Companies with a pattern of failing regulatory inspections or ignoring corrective action requirements.
 - Operations with untrained or unsupervised staff handling hazardous chemicals.
 - Businesses lacking clear operational controls or documented procedures for contamination prevention.

Restrictions (with Reasons)

- **Rule:** New businesses without a documented safety or operational history may be subject to coverage restrictions or higher premiums. — Lack of historical data increases uncertainty regarding risk management and claims potential.
- **Rule:** Operations with frequent employee injuries or high claims frequency are not eligible for preferred or standard coverage. — High claims indicate ongoing safety issues and increased loss potential.
- **Rule:** Businesses with unresolved or repeated regulatory violations are ineligible for coverage. — Non-compliance with regulations poses significant legal and reputational risks.
- **Rule:** Facilities lacking documented equipment maintenance schedules may be restricted or declined. — Poor maintenance increases the risk of equipment failure and fire hazards.
- **Rule:** Operations with significant chemical exposure must provide evidence of safety protocols and PPE usage. — Chemical hazards require strict controls to protect employee health and reduce liability.
- **Rule:** Businesses without comprehensive employee safety training programs will not qualify for preferred rates. — Training is essential to prevent workplace injuries and ensure regulatory compliance.
- **Rule:** Operations with high manual handling and no ergonomic controls may face coverage limitations. — Manual handling increases the risk of musculoskeletal injuries and associated claims.
- **Rule:** Companies failing to comply with environmental regulations regarding waste and chemical disposal are not acceptable risks. — Environmental non-compliance can result in fines, legal action, and reputational damage.

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- **Rule:** Businesses lacking a written risk management plan or incident reporting process may be subject to additional underwriting scrutiny. — Documented risk management is necessary for effective loss prevention and claims control.
 - **Rule:** Operations with outdated or malfunctioning equipment must upgrade or repair before coverage is considered. — Unsafe equipment increases the likelihood of accidents and operational disruptions.

Door & Window Installation/Sales (BT-0056)

Appetite Level: **Acceptable**

Preferred

- Businesses with a documented employee safety training program and regular safety audits; reduces risk of workplace injuries.
- Operations that exclusively use licensed and insured subcontractors; ensures liability transfer and compliance.
- Installers with a five-year or longer history of minimal or no claims; demonstrates strong risk management.
- Companies that maintain written installation procedures and quality control checklists; supports consistent workmanship.
- Firms specializing in residential, low-rise commercial, or light commercial projects; lower exposure than high-rise or industrial.
- Businesses sourcing doors and windows from reputable, certified manufacturers; reduces product liability exposure.
- Operations with documented subcontractor agreements including hold harmless and insurance requirements; mitigates vicarious liability.
- Installers carrying both product liability and professional liability insurance; comprehensive risk transfer.
- Companies with a stable, full-time workforce and minimal reliance on temporary or untrained labor; lowers accident risk.
- Businesses that perform post-installation inspections and customer satisfaction follow-ups; reduces likelihood of claims.
- Firms with a written policy prohibiting uninsured subcontractor use; ensures compliance and risk mitigation.
- Operations with a clear claims reporting and management process; facilitates prompt resolution and loss control.

Acceptable

- Businesses with some documented safety procedures but lacking regular audits; moderate risk.
- Installers using a mix of insured and uninsured subcontractors but with oversight; increased liability exposure.
- Companies with a moderate claims history but evidence of corrective action; manageable risk.
- Operations performing both residential and small-scale commercial installations; standard exposure.
- Firms sourcing materials from multiple vendors with some quality assurance measures; moderate product liability risk.

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- Businesses with a mix of experienced and newer employees, provided training is ongoing; manageable training risk.
 - Installers with partial documentation of installation procedures; some risk of inconsistent quality.
 - Companies that occasionally perform emergency repairs or replacements; higher risk but manageable.
 - Operations that experience moderate seasonality and adjust staffing accordingly; standard business risk.
 - Businesses with some reliance on temporary labor but with supervision; increased but controlled risk.
 - Installers with a history of claims related to minor property damage but no major losses; acceptable with controls.
 - Firms with basic subcontractor agreements but lacking full insurance verification; moderate liability risk.

Not Acceptable

- Businesses with a history of frequent or severe claims related to improper installation or property damage; indicates poor risk management.
- Operations employing untrained or unverified laborers for installations; high risk of accidents and poor workmanship.
- Installers using uninsured subcontractors without oversight or contractual risk transfer; exposes business to significant liability.
- Companies performing high-rise, industrial, or hazardous installations without specialized training and insurance; unacceptable risk.
- Firms lacking any documented safety procedures or employee training; high likelihood of workplace injuries.
- Businesses with no product liability or professional liability coverage; exposes business to catastrophic losses.
- Operations with a pattern of non-compliance with local building codes or regulatory requirements; legal and financial exposure.
- Installers with a history of regulatory violations or license suspensions; indicates ongoing compliance issues.
- Companies manufacturing wood doors and windows without adherence to specific underwriting guidelines; unmanageable risk.
- Businesses involved in drug distribution or manufacturing under this classification; misclassification and unacceptable exposure.
- Operations performing paving, repaving, or concrete work under this classification; incorrect risk category.

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- Installers with no subcontractor agreements or insurance requirements; exposes business to vicarious liability.
 - Firms with a history of uninsured claims or open litigation; unresolved risk.
 - Businesses with significant exposure to hazardous materials or environmental violations; unacceptable risk.

Restrictions (with Reasons)

- **Rule:** No acceptance of risks with a history of frequent or severe claims related to installation defects. — Indicates poor quality control and high future claims potential.
- **Rule:** Uninsured or unverified subcontractors are strictly prohibited. — Creates significant liability exposure for the insured.
- **Rule:** High-rise, industrial, or hazardous installation projects require specialized underwriting and are generally not acceptable. — These projects present elevated risk profiles outside standard appetite.
- **Rule:** Lack of documented employee safety training or installation procedures is not permitted. — Absence of safety protocols increases accident and claims risk.
- **Rule:** Product liability and professional liability coverage must be in place for all installers. — Essential to protect against claims arising from installation errors or product failures.
- **Rule:** Non-compliance with local building codes or regulatory requirements is not acceptable. — Legal non-compliance exposes the business to fines and litigation.
- **Rule:** Businesses involved in unrelated activities such as drug manufacturing, distribution, or paving are excluded. — Misclassification leads to unanticipated exposures and incorrect underwriting.
- **Rule:** Manufacturers of wood or non-wood doors/windows must adhere to specific underwriting guidelines. — Manufacturing risks differ from installation and require separate evaluation.
- **Rule:** Open or unresolved litigation related to installations is a disqualifier. — Indicates ongoing risk and potential for future claims.
- **Rule:** Use of temporary or untrained labor without supervision is not allowed. — Increases the likelihood of accidents and poor workmanship.
- **Rule:** No acceptance of risks with a pattern of regulatory violations or license suspensions. — Demonstrates ongoing compliance issues and increased risk.

Dry Cleaning & Laundry Services (BT-0057)

Appetite Level: **Acceptable**

Preferred

- Dry cleaning plants that do not clean rugs or carpets, as these avoid the higher risks associated with heavy-duty solvents and large-scale operations.
- Laundry and dry cleaning pick-up stations with no on-premises cleaning, reducing exposure to chemicals and equipment hazards.
- Clothing alteration, pressing, and repair services, as these involve minimal use of hazardous chemicals and present lower operational risks.
- Clothing rental businesses that include cleaning services, provided all cleaning is performed on-site and meets regulatory standards.
- Linen supply services that handle only standard linens and do not process industrial or medical-grade materials.
- Photocopying and blueprinting services offered as ancillary to laundry operations, with limited use of chemicals.
- Funeral directors utilizing dry cleaning services for garment care, as this represents a stable, specialized customer base.
- Businesses maintaining annual equipment servicing by certified technicians, with maintenance records available for inspection.
- Laundry services for clubs and organizations, provided cleaning is limited to standard garments and uniforms.
- Laundry services for hotels, restaurants, and similar businesses, provided all regulatory and environmental standards are met.

Acceptable

- Self-service laundries that are attended at all times, ensuring compliance with local regulations and reducing unattended risk.
- Diaper service businesses that use approved cleaning agents and maintain strict hygiene protocols.
- Dry cleaning services that offer minor clothing repairs and alterations as a secondary service.
- Laundry services for student housing and residential buildings, provided equipment is regularly maintained.
- Letter service (mailing or addressing) offered as a minor ancillary service within a laundry or dry cleaning business.
- Photographic studios and photofinishing laboratories operating in conjunction with laundry services, provided chemical storage is compliant.
- Engraving services offered as a minor ancillary business within a laundry or dry cleaning facility.

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- Laundry services for small medical offices, provided all biohazard protocols are strictly followed.
 - Businesses with robust inventory management systems to track garments and reduce loss or mix-ups.
 - Operations with established vendor relationships for cleaning chemicals and equipment, ensuring supply chain reliability.
 - Laundry services for small-scale events or temporary needs, provided cleaning volumes remain within standard operational limits.
 - Businesses that implement seasonal staffing adjustments to manage peak demand periods.
 - Laundry services that use environmentally friendly solvents and detergents in compliance with local regulations.
 - Operations that provide customer loyalty programs and local marketing to maintain a stable customer base.
 - Laundry services for funeral homes, provided all cleaning is limited to standard garments.

Not Acceptable

- Coin-operated laundries and dry cleaners that are entirely self-service and unattended, due to increased risk of misuse and regulatory non-compliance.
- Industrial laundries processing large volumes of medical, hazardous, or industrial textiles, due to heightened exposure to contaminants and regulatory complexity.
- Dry cleaning plants that clean rugs, carpets, or other heavy-duty items, as these require specialized equipment and pose higher environmental risks.
- Businesses that do not maintain annual equipment servicing by certified technicians or lack accessible maintenance records.
- Operations that use unapproved or banned cleaning solvents, violating environmental or health regulations.
- Businesses that fail to obtain required licenses or permits for dry cleaning or laundry operations.
- Facilities with a history of regulatory violations, including improper disposal of chemicals or failure to meet health codes.
- Electrotyping, linotyping, lithographing, and photoengraving operations conducted as primary business activities, due to increased chemical and equipment hazards.
- Power laundries that operate automatically and without adequate staffing or oversight.
- Businesses that do not provide attended services during all hours of operation.
- Laundry services that process biohazardous or infectious materials without proper protocols and certifications.
- Operations that lack proper ventilation or environmental controls for solvent use.
- Businesses that store large quantities of flammable or hazardous chemicals without proper containment.

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- Dry cleaning or laundry services located in residential buildings without commercial zoning approval.
 - Businesses that do not comply with local, state, or federal environmental and health regulations.

Restrictions (with Reasons)

- **Rule:** All dry cleaning and laundry equipment must be serviced by certified technicians at least annually. — Ensures operational safety and reduces risk of equipment failure or accidents.
- **Rule:** Maintenance records for all equipment must be available for review at any time. — Provides verifiable proof of compliance with safety and operational standards.
- **Rule:** Coin-operated laundries and dry cleaners that are self-service and unattended are restricted. — Unattended operations increase risk of misuse, theft, and regulatory non-compliance.
- **Rule:** Industrial laundries processing hazardous or medical textiles are restricted. — Handling hazardous materials introduces significant health and regulatory risks.
- **Rule:** Use of unapproved or banned cleaning solvents is prohibited. — Non-compliant chemicals pose environmental and health hazards.
- **Rule:** Businesses must obtain and maintain all required licenses and permits. — Licensing ensures compliance with local, state, and federal regulations.
- **Rule:** Operations must comply with all environmental and health regulations regarding chemical use and disposal. — Improper handling of chemicals can result in fines, closures, or environmental damage.
- **Rule:** Electrotyping, linotyping, lithographing, and photoengraving as primary business activities are restricted. — These processes involve hazardous chemicals and equipment not typical of standard laundry operations.
- **Rule:** Power laundries that operate automatically without adequate staffing are restricted. — Lack of oversight increases risk of accidents and equipment misuse.
- **Rule:** Dry cleaning or laundry services located in non-commercially zoned buildings are restricted. — Improper zoning may violate local ordinances and increase liability.
- **Rule:** Businesses must have proper ventilation and environmental controls for solvent use. — Reduces risk of fire, health hazards, and regulatory violations.
- **Rule:** Processing of biohazardous or infectious materials without proper protocols is prohibited. — Protects staff and customers from exposure to dangerous pathogens.

Educational & School Supply Stores (BT-0058)

Appetite Level: **Preferred**

Preferred

- Retail establishments primarily selling educational materials, school supplies, stationery, and art supplies to students, parents, and educators.
- Inventory values maintained under \$500,000 to limit property loss exposure.
- Physical premises located in commercial districts, shopping centers, or near educational institutions.
- Stores with standard security measures, including locked display cases and adequate lighting throughout the premises.
- Staffed by sales associates, inventory managers, and store managers with product knowledge.
- No in-store instructional activities, classes, or workshops conducted on the premises.
- No equipment or supply rentals offered to customers.
- Limited online sales exposure, with e-commerce revenue comprising less than 25% of total annual sales.
- Regular inventory assessments and seasonal promotions focused on back-to-school and holiday periods.
- Compliance with all applicable safety standards for products, especially those intended for children (e.g., non-toxic materials).
- Use of point-of-sale systems and inventory management software for operational efficiency.
- Bulk sales to schools and educational institutions as part of regular business operations.
- No on-site food or beverage service provided to customers.
- No repair or alteration services for products sold.
- No consignment sales or acceptance of used goods for resale.

Acceptable

- Inventory values exceeding \$500,000 only if a centrally monitored alarm system is installed and maintained.
- Stores with a small online sales presence where e-commerce revenue is between 25% and 40% of total sales, provided robust cyber security measures are in place.
- Premises located in mixed-use buildings, provided retail area is physically separated from other occupancies.
- Occasional after-hours events for product launches or seasonal promotions, provided no instructional activities are included.
- Use of additional security measures such as video surveillance and alarmed exits.

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- Sales of limited educational electronics (e.g., calculators, basic tablets) as a minor product line.
 - Bulk orders shipped directly from vendors to schools or institutions, bypassing store inventory.
 - Temporary seasonal kiosks or pop-up locations operated by the main store entity.
 - Participation in local school supply drives or donation programs.
 - Stores with a small section for teacher resources or classroom décor.
 - Premises with shared parking lots or common areas, provided store security is not compromised.
 - Sales of gift cards or store credit for educational supplies.
 - Stores open extended hours during peak seasons with adequate staffing and security.
 - Use of third-party delivery services for online or phone orders.
 - Limited sale of branded merchandise (e.g., school spirit wear) as a minor revenue stream.

Not Acceptable

- Any store offering equipment rentals (e.g., projectors, musical instruments, sports equipment) to customers.
- Premises hosting in-store instructional activities, classes, workshops, or tutoring sessions.
- Inventory values exceeding \$500,000 without a centrally monitored alarm system in place.
- Stores with more than 40% of total revenue derived from online sales or e-commerce platforms.
- Sale of hazardous, flammable, or regulated materials (e.g., chemicals, industrial art supplies) not intended for general educational use.
- Acceptance of used goods, consignment sales, or resale of secondhand educational materials.
- On-site repair, alteration, or customization services for products sold.
- Operation of food or beverage service within the premises.
- Lack of standard security measures such as locked display cases and adequate lighting.
- Premises located in residential buildings or home-based operations.
- Stores operating as part of a larger retail chain with non-educational primary business focus.
- Failure to comply with safety standards for children's products (e.g., non-toxic certification).
- Stores with significant exposure to cyber risks due to lack of adequate data protection or cyber liability controls.
- Locations with a history of repeated theft, vandalism, or security breaches.
- Stores operating in high-crime areas without enhanced security protocols.

Restrictions (with Reasons)

- **Rule:** Inventory value must remain under \$500,000 unless a centrally monitored alarm system is installed. — Limits property loss exposure and ensures adequate security for higher-value inventory.

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- **Rule:** No equipment rentals or lending of supplies to customers. — Reduces liability and property damage risks associated with rental operations.
 - **Rule:** No in-store instructional activities, classes, or workshops permitted. — Prevents increased liability exposures related to participant injury or supervision.
 - **Rule:** Online sales must not exceed 25% of total annual revenue. — Minimizes cyber risk and exposure to data breaches or e-commerce fraud.
 - **Rule:** Physical premises must have standard security measures, including locked display cases and adequate lighting. — Deters theft and ensures a safe environment for customers and staff.
 - **Rule:** No acceptance of used goods, consignment sales, or resale of secondhand items. — Prevents quality control issues and potential liability from defective or unsafe products.
 - **Rule:** No on-site food or beverage service allowed. — Eliminates risks of foodborne illness and additional health code compliance.
 - **Rule:** All products intended for children must comply with applicable safety standards (e.g., non-toxic certification). — Ensures customer safety and compliance with regulatory requirements.
 - **Rule:** No repair, alteration, or customization services for products sold. — Reduces liability for workmanship errors and product modification risks.
 - **Rule:** Store must not be located in residential buildings or operated as a home-based business. — Ensures appropriate commercial risk controls and separation from residential exposures.

Electrical Equipment & Supplies (BT-0059)

Appetite Level: **Acceptable**

Preferred

- Businesses engaged in wholesale distribution of UL-listed electrical components with no on-site installation services (lower liability exposure).
- Retail stores specializing in consumer-grade electrical supplies with no private label products (reduced product liability risk).
- Manufacturers of low-voltage wiring and cabling for residential and commercial use with documented quality control processes.
- Electrical equipment distributors with established vendor relationships and robust inventory management systems.
- Businesses providing installation of lighting fixtures in non-industrial, non-hazardous environments by licensed electricians.
- Electronic component wholesalers with no manufacturing or assembly operations on premises.
- Retailers of lighting products with no direct importation or private branding (minimizing recall exposure).
- Electrical supply stores with less than 20% of revenue from industrial or high-voltage products.
- Businesses offering only sales and delivery of electrical supplies, with no installation or repair services.
- Operations with documented compliance to NEC and local electrical codes.
- Businesses with cyber risk controls in place, including encrypted payment systems and employee training.
- Operations with no involvement in design, engineering, or modification of electrical systems.
- Businesses with no history of product recalls or regulatory violations in the past five years.
- Retailers with robust theft prevention and inventory tracking systems.
- Distributors with no involvement in power generation or transmission equipment.

Acceptable

- Manufacturers of electrical parts or accessories for commercial use with limited export activity.
- Electrical supply businesses offering minor installation services (e.g., fixture replacement) performed by licensed staff.
- Retailers with up to 30% of sales from imported products, provided all items are certified to US standards.
- Distributors handling both residential and light commercial electrical equipment, excluding high-voltage items.

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- Businesses providing installation of electrical equipment in office or retail settings (no industrial or hazardous locations).
 - Manufacturers of electronic components with documented safety testing and recall protocols.
 - Retailers selling a mix of electrical and electronic products, with clear separation of inventory and sales records.
 - Businesses with up to 10% of revenue from private label products, provided all are certified and insured.
 - Operations with occasional on-site service work, provided all technicians are licensed and insured.
 - Distributors with limited involvement in specialty or niche electrical products (e.g., renewable energy components).
 - Businesses with a history of one minor regulatory violation, fully resolved and documented.
 - Manufacturers with limited electroplating operations and appropriate environmental controls.
 - Retailers with seasonal spikes in inventory, provided inventory management protocols are in place.
 - Businesses with up to 25 employees, including a mix of sales, technical, and administrative staff.
 - Operations with documented environmental compliance for waste disposal and recycling.

Not Acceptable

- Manufacturers of high-voltage power generation or transmission equipment (exceeds risk parameters).
- Businesses involved in design, engineering, or installation of electrical systems in hazardous or industrial environments.
- Operations manufacturing or distributing unlisted or uncertified electrical products.
- Manufacturers or distributors with a history of product recalls or unresolved regulatory violations in the past five years.
- Businesses involved in direct installation of electrical systems in hospitals, data centers, or critical infrastructure.
- Manufacturers of electrical equipment for use in aircraft, marine, or railway applications.
- Operations with significant electroplating or hazardous material handling without environmental controls.
- Businesses providing consulting engineering or architectural services engaged in actual construction.
- Manufacturers of batteries, capacitors, or other energy storage devices with lithium or other hazardous chemistries.
- Businesses with more than 30% of revenue from private label or imported products lacking US certification.

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- Operations with a history of major theft, fire, or inventory loss in the past three years.
 - Businesses lacking documented compliance with NEC, UL, or local electrical codes.
 - Manufacturers or distributors of counterfeit or gray-market electrical products.
 - Operations with no cyber security protocols or history of data breaches.
 - Businesses with ongoing litigation related to product liability or environmental violations.

Restrictions (with Reasons)

- **Rule:** No coverage for manufacturing or distribution of high-voltage power generation or transmission equipment. — These operations present elevated liability and catastrophic loss exposures.
- **Rule:** Businesses must demonstrate compliance with NEC, UL, and all applicable local codes. — Regulatory compliance is essential to minimize product liability and safety risks.
- **Rule:** No coverage for businesses involved in design, engineering, or installation of electrical systems in hazardous or industrial environments. — These activities present complex risks outside standard appetite.
- **Rule:** Product recall coverage is required for businesses selling lighting products under their own brand. — Private label products increase exposure to recall and liability claims.
- **Rule:** No coverage for operations with unresolved regulatory violations or product recalls in the past five years. — Past violations indicate ongoing compliance and risk management issues.
- **Rule:** Businesses must have documented cyber security protocols for handling customer and payment data. — Cyber threats are significant in retail and distribution operations.
- **Rule:** No coverage for manufacturers or distributors of uncertified, counterfeit, or gray-market electrical products. — Uncertified products pose unacceptable safety and liability risks.
- **Rule:** No coverage for businesses with significant electroplating or hazardous material handling unless environmental controls are in place. — Environmental exposures require specialized risk management.
- **Rule:** Inventory coverage is limited to documented, secured storage locations. — Unsecured or off-site inventory increases risk of theft and loss.
- **Rule:** Consequential losses, such as loss of use or market, are excluded from coverage. — These losses are difficult to quantify and outside standard policy terms.
- **Rule:** Installation floater coverage is only available for lighting fixtures and supplies in transit or during installation. — Limits exposure to specific, insurable events.
- **Rule:** No coverage for businesses with ongoing litigation related to product liability or environmental violations. — Active litigation indicates unresolved risk and potential for large losses.

Electronics Stores & Repair (BT-0060)

Appetite Level: **Preferred**

Preferred

- Business has operated at the current insured location for more than 3 years, demonstrating operational stability.
- Physical storefront is located in a commercial area with high foot traffic, such as a shopping center or urban district.
- Installation of a central or local alarm system with 24/7 monitoring is in place to enhance security and deter theft.
- Less than 75% of total annual revenue is derived from online sales, indicating a primary focus on in-person retail and service.
- Documented history of low slip-and-fall claims, reflecting strong safety and risk management practices.
- Stable financial performance is evidenced by consistent revenue and positive cash flow over the past 3 years.
- All technicians are adequately trained and certified for electronic device repair, ensuring compliance with industry standards.
- Inventory management system is in place to track products and manage repairs efficiently.
- Customer service policies are documented and address inquiries, warranty claims, and service follow-ups.
- Business maintains strong relationships with reputable vendors and suppliers, ensuring reliable inventory sourcing.
- Compliance with all local zoning, health, and safety regulations is documented and up to date.
- No history of major theft, burglary, or vandalism claims at the current location in the past 3 years.
- Workshop area is physically separated from retail space to ensure safe and efficient repair operations.
- No rental of equipment to customers, minimizing liability exposure.
- Products/completed operations coverage is in place and evaluated for repair services provided.

Acceptable

- Business has operated at the current location for 1–3 years, showing some operational experience.
- Physical storefront is located in a mixed-use or suburban area with moderate foot traffic.
- Alarm system is installed but monitoring is limited to business hours only.
- Online sales account for 75–90% of total annual revenue, but a physical storefront is maintained and staffed.

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- One or two minor slip-and-fall claims in the past 3 years, with corrective actions documented.
 - Financial performance is stable but with minor fluctuations in revenue or cash flow.
 - Technicians have on-the-job training but lack formal certification; ongoing training is documented.
 - Inventory management is manual but records are kept and regularly updated.
 - Customer service policies are informal but consistently applied by staff.
 - Vendor relationships are adequate, with occasional supply chain delays.
 - Minor lapses in regulatory compliance have occurred but were promptly corrected.
 - One minor theft or vandalism claim in the past 3 years, with improved security measures implemented.
 - Workshop and retail areas are not fully separated but safety protocols are in place.
 - No equipment rental to customers, but occasional short-term equipment loans to business partners.
 - Products/completed operations coverage is in place but not regularly reviewed for adequacy.

Not Acceptable

- Business has operated at the current insured location for less than 1 year, indicating insufficient operational history.
- No physical storefront; business operates exclusively online or from a residential address.
- No alarm system or monitoring is installed, resulting in increased risk of theft and loss.
- More than 90% of total annual revenue is derived from online sales, with minimal or no in-person customer interaction.
- History of multiple slip-and-fall claims or ongoing safety hazards not addressed.
- Unstable financial performance, including negative cash flow or recent bankruptcy filings.
- Technicians lack adequate training or certification, increasing risk of improper repairs.
- No inventory management system in place, leading to frequent stockouts or lost items.
- No documented customer service policies, resulting in inconsistent handling of complaints and claims.
- Vendors and suppliers are unvetted or unreliable, causing frequent inventory shortages.
- Repeated violations of local zoning, health, or safety regulations.
- Multiple major theft, burglary, or vandalism claims at the current location in the past 3 years.
- Workshop and retail areas are combined without safety barriers, increasing risk of accidents.
- Rental of equipment to customers is conducted, exposing the business to additional liability.
- No products/completed operations coverage in place for repair services provided.

Restrictions (with Reasons)

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- **Rule:** Business must have operated at the current insured location for over 3 years. — Demonstrates operational stability and reduces risk associated with new ventures.
 - **Rule:** Installation of a central or local alarm system with monitoring is required. — Reduces risk of theft and enhances overall security.
 - **Rule:** Less than 75% of total revenue may be derived from online sales. — Ensures primary business operations are conducted in-person, reducing certain liability exposures.
 - **Rule:** Rental of equipment is prohibited for hardware stores. — Prevents increased liability associated with equipment use off-premises.
 - **Rule:** A documented history of low slip-and-fall claims is preferred. — Indicates strong safety practices and effective risk management.
 - **Rule:** Stable financial performance is necessary. — Ensures business viability and ability to maintain insurance obligations.
 - **Rule:** Evaluate products and completed operations coverage carefully if repair services are provided. — Mitigates liability risks associated with faulty repairs or defective products.
 - **Rule:** Products/completed operations coverage for hearing aid stores must include professional liability. — Addresses the specific risks associated with professional advice and fitting of hearing aids.
 - **Rule:** Compliance with all local zoning, health, and safety regulations is mandatory. — Reduces regulatory risk and potential for business interruption.
 - **Rule:** No history of major theft, burglary, or vandalism claims at the current location in the past 3 years. — Indicates effective security measures and lowers future risk.

Embroidery & Custom Apparel (BT-0061)

Appetite Level: **Preferred**

Preferred

- Businesses engaged exclusively in embroidery and custom apparel production, with no ancillary personal services, ensuring operational focus and reduced liability.
- Operations with contents valued under \$500,000, minimizing exposure to large property losses.
- Businesses utilizing commercial-grade embroidery and screen printing equipment maintained per manufacturer guidelines, supporting safe and efficient production.
- Facilities with strict adherence to local alarm and security requirements, reducing theft and property risk.
- Businesses sourcing materials from established, reputable vendors with documented supply chain practices, ensuring quality and reliability.
- Operations with written health and safety protocols for staff, including training on machinery and chemical handling, reducing workplace injury risk.
- Businesses with a documented quality control process for finished products, minimizing customer complaints and returns.
- Locations compliant with all local zoning and occupancy regulations, ensuring legal operation and minimizing regulatory risk.
- Businesses with no history of regulatory violations or insurance claims related to fire, theft, or workplace injury.
- Operations with clear separation between production and administrative areas, reducing cross-contamination and improving workflow safety.
- Businesses that do not perform any high-risk repairs, such as lithium-ion battery refurbishment, limiting exposure to hazardous activities.
- Facilities with up-to-date fire suppression systems and regular safety inspections, reducing fire risk.
- Businesses with seasonal inventory management plans to prevent overstocking and reduce spoilage or loss.
- Operations with documented vendor agreements outlining delivery timelines and quality standards, supporting consistent production.
- Businesses with a customer base primarily consisting of organizations, schools, and corporate clients, reflecting stable and predictable demand.

Acceptable

- Businesses with contents valued between \$500,000 and \$750,000, provided additional risk mitigation measures are in place.

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- Operations that occasionally outsource specialty printing or embroidery tasks to vetted third-party vendors, with proper contractual agreements.
 - Facilities located in mixed-use buildings, provided there is clear separation from higher-risk occupancies.
 - Businesses that offer limited ancillary services directly related to apparel customization, such as minor garment alterations.
 - Operations with a moderate seasonal fluctuation in demand, provided inventory and staffing plans are documented.
 - Businesses with a limited history of minor insurance claims, provided corrective actions have been implemented.
 - Facilities with partial compliance to alarm requirements but with a documented plan to achieve full compliance within a specified timeframe.
 - Businesses using a mix of new and well-maintained older equipment, with maintenance logs available.
 - Operations that occasionally handle rush or bulk orders, provided production capacity and quality controls are not compromised.
 - Businesses with a small retail component, such as a showroom, provided the primary focus remains on production.
 - Facilities with shared loading or delivery areas, provided security and access controls are in place.
 - Businesses that have recently expanded operations, provided risk assessments have been updated accordingly.
 - Operations with a diverse supplier base, provided all vendors meet minimum quality and delivery standards.
 - Businesses that employ temporary or seasonal staff, provided all labor laws and training requirements are met.
 - Facilities with minor zoning variances, provided all necessary permits and approvals are documented.

Not Acceptable

- Businesses performing high-risk repairs, including lithium-ion battery refurbishment, due to increased fire and explosion risk.
- Operations offering private or personal services such as medi-spa, cosmetic treatments, or tattooing, which fall outside the intended scope.
- Facilities with contents valued over \$750,000, representing excessive property exposure.
- Businesses with a history of major insurance claims related to fire, theft, or workplace injury within the past five years.

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- Operations located in non-compliant or unpermitted premises, increasing regulatory and operational risk.
 - Facilities lacking required alarm systems or with repeated security violations.
 - Businesses with significant ancillary services unrelated to embroidery or apparel production, increasing liability and operational complexity.
 - Operations using unapproved or homemade machinery, lacking safety certifications.
 - Facilities with inadequate fire suppression or no documented safety inspections.
 - Businesses with a primary focus on retail sales rather than production, shifting risk profile.
 - Operations that regularly subcontract production to unvetted or overseas vendors, increasing quality and supply chain risk.
 - Facilities located in high-crime or high-risk flood/fire zones without adequate mitigation measures.
 - Businesses with ongoing regulatory investigations or unresolved compliance issues.
 - Operations with no documented staff training or safety protocols.
 - Facilities storing hazardous materials not related to embroidery or apparel production.

Restrictions (with Reasons)

- **Rule:** Strict adherence to local alarm and security requirements is mandatory. — Reduces risk of theft and property loss, ensuring compliance with underwriting standards.
- **Rule:** No high-risk repairs, such as lithium-ion battery refurbishment, are permitted. — Such activities significantly increase fire and explosion risk, exceeding acceptable risk appetite.
- **Rule:** Contents value must not exceed \$750,000. — Higher property values present unacceptable exposure for this segment.
- **Rule:** No private or personal service components, including medi-spa or cosmetic treatments, allowed. — These services introduce unrelated liability and operational risks.
- **Rule:** Primary business activity must be embroidery and custom apparel production. — Ensures underwriting focus and risk profile remain within intended scope.
- **Rule:** All machinery must be commercial-grade and maintained per manufacturer specifications. — Proper equipment maintenance reduces risk of malfunction and workplace injury.
- **Rule:** Facilities must comply with all local zoning and occupancy regulations. — Non-compliance can result in business interruption and regulatory penalties.
- **Rule:** No use of unapproved or homemade production equipment. — Such equipment may lack necessary safety features, increasing risk of accidents.
- **Rule:** No operations in premises with unresolved regulatory violations. — Ongoing violations indicate higher likelihood of claims and business interruption.
- **Rule:** No regular subcontracting to unvetted or overseas vendors. — Unvetted subcontractors increase supply chain and quality control risks.

Employment Agencies (BT-0062)

Appetite Level: **Acceptable**

Preferred

- Agencies specializing in permanent placements for professional roles in non-regulated industries, as these placements typically involve lower compliance risks.
- Agencies operating with all required state and federal licenses, ensuring adherence to legal and regulatory standards.
- Agencies utilizing secure, up-to-date applicant tracking systems and data protection protocols to safeguard candidate and client information.
- Agencies with established internal compliance programs and regular staff training on labor laws and anti-discrimination policies.
- Agencies that conduct thorough background checks and credential verifications for all candidates prior to placement.
- Agencies with a documented process for handling complaints and resolving disputes between clients and candidates.
- Agencies that maintain clear, written contracts with both clients and job seekers outlining terms of service and responsibilities.
- Agencies with a history of stable operations and positive client references, indicating reliability and professionalism.
- Agencies that do not engage in international placements or cross-border recruitment, reducing exposure to foreign regulatory risks.
- Agencies that provide ongoing support and follow-up services post-placement to ensure client and candidate satisfaction.

Acceptable

- Agencies providing temporary staffing solutions in non-regulated sectors, provided all placements are properly vetted.
- Agencies that occasionally use remote work arrangements for staff, as long as data security measures are in place.
- Agencies with moderate seasonal fluctuations in demand, such as those serving retail or hospitality industries.
- Agencies that use third-party vendors for non-placement services (e.g., payroll processing), provided vendors are reputable and compliant.
- Agencies that place entry-level or general labor positions, provided all candidates are screened and documented.
- Agencies that utilize online job boards and social media for candidate sourcing, with appropriate privacy controls.

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- Agencies that offer training or upskilling services to candidates as part of their placement process.
 - Agencies that maintain membership in industry associations and participate in ongoing professional development.
 - Agencies that have experienced minor, non-systemic regulatory violations but have demonstrated corrective action.
 - Agencies that place candidates in regulated industries but have robust compliance and vetting procedures in place.

Not Acceptable

- Agencies that subcontract placement services to unlicensed or unregistered third-party recruiters, as this violates regulatory requirements.
- Agencies operating without required state or federal licenses, exposing clients and candidates to legal risks.
- Agencies placing candidates in healthcare, finance, or other regulated industries without verifying credentials and compliance.
- Agencies with a history of regulatory violations, lawsuits, or unresolved complaints related to candidate placements.
- Agencies that fail to conduct background checks or verify work eligibility for placed candidates.
- Agencies that use outdated or unsecured technology, resulting in data breaches or loss of sensitive information.
- Agencies that place candidates in roles involving vulnerable populations (e.g., children, elderly) without enhanced screening.
- Agencies engaging in international placements without proper legal counsel or compliance with foreign labor laws.
- Agencies that misclassify employees as independent contractors to avoid tax or benefit obligations.
- Agencies that have been subject to government sanctions or have lost licensure due to non-compliance.
- Agencies that do not maintain accurate records of placements, contracts, or candidate information.
- Agencies that place candidates in hazardous or high-risk environments without appropriate safety training or insurance.
- Agencies that have experienced repeated data privacy violations or have failed to notify affected parties.
- Agencies that advertise misleading job opportunities or engage in deceptive recruitment practices.
- Agencies that do not provide written contracts or clear terms of service to clients and candidates.

Restrictions (with Reasons)

- **Rule:** Placement services must not be subcontracted to unlicensed or unregistered third-party recruiters. — This prevents regulatory violations and ensures all parties meet compliance standards.
- **Rule:** Agencies must maintain all required state and federal licenses for their operations. — Licensure is necessary to operate legally and avoid penalties or shutdowns.
- **Rule:** Agencies placing candidates in regulated industries (e.g., healthcare, finance) must verify all candidate credentials and compliance. — Unvetted personnel in regulated fields pose significant legal and operational risks.
- **Rule:** Background checks and work eligibility verification are mandatory for all placements. — This reduces the risk of fraud, liability, and reputational harm.
- **Rule:** Agencies must not misclassify employees as independent contractors to circumvent tax or benefit obligations. — Misclassification can result in substantial legal and financial penalties.
- **Rule:** All candidate and client data must be stored securely and in compliance with applicable privacy laws. — Data breaches can lead to regulatory action and loss of trust.
- **Rule:** Written contracts outlining terms of service must be provided to both clients and candidates. — Clear contracts help prevent disputes and clarify responsibilities.
- **Rule:** Agencies must not place candidates in hazardous environments without proper safety training and insurance. — Failure to ensure safety can result in injury, liability, and regulatory action.
- **Rule:** Agencies must maintain accurate records of all placements and transactions for regulatory review. — Recordkeeping is essential for compliance and audit purposes.
- **Rule:** Agencies with a history of unresolved regulatory violations or sanctions are not eligible. — Past non-compliance indicates ongoing risk.

Engineering & Surveying (BT-0063)

Appetite Level: **Limited**

Preferred

- Firms with a clean claims history and no prior litigation related to professional negligence, indicating strong risk management.
- Businesses that maintain comprehensive professional liability insurance with adequate coverage limits for their operations.
- Companies that demonstrate robust safety protocols and documented risk management practices for all project phases.
- Firms specializing in low to moderate-risk engineering projects, such as site surveys, residential developments, or non-structural consulting.
- Organizations with licensed and certified staff, including engineers and surveyors, who participate in ongoing professional education.
- Businesses that conduct regular environmental impact assessments and adhere to all relevant local, state, and federal regulations.
- Firms with established vendor relationships ensuring timely access to quality equipment and materials, reducing project delays.
- Companies that use advanced, well-maintained surveying and engineering equipment, minimizing the risk of data errors or equipment failure.
- Firms with documented procedures for quality control and peer review of engineering designs and survey data.
- Organizations that proactively address and mitigate third-party liability exposures through contractual risk transfer and waivers.
- Businesses with a history of successful project completion without significant delays, rework, or structural failures.
- Firms that provide regular employee training on safety, compliance, and technical standards relevant to their field.
- Companies that avoid the use of explosives or hazardous materials in their operations.
- Firms that maintain up-to-date records of all permits, licenses, and regulatory compliance documentation.
- Organizations that have not been subject to regulatory fines or enforcement actions in the past five years.

Acceptable

- Firms with minor, well-documented claims history that have implemented corrective actions to address past issues.

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- Businesses involved in moderate-risk civil engineering projects, such as small-scale infrastructure or commercial developments.
 - Companies that maintain professional liability insurance but may have lower coverage limits than industry best practices.
 - Firms that occasionally subcontract specialized services but require proof of insurance and risk management from all subcontractors.
 - Organizations that have experienced isolated project delays or minor rework but have demonstrated process improvements.
 - Firms that use standard surveying and engineering equipment with regular maintenance schedules.
 - Businesses that have undergone recent regulatory audits with no major findings or only minor corrective actions required.
 - Companies that operate in regions with moderate seasonal weather impacts and have workforce planning strategies in place.
 - Firms that have experienced minor legal disputes but resolved them without admission of liability or significant financial loss.
 - Organizations that perform environmental assessments as required but may not have a dedicated environmental compliance officer.
 - Firms that have experienced occasional staff turnover but maintain adequate training and certification protocols.
 - Businesses that participate in industry associations and follow published best practices for engineering and surveying.
 - Companies that have implemented basic quality control procedures for design and survey work.
 - Firms that occasionally work on projects with elevated third-party liability but have contractual protections in place.
 - Organizations that have not been involved in high-profile or catastrophic project failures.

Not Acceptable

- Firms engaged in pipeline construction or heavy civil engineering projects involving high-risk activities such as tunneling, bridge building, or dam construction.
- Companies involved in geophysical exploration using explosives or seismic testing equipment, due to elevated physical and environmental risks.
- Businesses lacking professional liability insurance or unwilling to maintain adequate coverage for their operations.
- Firms with a history of frequent or severe claims related to professional negligence, design errors, or site survey mistakes.
- Organizations currently involved in litigation related to structural failures, environmental contamination, or third-party bodily injury/property damage.

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- Companies with a pattern of regulatory violations, fines, or enforcement actions within the past five years.
 - Firms that fail to conduct environmental impact assessments for high-risk projects or operate without required permits.
 - Businesses with inadequate or undocumented risk management and safety protocols.
 - Firms that have experienced project collapses, major structural failures, or catastrophic losses due to miscalculated load-bearing capacity.
 - Companies that routinely subcontract high-risk activities without verifying subcontractor insurance or risk management practices.
 - Organizations that have been subject to repeated legal disputes or settlements for errors and omissions in design or survey work.
 - Firms with poor claims history and no evidence of corrective action or process improvement.
 - Businesses that operate in regions with extreme seasonal weather impacts but lack workforce planning or contingency strategies.
 - Companies that use outdated, poorly maintained, or uncertified equipment for surveying or engineering tasks.
 - Firms that have been denied insurance coverage or non-renewed due to risk profile or claims experience.

Restrictions (with Reasons)

- **Rule:** No coverage for firms engaged in geophysical exploration involving explosives or seismic testing. — These activities present elevated physical and environmental risks that exceed acceptable underwriting thresholds.
- **Rule:** Firms must maintain professional liability insurance with coverage limits appropriate to their project scope. — Lack of adequate insurance exposes both the firm and the insurer to significant financial risk from design errors or omissions.
- **Rule:** Applicants with a history of frequent or severe claims related to professional negligence are ineligible. — A poor claims history indicates inadequate risk management and increases the likelihood of future losses.
- **Rule:** No coverage for companies currently involved in litigation for structural failures, environmental contamination, or third-party injury. — Active litigation signals unresolved risk and potential for significant financial exposure.
- **Rule:** Firms must demonstrate documented risk management protocols and regular employee safety training. — Robust risk management is essential for mitigating operational hazards in high-risk environments.
- **Rule:** No coverage for businesses operating without required permits, licenses, or regulatory compliance documentation. — Non-compliance with regulations increases the risk of enforcement actions and project shutdowns.

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- **Rule:** Applicants with repeated regulatory violations or fines within the past five years are not eligible. — A pattern of non-compliance indicates systemic operational issues and heightened risk.
 - **Rule:** No coverage for firms that have experienced catastrophic project failures, such as collapses or major structural losses. — Such events demonstrate critical deficiencies in engineering practice and risk management.
 - **Rule:** Firms must use certified, well-maintained equipment for all surveying and engineering tasks. — Outdated or poorly maintained equipment increases the likelihood of data errors and operational failures.
 - **Rule:** No coverage for companies that routinely subcontract high-risk activities without verifying subcontractor insurance. — Uninsured subcontractors can transfer significant liability to the primary firm and insurer.

Fabric & Sewing Stores (BT-0064)

Appetite Level: **Preferred**

Preferred

- Businesses that primarily sell fabric, sewing supplies, and related notions, as their main source of revenue (ensures focus on core risk profile).
- Stores with a strong safety record and no recent insurance claims (demonstrates effective risk management).
- Locations that have implemented comprehensive fire safety measures, such as sprinkler systems, fire extinguishers, and clear evacuation plans (reduces risk of fire-related losses).
- Stores that require all subcontractors, such as class instructors, to carry their own insurance (mitigates liability exposure).
- Businesses that have been in continuous operation for at least five years under the same ownership (indicates stability and experience).
- Stores that provide regular employee training in safety protocols, including fire prevention and emergency response (reduces likelihood of accidents).
- Single-location stores situated in low-crime areas with secure premises (minimizes theft and vandalism risk).
- Businesses that maintain compliance with all local, state, and federal regulations, including proper storage of flammable materials (ensures regulatory adherence).
- Stores with a diverse but relevant product range, focused on textiles, sewing machines, and related tools (limits exposure to unrelated risks).
- Locations that participate in community events or offer sewing classes, demonstrating community engagement and positive reputation (builds customer loyalty and reduces risk of adverse selection).
- Businesses with a robust online sales platform that follows secure e-commerce practices (reduces cyber liability risk).
- Stores that conduct regular inventory assessments and maintain accurate records (aids in loss control and claims verification).

Acceptable

- Stores that offer sewing classes or workshops as a secondary business activity (as long as primary revenue is from retail sales).
- Businesses with minor, well-documented past claims but with recent improvements in risk management (shows willingness to address issues).
- Locations with moderate inventory levels and adequate fire safety measures in place (manageable risk exposure).

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- Stores in moderate-crime areas that have implemented additional security measures, such as alarm systems and surveillance cameras (mitigates theft risk).
 - Businesses that have experienced recent ownership changes but retain experienced management and staff (reduces transition risk).
 - Multi-location businesses with centralized risk management and consistent safety protocols across all sites (ensures uniformity in risk controls).
 - Stores that sell a limited selection of related craft supplies in addition to fabric and sewing products (as long as core business remains fabric/sewing).
 - Businesses that have implemented some risk management strategies but have room for improvement (shows progress toward best practices).
 - Stores with a moderate online sales presence and basic cybersecurity measures (acceptable but not optimal).
 - Locations that have passed recent regulatory inspections but may require minor corrective actions (demonstrates general compliance).
 - Businesses with seasonal fluctuations in inventory, provided proper storage and safety protocols are followed (manages increased risk during peak periods).

Not Acceptable

- Businesses where fabric and sewing supplies are not the primary source of revenue (unclear risk profile).
- Stores with a history of frequent or severe insurance claims in the past three years (indicates ongoing risk issues).
- Locations with significant quantities of highly flammable materials stored without adequate fire suppression systems (unacceptable fire risk).
- Businesses operating in high-crime areas without sufficient security measures (high likelihood of theft or vandalism).
- Stores that do not require subcontractors or instructors to carry their own insurance (increases liability exposure).
- Businesses that fail to comply with local, state, or federal safety regulations (regulatory non-compliance).
- Multi-location operations with inconsistent safety protocols or lack of centralized risk management (increased risk of loss).
- Stores with no employee safety training or documented risk management strategies (higher likelihood of accidents).
- Businesses with ongoing regulatory violations or outstanding safety citations (demonstrates disregard for compliance).
- Locations with inadequate fire exits, blocked aisles, or poor housekeeping practices (increases risk of injury or loss).

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- Stores that primarily sell unrelated products, such as furniture or electronics, alongside fabric and sewing supplies (diverges from intended risk class).
 - Businesses with unstable financial history, such as recent bankruptcies or significant debt (increases risk of business failure).
 - Stores that have experienced multiple recent ownership changes with no continuity in management (unstable operations).
 - Locations that have failed recent safety or regulatory inspections (demonstrates ongoing risk).
 - Businesses that do not maintain accurate inventory records or conduct regular assessments (increases difficulty in claims handling).

Restrictions (with Reasons)

- **Rule:** Coverage may be restricted for stores with significant quantities of flammable materials unless adequate fire suppression systems are in place. — High fire risk due to flammable inventory requires enhanced safety controls.
- **Rule:** All subcontractors, including class instructors, must carry their own insurance. — Mitigates liability exposure for the primary business.
- **Rule:** Stores with a history of frequent or severe claims may face higher premiums or coverage limitations. — Past claims indicate increased risk of future losses.
- **Rule:** Locations in high-crime areas are subject to additional underwriting scrutiny and may require enhanced security measures. — Elevated risk of theft and vandalism in such areas.
- **Rule:** Proof of employee training in safety protocols may be required for underwriting approval. — Ensures staff are prepared to prevent and respond to accidents.
- **Rule:** Coverage may be limited or declined for businesses that do not comply with local, state, or federal safety regulations. — Non-compliance increases risk and potential for regulatory action.
- **Rule:** Regular inspections may be required for stores with high-risk inventory or equipment. — Ongoing oversight helps identify and mitigate emerging risks.
- **Rule:** Coverage for multi-location businesses may be restricted unless consistent risk management practices are demonstrated across all sites. — Inconsistent protocols increase the likelihood of loss.
- **Rule:** Businesses with recent ownership changes may be subject to additional review and documentation requirements. — Ownership transitions can disrupt established safety and operational practices.
- **Rule:** Coverage may be limited for stores that primarily sell unrelated products outside the fabric and sewing category. — Divergence from core business increases uncertainty in risk assessment.

Fast Food & Family Restaurants (BT-0065)

Appetite Level: **Acceptable**

Preferred

- Restaurants with no sale of alcoholic beverages, reducing liquor liability exposure.
- Establishments with regular, documented maintenance of all kitchen equipment and fire suppression systems.
- Operations with strict adherence to health codes and documented food safety training for all staff.
- Quick service restaurants with a total floor area under 7,500 square feet and seating capacity under 150.
- Restaurants with no history of foodborne illness or major health code violations in the past three years.
- Locations with non-slip flooring and active slip-and-fall prevention protocols.
- Restaurants that do not close for more than 30 consecutive days, ensuring year-round operations.
- Establishments with no delivery services, eliminating commercial auto liability exposure.
- Family restaurants with well-defined cleaning schedules and documented sanitation procedures.
- Restaurants with no history of fire or equipment-related insurance claims in the past five years.
- Self-service or self-ordering restaurants with clear customer flow and minimal congestion.
- Operations with separate, secure storage for cleaning chemicals and food products.
- Restaurants using only commercial-grade, UL-listed kitchen appliances.
- Establishments with employee training programs for safe food handling and emergency procedures.
- Restaurants sourcing ingredients from reputable, licensed vendors with traceable supply chains.

Acceptable

- Restaurants with limited beer and wine sales, provided alcohol sales do not exceed 25% of total sales.
- Quick service restaurants that offer delivery, provided all vehicles are insured under commercial auto policies and drivers are vetted.
- Family restaurants with a minor history of slip-and-fall claims, provided corrective actions have been implemented.
- Operations with a single minor health code violation in the past two years, with evidence of remediation.
- Restaurants with a documented plan for regular fire suppression system inspections.

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- Establishments that temporarily close for less than 30 consecutive days per year for renovations or emergencies.
 - Restaurants with food sales away from premises not exceeding 10% of total sales.
 - Self-service cafeterias or smorgasbords with robust food safety protocols.
 - Restaurants with a history of minor equipment failures, provided maintenance logs are current.
 - Operations with a moderate volume of delivery services, with a formal driver safety program.
 - Restaurants with a mix of dine-in and takeout, provided in-house seating and service comply with guidelines.
 - Establishments with a single, minor fire incident in the past five years, with evidence of improved safety measures.
 - Restaurants with a small, dedicated bar area for beer and wine only, no spirits or cocktails.
 - Operations with a diverse customer base and no history of discrimination or harassment claims.
 - Restaurants with minor, non-structural building code violations that have been corrected.

Not Acceptable

- Quick service restaurants exceeding 7,500 square feet or seating more than 150 customers.
- Establishments offering table service in a quick service format.
- Restaurants with a bar or cocktail lounge, or sales of liquor other than beer or wine.
- Operations where beer or wine sales exceed 25% of total sales.
- Restaurants with food sales away from premises exceeding 10% of total sales.
- Seasonal operations that close for more than 30 consecutive days per year.
- Restaurants with a history of major health code violations or foodborne illness outbreaks in the past three years.
- Establishments with repeated fire or equipment-related insurance claims.
- Restaurants with no documented maintenance of kitchen equipment or fire suppression systems.
- Operations with a history of uninsured delivery vehicles or unvetted drivers.
- Restaurants with persistent slip-and-fall claims and no evidence of corrective action.
- Establishments with liquor sales beyond beer and wine, or with a dedicated bar area.
- Restaurants operating in non-commercial or residential spaces.
- Operations with significant structural building code violations.
- Restaurants with a history of employment practices liability claims related to harassment or discrimination.

Restrictions (with Reasons)

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- **Rule:** Quick service restaurants must not exceed 7,500 square feet in total floor area. — Larger spaces increase operational complexity and risk exposure beyond acceptable underwriting criteria.
 - **Rule:** Quick service restaurants must have a seating capacity no greater than 150. — Higher seating capacity correlates with increased liability and crowd management risks.
 - **Rule:** Quick service restaurants cannot offer table service. — Table service introduces additional liability and operational exposures not contemplated in the quick service model.
 - **Rule:** Sales of beer or wine must not exceed 25% of total sales; no other liquor sales are allowed. — Higher alcohol sales and liquor service significantly increase liquor liability exposure.
 - **Rule:** Quick service restaurants must not have a bar or cocktail lounge. — Bars and lounges introduce higher risks related to alcohol service and customer behavior.
 - **Rule:** Food sales away from the insured's premises must not exceed 10% of total sales. — Higher off-premises sales increase uncontrollable risks and complicate liability coverage.
 - **Rule:** No seasonal operations are allowed; risks cannot be closed for more than 30 consecutive days. — Seasonal closures disrupt risk management and increase the likelihood of property and liability claims.
 - **Rule:** Restaurants with no sale of alcoholic beverages are eligible for coverage. — Absence of alcohol sales reduces liquor liability and simplifies underwriting.
 - **Rule:** Restaurants with sales of alcoholic beverages are subject to specific underwriting guidelines. — Alcohol sales introduce additional risks that require careful assessment and controls.
 - **Rule:** Self-service or self-ordering restaurants, including cafeterias and smorgasbords, are eligible for coverage. — These formats align with acceptable risk profiles when proper controls are in place.
 - **Rule:** Delivery services must be assessed for commercial auto liability; all vehicles must be insured and drivers vetted. — Delivery operations introduce significant auto liability exposures that must be managed.
 - **Rule:** Regular maintenance of kitchen equipment and suppression systems is required. — Proper maintenance is critical to prevent fire hazards and equipment failure claims.

Financial Planners & Investment Firms (BT-0066)

Appetite Level: **Acceptable**

Preferred

- Firms with a clean regulatory history and no prior disciplinary actions, demonstrating consistent compliance with SEC and FINRA regulations.
- Businesses employing certified financial planners and investment analysts with relevant credentials and ongoing professional education.
- Firms utilizing industry-standard cybersecurity protocols, including multi-factor authentication, encrypted communications, and regular vulnerability assessments.
- Organizations with comprehensive errors and omissions (E&O;) insurance and cyber liability coverage in place.
- Firms operating from dedicated, secure office environments with restricted physical and digital access controls.
- Businesses that maintain well-documented, consistently applied valuation methodologies for client portfolios.
- Firms with standardized procedures for data verification and client onboarding to prevent fraud and misrepresentation.
- Organizations that conduct regular internal audits and compliance reviews to identify and address operational risks.
- Firms with a documented incident response and recovery plan for cyber events and operational disruptions.
- Businesses that partner with established custodians, brokerage firms, and actuarial service providers with proven compliance records.
- Firms that provide evidence of ongoing employee training in regulatory compliance, data security, and ethical standards.
- Organizations that maintain adequate insurance limits to cover professional and operational liabilities.
- Firms with a history of low or no claims related to professional liability, cyber incidents, or employee dishonesty.
- Businesses that have implemented business continuity plans and regularly test their effectiveness.
- Firms that disclose all relevant operational risks and mitigation strategies during the underwriting process.

Acceptable

- Firms with minor, fully resolved regulatory infractions and demonstrated improvements in compliance practices.

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- Businesses operating in shared office environments but with robust, documented access controls and data security measures.
 - Organizations using cloud-based financial software that meets industry security standards and regulatory requirements.
 - Firms with adequate but not comprehensive insurance coverage, provided plans are in place to address gaps.
 - Businesses that have experienced isolated, non-systemic claims but have taken corrective action to prevent recurrence.
 - Firms with developing but functional incident response and recovery plans for cyber and operational risks.
 - Organizations that rely on third-party vendors for key services, provided vendor due diligence and oversight are documented.
 - Firms with a moderate volume of high-net-worth or SME clients, provided risk management practices scale appropriately.
 - Businesses that conduct periodic, though not always annual, internal audits and compliance checks.
 - Firms with some reliance on manual processes, provided there are controls to detect and correct errors.
 - Organizations that have recently upgraded technology or security protocols but are still in the implementation phase.
 - Firms with a moderate claims history, provided claims are not related to systemic issues or regulatory breaches.
 - Businesses that have identified operational risks and are actively working to mitigate them.
 - Firms with insurance limits that meet but do not exceed minimum regulatory requirements.
 - Organizations that provide partial but sufficient documentation of compliance and risk management practices.

Not Acceptable

- Firms with unresolved or ongoing regulatory investigations, sanctions, or disciplinary actions.
- Businesses lacking any form of professional liability or cyber insurance coverage.
- Organizations with a history of repeated data breaches, cyber incidents, or employee dishonesty claims.
- Firms operating in shared environments without adequate access controls or data segregation.
- Businesses that fail to implement or document basic cybersecurity measures, such as password policies or encryption.
- Firms with no formal incident response or business continuity plans in place.

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- Organizations that do not conduct any form of internal audit, compliance review, or risk assessment.
 - Firms relying on unvetted or non-compliant third-party vendors for critical services.
 - Businesses with a pattern of failing to disclose operational risks or material changes during the application process.
 - Firms with consistently inadequate insurance limits relative to their operational risk profile.
 - Organizations that have experienced systemic claims related to professional errors, omissions, or regulatory violations.
 - Firms that do not provide evidence of employee training in compliance, ethics, or data security.
 - Businesses with inconsistent or undocumented valuation methodologies for client portfolios.
 - Firms that have failed to remediate known deficiencies in compliance or risk management practices.
 - Organizations that refuse to provide required documentation or cooperate with underwriting information requests.

Restrictions (with Reasons)

- **Rule:** Coverage is restricted for firms with unresolved regulatory actions or ongoing investigations. — Active regulatory issues indicate heightened risk and potential for future claims.
- **Rule:** Firms operating in shared office environments must demonstrate robust physical and digital access controls. — Shared environments increase exposure to data breaches and unauthorized access.
- **Rule:** Applicants must maintain minimum insurance limits as specified by regulatory authorities. — Inadequate insurance limits may leave firms unable to cover potential liabilities.
- **Rule:** Coverage is limited or denied for firms with a history of systemic claims or repeated data breaches. — Frequent or systemic claims suggest poor risk management and higher likelihood of future losses.
- **Rule:** Firms must provide evidence of compliance with SEC, FINRA, and other relevant regulations. — Regulatory compliance is essential for legal operation and risk mitigation.
- **Rule:** Applicants must disclose all material operational risks and recent changes in business practices. — Full disclosure is necessary for accurate risk assessment and underwriting.
- **Rule:** Coverage for firms using cloud services is contingent on adherence to industry security standards. — Cloud-based operations require additional safeguards to protect sensitive client data.
- **Rule:** Firms must have a documented incident response and recovery plan to qualify for cyber coverage. — Preparedness reduces the impact of cyber events and operational disruptions.
- **Rule:** Coverage is restricted for firms lacking standardized data verification and client onboarding procedures. — Inconsistent processes increase the risk of fraud and compliance violations.

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- **Rule:** Underwriting may be limited for firms that do not conduct regular internal audits or compliance reviews. — Ongoing oversight is necessary to identify and address emerging risks.
 - **Rule:** Firms with adverse regulatory histories may face higher premiums or reduced coverage options. — Past regulatory issues are predictive of future compliance and claims risk.
 - **Rule:** Coverage limits may be adjusted based on the firm's size, complexity, and risk profile. — Tailoring limits ensures coverage is appropriate for the firm's exposure.

Floor Covering & Carpet Installation (BT-0067)

Appetite Level: **Acceptable**

Preferred

- Businesses specializing in residential carpet, hardwood, laminate, or vinyl flooring installation with no history of hazardous material disturbance (e.g., asbestos).
- Operations with a documented safety program and regular employee training on installation techniques and equipment use.
- Companies that use only pre-manufactured, non-toxic flooring materials sourced from reputable suppliers.
- Businesses with a clean claims history and no prior environmental or pollution-related incidents.
- Installers who do not perform demolition or removal of existing flooring containing hazardous substances.
- Operations with all employees covered by workers' compensation and proper licensing for all jurisdictions served.
- Businesses that maintain up-to-date contracts with clear indemnification and hold harmless clauses.
- Companies that utilize secure, digital scheduling and invoicing systems with cyber liability coverage in place.
- Installers who transport materials in company-owned vehicles equipped with proper securing mechanisms.
- Businesses that perform post-installation inspections and obtain customer sign-off on completed work.
- Operations that do not subcontract installation work to uninsured or unlicensed third parties.
- Companies that maintain a documented equipment maintenance and inventory tracking program.
- Businesses with a strong relationship with established flooring material suppliers and distributors.
- Installers who provide written warranties for workmanship and materials.
- Operations that do not engage in any manufacturing or alteration of flooring materials.

Acceptable

- Businesses that occasionally remove old flooring, provided no hazardous materials are present or disturbed.
- Operations that perform both residential and light commercial installations, with proper risk controls.
- Companies that use a mix of employee installers and insured subcontractors for specialized jobs.
- Installers who perform minor repairs or patching of subfloors as part of installation services.

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- Businesses that offer carpet, rug, or upholstery cleaning as an ancillary service on customer premises.
 - Operations that store materials temporarily at job sites with security measures in place.
 - Companies that have experienced minor, non-hazardous claims but have implemented corrective actions.
 - Installers who transport materials using third-party logistics providers with adequate insurance.
 - Businesses that occasionally perform installations in public buildings, excluding high-traffic or critical infrastructure.
 - Operations that use standard adhesives and finishes with proper ventilation and PPE for installers.
 - Companies that market services online and collect customer data, provided cyber liability coverage is in place.
 - Installers who occasionally work in multi-family housing units managed by property management companies.
 - Businesses that perform installations year-round, including during winter months with weather precautions.
 - Operations that use both manual and powered installation equipment, with documented safety protocols.
 - Companies that offer limited design consultation or material selection assistance as part of their service.

Not Acceptable

- Businesses that remove, disturb, or dispose of flooring containing asbestos, lead, or other hazardous materials.
- Operations involved in the manufacturing or alteration of flooring materials, including cement or plaster manufacturing.
- Companies that perform demolition or abatement services beyond standard flooring removal.
- Installers who engage in excavation, clay or shale digging, or other earth-moving activities.
- Businesses that operate as tourist attractions (e.g., caves) or in high-risk venues.
- Companies that provide services to cemeteries, churches, or houses of worship without meeting specific underwriting criteria.
- Operations that manufacture or install chemical, toxic, or hazardous flooring products.
- Businesses involved in the manufacturing of children's or infant's clothing, charcoal, or coal briquettes.
- Installers who perform chimney cleaning, catalog or premium coupon redemption, or ceramics store operations.

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- Companies with a history of environmental violations, pollution claims, or regulatory non-compliance.
 - Operations that lack proper licensing, insurance, or workers' compensation coverage for all employees.
 - Businesses that subcontract all installation work to uninsured or unvetted third parties.
 - Companies that store large quantities of flammable adhesives or chemicals without proper controls.
 - Installers who perform work in high-security or critical infrastructure environments (e.g., airports, data centers).
 - Businesses that have experienced significant data breaches or employment-related claims without remediation.

Restrictions (with Reasons)

- **Rule:** No coverage for installation or disturbance of hazardous materials such as asbestos or lead. — Standard BOP policies exclude pollution and environmental cleanup costs, which can be significant.
- **Rule:** Manufacturing of flooring materials, cement, plaster, or other construction products is not permitted. — Manufacturing introduces additional exposures not contemplated in installation-focused coverage.
- **Rule:** Coverage for operations in tourist attractions, caves, or similar venues is not available. — These locations present unique liability and safety risks outside standard appetite.
- **Rule:** No coverage for businesses engaged in cemetery, church, or house of worship services unless specifically underwritten. — These risks require specialized underwriting due to unique exposures and property types.
- **Rule:** Businesses must maintain all required licenses, permits, and workers' compensation coverage. — Regulatory compliance is essential to mitigate legal and financial risks.
- **Rule:** Subcontractors must be properly insured and vetted; full subcontracting of installation is not permitted. — Uninsured or unvetted subcontractors can introduce uncontrolled liability exposures.
- **Rule:** No coverage for businesses with a history of environmental violations or unresolved pollution claims. — Prior incidents indicate elevated risk and potential for future claims.
- **Rule:** Storage of large quantities of flammable adhesives or chemicals must comply with fire safety regulations. — Improper storage increases the risk of fire and hazardous material incidents.
- **Rule:** Cyber liability and EPLI coverage are required for businesses collecting or storing customer or employee data. — Data breaches and employment-related claims are increasing and can be costly.
- **Rule:** No coverage for operations involving excavation, clay or shale digging, or earth-moving activities. — These activities fall outside the scope of standard floor covering installation and present higher risks.

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- **Rule:** No coverage for businesses involved in the manufacturing of children's or infant's clothing, charcoal, or coal briquettes. — These manufacturing activities are outside the intended scope and present unique risks.
 - **Rule:** Coverage for chimney cleaning, catalog or premium coupon redemption, and ceramics store operations is not available. — These services are unrelated to floor covering installation and have distinct risk profiles.

Florists (BT-0068)

Appetite Level: **Acceptable**

Preferred

- Florists operating from licensed brick-and-mortar locations with documented safety protocols and regular risk assessments.
- Businesses with a consistent record of timely order fulfillment and high customer satisfaction ratings.
- Florists with formal commercial contracts outlining risk allocation and operational responsibilities.
- Operations with comprehensive employee training on safe handling of chemicals and equipment.
- Florists maintaining up-to-date business licenses and compliance with all local health and safety regulations.
- Businesses that conduct documented event site safety assessments for all offsite setups.
- Florists with a demonstrated trend of improvement in claims history and evidence of corrective actions.
- Operations utilizing secure packaging and route planning for all deliveries to minimize loss and damage.
- Florists sourcing flowers from reputable, licensed suppliers with traceable supply chains.
- Businesses with robust inventory management systems to minimize spoilage and waste.
- Florists with written risk management procedures covering delivery, event setup, and in-store operations.
- Operations that monitor and address customer satisfaction metrics on a regular basis.
- Florists with moderate claims history and clear documentation of operational improvements.
- Businesses that maintain comprehensive insurance coverage for property, liability, and product risks.
- Florists that regularly review and update their risk management documentation.

Acceptable

- Mobile or home-based florists with formal commercial contracts and documented risk controls.
- Florists engaged in offsite event setup with evidence of event site safety assessments.
- Businesses with moderate claims history showing recent improvements in operational controls.
- Florists using licensed pesticides and chemicals in compliance with safety standards.
- Operations with temporary staffing during peak seasons and documented training procedures.
- Florists with established relationships with local or regional flower wholesalers.
- Businesses that have implemented secure packaging and route planning for deliveries.

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- Florists that address customer complaints promptly and maintain a positive reputation.
 - Operations with periodic risk assessments and documentation of corrective actions.
 - Florists with evidence of compliance with environmental standards and waste management protocols.
 - Businesses that diversify offerings during off-peak seasons to maintain steady sales.
 - Florists with administrative staff responsible for maintaining regulatory compliance.
 - Operations that utilize point-of-sale systems for transaction tracking and inventory control.
 - Florists with written procedures for handling and storing flowers to maintain freshness.
 - Businesses that maintain up-to-date records of all commercial contracts and vendor agreements.

Not Acceptable

- Florists with a history of poor order fulfillment or frequent unresolved customer complaints.
- Entities with repeated or severe property damage, liability, or product claims.
- Florists involved in high-risk activities such as offsite event setups without adequate risk controls.
- Businesses using unlicensed pesticides or chemicals in floral arrangements.
- Florists conducting unauthorized event setups without proper documentation or contracts.
- Operations with operational instability indicated by unresolved disputes or ongoing litigation.
- Florists with negligence-related claims that have not been addressed or mitigated.
- Businesses lacking documented risk management practices for delivery or event setup.
- Florists with a pattern of regulatory violations or non-compliance with local laws.
- Operations with no evidence of route planning or secure packaging for deliveries.
- Florists with a high frequency of claims and no trend of improvement in operational controls.
- Businesses failing to conduct regular risk assessments for ongoing operations.
- Florists with inadequate or expired business licenses and permits.
- Operations with significant gaps in insurance coverage for property or liability risks.
- Florists that do not monitor or address customer satisfaction metrics.

Restrictions (with Reasons)

- **Rule:** All florists must maintain current business licenses and comply with local regulations. — Ensures legal operation and reduces regulatory risk.
- **Rule:** Event site safety assessments are mandatory for all offsite setups. — Mitigates liability and ensures safe working conditions.
- **Rule:** Use of unlicensed pesticides or chemicals is strictly prohibited. — Prevents health hazards and regulatory violations.

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- **Rule:** Formal commercial contracts must be in place for all business operations. — Demonstrates legitimacy and allocates operational risk.
 - **Rule:** Documented risk management procedures are required for delivery and event setup activities. — Reduces the likelihood of claims and operational losses.
 - **Rule:** Florists must implement secure packaging and route planning for all deliveries. — Minimizes product loss and damage during transit.
 - **Rule:** Businesses with unresolved negligence-related claims are not eligible. — Indicates ongoing operational risk and poor risk management.
 - **Rule:** Regular risk assessments and documentation of corrective actions are required. — Supports continuous improvement and claim reduction.
 - **Rule:** Unauthorized or undocumented event setups are not permitted. — Prevents liability exposure and ensures compliance.
 - **Rule:** Florists must monitor and address customer satisfaction metrics. — Maintains reputation and reduces complaint-driven claims.
 - **Rule:** Evidence of operational controls and safety practices must be provided for underwriting. — Supports risk evaluation and appropriate coverage decisions.

Food & Grocery Stores (BT-0069)

Appetite Level: **Preferred**

Preferred

- Supermarkets or grocery stores with a floor area of 3,000 square feet or greater and no on-site fuel sales; larger stores typically have established risk management protocols and lower environmental risks.
- Stores that demonstrate full compliance with local and federal food safety regulations, including documented employee training and regular inspections; ensures high food safety standards.
- Grocery stores or supermarkets primarily selling food, including canned and frozen foods, fresh fruits and vegetables, and prepared meats, with limited or no on-site cooking; reduces fire and operational risks.
- Businesses with robust inventory management and regular inventory turnover; indicates operational stability and reduced spoilage risks.
- Stores with established vendor relationships and a reliable supply chain; supports consistent product quality and availability.
- Operations with documented HACCP protocols and compliance with the FDA Food Code; demonstrates commitment to food safety.
- Locations with no history of significant regulatory violations or food safety incidents; indicates strong compliance culture.
- Stores with effective point-of-sale systems and secure cash handling procedures; reduces theft and fraud risk.
- Businesses that maintain clean, organized, and well-maintained premises; lowers slip, trip, and fall exposures.
- Grocery stores with limited or no on-site food preparation beyond basic deli or bakery operations; reduces cooking-related hazards.
- Staffing levels appropriate for store size, including trained management and sufficient coverage for peak hours; supports safe operations.
- Stores with regular pest control and sanitation programs in place; minimizes contamination risks.
- Businesses that do not sell gasoline or other fuels on-site; eliminates environmental and fire hazards associated with fuel sales.
- Operations with clear emergency procedures and employee safety training; enhances overall risk management.
- Stores with up-to-date equipment maintenance logs, especially for refrigeration and electrical systems; prevents equipment failure and spoilage.

Acceptable

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- Convenience food stores with a floor area under 3,000 square feet that maintain full compliance with food safety regulations; smaller footprint but compliant.
 - Stores with on-site fuel sales that demonstrate full environmental compliance, including underground storage tank (UST) monitoring and leak detection; mitigates environmental risks.
 - Businesses offering limited cooking or quick-service food options, provided cooking equipment is maintained and fire suppression systems are in place; controls cooking-related hazards.
 - Operations with a history of minor regulatory infractions that have been fully corrected and documented; demonstrates improvement.
 - Stores selling non-food items such as newspapers, magazines, and novelties in addition to grocery items; minor diversification of inventory.
 - Locations with periodic but not continuous employee food safety training, provided training is up-to-date and documented; meets minimum compliance.
 - Grocery stores with seasonal fluctuations in staffing and inventory, provided operational controls remain consistent; manages variable risk.
 - Businesses with older but well-maintained refrigeration and shelving equipment; equipment age offset by maintenance.
 - Stores with moderate customer traffic and established crowd control measures; reduces liability exposure.
 - Operations that have undergone recent renovations or upgrades to improve safety or compliance; demonstrates proactive risk management.
 - Stores with a mix of prepackaged and limited fresh food offerings; reduces spoilage and contamination risks.
 - Businesses that have passed recent regulatory inspections with minor recommendations addressed; shows responsiveness.
 - Convenience stores with limited on-site food preparation (e.g., microwave or toaster use only); minimal cooking risk.
 - Stores with a documented pest control program but occasional minor pest sightings; manageable with ongoing efforts.
 - Locations with shared parking or adjacent businesses, provided clear boundaries and responsibilities are established; clarifies liability.

Not Acceptable

- Stores with significant or repeated violations of food safety regulations, including failure to maintain employee training records; indicates ongoing compliance issues.
- Businesses with a history of major foodborne illness outbreaks or product recalls; presents unacceptable health risks.
- Operations with unmonitored or unregistered underground storage tanks for fuel sales; high environmental liability.

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- Stores with extensive on-site cooking or full-service restaurant operations without adequate fire suppression systems; excessive fire risk.
 - Locations that have failed recent regulatory inspections with unresolved critical deficiencies; non-compliance.
 - Businesses operating without required local, state, or federal licenses or permits; illegal operations.
 - Stores with chronic pest infestations or unsanitary conditions; high contamination risk.
 - Operations with inadequate staffing or lack of documented employee food safety training; increases operational risk.
 - Businesses with a history of significant property or liability claims, such as fires or customer injuries; poor loss history.
 - Stores with outdated or malfunctioning refrigeration, electrical, or cooking equipment; increases spoilage and fire risk.
 - Locations with unaddressed structural hazards, such as damaged flooring or exposed wiring; unsafe premises.
 - Businesses that refuse or fail to implement required environmental controls for fuel sales; unacceptable risk.
 - Stores that regularly exceed occupancy limits or lack crowd control measures; increases liability exposure.
 - Operations with no documented risk management or emergency procedures; unprepared for incidents.
 - Businesses that have not addressed prior regulatory recommendations or citations; ongoing non-compliance.

Restrictions (with Reasons)

- **Rule:** No acceptance of stores with unresolved or repeated food safety violations. — Indicates ongoing risk of contamination and regulatory action.
- **Rule:** No acceptance of businesses with unmonitored or unregistered underground storage tanks. — High environmental liability and regulatory non-compliance.
- **Rule:** No acceptance of stores with extensive on-site cooking without proper fire suppression systems. — Significantly increases fire and liability risk.
- **Rule:** No acceptance of operations lacking documented employee food safety training. — Increases risk of foodborne illness and regulatory penalties.
- **Rule:** No acceptance of stores with a history of major foodborne illness outbreaks or product recalls. — Represents unacceptable health and reputational risk.
- **Rule:** No acceptance of businesses operating without required licenses or permits. — Illegal operations present regulatory and legal risks.

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- **Rule:** No acceptance of stores with chronic pest infestations or unsanitary conditions. — High risk of contamination and regulatory closure.
 - **Rule:** No acceptance of locations with unaddressed structural hazards. — Unsafe premises increase liability and injury risk.
 - **Rule:** No acceptance of businesses that refuse to implement required environmental controls for fuel sales. — Unacceptable risk of environmental damage and regulatory fines.
 - **Rule:** No acceptance of stores with outdated or malfunctioning critical equipment. — Increases risk of spoilage, fire, and operational failure.
 - **Rule:** No acceptance of operations with no documented risk management or emergency procedures. — Lack of preparedness increases risk of loss.
 - **Rule:** No acceptance of stores that have not addressed prior regulatory recommendations or citations. — Ongoing non-compliance indicates persistent risk.

Dessert Shops (BT-0070)

Appetite Level: **Acceptable**

Preferred

- Dessert shops with no history of food safety violations and a documented food safety program in place.
- Establishments with experienced operators who have at least three years of prior food service or dessert industry management.
- Shops that maintain all required health department permits and have passed their most recent inspections without citations.
- Businesses with comprehensive risk management strategies, including employee safety training and equipment maintenance logs.
- Shops offering limited, secondary alcohol service with all staff serving alcohol trained and certified in responsible service.
- Establishments with a documented supply chain management process ensuring timely and safe ingredient delivery.
- Shops with a history of minor, isolated claims that have been fully resolved with corrective actions documented.
- Businesses that have implemented seasonal staffing and inventory adjustments to manage peak demand periods.
- Shops that maintain all equipment in good working order with regular professional inspections and servicing.
- Dessert shops that utilize loyalty programs and promotional strategies to drive consistent customer traffic.
- Establishments with a written emergency response plan for fire, foodborne illness, and other operational risks.
- Shops that have never had a fire-related claim or significant fire hazard identified by authorities.
- Businesses that use only commercial-grade, certified kitchen equipment and maintain clear safety protocols.
- Dessert shops with a strong reputation in the community and positive customer reviews regarding cleanliness and service.
- Establishments that maintain up-to-date documentation of all licenses, permits, and corrective actions for regulatory compliance.

Acceptable

- Dessert shops with one or two minor, isolated food safety violations in the past three years, provided corrective actions are documented.

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- Startups led by operators with at least one year of relevant food service or dessert industry experience.
 - Shops that have passed their most recent health inspection after previously receiving a citation, with evidence of corrective measures.
 - Establishments offering limited alcohol service as a secondary business activity, with all required licenses current.
 - Businesses with a single resolved foodborne illness claim in the past five years and a documented response plan.
 - Shops that have implemented basic risk management practices, such as regular cleaning schedules and staff safety meetings.
 - Establishments with minor equipment maintenance issues that have been promptly addressed and resolved.
 - Dessert shops that have experienced seasonal fluctuations in staffing but have not had operational disruptions.
 - Shops that source ingredients from multiple vendors to reduce supply chain risk, with documented vendor agreements.
 - Businesses that have experienced a single, minor fire incident with no injuries and have since upgraded fire safety measures.
 - Establishments with a written alcohol service policy and evidence of staff training, even if not all staff are certified.
 - Shops that have received customer complaints about cleanliness or service but have documented corrective actions.
 - Dessert shops that have undergone a change in ownership, provided the new operators have relevant experience.
 - Businesses that have experienced minor property damage claims unrelated to food safety or fire, with repairs completed.
 - Shops that have implemented basic promotional strategies to attract customers but lack a formal marketing plan.

Not Acceptable

- Dessert shops with unresolved health department citations or ongoing regulatory investigations.
- Establishments with a history of multiple food safety violations or repeated foodborne illness claims.
- Businesses where alcohol service is the primary focus or exceeds 30% of total sales without adequate controls.
- Shops with poorly maintained equipment or premises that pose ongoing safety hazards to staff or customers.
- Establishments lacking current and appropriate liquor licenses for alcohol service.

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- Startups led by individuals with no prior experience in the food service or dessert industry.
 - Businesses with a history of significant fire hazards or multiple fire-related claims in the past five years.
 - Shops that have failed to implement corrective measures for past claims or regulatory violations.
 - Establishments without a documented risk management or food safety program.
 - Dessert shops with multiple unresolved customer complaints regarding cleanliness, safety, or service.
 - Businesses that have been denied coverage or had policies canceled due to operational risks.
 - Shops that do not maintain up-to-date documentation of licenses, permits, or corrective actions.
 - Establishments with untrained staff serving alcohol or lacking evidence of responsible alcohol service policies.
 - Businesses that have experienced repeated supply chain disruptions resulting in product shortages or quality issues.
 - Shops operating with non-commercial or uncertified kitchen equipment that increases operational risk.

Restrictions (with Reasons)

- **Rule:** Dessert shops must maintain current and appropriate liquor licenses for any alcohol service. — Ensures compliance with local laws and reduces liability related to alcohol service.
- **Rule:** Alcohol service must be limited and secondary to the primary dessert business. — Minimizes risk exposure and ensures the business focus remains on dessert sales.
- **Rule:** All staff serving alcohol must be trained and certified in responsible alcohol service. — Reduces the risk of alcohol-related incidents and supports regulatory compliance.
- **Rule:** Startups must be led by operators with prior experience in the food service or dessert industry. — Experienced operators are better equipped to manage operational and regulatory risks.
- **Rule:** Comprehensive business plans and risk management strategies are required for new businesses. — Demonstrates preparedness and the ability to address potential risks proactively.
- **Rule:** Businesses with unresolved health department citations or multiple food safety violations are not eligible. — Indicates ongoing compliance issues and increased risk of claims.
- **Rule:** Establishments must maintain all equipment and premises to prevent safety hazards. — Poorly maintained environments increase the likelihood of accidents and claims.
- **Rule:** Significant fire hazards or a history of fire-related claims disqualify a business from coverage. — Fire hazards present a severe risk to property and safety.
- **Rule:** Documentation of corrective actions for any past claims or violations is required. — Shows commitment to continuous improvement and risk mitigation.
- **Rule:** Businesses must not have a history of multiple foodborne illness claims. — Multiple claims indicate systemic food safety issues.

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- **Rule:** Evidence of responsible alcohol service policies is mandatory for shops serving liquor. — Supports safe alcohol service and regulatory compliance.
 - **Rule:** Establishments must maintain a clean and safe environment at all times. — Cleanliness and safety are critical to customer health and business reputation.

Fruit & Vegetable Markets (BT-0071)

Appetite Level: **Acceptable**

Preferred

- Markets with documented, ongoing staff training in food safety and handling protocols; reduces risk of foodborne illness claims.
- Businesses that maintain temperature and humidity monitoring systems for all perishable inventory; helps prevent spoilage losses.
- Markets sourcing produce exclusively from suppliers with third-party food safety certifications; lowers contamination liability.
- Operations with a history of zero food safety violations in the past five years; indicates strong risk management.
- Markets that conduct and document regular supplier audits for food safety compliance; ensures supply chain integrity.
- Businesses with comprehensive insurance coverage including auto and cyber liability; addresses key operational exposures.
- Markets with backup power systems for refrigeration units; mitigates spoilage risk during outages.
- Operations with separate storage for organic and conventional produce; reduces cross-contamination risk.
- Markets that utilize digital inventory management systems with real-time temperature alerts; enhances loss prevention.
- Businesses participating in local food safety initiatives or certifications; demonstrates community engagement and compliance.

Acceptable

- Markets with standard staff training on food handling but lacking advanced certifications; moderate risk profile.
- Businesses that perform daily manual temperature checks for refrigeration units; basic spoilage prevention.
- Markets sourcing from a mix of local and regional suppliers with documented safety policies; some supply chain variability.
- Operations with one minor food safety violation in the past three years, fully remediated; acceptable if improvements are documented.
- Markets using third-party delivery services with proof of commercial auto insurance; addresses auto liability.
- Businesses with basic cyber liability coverage for online sales; partial mitigation of cyber risk.
- Markets that conduct supplier audits annually but lack formal documentation; some oversight present.

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- Operations with refrigeration equipment less than 10 years old and regular maintenance schedules; moderate equipment risk.
 - Markets offering a small selection of related products (herbs, nuts) with clear labeling and storage; manageable cross-contamination risk.
 - Businesses with a claims history limited to minor spoilage losses, no major liability claims; acceptable risk.

Not Acceptable

- Markets with a history of repeated or unresolved food safety violations; high risk of liability claims.
- Businesses lacking any documented staff training in food handling or safety protocols; unacceptable risk.
- Markets with no temperature or humidity controls for perishable inventory; high spoilage and contamination risk.
- Operations sourcing from suppliers without any food safety certifications or audit history; supply chain liability.
- Markets with prior claims related to severe foodborne illness outbreaks; unacceptable exposure.
- Businesses operating without refrigeration for perishable goods; non-compliant with safety standards.
- Markets with no insurance coverage for auto or cyber liability despite delivery or online sales; significant exposure.
- Operations with a history of frequent refrigeration equipment failures and no maintenance program; high spoilage risk.
- Markets selling high-risk prepared foods (e.g., cut fruit, ready-to-eat salads) without proper food safety controls; elevated contamination risk.
- Businesses with a pattern of late or incomplete regulatory compliance; unreliable risk management.
- Markets with inadequate separation of organic and conventional produce, leading to cross-contamination; unacceptable practice.
- Operations with unverified or undocumented suppliers; cannot ensure product safety.

Restrictions (with Reasons)

- **Rule:** Coverage is restricted for markets with unresolved or repeated food safety violations. — Indicates ongoing risk of contamination and liability claims.
- **Rule:** Businesses lacking documented staff training in food handling are ineligible. — Proper training is essential to mitigate foodborne illness risks.
- **Rule:** Markets must maintain temperature and humidity controls for all perishable inventory. — Prevents spoilage and reduces the likelihood of claims.

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- **Rule:** Insurance coverage for auto liability is required if delivery vehicles are used. — Addresses risks associated with transportation of goods.
 - **Rule:** Cyber liability coverage is required for operations with online sales platforms. — Mitigates risks from data breaches and cyber incidents.
 - **Rule:** Regular maintenance and documented inspections of refrigeration equipment are mandatory. — Reduces risk of spoilage losses due to equipment failure.
 - **Rule:** Markets must conduct and document supplier audits for food safety compliance. — Ensures quality and safety of sourced produce.
 - **Rule:** Businesses with prior claims related to severe foodborne illness outbreaks are excluded. — Represents unacceptable liability exposure.
 - **Rule:** Operations must comply with all local health department regulations and maintain current certifications. — Regulatory compliance is critical for safe operation.
 - **Rule:** Markets selling high-risk prepared foods without proper controls are not eligible. — Prepared foods increase contamination risk if not properly managed.

Furniture Stores & Installation (BT-0072)

Appetite Level: **Limited**

Preferred

- Retail furniture stores with less than 10,000 sq ft of showroom space and no on-site woodworking or manufacturing (lower fire and liability risk)
- Businesses with a clean loss history (no claims in the past 5 years)
- Operations that use only pre-assembled or flat-pack furniture (reduces installation hazards)
- Stores with dedicated delivery and installation teams that are employees, not subcontractors (better control over safety and training)
- Retailers that do not offer repair or refinishing services (limits exposure to chemicals and fire hazards)
- Businesses with written safety protocols for lifting, assembly, and delivery (reduces workplace injuries)
- Locations with monitored burglar and fire alarms (improved property protection)
- Stores that do not handle antique or high-value specialty furniture (limits theft and breakage exposure)
- Retailers that require background checks for all installation staff (reduces theft and liability risk)
- Businesses with ADA-compliant showrooms and customer areas (reduces accessibility claims)
- Operations that do not offer furniture rental or leasing (limits property damage and contractual liability)
- Stores with inventory stored off the floor and away from exits (improves fire safety and egress)
- Retailers with a written return and warranty policy (improves customer satisfaction and reduces disputes)

Acceptable

- Furniture stores with up to 25,000 sq ft of showroom space
- Businesses that perform minor on-site assembly but no custom carpentry or woodworking
- Retailers offering delivery within a 100-mile radius
- Operations with a mix of employee and subcontractor installation teams, provided subcontractors are insured
- Stores that sell mattresses and bedding in addition to furniture
- Retailers with a history of minor, resolved claims (no open or severe losses)
- Businesses that occasionally handle commercial installations (offices, hotels, restaurants)
- Stores that offer basic repair services (e.g., tightening, minor upholstery fixes) but no refinishing
- Operations that use third-party logistics for delivery, with contracts in place

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- Retailers that display outdoor furniture but do not install permanent outdoor structures
 - Businesses with seasonal sales fluctuations (e.g., peak during holidays or back-to-school)
 - Stores located in mixed-use retail centers
 - Retailers that participate in home shows or trade expos

Not Acceptable

- Furniture stores with on-site manufacturing, woodworking, or refinishing operations (high fire and injury risk)
- Businesses that import and sell untested or uncertified furniture (potential safety and regulatory violations)
- Operations that offer structural installations (e.g., built-in cabinetry, wall removal, or electrical work)
- Retailers that rent or lease furniture for events or staging (high property damage and theft risk)
- Stores that sell or install medical or mobility furniture (e.g., hospital beds, lifts)
- Businesses with a history of severe or unresolved claims in the past 5 years
- Operations that use only subcontractors for installation without verifying insurance or training
- Retailers that store inventory in unprotected warehouses or non-sprinklered buildings
- Businesses that offer moving or relocation services in addition to furniture sales
- Stores that sell or install playground, gym, or recreational equipment
- Retailers that handle antique, rare, or high-value collectible furniture as a primary business
- Operations that perform installations in hazardous or industrial environments
- Businesses located in areas with high crime rates and no security measures
- Stores that do not comply with local zoning, fire, or accessibility regulations
- Retailers with no written policies for returns, warranties, or customer complaints

Restrictions (with Reasons)

- **Rule:** No coverage for businesses with on-site woodworking, manufacturing, or refinishing operations. — These activities significantly increase fire and injury risk.
- **Rule:** All installation subcontractors must provide proof of insurance and training. — Reduces liability exposure from third-party workers.
- **Rule:** No coverage for businesses that offer furniture rental or leasing services. — Rental operations have higher property damage and theft risk.
- **Rule:** No coverage for stores that sell or install medical, mobility, or playground equipment. — These items carry specialized liability and safety risks.
- **Rule:** Inventory must be stored in sprinklered, secured, and monitored facilities. — Prevents large property losses from fire or theft.

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- **Rule:** No coverage for businesses with unresolved or severe claims in the past 5 years. — Indicates higher ongoing risk and poor risk management.
 - **Rule:** No coverage for businesses that do not comply with local zoning, fire, or accessibility regulations. — Non-compliance increases regulatory and liability exposure.
 - **Rule:** No coverage for operations performing structural installations or modifications. — Structural work is outside the scope of standard furniture installation and carries construction risks.
 - **Rule:** No coverage for businesses located in high-crime areas without adequate security systems. — Increases risk of theft and property loss.
 - **Rule:** No coverage for businesses primarily selling antique, rare, or high-value collectible furniture. — These items have unique valuation and theft risks.

Garden & Landscaping Services (BT-0073)

Appetite Level: **Acceptable**

Preferred

- Garden and landscaping businesses with a primary focus on residential maintenance contracts (due to predictable, lower-risk operations).
- Firms offering design, planting, and routine lawn care services without heavy equipment use (minimizes property and liability exposures).
- Operations with incidental tree trimming and removal, not as a core service (reduces risk of severe injury/property damage).
- Businesses with established relationships with licensed nurseries and reputable material suppliers (ensures quality and reliability).
- Companies that do not apply pesticides or herbicides, or only do so on an incidental basis with proper certification (limits pollution and regulatory risk).
- Landscaping services with less than \$500,000 in business personal property and a monitored central alarm system (reduces theft and fire risk).
- Firms with documented safety training and equipment maintenance programs (improves loss control).
- Businesses that do not subcontract major portions of their work (better control over operations and liability).
- Operations with no history of environmental violations or chemical spills (demonstrates regulatory compliance).
- Landscaping companies that do not perform snow removal or only do so on a limited, incidental basis (avoids increased slip-and-fall exposures).
- Businesses with written contracts and clear scope of work for all projects (reduces disputes and liability).

Acceptable

- Garden and landscaping services offering both residential and commercial work, provided tree trimming and removal are incidental.
- Firms that apply pesticides or herbicides on an incidental basis and hold all required state/local certifications.
- Businesses with seasonal labor, provided all workers are properly trained and supervised.
- Operations that perform hardscaping (e.g., patios, walkways) as part of broader landscaping projects.
- Companies with up to \$500,000 in contents, provided a central alarm system is in place.
- Landscaping services that occasionally perform snow removal, but not as a primary business activity.

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- Firms that rent specialized equipment for large projects, provided proper operator training is documented.
 - Businesses that maintain general liability coverage and, if offering design services, have professional liability coverage in effect.
 - Operations that perform minor irrigation system installation or repair as part of landscaping services.
 - Companies that use approved fertilizers and chemicals, following all environmental regulations.
 - Firms that provide landscape consulting or design services without direct construction or installation.
 - Businesses that maintain proper documentation for all pesticide/herbicide applications.
 - Landscaping services that occasionally subcontract specialized tasks, with certificates of insurance from all subcontractors.
 - Operations that maintain outdoor property such as fences, provided coverage is specifically endorsed.
 - Companies that perform maintenance for small commercial properties (e.g., office parks, retail centers) with no large-scale municipal contracts.

Not Acceptable

- Large maintenance contractors whose primary business is municipal or institutional groundskeeping (exceeds risk appetite).
- Businesses where tree trimming or removal is a core service or represents more than 25% of operations (high severity exposure).
- Firms that apply pesticides or herbicides as a primary service or without proper certification (unacceptable pollution and regulatory risk).
- Landscaping companies with more than \$500,000 in business personal property and no central alarm system (increased theft/fire risk).
- Operations performing snow removal as a primary business activity (unacceptable slip-and-fall exposure).
- Businesses with a history of environmental violations, chemical spills, or regulatory fines (demonstrates poor risk management).
- Firms that subcontract the majority of their work without adequate oversight or insurance verification (unacceptable liability exposure).
- Companies offering services customary to medi-spas, such as cosmetic treatments or wellness therapies (outside appetite).
- Businesses providing drone photography or aerial surveying as part of landscaping services (excluded due to aviation risk).
- Operations that include land, water, growing crops, or lawns as covered property, except for vegetated roofs (not insurable property types).

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- Firms without general liability or professional liability coverage in effect (unacceptable risk transfer).
 - Landscaping services that operate as schools or training centers (not within appetite).
 - Businesses that provide tattooing, spa, or massage services (excluded classes).
 - Firms with tenant exposures that have not been evaluated for general liability or pollution potential.
 - Companies that do not comply with all applicable licensing, certification, or insurance requirements.

Restrictions (with Reasons)

- **Rule:** Tree trimming and removal must be incidental to primary landscaping services. — Core tree work presents higher severity risks not contemplated in standard appetite.
- **Rule:** Pesticide and herbicide application must be incidental and properly certified. — Primary chemical application increases pollution and regulatory exposure.
- **Rule:** Large maintenance contractors (municipal/institutional focus) are prohibited. — Scale and scope of operations exceed acceptable risk profile.
- **Rule:** Applicants with more than \$500,000 in contents must have a central alarm system. — Higher property values require enhanced security to mitigate theft and fire risk.
- **Rule:** Tenant exposures must be evaluated for general liability and pollution potential. — Unassessed tenant operations may introduce unacceptable liability or environmental risk.
- **Rule:** Fidelity coverage is prohibited. — Employee dishonesty is outside the scope of covered exposures.
- **Rule:** Professional liability coverage must be in effect for design or consulting services. — Design errors and omissions are not covered under general liability.
- **Rule:** Land, water, growing crops, or lawns are not covered property (except vegetated roofs). — These exposures are uninsurable or outside standard property coverage.
- **Rule:** Outdoor property such as fences must be specifically endorsed for coverage. — Standard property forms may exclude certain outdoor items.
- **Rule:** Services customary to medi-spas, schools, or tattoo parlors are ineligible. — These services fall outside the intended scope of landscaping operations.
- **Rule:** Drone photography or aerial surveying is not permitted. — Aviation exposures are excluded from standard coverage.

General Contractors & Builders (BT-0074)

Appetite Level: **Limited**

Preferred

- General contractors specializing in residential new home construction within a single state, with no work in New York City, Nassau, Suffolk, or Westchester counties (lower risk, clear jurisdiction).
- Builders performing interior renovations for single-family homes, excluding structural changes (lower exposure to major liability).
- Contractors with annual payroll under \$1M and gross receipts under \$2M (smaller scale, easier risk management).
- Contractors using only licensed subcontractors for electrical, plumbing, and HVAC work (reduces liability for specialized trades).
- Businesses with no history of claims or losses in the past five years (demonstrates strong risk management).
- Contractors with written safety programs and OSHA compliance documentation (proactive risk mitigation).
- Operations with less than 30% of total costs subcontracted (limits exposure to subcontractor default).
- Contractors who maintain Builders Risk and Inland Marine coverage for all projects and equipment (comprehensive protection).
- Businesses with no work above two stories in height (reduces fall and injury risk).
- Contractors who do not perform any roofing, excavation, or tree removal services (avoids high-risk trades).
- General contractors who only perform work on owner-occupied residential properties (lower liability exposure).
- Contractors with all tools and equipment secured in locked trailers or storage when not in use (reduces theft risk).

Acceptable

- General contractors performing light commercial tenant improvements (e.g., office buildouts) under \$500,000 per project.
- Builders completing kitchen and bathroom remodels in residential properties, excluding structural modifications.
- Contractors with up to 30% of annual revenue from subcontracted work, provided all subcontractors are insured.
- Businesses operating in suburban or rural areas with no work in major metropolitan centers.
- Contractors with a mix of residential and small-scale commercial projects, provided no single project exceeds \$1M in value.

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- Contractors who occasionally use rented equipment, provided Inland Marine coverage is maintained.
 - Businesses with a clean regulatory record and no OSHA violations in the past three years.
 - Contractors who perform seasonal work, with documented plans for managing off-season risks.
 - General contractors who do not perform work on buildings over three stories.
 - Contractors who do not engage in waterproofing, ship repair, or tree service/removal.
 - Businesses with a documented process for vetting and managing subcontractors.
 - Contractors who maintain Umbrella Liability coverage for excess protection.

Not Acceptable

- Contractors performing any work in New York City, Nassau, Suffolk, or Westchester counties (jurisdictional exclusion).
- General contractors involved in heavy construction activities such as bridge construction, dredging, drilling, or tunneling (high hazard).
- Contractors engaged in ship repair, marine construction, or waterproofing (excluded trades).
- Businesses performing tree service, tree removal, or stump grinding (high risk of injury/property damage).
- Roofing contractors or those performing any roofing work (elevated risk of falls and claims).
- Excavation contractors or those performing any excavation or grading work (ground movement and collapse risk).
- Handyperson businesses performing a wide range of unrelated trades (difficult to underwrite exposure).
- Shop-only carpentry or sheet metal operations with no on-site construction (not within appetite).
- Contractors with more than \$1M in annual payroll or \$2M in annual revenue (exceeds small business threshold).
- Businesses with more than 30% of costs subcontracted (increased exposure to subcontractor risk).
- Applicants seeking Hired and Non-Owned Auto Coverage (HNOA) (coverage not available).
- Operations with multiple trades where any trade is ineligible (entire risk is ineligible).
- Contractors with a history of regulatory violations or insurance claims in the past three years.
- Contractors performing work on buildings over three stories in height.
- Businesses seeking coverage for shop-only operations without any field work.

Restrictions (with Reasons)

- **Rule:** No coverage for contractors performing work in New York City, Nassau, Suffolk, or Westchester counties. — High litigation risk and unfavorable jurisdictional environment.

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- **Rule:** Heavy construction activities such as bridge construction, dredging, drilling, and tunneling are ineligible. — These activities present elevated risk profiles outside underwriting appetite.
 - **Rule:** Contractors engaged in ship repair, marine construction, waterproofing, or tree service/removal are not eligible. — These trades are specifically excluded due to high hazard exposure.
 - **Rule:** Roofers, handypersons, excavators, and tree removal/stump grinding services are ineligible. — These operations have high frequency and severity of claims.
 - **Rule:** Shop-only carpentry or sheet metal work is not eligible for coverage. — Coverage is intended for on-site construction activities, not manufacturing.
 - **Rule:** Hired and Non-Owned Auto Coverage (HNOA) is not available for contractors. — Auto liability exposure is outside the scope of this program.
 - **Rule:** Artisan Contractors must have payroll under \$1M and revenue under \$2M to be eligible. — Limits exposure to manageable small business risks.
 - **Rule:** No more than 30% of total costs may be subcontracted for Artisan Contractors. — Higher subcontracting increases risk of default and loss control issues.
 - **Rule:** Operations with multiple trades must quote with the majority class code; if one trade is ineligible, the whole risk is ineligible. — Ensures underwriting consistency and avoids hidden exposures.
 - **Rule:** Coverage eligibility is contingent on the nature of the work performed by the contractor. — Certain activities are explicitly excluded to control risk.
 - **Rule:** Coverage for theft of expensive tools is only included if tools are stored in a locked trailer. — Reduces risk of theft losses.
 - **Rule:** Coverage for fire damage to partially completed commercial buildings is only available under Builders Risk. — Ensures proper coverage form is used for insurable interest.

Gift & Souvenir Shops (BT-0075)

Appetite Level: **Preferred**

Preferred

- Shops with over 3 years of continuous operation and no prior insurance claims, demonstrating operational stability and low risk.
- Retail locations situated in high-traffic tourist destinations or cultural hubs, ensuring consistent customer flow and visibility.
- Businesses with comprehensive, well-documented inventory management controls to minimize shrinkage and loss.
- Shops equipped with modern security systems, including CCTV cameras and alarm systems, to deter theft and enhance safety.
- Operations with formal employee training programs focused on customer service, loss prevention, and safety protocols.
- Retailers that source a significant portion of their inventory from reputable local artisans and established wholesalers.
- Shops with a clean record of regulatory compliance, including up-to-date business licenses and sales tax filings.
- Businesses that regularly conduct inventory assessments and maintain accurate stock records.
- Shops with a documented emergency response plan and clear procedures for handling customer injuries.
- Retailers that maintain a strong online presence with secure e-commerce platforms and documented cybersecurity measures.
- Locations with ADA-compliant facilities and clear, unobstructed customer pathways to reduce slip-and-fall risks.
- Shops that participate in community engagement initiatives or collaborate with local artists, enhancing brand reputation.
- Retailers with seasonal staffing plans and documented procedures for managing peak and off-peak periods.
- Businesses that have not experienced any theft, burglary, or vandalism incidents in the past three years.
- Shops with a documented process for vetting and contracting with vendors and suppliers.

Acceptable

- Retailers specializing in hobby, craft, or gift items with moderate sales volume and some online sales activity.
- Mixed operations that combine a physical storefront with an e-commerce platform, provided both are managed with documented controls.

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- Newer businesses (1–3 years in operation) that have implemented risk controls such as theft prevention and slip-and-fall mitigation.
 - Shops located in secondary commercial areas with moderate foot traffic but strong local customer bases.
 - Retailers with basic security measures (e.g., lockable display cases, staff monitoring) but lacking advanced systems.
 - Businesses with a limited claims history (one minor claim in the past three years) and documented corrective actions.
 - Shops that primarily sell stationery, greeting cards, or small gift items with low inherent risk.
 - Retailers that operate seasonally but have clear procedures for inventory and cash management during closures.
 - Businesses with part-time or seasonal staff, provided all employees receive documented safety and loss prevention training.
 - Shops that have recently upgraded their inventory management systems but are still refining processes.
 - Retailers with a moderate online presence but no history of data breaches or cyber incidents.
 - Businesses that lease their retail space and have documented landlord approval for all security installations.
 - Retailers with a mix of locally sourced and mass-produced inventory, provided all vendors are vetted.
 - Shops that have participated in local business improvement programs or safety audits.
 - Retailers with a history of minor regulatory infractions that have been fully resolved and documented.

Not Acceptable

- Shops selling firearms, ammunition, fireworks, or other hazardous items, regardless of sales volume.
- Retailers offering repair, rental, or consignment services for sporting goods, jewelry, or electronics.
- Businesses with a history of multiple insurance claims, including theft, fire, or customer injury, in the past three years.
- Shops located in high-crime areas without adequate security measures or loss prevention protocols.
- Retailers operating exclusively online with no physical storefront or verifiable local presence.
- Businesses lacking any documented inventory controls or security systems.
- Shops with a history of regulatory violations, including expired licenses, unpaid taxes, or zoning infractions.

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- Retailers that allow unsupervised customer access to high-value or easily pilfered merchandise.
 - Businesses with unresolved slip-and-fall claims or open liability lawsuits.
 - Shops that do not provide any employee training on safety, loss prevention, or emergency procedures.
 - Retailers located in temporary or pop-up locations with no established lease or business continuity plan.
 - Businesses that have experienced a data breach or cyber incident in the past 12 months.
 - Shops with significant structural hazards, such as poor lighting, blocked exits, or non-compliant fire safety systems.
 - Retailers that operate outside of standard business hours without adequate staffing or security.
 - Businesses that have been denied insurance coverage or non-renewed due to risk concerns.

Restrictions (with Reasons)

- **Rule:** No coverage for shops selling firearms, ammunition, fireworks, or hazardous materials. — These items present elevated liability and regulatory risks outside the intended appetite.
- **Rule:** No acceptance of businesses with more than one insurance claim in the past three years. — Multiple claims indicate a pattern of risk that exceeds acceptable thresholds.
- **Rule:** Shops must maintain operational security systems, including CCTV and alarm systems, at all times. — Security systems are critical for theft prevention and customer safety.
- **Rule:** All employees must receive documented training in loss prevention and safety protocols. — Proper training reduces the likelihood of theft and workplace accidents.
- **Rule:** No coverage for operations offering repair, rental, or consignment services. — These services introduce additional liability exposures not contemplated in standard retail policies.
- **Rule:** Businesses must have up-to-date business licenses and comply with all local regulatory requirements. — Regulatory compliance is essential for legal operation and risk mitigation.
- **Rule:** No acceptance of shops located in temporary, pop-up, or mobile retail spaces. — Temporary locations lack the stability and controls of established retail operations.
- **Rule:** Retailers must have documented inventory management procedures in place. — Inventory controls are necessary to prevent loss and ensure accurate reporting.
- **Rule:** No coverage for businesses with unresolved liability claims or open lawsuits. — Open claims represent ongoing risk and potential future losses.
- **Rule:** No acceptance of retailers operating exclusively online without a physical storefront. — Physical presence is required for risk assessment and policy eligibility.
- **Rule:** Shops must maintain clear, unobstructed customer pathways and comply with ADA requirements. — Proper layout reduces slip-and-fall risk and ensures accessibility.
- **Rule:** No coverage for businesses with a history of regulatory violations that remain unresolved. — Unresolved violations indicate ongoing non-compliance and elevated risk.

Glass & Window Services (BT-0076)

Appetite Level: **Acceptable**

Preferred

- Businesses specializing in residential glass installation and repair, as these projects typically involve lower risk environments.
- Firms with documented, comprehensive safety protocols and regular employee safety training, reducing workplace injury and liability exposures.
- Operations with direct-hire employees performing the majority of work, ensuring oversight and quality control.
- Companies with a clean loss history and no recent claims related to property damage or bodily injury.
- Businesses that maintain well-documented driver training programs and enforce strict load securing procedures for glass transportation.
- Firms with established relationships with reputable, insured suppliers and vendors, minimizing supply chain disruptions.
- Operations that perform scheduled, non-emergency work during standard business hours, reducing after-hours risk exposures.
- Companies that perform work primarily on low-rise buildings (three stories or fewer), limiting catastrophic fall or drop hazards.
- Businesses that do not handle hazardous or specialty glass types (e.g., bulletproof, fire-rated) except as incidental work.
- Firms that maintain up-to-date insurance certificates for all subcontractors used, ensuring proper risk transfer.
- Operations with a documented vehicle maintenance program for all service and transport vehicles.
- Businesses that provide clear, written contracts outlining scope of work, responsibilities, and customer expectations.

Acceptable

- Firms performing a mix of residential and light commercial glass work, provided high-rise or large-scale projects are not the primary focus.
- Businesses with some subcontracted work, provided all subcontractors are vetted, insured, and supervised.
- Companies offering emergency glass repair services, provided after-hours protocols and safety measures are in place.
- Operations transporting glass panels locally within a defined service area, with documented load securing practices.

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- Businesses that occasionally install specialty glass (e.g., tempered, laminated) with proper training and equipment.
 - Firms with minor, non-recurring claims history, provided corrective actions have been implemented.
 - Companies that perform storefront installations on single-story or low-rise commercial buildings.
 - Operations that adjust staffing seasonally to match demand, provided training and safety standards are maintained.
 - Businesses that use leased or rented vehicles for glass transport, provided insurance and safety standards are met.
 - Firms that occasionally remove or replace minor obstructions (excluding window displays) as part of service.

Not Acceptable

- Businesses whose primary operations involve large-scale construction or high-rise glazing projects, due to catastrophic loss potential.
- Firms lacking formal, documented safety protocols or regular safety training for employees.
- Companies that subcontract the majority of their work without oversight or insurance verification.
- Operations with a history of frequent or severe claims related to property damage, bodily injury, or auto accidents.
- Businesses performing work on buildings above three stories or on high-rise structures.
- Firms engaged in the installation or repair of hazardous or specialty glass types as a primary service (e.g., bulletproof, fire-rated, blast-resistant).
- Companies transporting glass over long distances without proper load securing or driver safety programs.
- Operations with no documented vehicle maintenance or inspection program.
- Businesses that routinely perform after-hours or emergency work without established safety protocols.
- Firms that do not verify insurance or credentials for subcontractors or temporary workers.
- Companies that perform demolition, structural alterations, or work affecting building integrity beyond glass installation.
- Businesses that include window display removal or replacement as a standard part of their service offering.
- Firms with a pattern of regulatory violations, code non-compliance, or unresolved safety citations.
- Operations with significant uninsured or underinsured exposures in their supply chain.

Restrictions (with Reasons)

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- **Rule:** No coverage for businesses primarily engaged in large-scale construction or high-rise glazing projects. — These projects present high catastrophic loss exposure due to height, complexity, and potential for severe property damage or injury.
 - **Rule:** Businesses must have formal, written safety protocols and provide regular safety training to employees. — Lack of safety measures increases the risk of workplace accidents and insurance claims.
 - **Rule:** Companies that subcontract most of their work must provide oversight and verify subcontractor insurance. — Unsupervised or uninsured subcontractors increase liability and claim frequency.
 - **Rule:** No coverage for operations working on buildings above three stories. — High-rise work significantly increases fall, drop, and catastrophic loss risks.
 - **Rule:** Coverage excludes removal or replacement of window displays during glass repair or replacement. — Window displays often involve high-value property and complex liability exposures.
 - **Rule:** Businesses must maintain a documented vehicle maintenance and inspection program for all service vehicles. — Poorly maintained vehicles increase the risk of accidents and glass breakage during transport.
 - **Rule:** Proper load securing and driver safety training are required for all mobile units transporting glass panels. — Improperly secured loads and untrained drivers elevate the risk of accidents and property damage.
 - **Rule:** No coverage for businesses with a history of frequent or severe claims related to property damage or bodily injury. — High claim frequency indicates elevated operational risk.
 - **Rule:** Firms must comply with all local building codes and regulatory requirements for glass installation. — Non-compliance can result in fines, liability, and denied claims.
 - **Rule:** No coverage for businesses performing demolition, structural alterations, or work beyond glass and window installation. — Such activities introduce additional risks outside the intended scope of coverage.

Golf & Sporting Equipment Stores (BT-0077)

Appetite Level: **Preferred**

Preferred

- Retailers that exclusively sell golf and sporting equipment and accessories, with no ancillary services such as rentals or repairs, reducing operational complexity and liability exposure.
- Businesses with a professionally monitored alarm system in place, ensuring enhanced security and compliance with underwriting requirements.
- Stores with a strong credit history and positive cash flow, demonstrating financial stability and lower risk of business interruption.
- Retailers with well-maintained, clean, and organized premises, minimizing slip, trip, and fall hazards for customers and staff.
- Businesses that have implemented clear, documented safety protocols for employees and customers, reducing the likelihood of accidents and claims.
- Stores with minimal or no history of liability claims, indicating effective risk management and safe operations.
- Retailers that do not sell firearms, ammunition, or other high-risk products, focusing solely on sporting goods and accessories.
- Businesses that maintain strong relationships with reputable suppliers and vendors, ensuring product quality and supply chain reliability.
- Retailers that provide regular employee training on customer service and safety procedures, supporting a safe and professional environment.
- Stores located in commercial districts or shopping centers with adequate lighting, parking, and accessibility, reducing premises liability risks.
- Retailers that adjust inventory and marketing strategies according to seasonality, demonstrating proactive business management.
- Businesses that have not experienced significant property or liability losses in the past five years, indicating sound operational practices.
- Stores that utilize electronic inventory management systems to reduce shrinkage and improve operational efficiency.
- Retailers with a customer base primarily composed of amateur and professional athletes, recreational players, and fitness enthusiasts, aligning with core business focus.
- Businesses that avoid high-risk ancillary services such as equipment rentals, repairs, or lessons on premises, maintaining a lower risk profile.

Acceptable

- Sporting goods stores where sales of firearms or ammunition represent less than 5% of total annual receipts, limiting exposure to high-risk products.

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- Retailers that do not engage in equipment rental operations, reducing liability associated with product misuse or damage.
 - Stores that do not perform repair services on customer-owned equipment, minimizing exposure to product liability and workmanship claims.
 - Businesses with a generally clean liability claims history, with only minor or infrequent incidents reported.
 - Retailers that have a monitored alarm system but may lack some advanced security features, still meeting minimum security requirements.
 - Stores that maintain clear safety protocols and employee training, even if not as comprehensive as preferred standards.
 - Businesses with adequate, but not exemplary, financial stability, such as a satisfactory credit history and stable cash flow.
 - Retailers that have made recent improvements to premises maintenance and organization, demonstrating commitment to risk reduction.
 - Stores that occasionally diversify inventory to include low-risk ancillary sporting goods, provided these do not dominate sales.
 - Retailers located in areas with moderate crime rates, provided additional security measures are in place.
 - Businesses that have experienced minor property or liability losses but have taken corrective action to address underlying issues.
 - Stores that participate in community sporting events or sponsorships, provided these activities do not increase liability exposure.
 - Retailers that use manual inventory management systems but have procedures in place to minimize shrinkage.
 - Businesses that have a diverse customer base, including families and youth athletes, provided appropriate safety measures are enforced.
 - Stores that have undergone recent ownership or management changes, provided operational standards are maintained.

Not Acceptable

- Retailers where firearms or ammunition sales exceed 5% of total annual receipts, significantly increasing liability and regulatory risks.
- Businesses that engage in equipment rental operations, exposing the store to increased liability from product misuse or accidents.
- Stores that perform repair services on customer-owned equipment, creating additional product liability and workmanship risks.
- Retailers with a history of significant liability claims or frequent losses, indicating poor risk management or unsafe operations.

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- Businesses without a professionally monitored alarm system, failing to meet minimum security requirements.
 - Stores that sell high-risk products such as fireworks, self-defense weapons, or other hazardous items, increasing overall risk profile.
 - Retailers with poor financial stability, including negative cash flow or a weak credit history, raising concerns about business continuity.
 - Businesses with poorly maintained or unsafe premises, such as inadequate lighting, cluttered aisles, or damaged flooring.
 - Stores that lack documented safety protocols or employee training, increasing the likelihood of accidents and claims.
 - Retailers that have experienced recent bankruptcies, foreclosures, or significant legal actions, indicating instability.
 - Businesses located in high-crime areas without adequate security measures, elevating property and liability risks.
 - Stores that operate as part of a larger chain with a history of regulatory violations or non-compliance.
 - Retailers that offer high-risk ancillary services such as on-site sports instruction, tournaments, or events without proper controls.
 - Businesses that have been cited for repeated safety or health code violations by local authorities.
 - Stores that have failed to address prior loss control recommendations or underwriting requirements.

Restrictions (with Reasons)

- **Rule:** No rental operations of sporting equipment are permitted. — Rental activities increase liability exposure due to potential misuse or damage of equipment.
- **Rule:** Sales of firearms or ammunition must not exceed 5% of total annual receipts. — Higher sales of these items significantly increase liability and regulatory risks.
- **Rule:** No repair services on customer-owned equipment are allowed. — Repair operations introduce product liability and workmanship risks.
- **Rule:** A professionally monitored alarm system is required for preferred status. — Alarm systems reduce the risk of theft and property loss.
- **Rule:** Businesses must demonstrate financial stability, including positive cash flow and strong credit history. — Financially stable businesses are less likely to experience operational disruptions.
- **Rule:** Premises must be well-maintained, clean, and organized. — Proper maintenance reduces the risk of accidents and liability claims.
- **Rule:** Clear, documented safety protocols must be in place and enforced. — Safety protocols help prevent accidents and minimize claims.

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- **Rule:** No sales of high-risk products such as fireworks or self-defense weapons. — These products present elevated liability and regulatory risks.
 - **Rule:** Retailers must not have a history of significant liability claims. — A poor claims history indicates higher ongoing risk.
 - **Rule:** No on-site sporting events, tournaments, or instruction without proper controls. — Such activities can increase liability unless adequately managed.
 - **Rule:** Retailers must not have been cited for repeated safety or health code violations. — Repeated violations indicate poor operational controls and higher risk.

Graphic Design & Commercial Artists (BT-0078)

Appetite Level: **Acceptable**

Preferred

- Graphic design businesses operating exclusively from a home office or remote setting with secure digital workflows and robust data backup protocols.
- Small creative teams with fewer than 5 employees, each with clearly defined roles and responsibilities.
- Firms specializing in digital-only deliverables, such as branding, logo design, and web graphics, with no physical production or installation.
- Businesses using only owned, up-to-date computers and licensed graphic design software (e.g., Adobe Creative Suite) for all client work.
- Operations with documented client contracts outlining deliverables, timelines, and payment terms to mitigate errors and omissions.
- Designers serving local small businesses, startups, or non-profits with no international operations or clients.
- Businesses with regular, scheduled data backups and cybersecurity protocols to protect client information and creative assets.
- Firms with no physical client meetings, conducting all consultations and feedback sessions virtually.
- Entities with no inventory or physical goods, relying solely on digital assets and cloud-based storage.
- Operations with established relationships with reputable software vendors and stock image libraries for all third-party assets.
- Businesses with a history of timely project delivery and positive client feedback documented in project management systems.
- Designers who regularly update their skills and software to remain compliant with industry standards and best practices.

Acceptable

- Small graphic design studios with up to 10 employees, provided roles are clearly delineated and work is primarily digital.
- Firms occasionally using co-working spaces, as long as all equipment is owned and securely managed.
- Businesses offering print design services, provided all printing is outsourced to reputable third-party vendors.
- Operations that occasionally meet clients in person, but do not host large events or require significant travel.

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- Designers who use licensed stock images and fonts, with documentation of all licenses and permissions.
 - Firms that handle minor physical deliverables, such as printed proofs or small-scale marketing materials, with no delivery vehicles involved.
 - Businesses experiencing seasonal fluctuations in workload, provided operational controls are in place for peak periods.
 - Entities with a mix of project-based and retainer clients, as long as all work remains within the scope of graphic design and commercial art.
 - Operations that subcontract specialized tasks (e.g., copywriting or illustration) to vetted freelancers with clear contracts.
 - Firms with basic physical security measures for any on-site equipment, such as locks and alarm systems.
 - Businesses that occasionally collaborate with marketing agencies, provided they do not engage in advertising production or media buying.
 - Designers who participate in local trade shows or networking events, as long as no large-scale installations or physical displays are involved.

Not Acceptable

- Firms engaged in broadcasting, publishing, or advertising with extensive media production or distribution responsibilities.
- Businesses relying on non-owned, hired, or rented vehicles for client deliveries, mobile services, or on-site installations.
- Entities involved in large-scale event production, trade show booth construction, or installation services requiring significant physical labor or heavy equipment.
- Operations providing services outside the scope of graphic design, such as photography studios, video production, or audio engineering.
- Businesses with more than 10 employees or those operating multiple physical locations.
- Firms that manufacture, store, or distribute physical products or inventory beyond minor printed materials.
- Entities with international operations, clients, or physical presence outside the domestic market.
- Businesses lacking documented contracts or clear terms for client deliverables, timelines, and payment.
- Firms with a history of copyright infringement, intellectual property disputes, or regulatory violations.
- Operations that do not use licensed software or fail to maintain up-to-date cybersecurity protocols.
- Businesses offering advertising placement, media buying, or campaign management as a primary service.

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- Entities providing on-site services that require lifting, rigging, or use of heavy tools and machinery.
 - Firms that subcontract core design work to unvetted or uninsured third parties.
 - Businesses storing sensitive client data without encryption or secure backup procedures.
 - Operations that regularly host large groups of clients or the public at their premises.

Restrictions (with Reasons)

- **Rule:** No coverage for businesses engaged in broadcasting, publishing, or advertising with extensive media production. — These activities introduce complex media liability and production risks outside the scope of graphic design.
- **Rule:** No coverage for firms relying on non-owned, hired, or rented vehicles for client deliveries or mobile services. — Vehicle use for business purposes increases liability exposures not contemplated in standard graphic design operations.
- **Rule:** No coverage for businesses involved in large-scale event production, installation, or trade show booth construction. — Physical labor and equipment use present significant property and injury risks beyond typical design work.
- **Rule:** Maximum allowable staff is 10 employees, including owners and part-time workers. — Larger teams increase operational complexity and risk, exceeding the small business appetite.
- **Rule:** All software and digital assets must be properly licensed and documented. — Unlicensed software or assets expose the business to copyright infringement and legal action.
- **Rule:** No coverage for businesses storing sensitive client data without encryption and secure backup protocols. — Data breaches and loss of client information are significant risks requiring robust controls.
- **Rule:** No coverage for firms offering advertising placement, media buying, or campaign management as a primary service. — Advertising services introduce additional professional liability and regulatory exposures.
- **Rule:** Physical client meetings must not involve hosting large groups or events at business premises. — Hosting events increases premises liability and is outside the typical risk profile for graphic design firms.
- **Rule:** No coverage for businesses with international operations or clients. — International work introduces jurisdictional, legal, and regulatory complexities not supported.
- **Rule:** All subcontractors must be vetted and carry appropriate insurance for specialized tasks. — Uninsured or unqualified subcontractors increase professional liability and operational risk.
- **Rule:** No coverage for businesses with a history of regulatory violations or unresolved copyright disputes. — Prior legal or regulatory issues indicate elevated risk and non-compliance.

Hardware & Home Improvement Stores (BT-0079)

Appetite Level: **Acceptable**

Preferred

- Retail hardware stores with established physical locations and clear inventory management systems (lower risk of theft and loss, easier oversight).
- Home improvement stores with robust employee safety training and documented OSHA compliance (reduces workplace injury risk).
- Businesses with a diversified product mix including tools, fasteners, paint, and garden supplies (spreads risk across categories).
- Stores participating in cooperative buying groups or franchises (greater supply chain stability and purchasing power).
- Operations with integrated e-commerce platforms and secure payment systems (demonstrates adaptability and security awareness).
- Locations with established vendor relationships and reliable supply chains (minimizes stockouts and customer dissatisfaction).
- Stores offering in-store workshops or product demonstrations with proper safety protocols (engages customers, mitigates liability).
- Retailers with documented environmental compliance for hazardous materials (reduces regulatory risk).
- Businesses with regular inventory audits and loss prevention strategies (controls shrinkage and theft).
- Stores with clear customer service policies and trained staff (improves reputation and reduces liability).

Acceptable

- Independent hardware stores in suburban or rural areas with moderate foot traffic (lower crime risk, steady demand).
- Retailers with seasonal inventory adjustments and marketing strategies (demonstrates operational awareness).
- Stores with a mix of full-time and part-time staff and documented training programs (supports operational continuity).
- Retailers selling limited quantities of hazardous materials with proper storage and labeling (manageable regulatory exposure).
- Businesses with basic point-of-sale and inventory management systems (meets minimum operational standards).
- Locations with outdoor storage for lumber or garden supplies, provided security measures are in place (controls theft risk).

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- Stores offering delivery or curbside pickup services (expands customer base, manageable risk).
 - Retailers located in mixed-use shopping centers with adequate security (reduces property risk).
 - Operations with occasional promotional events or sales (increases customer engagement, manageable risk).
 - Stores with limited e-commerce presence but plans for expansion (shows growth potential).
 - Retailers with a history of compliance with local zoning and business regulations (reduces legal risk).
 - Businesses with established emergency procedures for fire, theft, or hazardous spills (preparedness reduces loss severity).
 - Stores with moderate exposure to professional contractor clientele (stable, repeat business).
 - Retailers with standard insurance coverage for property and liability (meets industry norms).
 - Operations with basic employee safety protocols and incident reporting (minimum compliance).

Not Acceptable

- Stores operating without required business licenses or regulatory permits (high legal and closure risk).
- Retailers with a history of OSHA violations or unresolved employee safety complaints (unacceptable workplace risk).
- Businesses selling large volumes of hazardous chemicals or flammable materials without proper containment (severe regulatory and fire risk).
- Operations with significant inventory stored outdoors without security or weather protection (high theft and loss exposure).
- Retailers located in high-crime urban areas with inadequate security measures (unacceptable property and liability risk).
- Businesses with repeated environmental violations or improper disposal of hazardous waste (regulatory and reputational risk).
- Stores lacking any inventory management or loss prevention systems (uncontrolled shrinkage risk).
- Retailers with ongoing litigation related to customer or employee injuries (unacceptable liability exposure).
- Operations with no documented employee training or safety programs (increased accident risk).
- Businesses with a history of frequent insurance claims for theft, fire, or liability (poor risk profile).
- Retailers operating solely online without a physical presence (outside appetite for this business type).
- Stores with significant structural deficiencies or code violations (property and safety risk).
- Businesses engaged in illegal sales or distribution of restricted products (criminal exposure).

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- Retailers with no established vendor relationships or unreliable supply chains (unstable operations).
 - Operations with a pattern of non-compliance with local, state, or federal regulations (unacceptable risk).

Restrictions (with Reasons)

- **Rule:** No coverage for stores lacking required business licenses or permits. — Operating without proper authorization exposes the business to closure and legal penalties.
- **Rule:** Hazardous materials must be stored, labeled, and sold in compliance with all applicable environmental and safety regulations. — Improper handling increases risk of regulatory fines, environmental damage, and liability.
- **Rule:** No appetite for businesses with unresolved OSHA violations or a history of serious workplace injuries. — Indicates poor safety culture and elevated risk of future claims.
- **Rule:** Outdoor inventory storage must be secured and protected from weather and theft. — Unprotected inventory is at high risk for loss, damage, and theft.
- **Rule:** No coverage for businesses with ongoing litigation related to customer or employee injuries. — Active lawsuits indicate unresolved liability issues and increased risk.
- **Rule:** Retailers must have documented employee training and safety protocols. — Lack of training increases accident and liability risk.
- **Rule:** No appetite for stores with repeated environmental or hazardous waste violations. — Persistent non-compliance signals disregard for regulations and high risk.
- **Rule:** Retailers must maintain inventory management and loss prevention systems. — Controls shrinkage and reduces theft and loss exposure.
- **Rule:** No coverage for businesses operating solely online without a physical retail location. — This business model falls outside the intended risk profile for hardware stores.
- **Rule:** No appetite for stores located in high-crime areas without adequate security measures. — Increased risk of theft, vandalism, and property loss.
- **Rule:** No coverage for businesses with significant structural deficiencies or code violations. — Unsafe premises increase risk of injury and property loss.

Health Food & Vitamin Stores (BT-0080)

Appetite Level: **Acceptable**

Preferred

- Retailers exclusively selling FDA-approved vitamins, supplements, and organic foods sourced from suppliers with verifiable certifications, ensuring full regulatory compliance.
- Stores with documented, robust safety practices for storage, handling, and display of health products, minimizing spoilage and contamination risks.
- Businesses with a proven record of zero or minimal product liability claims and prompt resolution of any customer complaints.
- Retailers maintaining comprehensive employee training programs on product knowledge, health claims, and regulatory requirements.
- Operations with secure point-of-sale and e-commerce systems, including encrypted payment processing and transparent return policies.
- Stores with regular inventory audits and documented procedures for removing expired or recalled products from shelves.
- Retailers with established relationships with reputable, long-standing vendors who provide batch-level traceability for all supplements.
- Businesses that provide clear, substantiated health claims on all products, supported by scientific evidence and compliant with FDA guidelines.
- Retailers with dedicated customer service teams trained to handle health-related inquiries and complaints efficiently.
- Stores with proper licensing for all retail activities and no history of regulatory violations or fines.
- Operations that maintain temperature and humidity controls in storage areas to ensure product integrity.
- Retailers offering third-party tested supplements with certificates of analysis available upon request.
- Businesses with comprehensive insurance coverage, including product liability and general liability policies.
- Stores that do not engage in any on-site compounding or manufacturing of supplements.
- Retailers with a documented crisis management plan for product recalls or adverse health events.

Acceptable

- Online-only health food and vitamin retailers with secure payment systems, transparent return policies, and robust customer service infrastructure.
- Brick-and-mortar stores selling only FDA-approved vitamins, supplements, and organic foods from suppliers with verifiable certifications.

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- Retailers with occasional, minor product liability claims that are resolved promptly and do not indicate systemic issues.
 - Businesses with documented, but basic, safety practices for storage and handling of health products.
 - Stores that maintain up-to-date business licenses and comply with all local, state, and federal regulations.
 - Retailers with a mix of in-store and online sales, provided both channels meet regulatory and safety standards.
 - Operations that conduct periodic employee training on product safety and regulatory compliance.
 - Retailers that provide substantiated health claims and avoid exaggerated or misleading marketing.
 - Stores that have implemented inventory management systems to track product expiration and recalls.
 - Businesses that do not sell any unregulated, black-market, or banned supplements.
 - Retailers with a moderate volume of customer complaints, provided all are resolved satisfactorily.
 - Stores that do not perform any on-site manufacturing or compounding of supplements.
 - Retailers with adequate insurance coverage for product liability and general business operations.
 - Businesses that maintain proper storage conditions for all products, even if not state-of-the-art.
 - Retailers that have established, but not exclusive, relationships with reputable vendors.

Not Acceptable

- Businesses selling unregulated, black-market, or banned supplements, or products with unsubstantiated health claims.
- Retailers involved in on-site compounding or manufacturing of supplements without proper licensing or quality controls.
- Operations with documented poor safety practices, such as inadequate storage conditions leading to frequent spoilage or contamination.
- Entities with a history of frequent or severe product liability claims, regulatory violations, or unresolved customer complaints.
- Stores selling products with misleading, exaggerated, or unsubstantiated health claims in violation of FDA guidelines.
- Retailers sourcing products from suppliers without verifiable certifications or batch-level traceability.
- Businesses lacking proper business licenses or operating in violation of local, state, or federal regulations.
- Operations with no documented employee training on product safety, regulatory compliance, or customer service.

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- Retailers failing to maintain proper insurance coverage for product liability or general business risks.
 - Stores with a pattern of ignoring product recalls or failing to remove expired or contaminated products from inventory.
 - Businesses that do not provide secure payment processing or have a history of data breaches or fraud.
 - Retailers with unresolved, repeated customer complaints regarding adverse health effects from products sold.
 - Operations that do not maintain adequate temperature or humidity controls for product storage.
 - Stores that do not provide substantiated documentation for health claims or product ingredients.
 - Retailers offering products not approved by the FDA or lacking third-party testing where required.

Restrictions (with Reasons)

- **Rule:** Retailers must only sell FDA-approved vitamins, supplements, and health foods from suppliers with verifiable certifications. — Ensures product safety, regulatory compliance, and reduces product liability exposure.
- **Rule:** No coverage for businesses selling unregulated, black-market, or banned supplements. — Such products pose significant legal, health, and reputational risks.
- **Rule:** Operations must maintain documented safety practices for storage, handling, and display of all products. — Prevents spoilage, contamination, and associated liability claims.
- **Rule:** Retailers must not engage in on-site compounding or manufacturing of supplements without proper licensing and quality controls. — Unlicensed manufacturing increases regulatory and product liability risks.
- **Rule:** Businesses must resolve all customer complaints promptly and maintain a record of complaint resolution. — Unresolved complaints can indicate systemic issues and increase underwriting risk.
- **Rule:** Retailers must maintain proper business licenses and comply with all applicable local, state, and federal regulations. — Non-compliance can lead to fines, shutdowns, and increased risk exposure.
- **Rule:** Product health claims must be substantiated and compliant with FDA and FTC guidelines. — Unsubstantiated claims can result in regulatory action and product liability lawsuits.
- **Rule:** Adequate insurance coverage for product liability and general business operations is required. — Protects against financial loss from claims and lawsuits.
- **Rule:** Retailers must implement secure payment systems for both in-store and online transactions. — Reduces risk of fraud, data breaches, and associated liabilities.
- **Rule:** Regular inventory audits and removal of expired or recalled products are mandatory. — Ensures product safety and regulatory compliance.
- **Rule:** Retailers must not ignore product recalls or fail to remove unsafe products from inventory. — Failure to act increases liability and regulatory risk.

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- **Rule:** Proper storage conditions, including temperature and humidity controls, must be maintained for all products. — Prevents spoilage and maintains product efficacy, reducing liability.

Heating & Refrigeration Services (BT-0081)

Appetite Level: **Preferred**

Preferred

- Residential HVAC service providers with a documented history of safe operations and no major claims in the past five years.
- Small commercial HVAC and refrigeration businesses serving retail, office, or light industrial clients with robust safety protocols.
- Companies employing only certified and licensed HVAC technicians with ongoing professional development and training records.
- Firms with written preventive maintenance programs for both staff and clients, reducing emergency callouts and system failures.
- Businesses with established supplier relationships ensuring timely access to quality HVAC parts and refrigerants.
- Operations with documented compliance to EPA Section 608 refrigerant handling requirements and regular environmental audits.
- Companies maintaining a fleet of well-maintained service vehicles equipped with safety equipment and GPS tracking.
- Firms with a formal incident reporting and investigation process, demonstrating proactive risk management.
- Businesses utilizing digital scheduling and customer communication tools to minimize service errors and missed appointments.
- Providers with a written heat stress and cold exposure policy for technicians working in extreme environments.
- Companies with a clean OSHA record and no citations for the past three years.
- Firms that require background checks and drug screening for all field employees.
- Businesses with a formal lockout/tagout procedure for electrical and mechanical systems.
- Operations that provide regular safety meetings and toolbox talks for all staff.
- Companies with a written policy prohibiting unauthorized work on high-pressure or ammonia-based refrigeration systems.

Acceptable

- Businesses performing HVAC installation and service for larger commercial or light industrial clients with documented risk controls.
- Firms with a moderate claims history that have implemented corrective actions and can demonstrate improved safety performance.

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- Companies performing incidental work with LPG or natural gas systems, provided all technicians are certified and follow NFPA standards.
 - Operations with a mix of residential and commercial work, provided high-risk exposures are limited and managed.
 - Businesses using subcontractors for specialized tasks, with proof of insurance and contractual risk transfer.
 - Companies with seasonal staffing increases, provided all temporary workers receive the same safety training as full-time staff.
 - Firms that occasionally handle refrigerants classified as mildly flammable (A2L), with proper storage and handling protocols.
 - Businesses with a history of minor OSHA violations, provided all issues have been resolved and no repeat offenses.
 - Companies servicing rooftop units, provided all technicians use fall protection and have completed working-at-heights training.
 - Firms with a written emergency response plan for refrigerant leaks or accidental releases.
 - Businesses that perform limited duct cleaning or indoor air quality services as an ancillary offering.
 - Operations with a mix of new installations and service work, provided installation projects are not the primary revenue source.
 - Companies using older service vehicles, provided maintenance logs are available and vehicles pass annual safety inspections.
 - Firms that occasionally work in multi-family residential buildings, provided exposures are managed and documented.
 - Businesses with a small number of claims related to property damage, with evidence of customer remediation and improved controls.

Not Acceptable

- Businesses primarily engaged in large-scale industrial refrigeration or ammonia-based systems without specialized risk controls.
- Companies performing work on high-pressure steam boilers or process piping outside of standard HVAC scope.
- Firms servicing or installing refrigeration systems in food processing plants with hazardous chemical exposures.
- Operations with a history of major claims, including fire, explosion, or significant bodily injury in the past five years.
- Businesses with repeated OSHA violations or unresolved regulatory citations.
- Companies employing unlicensed or uncertified technicians for field work.
- Firms with no documented employee training or safety programs.

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- Businesses performing regular work on marine, offshore, or remote mining sites.
 - Operations that manufacture or modify HVAC or refrigeration equipment for resale.
 - Companies with a history of environmental violations related to refrigerant handling or disposal.
 - Firms that regularly subcontract all field work with no oversight or quality control.
 - Businesses with no written policies for lockout/tagout, confined space, or fall protection.
 - Companies that do not require background checks or drug screening for field staff.
 - Firms with significant exposure to hazardous materials (e.g., asbestos, lead) without proper abatement certification.
 - Businesses performing demolition, structural modifications, or major construction outside of HVAC scope.

Restrictions (with Reasons)

- **Rule:** No coverage for businesses primarily engaged in ammonia-based or industrial refrigeration systems. — Ammonia and industrial systems present elevated risks of catastrophic loss and require specialized controls.
- **Rule:** All field technicians must be certified and licensed for HVAC and refrigerant handling. — Unlicensed work increases liability and regulatory non-compliance risk.
- **Rule:** No coverage for operations with unresolved OSHA or EPA violations in the past three years. — Unresolved violations indicate ongoing regulatory and safety issues.
- **Rule:** No coverage for businesses with major claims (fire, explosion, severe injury) in the past five years. — Recent major claims suggest inadequate risk management or unsafe practices.
- **Rule:** No coverage for companies performing demolition, structural, or unrelated construction work. — Such activities fall outside the intended scope and present unanticipated risks.
- **Rule:** All businesses must maintain written safety and training programs for all staff. — Documented programs are essential for consistent safety and regulatory compliance.
- **Rule:** No coverage for businesses with significant hazardous material exposure without abatement certification. — Handling hazardous materials without certification increases risk of environmental and health claims.
- **Rule:** No coverage for operations with no formal lockout/tagout or fall protection policies. — Absence of these policies increases risk of serious workplace injuries.
- **Rule:** No coverage for businesses that manufacture or modify HVAC equipment for resale. — Manufacturing introduces product liability exposures not contemplated in standard service operations.
- **Rule:** All subcontractors must provide proof of insurance and be subject to contractual risk transfer. — Proper risk transfer is necessary to avoid uninsured exposures from subcontracted work.

Hobby & Model Shops (BT-0082)

Appetite Level: **Preferred**

Preferred

- Retail stores specializing in hobby and model-building supplies with no sales or rentals of hazardous materials exceeding minimal quantities, reducing regulatory and safety risks.
- Businesses maintaining strong inventory control systems, including regular stock audits and secure storage, to minimize shrinkage and ensure product availability.
- Shops with a clean safety record and no recent claims related to customer or employee injuries, indicating effective risk management.
- Premises that are well-maintained, featuring clear aisles, proper lighting, and organized displays to promote customer safety and satisfaction.
- Strict adherence to all local fire and safety codes, ensuring compliance and reducing liability exposure.
- Staff are knowledgeable and trained to provide expert guidance on products and safe usage, enhancing customer experience and reducing misuse.
- Businesses with established vendor relationships, ensuring a steady supply of popular and specialty items and reducing supply chain disruptions.
- Shops that conduct regular safety inspections and promptly address any identified hazards.
- Retailers offering instructional classes or workshops with appropriate professional liability coverage in place.
- Use of modern point-of-sale and inventory management software to track sales and stock accurately.
- Premises equipped with appropriate fire extinguishers, first aid kits, and clearly marked emergency exits.
- Businesses that actively engage with the community through safe, supervised events or workshops.
- Shops that prohibit the sale of restricted or illegal items, such as weapons or controlled substances.
- Retailers that maintain clear policies for handling and storing sharp tools, adhesives, and other potentially hazardous items.
- Businesses that provide accessible facilities for all customers, including those with disabilities.

Acceptable

- Hobby shops offering instructional classes or workshops, provided they carry appropriate professional liability coverage to mitigate instructional risks.
- Retailers with minor, non-recurring safety incidents that have been fully addressed and resolved.

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- Shops with older but functional inventory management systems, provided regular manual audits are conducted.
 - Businesses located in mixed-use retail centers, provided all safety and fire codes are met.
 - Retailers with limited sales of low-risk hobby chemicals (e.g., small paint bottles), provided quantities remain below regulatory thresholds.
 - Shops that have recently improved premises maintenance following a prior inspection or minor deficiency.
 - Businesses that have implemented corrective action plans after minor compliance issues.
 - Retailers that occasionally host off-site events, provided risk assessments and insurance coverage are in place.
 - Shops with part-time or seasonal staff, provided all employees receive adequate safety training.
 - Businesses that use third-party vendors for some supplies, provided vendor vetting and quality controls are in place.
 - Retailers with minor accessibility limitations, provided reasonable accommodations are made.
 - Shops with limited online sales, provided physical premises remain the primary business location.
 - Businesses that have undergone recent renovations to improve safety or compliance.
 - Retailers that temporarily exceed typical inventory levels during peak seasons, provided storage remains safe and compliant.
 - Shops that have implemented new safety protocols in response to industry best practices.

Not Acceptable

- Shops selling or renting hazardous materials in quantities exceeding minimal regulatory thresholds, increasing safety and compliance risks.
- Businesses with a history of claims related to customer or employee injuries, indicating ongoing safety concerns.
- Shops lacking proper inventory control systems, leading to increased risk of loss and stockouts.
- Premises that do not meet local fire and safety codes, presenting significant liability exposure.
- Shops with poorly maintained premises, such as cluttered aisles, inadequate lighting, or visible hazards.
- Retailers that have failed recent safety or fire inspections without corrective action.
- Businesses with repeated regulatory violations or unresolved compliance issues.
- Shops that allow unsupervised access to hazardous or restricted items by customers.
- Retailers operating primarily online without a physical retail presence, as this falls outside the intended risk profile.
- Businesses that do not carry required professional liability coverage for instructional classes or workshops.

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- Shops with a pattern of theft, vandalism, or other criminal activity on premises.
 - Retailers that sell or display illegal, counterfeit, or unlicensed products.
 - Businesses that do not provide basic safety equipment, such as fire extinguishers or first aid kits.
 - Shops with inadequate staff training on safety procedures and emergency response.
 - Retailers that have been subject to government-mandated closures due to safety or compliance failures.

Restrictions (with Reasons)

- **Rule:** No sales or rentals of hazardous materials exceeding minimal regulatory quantities. — To minimize safety and compliance risks associated with hazardous substances.
- **Rule:** Premises must meet all local fire and safety codes. — Non-compliance increases liability and risk of regulatory action.
- **Rule:** Businesses must maintain a clean safety record with no recent claims related to customer or employee injuries. — A history of claims indicates ongoing safety issues and higher risk.
- **Rule:** Proper inventory control systems, including regular stock audits, are required. — Effective inventory management reduces loss and ensures product availability.
- **Rule:** Premises must be well-maintained, with clear aisles, proper lighting, and organized displays. — A clean and organized environment reduces the risk of accidents and improves customer experience.
- **Rule:** Instructional classes or workshops must be covered by appropriate professional liability insurance. — To protect against potential claims arising from instructional activities.
- **Rule:** No unsupervised access to hazardous or restricted items by customers. — To prevent misuse and reduce the risk of accidents or regulatory violations.
- **Rule:** All staff must receive adequate safety training relevant to their roles. — Proper training reduces the likelihood of accidents and injuries.
- **Rule:** No sales of illegal, counterfeit, or unlicensed products. — Such sales increase legal and reputational risks.
- **Rule:** Basic safety equipment, such as fire extinguishers and first aid kits, must be present and maintained. — Readiness for emergencies is essential for customer and employee safety.

Hotels, Motels, Bed & Breakfasts (BT-0083)

Appetite Level: **Preferred**

Preferred

- Properties with 10 or fewer guest rooms to ensure manageable occupancy and reduced claims exposure.
- Buildings with 1–3 stories and exterior-only access to guest rooms to minimize fire and security risks.
- Operations open year-round without extended seasonal closures for stable revenue and consistent maintenance.
- No on-site bar or lounge facilities to mitigate liquor liability exposure.
- Establishments with well-maintained fire protection systems, including sprinklers and alarms, and full compliance with local fire codes.
- Properties with documented and up-to-date food safety protocols for any complimentary meals provided.
- Motels with exterior access doors to all guest rooms, reducing internal traffic and improving emergency egress.
- Bed & Breakfasts with up to 10 guest rooms, owner-occupied or closely managed for personalized service and oversight.
- Motels with up to 20 guest rooms, provided all other preferred criteria are met.
- Establishments with regular housekeeping and maintenance schedules documented and followed.
- Properties with up-to-date reservation and guest management systems to ensure operational efficiency.
- Buildings constructed or renovated within the last 30 years and meeting current building codes.
- No history of major claims or losses in the past five years.
- Properties with clear, well-lit exterior signage and secure parking areas.
- Establishments with written emergency evacuation plans and regular staff training.

Acceptable

- Properties with internal stairways or elevators, provided they are fully compliant with health and safety standards.
- Hotels with multiple floors, internal corridors, and meeting spaces if all safety and fire protection measures are in place.
- Establishments offering complimentary meals to guests with documented food safety and sanitation protocols.

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- Motels with up to 20 guest rooms and exterior access, even if not owner-occupied, if management oversight is strong.
 - Properties with minor deferred maintenance issues but documented plans for remediation.
 - Buildings older than 30 years if they have undergone recent safety upgrades and code compliance checks.
 - Operations with minor seasonal fluctuations in occupancy, provided closures do not exceed 30 days per year.
 - Properties with limited on-site recreational amenities (e.g., small pool, fitness room) if properly maintained and supervised.
 - Establishments with a history of minor claims, provided corrective actions have been implemented.
 - Properties located in mixed-use or residential areas with appropriate zoning and permits.
 - Hotels or motels with limited food service (continental breakfast) at no additional charge to guests.
 - Properties with third-party contracted housekeeping or maintenance services, with proper vetting and insurance.
 - Establishments with shared bathroom facilities if cleaning protocols are documented and enforced.
 - Properties with limited meeting or event space, provided occupancy limits are enforced.
 - Operations with part-time or seasonal staff, provided training and oversight are documented.

Not Acceptable

- Properties with more than 10 guest rooms for B&Bs; or more than 20 guest rooms for motels, exceeding classification limits.
- Operations with on-site bar, lounge, or restaurant facilities serving alcohol, increasing liquor liability exposure.
- Establishments with extended seasonal closures exceeding 30 consecutive days, leading to increased vacancy risks.
- Buildings lacking functioning fire protection systems, such as sprinklers or alarms, or not compliant with local codes.
- Properties with a history of major fire, liability, or property claims in the past five years.
- Operations providing meals to guests at an additional charge without proper food service classification.
- Hostels or properties with shared sleeping, living, or bathroom spaces not meeting hotel/motel/B&B; criteria.
- Buildings with more than three stories and no elevator or non-compliant stairways.
- Properties located in high-crime areas without adequate security measures or lighting.

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- Establishments with significant deferred maintenance or structural issues.
 - Operations with unlicensed or unpermitted construction or renovations.
 - Properties with no documented housekeeping or maintenance procedures.
 - Hotels or motels with on-site event venues hosting large gatherings without proper safety protocols.
 - Establishments with swimming pools, hot tubs, or recreational facilities lacking safety barriers or supervision.
 - Operations with no written emergency or evacuation plans for guests and staff.

Restrictions (with Reasons)

- **Rule:** No B&Bs; with more than 10 guest rooms are eligible. — Larger B&Bs; exceed manageable occupancy and classification limits.
- **Rule:** No motels with more than 20 guest rooms are eligible. — Motels above this size present increased risk and require different classification.
- **Rule:** No on-site bar or lounge facilities permitted. — Liquor liability exposure is outside appetite.
- **Rule:** Meals must be provided to guests at no additional charge. — Charged meals require separate food service classification.
- **Rule:** Properties must have functioning fire protection systems and comply with local codes. — Fire safety is critical for guest and property protection.
- **Rule:** No extended seasonal closures exceeding 30 consecutive days. — Extended closures increase vacancy and maintenance risks.
- **Rule:** No properties with significant deferred maintenance or structural deficiencies. — Deferred maintenance increases the likelihood of claims.
- **Rule:** No operations with a history of major claims or losses in the past five years. — Recent major claims indicate elevated risk.
- **Rule:** No hostels or properties with shared sleeping or living spaces. — Shared accommodations fall outside the intended classification.
- **Rule:** No unlicensed or unpermitted construction or renovations. — Non-compliance with building codes increases liability.
- **Rule:** No properties located in high-crime areas without adequate security. — Lack of security increases property and liability risks.

Interior Decorating & Design (BT-0084)

Appetite Level: **Acceptable**

Preferred

- Residential interior design firms that provide non-structural design consultation and project management services.
- Businesses maintaining comprehensive project documentation, including detailed contracts, client approvals, and change orders, to ensure accountability.
- Firms employing licensed or certified interior designers with formal education in the field.
- Companies utilizing secure digital storage solutions and robust cybersecurity controls to protect sensitive client information.
- Firms that maintain strong relationships with reputable vendors and suppliers for furnishings and materials.
- Businesses that use industry-standard design software for creating layouts and visualizations.
- Firms that offer personalized design solutions tailored to individual client needs and preferences.
- Companies that operate primarily in residential settings, including client homes and home offices.
- Businesses that maintain a clear separation between design consultation and any physical installation activities.
- Firms that regularly update their staff on regulatory requirements and industry best practices.
- Companies that utilize local artisans for custom décor pieces, enhancing the uniqueness of their offerings.
- Businesses that maintain a small, well-managed inventory of home décor items for retail sale.
- Firms that implement effective communication protocols with clients and vendors for project management.
- Companies that adhere strictly to local building codes and regulatory requirements in all design recommendations.
- Businesses that demonstrate a commitment to ongoing professional development for their staff.

Acceptable

- Residential interior design firms with comprehensive project documentation, including detailed contracts, client approvals, and change orders.
- Businesses incorporating tile or mosaic installation as part of their design services, provided no structural work is involved.
- Limited retail sales of home décor items such as fabrics, lighting fixtures, or decorative accessories, with clear separation between design and installation activities.
- Firms employing secure digital storage solutions and robust cybersecurity controls to protect sensitive client information.

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- Businesses that provide staging services for real estate agents or property developers.
 - Firms that operate a physical showroom in addition to on-site residential consultations.
 - Companies that use design assistants and administrative personnel to support licensed designers.
 - Businesses that experience seasonal fluctuations in demand, with peak periods during spring, summer, or holidays.
 - Firms that utilize measuring tools and design software for space planning and visualization.
 - Companies that source materials and furnishings from a network of established vendors and suppliers.
 - Businesses that maintain a small inventory of décor items for sale, separate from their design services.
 - Firms that offer project management services as part of their design process.
 - Companies that provide recommendations for layout, color schemes, and furnishings without engaging in construction.
 - Businesses that collaborate with local artisans for custom décor pieces.
 - Firms that ensure all staff are trained in data privacy and client confidentiality protocols.

Not Acceptable

- Businesses engaged in general construction or structural remodeling, including demolition, framing, or load-bearing modifications.
- Firms handling hazardous materials such as lead paint, asbestos, or industrial chemicals.
- Companies performing electrical, plumbing, or HVAC work beyond decorative fixture installation.
- Businesses offering commercial interior design services for industrial or large-scale commercial properties.
- Firms acting as general contractors or managing subcontractors for construction trades.
- Companies involved in exterior landscaping or hardscaping as a primary service.
- Businesses that do not maintain secure digital storage or lack adequate cybersecurity controls for client data.
- Firms that fail to comply with local licensing or regulatory requirements for interior design services.
- Companies that store or sell large quantities of flammable or hazardous décor materials.
- Businesses that do not maintain clear separation between design services and construction activities.
- Firms that offer structural engineering or architectural services as part of their operations.
- Companies that operate without formal contracts or project documentation.

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- Businesses that do not provide adequate training for staff on client confidentiality and data privacy.
 - Firms that engage in large-scale furniture manufacturing or wholesale distribution.
 - Companies that provide services primarily to commercial or industrial clients rather than residential customers.

Restrictions (with Reasons)

- **Rule:** No engagement in general construction or structural remodeling, including demolition or load-bearing modifications. — Structural work introduces significant liability and falls outside the scope of interior decorating and design.
- **Rule:** No handling or storage of hazardous materials such as lead paint, asbestos, or industrial chemicals. — Exposure to hazardous materials increases health and safety risks and regulatory complexity.
- **Rule:** No performance of electrical, plumbing, or HVAC work beyond decorative fixture installation. — These activities require specialized licensing and present elevated risk profiles.
- **Rule:** No provision of services for industrial or large-scale commercial properties. — Commercial projects often involve higher complexity, regulatory requirements, and risk.
- **Rule:** No acting as a general contractor or managing subcontractors for construction trades. — General contracting introduces additional liability and oversight responsibilities.
- **Rule:** No exterior landscaping or hardscaping services as a primary business activity. — These services are outside the core scope of interior decorating and design.
- **Rule:** Mandatory use of secure digital storage and robust cybersecurity controls for all client information. — Protecting sensitive client data is essential to mitigate privacy breaches and regulatory penalties.
- **Rule:** All staff must be trained in client confidentiality and data privacy protocols. — Proper training reduces the risk of accidental data exposure or misuse.
- **Rule:** Clear separation must be maintained between design consultation and any physical installation or retail activities. — Separation ensures compliance with regulatory boundaries and limits liability.
- **Rule:** No storage or sale of large quantities of flammable or hazardous décor materials. — Large inventories of hazardous materials increase fire and safety risks.
- **Rule:** Formal contracts and comprehensive project documentation are required for all client engagements. — Documentation ensures clarity, accountability, and legal compliance throughout the project.
- **Rule:** No provision of structural engineering or architectural services. — These services require specialized credentials and carry higher professional liability.

Janitorial & Cleaning Services (BT-0085)

Appetite Level: **Acceptable**

Preferred

- Businesses with documented background checks for all employees, reducing risk of theft or dishonesty.
- Operations that provide routine cleaning services for commercial office buildings during standard hours.
- Janitorial services with a written chemical handling and disposal policy, ensuring environmental compliance.
- Firms maintaining a fleet safety program with regular vehicle maintenance and driver qualification records.
- Businesses with no pollution or environmental claims in the past five years.
- Janitorial companies that require and document employee training on safe use of cleaning chemicals.
- Operations with a clear supervision policy for staff working at client premises.
- Businesses that maintain up-to-date inventory management and supply chain records.
- Firms with a history of low or no employee dishonesty claims.
- Janitorial services that do not handle hazardous or industrial waste materials.
- Companies with commercial auto insurance and documented vehicle inspections.
- Operations that provide services to low-hazard occupancies such as offices, retail, or schools.
- Businesses with written protocols for theft prevention and incident reporting.
- Janitorial firms that conduct regular risk assessments and update procedures accordingly.
- Companies with environmental liability coverage specifically limited to cleaning agent exposures.

Acceptable

- Janitorial services with some prior minor claims but evidence of improved risk management practices.
- Businesses providing residential cleaning services with documented employee screening.
- Operations that occasionally transport cleaning chemicals but follow DOT guidelines.
- Firms servicing healthcare or educational facilities with enhanced safety and training protocols.
- Companies with a mix of full-time and part-time staff, provided all receive safety training.
- Janitorial businesses that subcontract some services but require proof of insurance from subcontractors.
- Operations using standard cleaning chemicals and equipment with documented safety data sheets.

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- Businesses with a moderate claims history but active claims monitoring and corrective action plans.
 - Firms that provide post-construction cleanup with appropriate PPE and disposal procedures.
 - Janitorial services with periodic supervision and spot checks of employee performance.
 - Companies that maintain records of chemical purchases and disposal receipts.
 - Operations that occasionally use specialized floor care machinery with employee certification.
 - Businesses with limited pollution coverage for accidental releases during cleaning operations.
 - Janitorial firms that serve multi-tenant buildings with clear service agreements.
 - Companies with employee dishonesty coverage as part of their insurance policy.

Not Acceptable

- Janitorial businesses with a history of major pollution or environmental claims.
- Operations that handle, transport, or dispose of hazardous, toxic, or industrial waste.
- Firms with no background checks or supervision policies for employees.
- Businesses with frequent or severe employee theft or dishonesty claims.
- Janitorial services operating without commercial auto insurance while transporting staff or chemicals.
- Companies lacking documented employee training on chemical safety and handling.
- Operations providing services to high-hazard occupancies such as chemical plants or refineries.
- Businesses with no written protocols for chemical storage, use, or disposal.
- Firms with a pattern of regulatory violations related to OSHA, EPA, or labor laws.
- Janitorial services with no risk assessment or incident reporting procedures.
- Companies that have been denied insurance coverage for pollution or environmental liability.
- Operations that subcontract all services without verifying subcontractor insurance.
- Businesses with unlicensed or unqualified drivers operating company vehicles.
- Janitorial firms with no inventory or supply chain management practices.
- Companies unwilling to provide prior claims history or documentation of safety practices.

Restrictions (with Reasons)

- **Rule:** No coverage for businesses handling or disposing of hazardous or industrial waste. — Hazardous waste introduces significant pollution and regulatory risks outside standard janitorial exposures.
- **Rule:** Require documented background checks for all employees with unsupervised access to client premises. — Unsupervised access increases the risk of theft and dishonesty claims.

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- **Rule:** Commercial auto coverage is mandatory for any business operating vehicles for staff or equipment transport. — Transporting staff and chemicals presents auto liability exposures.
 - **Rule:** Limit pollution liability coverage to incidents directly related to cleaning agents used during operations. — Broader pollution exposures are not contemplated in standard janitorial operations.
 - **Rule:** No acceptance of businesses with a history of major pollution, environmental, or regulatory claims in the past five years. — Prior major claims indicate ongoing or unmanaged risk.
 - **Rule:** Require written protocols for chemical handling, storage, and disposal. — Improper chemical management increases environmental and employee safety risks.
 - **Rule:** Employee training on safe use of cleaning chemicals must be documented and current. — Proper training reduces the risk of injury and environmental incidents.
 - **Rule:** No acceptance of businesses servicing high-hazard occupancies such as chemical plants, refineries, or heavy industrial sites. — These occupancies present exposures beyond standard janitorial risk appetite.
 - **Rule:** Employee dishonesty coverage may be required for businesses with prior theft or dishonesty claims. — Prior incidents indicate a higher risk of recurrence.
 - **Rule:** Businesses must maintain records of vehicle maintenance and driver qualifications for all commercial vehicles. — Proper documentation is essential for managing auto liability exposures.
 - **Rule:** No acceptance of businesses unwilling to provide prior claims history or documentation of safety practices. — Lack of transparency impedes accurate risk assessment.

Jewelry & Watch Stores (BT-0086)

Appetite Level: **Preferred**

Preferred

- Retail jewelry and watch stores with annual gross sales under \$500,000; lower sales volumes typically indicate lower risk exposures.
- Stores with no on-site jewelry or watch manufacturing; limits exposure to hazardous equipment and processes.
- Locations with no on-site cooking or food preparation; reduces fire and food contamination risks.
- Businesses with 24/7 monitored alarm and surveillance systems; enhanced security for high-value inventory.
- Retailers that do not offer pawn or consignment services; avoids additional liability and regulatory complexity.
- Stores that perform only minor repairs (e.g., ring resizing, battery replacement) on premises; limits exposure to accidental damage.
- Retailers sourcing gemstones and precious metals from certified ethical suppliers; reduces reputational and regulatory risks.
- Businesses with a documented employee background check process; helps mitigate internal theft risk.
- Retailers with a robust cyber security program and PCI-compliant payment systems; reduces likelihood of data breaches.
- Stores located in low-crime areas or within secure shopping centers; lowers risk of theft and vandalism.
- Businesses with written inventory management and loss prevention protocols; supports accurate claims handling.
- Retailers with no history of prior insurance claims related to theft, fire, or liability in the past five years.
- Stores that do not offer jewelry or watch appraisals for third parties; avoids professional liability exposures.
- Retailers with a dedicated, locked safe for overnight storage of high-value items; reduces theft risk.
- Businesses that do not sell or service firearms, knives, or other weapons; avoids unrelated liability exposures.

Acceptable

- Retail jewelry and watch stores with annual sales between \$500,000 and \$1,000,000; moderate exposure due to higher inventory and foot traffic.

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- Stores performing moderate on-site repairs involving soldering or gemstone setting, with proper ventilation and fire controls.
 - Retailers with a basic alarm system but no 24/7 monitoring; some increased theft risk.
 - Businesses offering limited consignment services with clear contractual agreements.
 - Stores located in mixed-use buildings with adequate security measures in place.
 - Retailers with a basic cyber security program but not fully PCI-compliant; moderate risk of data exposure.
 - Businesses with occasional participation in off-site events (e.g., trade shows) with documented transport and security protocols.
 - Retailers with a history of one minor insurance claim in the past five years.
 - Stores that offer jewelry appraisals only for items sold in-store.
 - Retailers that use third-party vendors for major repairs or custom work, with vendor insurance verification.
 - Businesses with limited online sales (less than 25% of total revenue) and basic fraud prevention tools.
 - Stores with employees trained in loss prevention but lacking formal written protocols.
 - Retailers located in moderate-crime areas but with enhanced physical security measures.
 - Businesses with a safe but no overnight storage requirement for all high-value items.
 - Retailers that occasionally source materials from non-certified suppliers but maintain documentation of origin.

Not Acceptable

- Jewelry or watch stores with annual sales exceeding \$1,000,000; high exposure due to large inventory and customer volume.
- Businesses operating as pawn shops or primarily offering consignment services; increased regulatory and theft risk.
- Stores with on-site jewelry or watch manufacturing involving casting, plating, or hazardous chemicals.
- Retailers with on-site cooking or food preparation; introduces fire and contamination risks.
- Businesses without any alarm or surveillance systems; unmitigated theft exposure.
- Retailers with a history of multiple insurance claims for theft, fire, or liability in the past five years.
- Stores located in high-crime neighborhoods without adequate security measures.
- Retailers offering repair services for items not sold in-store, especially high-value or antique pieces.
- Businesses that do not conduct employee background checks; increased risk of internal theft.
- Retailers with no cyber security protocols and a history of data breaches.

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- Stores that sell or service firearms, knives, or other weapons.
 - Businesses that regularly participate in off-site events without documented security or transport protocols.
 - Retailers storing all inventory on open display overnight; high theft risk.
 - Stores that source gemstones or precious metals from suppliers with known ethical violations.
 - Retailers with no written inventory management or loss prevention procedures.

Restrictions (with Reasons)

- **Rule:** No on-site cooking or food preparation allowed. — Prevents fire hazards and food contamination risks in retail environments.
- **Rule:** Annual gross sales must not exceed \$1,000,000. — Higher sales volumes correlate with increased inventory and liability exposures.
- **Rule:** No pawn shop or primary consignment operations. — Pawn and consignment activities introduce additional regulatory and theft risks.
- **Rule:** No on-site manufacturing involving hazardous chemicals or casting. — Manufacturing processes increase fire, chemical, and injury risks.
- **Rule:** 24/7 monitored alarm and surveillance systems required for preferred status. — High-value inventory necessitates robust security measures.
- **Rule:** No sales or servicing of firearms, knives, or other weapons. — These activities introduce unrelated liability exposures.
- **Rule:** Employee background checks required for all staff handling inventory. — Reduces risk of internal theft and fraud.
- **Rule:** Written inventory management and loss prevention protocols required. — Supports accurate claims handling and loss mitigation.
- **Rule:** No history of multiple insurance claims for theft, fire, or liability in the past five years. — Frequent claims indicate higher operational risk.
- **Rule:** Cyber security protocols and PCI-compliant payment systems required for online sales. — Protects against data breaches and online fraud.
- **Rule:** No overnight open display of high-value inventory; secure storage required. — Reduces risk of after-hours theft.

Kitchen & Home Accessories Stores (BT-0087)

Appetite Level: **Acceptable**

Preferred

- Retail stores specializing exclusively in kitchen gadgets, cookware, utensils, and home decor items with no on-site installation or repair services.
- Stores operating solely as showrooms with all sales transactions completed on-site and no delivery or installation services offered.
- Businesses with less than 25% of annual receipts from off-premises repair or installation services.
- Stores located in non-flood and non-seismic zones with adequate property and liability insurance.
- Retailers that source products only from certified and reputable manufacturers or distributors.
- Operations with robust inventory management systems and regular inventory audits.
- Stores with staff trained in product safety and customer service best practices.
- Retailers that do not offer any food preparation, cooking, or demonstration involving open flames or commercial kitchen equipment.
- Businesses with no history of product liability or property damage claims in the past five years.
- Stores that do not outsource any services to third-party contractors.
- Retailers that participate in industry trade shows and maintain up-to-date knowledge of product safety standards.
- Businesses with clear customer return and complaint resolution policies.
- Stores that maintain regular safety inspections of premises and equipment.
- Retailers that implement effective loss prevention and security measures.
- Operations with a documented emergency response and disaster recovery plan.

Acceptable

- Stores that outsource installation or repair services only to licensed and insured third-party contractors.
- Retailers with demonstration areas using only household appliances for non-cooking product demonstrations.
- Businesses located in flood-prone or seismic zones that carry appropriate flood and earthquake insurance.
- Stores with less than \$500,000 in annual sales that also sell groceries or operate as department stores.
- Retailers with less than 25% of receipts from installation charges for drapery, curtain, or floor covering sales.

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- Stores that offer minor on-premises repair services for household appliances, provided all staff are certified.
 - Retailers that maintain written agreements with all third-party service providers specifying insurance and licensing requirements.
 - Businesses that conduct regular staff training on safe installation and handling of products.
 - Stores that offer gift wrapping or minor customization services without altering product safety.
 - Retailers that participate in seasonal sales promotions and loyalty programs.
 - Stores that sell a mix of kitchen, home accessories, and related household items but do not exceed 25% of receipts from high-risk activities.
 - Retailers that use point-of-sale and inventory management software for operational efficiency.
 - Stores that have a documented process for vetting new vendors and suppliers.
 - Retailers that conduct periodic reviews of insurance coverage and risk exposures.
 - Stores that maintain a clean safety record with no major OSHA violations in the past three years.

Not Acceptable

- Stores that outsource installation or repair services to unlicensed or uninsured third-party contractors.
- Retailers offering on-premises installation or repair services performed by untrained or uncertified staff.
- Businesses that use commercial kitchen equipment for cooking demonstrations or food preparation on-site.
- Stores with more than 25% of annual receipts from off-premises repair or installation services.
- Retailers located in flood-prone or seismic zones without flood or earthquake insurance.
- Stores with a history of property damage or bodily injury claims related to improper installation.
- Retailers that allow contractors to perform services without verifying current licensing and insurance.
- Businesses that sell or install products known to have unresolved safety recalls.
- Stores that operate in violation of local zoning, fire, or building codes.
- Retailers that do not maintain adequate general liability or product liability insurance.
- Stores that offer cooking classes or food preparation events involving open flames or deep fryers.
- Retailers that have received regulatory fines for non-compliance with product safety standards.
- Stores with more than \$500,000 in annual sales operating as department or grocery stores without proper risk controls.
- Retailers that fail to conduct background checks on staff involved in installation or repair services.
- Businesses that do not have written contracts with third-party service providers outlining risk transfer requirements.

Restrictions (with Reasons)

- **Rule:** No outsourcing of installation or repair services to unlicensed or uninsured third-party contractors. — Unlicensed or uninsured contractors increase exposure to property damage and bodily injury claims.
- **Rule:** Improper installation of kitchen appliances or fixtures is not permitted. — Improper installation can result in significant property damage or bodily injury.
- **Rule:** Contractors performing installation or repair must be licensed and carry adequate insurance. — Licensing and insurance mitigate the risk of claims arising from contractor negligence.
- **Rule:** Flood and earthquake insurance is required for stores in flood-prone or seismic zones. — Natural disasters pose a significant risk to property and inventory.
- **Rule:** No on-premises cooking demonstrations using commercial kitchen equipment. — Commercial cooking equipment increases fire and liability risk.
- **Rule:** No more than 25% of annual receipts from off-premises repair or installation services. — High volume of off-premises services increases operational and liability risk.
- **Rule:** No sales or installation of products with known unresolved safety recalls. — Recalled products present a heightened risk of product liability claims.
- **Rule:** Stores must comply with all local zoning, fire, and building codes. — Non-compliance can result in regulatory action and increased risk exposure.
- **Rule:** Adequate general liability and product liability insurance must be maintained at all times. — Insurance is essential to cover potential claims and losses.
- **Rule:** Written contracts with all third-party service providers are required, specifying insurance and licensing requirements. — Written agreements clarify responsibilities and transfer risk appropriately.
- **Rule:** No cooking classes or food preparation events involving open flames or deep fryers. — Such activities significantly increase the risk of fire and injury.

Laundromats & Laundry Services (BT-0088)

Appetite Level: **Acceptable**

Preferred

- Full-service laundry operations with on-premises staff and robust safety protocols (greater control over operations and compliance)
- Laundry and dry cleaning pick-up stations with no cleaning or processing on premises (lower risk profile)
- Linen supply services for hotels, restaurants, and healthcare facilities (established procedures and contractual clients)
- Laundry rental services with documented cleaning cycles and inventory management (traceable operations)
- Diaper service businesses with strict sanitation and waste disposal protocols (regulated waste handling)
- Clothing alteration, pressing, and repair shops with limited or no cleaning operations (lower hazard exposure)
- Photocopying and blueprinting services co-located with laundry operations (minimal additional risk)
- Photographic studios and photofinishing laboratories in mixed-use service centers (controlled environments)
- Letter service (mailing or addressing) as a secondary offering (administrative, low risk)
- Printing-commercial and related services in conjunction with laundry businesses (non-hazardous, regulated)
- Funeral directors operating in separate, compliant facilities (regulated, professional operations)
- Barber and beauty salons co-located with laundry services (personal care, regulated by health codes)

Acceptable

- Self-service laundromats with on-site attendants during all operating hours (improved oversight and customer safety)
- Dry cleaning plants (excluding rug cleaning) with modern, environmentally compliant equipment (reduced chemical risk)
- Coin-operated laundries and dry cleaners with regular maintenance and security measures (potential for increased claims, but manageable)
- Clubs (social or recreational) operating laundry services as an ancillary function (limited exposure)
- Clothing rental businesses with documented cleaning and inspection protocols (traceable inventory and hygiene)

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- Lawn care services offered as a secondary business line (seasonal, low hazard)
 - Engraving services in mixed-use commercial spaces (non-hazardous, regulated)
 - Laundry services for students and residential clients in multi-unit housing (steady demand, manageable risk)
 - Laundry services for professionals and business attire (predictable volume, moderate risk)
 - Maintenance services for laundry equipment provided in-house (improved response, lower downtime)
 - Administrative offices supporting laundry operations (non-hazardous, low risk)
 - Accepting business from local restaurants and hotels for linen supply (contractual, repeat business)
 - Accepting business from healthcare facilities for linen and uniform laundering (regulated, higher standards)
 - Accepting walk-in customers for drop-off laundry and pressing (standard service model)
 - Accepting payment via cashless systems and mobile apps (reduced cash handling risk)

Not Acceptable

- Rug cleaning plants or operations involving hazardous solvents not compliant with environmental regulations (high chemical exposure)
- Industrial laundries handling large-scale, high-soil loads without proper containment or ventilation (elevated risk of fire and contamination)
- Power laundries (not automatic) with outdated or unguarded machinery (increased injury risk)
- Electrotyping operations involving hazardous chemicals or unregulated waste disposal (environmental and health hazard)
- Linotyping and lithographing operations using lead or other toxic materials (occupational health risk)
- Photoengraving operations with uncontained chemical processes (risk of spills and exposure)
- Self-service laundromats with no on-site staff or security during operating hours (increased risk of vandalism, theft, and liability)
- Coin-operated laundries in high-crime areas without security measures (property and liability risk)
- Dry cleaning plants using banned or highly toxic solvents (regulatory and environmental violation)
- Laundry operations with a history of repeated regulatory violations or fines (poor risk management)
- Businesses with inadequate fire suppression or ventilation systems (elevated fire and health risk)
- Operations with no documented employee training on chemical handling and safety (increased accident risk)
- Facilities with poor maintenance records for washers, dryers, and pressing equipment (higher breakdown and claim frequency)

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- Laundry services accepting medical waste or biohazardous materials without proper licensing (illegal and hazardous)
 - Any operation failing to comply with local, state, or federal health and safety regulations (uninsurable risk)

Restrictions (with Reasons)

- **Rule:** Coin-operated laundries and dry cleaners (self-service attended) are restricted. — Higher risk of property damage, theft, and liability due to limited supervision.
- **Rule:** Industrial laundries are restricted. — Large-scale operations increase exposure to fire, chemical, and equipment hazards.
- **Rule:** Power laundries (not automatic) are restricted. — Manual operations with older equipment present elevated injury and fire risks.
- **Rule:** Electrotyping is restricted. — Involves hazardous chemicals and processes not compatible with standard laundry operations.
- **Rule:** Linotyping is restricted. — Use of lead and other toxic materials increases occupational health risks.
- **Rule:** Lithographing is restricted. — Potential for chemical exposure and environmental contamination.
- **Rule:** Photoengraving is restricted. — Chemical handling and waste disposal present significant environmental and health risks.
- **Rule:** Self-service laundromats must have on-site attendants during all operating hours. — Ensures customer safety, reduces vandalism, and allows for immediate response to incidents.
- **Rule:** Dry cleaning plants must not perform rug cleaning on premises. — Rug cleaning often involves hazardous chemicals and processes not suitable for standard facilities.
- **Rule:** All laundry and dry cleaning operations must comply with local, state, and federal environmental regulations. — Non-compliance can result in fines, shutdowns, and increased liability.
- **Rule:** No acceptance of medical waste or biohazardous materials without proper licensing. — Handling such materials without authorization is illegal and poses severe health risks.

Leather Goods & Luggage Stores (BT-0089)

Appetite Level: **Preferred**

Preferred

- Businesses with secure, well-monitored inventory storage such as locked display cases and alarm systems, reducing theft risk.
- Retailers with established online sales platforms, demonstrating diversified revenue streams and modern retail practices.
- Operations with robust cybersecurity measures for online sales, including firewalls, encryption, and secure payment gateways.
- Businesses conducting regular vulnerability assessments to identify and address cyber exposure.
- Comprehensive loss prevention programs in place, including written policies and regular audits.
- Staff trained in loss prevention techniques, ensuring awareness and proactive risk management.
- Manageable claims history with low frequency and severity of theft or vandalism incidents.
- Limited after-hours access to inventory and premises, reducing exposure to unauthorized entry.
- Operations with documented risk management practices, including emergency response plans.
- Retailers collaborating with reputable vendors and maintaining traceable supply chains.
- Businesses utilizing inventory management software for accurate tracking and loss reduction.
- Physical stores equipped with surveillance cameras and alarm systems monitored by third parties.
- Retailers offering occasional repair services with proper risk controls in place.
- Businesses compliant with all relevant consumer protection, product safety, and data privacy regulations.
- Retailers with seasonal promotional strategies to manage inventory and cash flow effectively.

Acceptable

- Businesses with basic but functional security measures such as locked doors and standard alarm systems.
- Retailers with emerging online sales channels, provided initial cybersecurity protocols are in place.
- Operations with a moderate claims history that show improvement over time.
- Stores with employee training programs that cover basic loss prevention topics.
- Inventory storage areas that are secured during business hours but may have limited after-hours monitoring.
- Retailers using off-the-shelf inventory management solutions with periodic manual audits.
- Businesses with written but infrequently updated loss prevention policies.

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- Retailers sourcing from a mix of domestic and international vendors with standard quality checks.
 - Operations providing minor repair services with appropriate liability waivers.
 - Businesses conducting annual vulnerability assessments for cyber risks.
 - Retailers with some, but not all, regulatory compliance measures in place and a plan for full compliance.
 - Stores with customer service representatives trained in basic risk awareness.
 - Businesses with moderate seasonal fluctuations and basic inventory management strategies.
 - Retailers using standard point-of-sale systems with basic security features.
 - Operations with limited but documented risk management practices.

Not Acceptable

- Businesses lacking secure inventory storage, such as unlocked display cases or open shelving.
- Retailers with a high frequency or severity of theft or vandalism claims in the past three years.
- Operations without any cybersecurity measures for online sales, exposing customer data to risk.
- Businesses with no loss prevention programs or written policies addressing theft and vandalism.
- Retailers with unmonitored inventory storage areas, especially after hours.
- Operations with no employee training in loss prevention or risk management.
- Businesses with a history of frequent or severe insurance claims, regardless of cause.
- Retailers operating entirely without online sales platforms and no plans for digital expansion.
- Operations with unrestricted after-hours access to inventory or premises.
- Businesses failing to comply with consumer protection, product safety, or data privacy regulations.
- Retailers with no documented risk management practices or emergency response plans.
- Operations with untraceable or unreliable supply chains, increasing product liability risk.
- Businesses providing repair services without any risk controls or liability management.
- Retailers with no surveillance or alarm systems in place.
- Operations with significant cyber exposure and no mitigation strategies implemented.

Restrictions (with Reasons)

- **Rule:** Businesses with poor or inadequate security measures are restricted. — Lack of security increases the risk of theft and vandalism, leading to higher claims.
- **Rule:** Operations with a high frequency or severity of theft or vandalism claims may be restricted. — Frequent or severe claims indicate ongoing risk management issues.
- **Rule:** Businesses without established online sales platforms may face limitations. — Lack of e-commerce presence limits growth and diversification, reducing risk appetite.

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- **Rule:** Retailers lacking robust cybersecurity measures for online sales are restricted. — Insufficient cybersecurity exposes the business and customers to data breaches and fraud.
 - **Rule:** Operations without comprehensive loss prevention programs may be restricted. — Absence of loss prevention increases the likelihood of preventable losses.
 - **Rule:** Businesses with unmonitored inventory storage are restricted. — Unmonitored storage areas are more susceptible to theft and inventory shrinkage.
 - **Rule:** Businesses lacking employee training in loss prevention may be restricted. — Untrained staff are less able to identify and prevent losses.
 - **Rule:** Operations with no demonstrated risk management practices are not acceptable. — Effective risk management is essential for minimizing losses and claims.
 - **Rule:** Businesses with unrestricted after-hours access to inventory or premises may be restricted. — Unrestricted access increases the risk of unauthorized entry and theft.
 - **Rule:** Operations with significant cyber exposure and no mitigation strategies are not acceptable. — Unmitigated cyber risks can result in severe financial and reputational losses.

Libraries & Museums (BT-0090)

Appetite Level: **Acceptable**

Preferred

- Libraries and museums with comprehensive security systems, including surveillance cameras and controlled access points, to protect collections and visitors.
- Institutions with a documented disaster recovery and emergency response plan addressing fire, water, and environmental risks.
- Facilities that maintain climate control systems to preserve sensitive materials and artifacts.
- Organizations with staff trained in collection handling, preservation, and emergency procedures.
- Libraries and museums with regular maintenance schedules for building infrastructure and equipment.
- Institutions that conduct annual risk assessments and update risk mitigation strategies accordingly.
- Facilities with clear visitor management protocols, including sign-in procedures and monitored entry/exit points.
- Organizations that maintain up-to-date insurance coverage for property, collections, and liability exposures.
- Institutions with established relationships with reputable vendors for conservation, security, and technology needs.
- Facilities that comply fully with local, state, and federal safety and accessibility regulations.
- Libraries and museums that limit the use of hazardous materials and follow best practices for storage and handling.
- Institutions with a history of low or no claims related to theft, vandalism, or property damage.
- Facilities that restrict after-hours access to authorized personnel only.
- Organizations that provide regular staff training on copyright compliance and intellectual property laws.
- Institutions that utilize digital cataloging and inventory management systems for collections.

Acceptable

- Libraries and museums with basic security measures, such as locked display cases and alarm systems.
- Facilities that have a written but not regularly updated emergency response plan.
- Institutions with some climate control measures in place, though not comprehensive throughout the facility.
- Organizations that provide periodic staff training on safety and collection handling.

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- Facilities that conduct maintenance on an as-needed basis rather than on a fixed schedule.
 - Institutions that occasionally host special events or exhibitions with moderate attendance.
 - Libraries and museums with insurance coverage that meets minimum legal requirements.
 - Facilities that have experienced minor, infrequent claims but have implemented corrective actions.
 - Institutions that use manual cataloging systems but maintain accurate records.
 - Organizations that allow limited after-hours access for special projects with supervision.
 - Facilities that contract with third-party vendors for specialized services on a project basis.
 - Institutions that are in the process of upgrading security or climate control systems.
 - Libraries and museums that have some accessibility features but are working toward full compliance.
 - Facilities that occasionally handle rare or high-value items with additional precautions.
 - Organizations that host community events with appropriate risk management protocols in place.

Not Acceptable

- High-traffic museums or libraries without adequate security measures, such as no surveillance cameras or untrained staff.
- Facilities with frequent alcohol service or large-scale events that increase liability exposure without risk mitigation.
- Institutions with a history of frequent claims related to theft, vandalism, or property damage.
- Libraries and museums that lack any form of climate control, resulting in deterioration of collections.
- Facilities that do not comply with fire codes, accessibility standards, or other safety regulations.
- Institutions that allow unrestricted after-hours access to the public or unsupervised personnel.
- Facilities with no documented emergency response or disaster recovery plan.
- Organizations that regularly use hazardous materials without proper storage, handling, or staff training.
- Libraries and museums that have experienced significant uninsured losses in the past five years.
- Facilities located in areas with a high incidence of natural disasters and no mitigation measures in place.
- Institutions that do not maintain insurance coverage for collections or property.
- Facilities with ongoing structural issues, such as roof leaks or faulty electrical systems, that threaten collections.
- Organizations that have been cited for repeated regulatory violations or non-compliance.
- Libraries and museums that host events exceeding occupancy limits or without appropriate crowd control.

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- Institutions that fail to vet or supervise third-party vendors working on-site.

Restrictions (with Reasons)

- **Rule:** No coverage for facilities lacking basic security measures such as surveillance cameras and controlled access. — Inadequate security significantly increases the risk of theft and vandalism.
- **Rule:** No coverage for institutions with a history of frequent or severe claims related to theft, property damage, or vandalism. — Repeated losses indicate ongoing risk management deficiencies.
- **Rule:** No coverage for facilities that do not comply with fire codes, accessibility standards, or other mandatory safety regulations. — Non-compliance with regulations exposes the business to legal and safety risks.
- **Rule:** No coverage for institutions that regularly serve alcohol or host large-scale events without formal risk mitigation plans. — Alcohol service and large gatherings increase liability and property risks.
- **Rule:** No coverage for facilities without climate control systems where collections are at risk of environmental damage. — Lack of climate control leads to deterioration of valuable items.
- **Rule:** No coverage for organizations with no documented emergency response or disaster recovery plan. — Absence of planning increases exposure to catastrophic losses.
- **Rule:** No coverage for institutions that allow unrestricted after-hours access to the public or unsupervised staff. — Unrestricted access increases the risk of theft, vandalism, and accidental damage.
- **Rule:** No coverage for facilities with ongoing unresolved structural issues that threaten collections. — Structural problems such as leaks or faulty wiring pose a direct threat to property and collections.
- **Rule:** No coverage for institutions that do not maintain insurance for collections or property. — Lack of insurance indicates inadequate risk management.
- **Rule:** No coverage for organizations cited for repeated regulatory violations or non-compliance. — Regulatory violations reflect poor operational controls and increased risk.

Lighting Fixtures & Supplies (BT-0091)

Appetite Level: **Preferred**

Preferred

- Retail businesses primarily selling lighting fixtures, bulbs, and accessories from a physical storefront, allowing in-person customer interaction and product display.
- Operations with a centralized alarm system in place to protect inventory and premises.
- Businesses with rigorous inventory management controls, including regular cycle counts and secured storage for valuable stock.
- Companies generating less than 75% of total revenue from online sales, reducing exposure to shipping losses and cyber risks.
- Retailers offering on-site installation or repair services only if such services account for less than 10% of total revenue.
- Businesses carrying appropriate liability insurance covering installation or repair services provided to customers.
- Staff trained in product knowledge to assist customers and minimize product misuse or returns.
- Establishments sourcing inventory from reputable manufacturers, wholesalers, or distributors with documented supply chain practices.
- Retailers with point-of-sale systems and inventory management software to track sales and stock accurately.
- Businesses adhering to safety standards set by Underwriters Laboratories (UL) and the American National Standards Institute (ANSI).
- Retailers with well-organized, secure display fixtures to minimize theft and damage.
- Companies with a documented process for handling seasonal fluctuations in inventory and staffing.
- Businesses with less than 10% of revenue from installation or repair services, ensuring primary focus remains on retail sales.
- Retailers maintaining strong vendor relationships to ensure consistent product availability and competitive pricing.
- Physical locations with adequate lighting, security cameras, and restricted access to storage areas.

Acceptable

- Retailers with a physical storefront that also operate an online sales channel, provided online sales do not exceed 75% of total revenue.
- Businesses offering installation or repair services as a minor part of operations, with such services comprising no more than 10% of total revenue.

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- Companies that provide delivery services for lighting products, provided proper loss prevention measures are in place.
 - Retailers with inventory stored off-site in secure, monitored facilities.
 - Businesses that occasionally participate in trade shows or pop-up events to promote products.
 - Retailers with seasonal kiosks or temporary locations, provided core operations remain at a permanent storefront.
 - Companies using third-party contractors for installation services, provided contractors are properly insured and vetted.
 - Retailers with a mix of residential and commercial customers, provided commercial projects do not involve high-risk industrial installations.
 - Businesses that offer basic lighting design consultation as an ancillary service.
 - Retailers that sell a limited selection of related electrical accessories, provided lighting remains the primary product line.
 - Companies that accept special orders for custom lighting fixtures, provided such orders are managed through established vendors.
 - Retailers that provide curbside pickup or local delivery as part of customer service.
 - Businesses with a small percentage of revenue from wholesale transactions to local contractors or designers.
 - Retailers that offer extended warranties or service plans on lighting products, provided these do not involve significant repair obligations.
 - Companies that participate in manufacturer rebate or incentive programs for energy-efficient lighting.

Not Acceptable

- Businesses operating exclusively online with no physical storefront or in-person customer interaction.
- Operations where more than 75% of total revenue is derived from online sales, increasing shipping and cyber exposure.
- Companies providing installation or repair services that exceed 10% of total revenue, shifting focus from retail to contracting.
- Businesses lacking a centralized alarm system or adequate security measures for inventory protection.
- Retailers without regular inventory management controls, such as cycle counts or secured storage.
- Operations that do not carry appropriate liability insurance for installation or repair services.
- Businesses engaged in the manufacturing of lighting fixtures or electrical components on-site.

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- Companies performing high-voltage electrical work, industrial lighting installations, or large-scale commercial contracting.
 - Retailers selling used, salvaged, or refurbished lighting products as a primary business activity.
 - Businesses operating from residential premises or locations not zoned for retail use.
 - Companies with a history of significant inventory losses, theft, or inadequate loss prevention practices.
 - Retailers that do not comply with UL, ANSI, or other relevant safety standards for lighting products.
 - Businesses storing inventory in unsecured, unmonitored, or shared facilities.
 - Operations that subcontract installation or repair services to uninsured or unqualified third parties.
 - Retailers whose primary revenue is derived from non-lighting products or unrelated merchandise.

Restrictions (with Reasons)

- **Rule:** On-site installation or repair services must not exceed 10% of total revenue. — Limits exposure to higher-risk contracting activities and maintains retail focus.
- **Rule:** No more than 75% of total revenue may be generated from online sales. — Reduces shipping losses and cyber liability exposure.
- **Rule:** A centralized alarm system is required for all physical storefronts. — Protects valuable inventory from theft and loss.
- **Rule:** Regular inventory management controls, including cycle counts and secured storage, must be in place. — Prevents inventory shrinkage and ensures accurate stock levels.
- **Rule:** Appropriate liability insurance must be carried for any installation or repair services provided. — Protects against claims arising from on-site work.
- **Rule:** Businesses must comply with UL, ANSI, and other relevant safety standards for lighting products. — Ensures product safety and regulatory compliance.
- **Rule:** Primary business activity must be the retail sale of lighting fixtures and supplies. — Maintains alignment with preferred risk profile.
- **Rule:** No manufacturing of lighting fixtures or electrical components on-site. — Manufacturing introduces additional risks not contemplated in retail-focused operations.
- **Rule:** No sale of used, salvaged, or refurbished lighting products as a primary business activity. — Such products may not meet safety standards and increase liability exposure.
- **Rule:** Inventory must be stored in secure, monitored facilities. — Reduces risk of theft and loss.
- **Rule:** No high-voltage, industrial, or large-scale commercial contracting work. — Such activities present higher risks outside the intended appetite.
- **Rule:** All third-party contractors for installation must be properly insured and qualified. — Mitigates liability from subcontracted services.

Locksmiths (BT-0092)

Appetite Level: **Preferred**

Preferred

- Locksmith businesses operating from a single, alarmed, and securely monitored physical location, ensuring inventory and equipment are protected against theft and vandalism.
- Businesses with Business Personal Property (BPP) valued under \$500,000, reducing exposure to large property losses.
- Operations with a minimum of 3 years of continuous business history, demonstrating stability and experience.
- Locksmiths with no history of bankruptcy, financial instability, or legal disputes, indicating sound business practices.
- Companies with a documented employee training program focused on security, safety, and customer service best practices.
- Businesses providing only residential and commercial lock installation, repair, and key duplication services, avoiding high-risk specialties.
- Operations with no prior claims related to theft, vandalism, or property damage, reflecting strong risk management.
- Locksmiths carrying general liability insurance and providing proof of coverage for tools and equipment.
- Businesses with a documented emergency response plan for security breaches or incidents.
- No use of subcontractors for any locksmith services, ensuring quality control and accountability.
- Strict compliance with all local licensing and regulatory requirements, including up-to-date permits.
- Regular maintenance and inspection of all tools and equipment to ensure operational safety.
- Clear, written customer service policy in place for managing client expectations and complaints.
- No involvement in high-risk industries such as firearms, drugs, or other regulated substances.
- Inventory stored in secure, access-controlled areas within the premises.

Acceptable

- Locksmith operations with minor, resolved past financial issues but no bankruptcy or ongoing instability.
- Businesses with a small, well-documented mobile locksmith component, provided prior approval is obtained.
- Operations with BPP valued slightly above \$500,000 if strong security and risk controls are demonstrated.

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- Companies with a short, resolved history of minor legal disputes unrelated to theft, fraud, or licensing.
 - Locksmiths with a history of one minor, non-theft/vandalism claim, provided corrective actions were taken.
 - Businesses in the process of updating employee training programs to meet current security standards.
 - Operations that have recently improved inventory security measures following a risk assessment.
 - Locksmiths with a physical location in a shared commercial building, provided access controls are in place.
 - Businesses that have recently transitioned from mobile-only to fixed-location operations with proper documentation.
 - Companies with a customer service policy under review or revision, provided interim procedures are documented.
 - Locksmiths who have recently upgraded alarm and monitoring systems to meet industry standards.
 - Operations with a minor, resolved regulatory infraction, provided full compliance is now documented.
 - Businesses with a small number of employees, provided all are fully trained and background-checked.
 - Locksmiths with a history of minor supply chain disruptions, provided contingency plans are in place.
 - Operations with a history of seasonal fluctuations, provided financials remain stable year-round.

Not Acceptable

- Locksmith businesses operating without a physical, alarmed, and securely monitored location.
- Any operation with a history of bankruptcy, ongoing financial instability, or unresolved legal disputes.
- Businesses with BPP valued over \$1,000,000 or with inadequate inventory security measures.
- Locksmiths with any prior claims related to theft, vandalism, or property damage in the past five years.
- Operations that rent out equipment or subcontract locksmith services to third parties.
- Businesses providing high-risk specialty services such as safecracking, automotive transponder programming, or electronic access control installation.
- Locksmiths operating without current local licenses, permits, or regulatory compliance.
- Any operation lacking general liability insurance or proof of coverage for tools and equipment.
- Businesses with no documented employee training or emergency response plan.
- Operations with a history of illegal activities, unlicensed work, or regulatory violations.

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- Locksmiths involved in high-risk industries, including firearms, drugs, or other regulated substances.
 - Businesses with a history of multiple unresolved customer complaints or negative regulatory actions.
 - Operations that rely primarily on mobile locksmith services without prior approval.
 - Companies with a record of equipment rental, subcontracting, or outsourcing core locksmith functions.
 - Locksmiths with inadequate or absent security measures for inventory and premises.

Restrictions (with Reasons)

- **Rule:** Business Personal Property (BPP) must be valued under \$500,000. — Limits exposure to large property losses and ensures manageable risk.
- **Rule:** Minimum of 3 years continuous operation required. — Demonstrates business stability and operational experience.
- **Rule:** No history of equipment rental or subcontracting allowed. — Ensures all services are performed in-house for quality control.
- **Rule:** Core locksmith services must be limited to residential and commercial lock installation, repair, and key duplication. — Excludes high-risk specialty services that increase liability.
- **Rule:** No prior claims history related to theft or vandalism. — Indicates effective security measures and risk management.
- **Rule:** Operations must comply with all local regulations and licensing requirements. — Ensures legal compliance and reduces regulatory risk.
- **Rule:** Employee training programs must be in place for security and safety. — Promotes safe, knowledgeable, and professional service delivery.
- **Rule:** No use of subcontractors for locksmith services. — Maintains direct oversight and accountability for all work performed.
- **Rule:** Business must have a physical location with secure access and alarm monitoring. — Reduces risk of theft, vandalism, and unauthorized access.
- **Rule:** Insurance coverage must include general liability and proof of coverage for tools and equipment. — Protects against financial loss from accidents or property damage.
- **Rule:** No involvement in illegal activities or unlicensed operations. — Ensures ethical business practices and compliance with the law.
- **Rule:** Must maintain a clean business record with no legal disputes or bankruptcy. — Indicates financial and operational reliability.

Mail & Packaging Services (BT-0093)

Appetite Level: **Acceptable**

Preferred

- Businesses with Business Personal Property (BPP) values under \$250,000; lower property values reduce exposure.
- Operations offering standard mail and parcel delivery services only; core services present lower risk.
- Locations with robust security measures such as alarm systems and surveillance cameras; enhanced security mitigates theft risk.
- Businesses with a clean claims history for the past five years; demonstrates effective risk management.
- Establishments with written business continuity and disaster recovery plans; preparedness reduces operational downtime.
- Businesses compliant with all local, state, and federal shipping and data protection regulations; regulatory adherence lowers liability.
- Operations with seasonal staffing plans to address peak periods; proper staffing reduces operational errors.
- Businesses with limited ancillary services (e.g., basic printing, notary, or minimal retail sales); limited scope reduces complexity.
- Locations in low-crime, suburban or urban areas with high foot traffic; safer environments decrease loss potential.
- Businesses utilizing reputable shipping carriers (e.g., USPS, FedEx, UPS) exclusively; established carriers offer reliability.
- Operations with less than 20% of annual revenue from online sales; lower online exposure reduces cyber and fraud risk.
- Businesses with documented employee training in packaging and shipping procedures; trained staff minimize accidents.
- Establishments with up-to-date shipping and inventory management software; modern systems improve accuracy.
- Businesses with established vendor relationships and diversified supply chains; reduces risk of supply disruption.
- Operations with regular equipment maintenance schedules; maintained equipment lowers risk of breakdowns.

Acceptable

- Businesses with BPP values between \$250,000 and \$500,000; moderate property values present manageable risk.

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- Operations offering a mix of mail, parcel, and limited ancillary services such as basic printing and retail sales of shipping supplies.
 - Locations with basic security measures (e.g., locks, limited surveillance); some risk remains but is manageable.
 - Businesses with minor, infrequent claims in the past five years; indicates some risk but not excessive.
 - Establishments with informal business continuity plans; some preparedness for disruptions.
 - Businesses in compliance with most but not all regulatory requirements, with plans to address deficiencies.
 - Operations with up to 40% of annual revenue from online sales; moderate online exposure increases risk.
 - Businesses with seasonal fluctuations that are managed with temporary staffing or overtime.
 - Locations in moderate-crime areas with additional security protocols in place.
 - Businesses offering a broader range of ancillary services, provided these do not include high-risk activities.
 - Operations using a mix of major and minor shipping carriers; some variability in reliability.
 - Businesses with some outdated equipment but regular maintenance practices.
 - Establishments with partial employee training programs; some gaps in training may exist.
 - Businesses with some supply chain concentration but alternative vendors identified.
 - Operations with moderate retail sales as a secondary revenue stream.

Not Acceptable

- Businesses with BPP values exceeding \$500,000; high property values present excessive exposure.
- Operations offering high-risk ancillary services such as check cashing, money transfer, or lottery sales.
- Locations with no security measures in place; high risk of theft and vandalism.
- Businesses with a history of frequent or severe claims in the past five years.
- Establishments lacking any business continuity or disaster recovery planning.
- Businesses operating in violation of local, state, or federal shipping or data protection regulations.
- Operations with over 60% of annual revenue from online sales; high online exposure increases cyber and fraud risk.
- Businesses located in high-crime areas without adequate security protocols.
- Operations offering international shipping of hazardous or restricted materials without proper compliance.

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- Businesses with significant retail sales unrelated to mail or packaging services (e.g., convenience stores).
 - Establishments with no employee training in packaging, shipping, or customer service.
 - Businesses with outdated or malfunctioning shipping and inventory management systems.
 - Operations with a single-source supply chain and no contingency plans.
 - Businesses with a high-risk financial profile, such as ongoing bankruptcy or insolvency proceedings.
 - Locations with a history of regulatory violations or fines.

Restrictions (with Reasons)

- **Rule:** Ancillary services are limited to basic printing, notary, and retail sales of shipping supplies. — High-risk ancillary services increase exposure to financial and regulatory risks.
- **Rule:** Business Personal Property (BPP) values must not exceed \$500,000. — High property values present unacceptable loss potential.
- **Rule:** No acceptance of businesses with a history of frequent or severe claims in the past five years. — Poor claims history indicates elevated risk.
- **Rule:** All businesses must comply with local, state, and federal shipping and data protection regulations. — Regulatory non-compliance increases liability and operational risk.
- **Rule:** Online sales must not exceed 60% of total annual revenue. — High online sales increase exposure to cyber and fraud risks.
- **Rule:** No acceptance of businesses offering check cashing, money transfer, or lottery services. — These services are associated with higher financial and regulatory risk.
- **Rule:** Businesses must have basic security measures in place, such as locks and surveillance cameras. — Lack of security increases the risk of theft and property loss.
- **Rule:** Operations must not ship hazardous or restricted materials without proper compliance documentation. — Non-compliant shipping of hazardous materials poses significant legal and safety risks.
- **Rule:** Retail sales must be limited to products directly related to mail and packaging services. — Unrelated retail sales introduce additional risk exposures.
- **Rule:** Businesses must have a documented employee training program for packaging and shipping procedures. — Proper training reduces the likelihood of accidents and claims.

Medical & Dental Offices (BT-0094)

Appetite Level: **Acceptable**

Preferred

- Dental office with a clean claims history, located in a suburban area, equipped with an alarm system, and contents valued at \$350,000 or less. Rationale: Demonstrates strong risk management and security.
- Medical or dental office with documented employee training for hazardous material handling and up-to-date safety protocols. Rationale: Reduces risk of chemical exposure and workplace accidents.
- Offices with structured appointment scheduling and documented patient intake processes. Rationale: Minimizes operational errors and liability exposures.
- Practices with a history of regulatory compliance and no violations from OSHA or CDC inspections. Rationale: Indicates strong adherence to safety standards.
- Dental offices with proper storage and ventilation systems for chemicals and sterilizing agents. Rationale: Mitigates fire and health risks.
- Medical offices with no history of malpractice or bodily injury claims in the past five years. Rationale: Indicates low liability risk.
- Practices that utilize electronic health record systems with secure data protocols. Rationale: Enhances patient data security and reduces cyber risk.
- Offices located in low-crime suburban or urban areas with security measures in place. Rationale: Reduces theft and vandalism risk.
- Dental offices with documented protocols for handling and disposing of materials containing lead or other heavy metals. Rationale: Addresses environmental and health risks.
- Medical or dental offices with established relationships with licensed, reliable vendors for supplies and pharmaceuticals. Rationale: Ensures supply chain reliability and compliance.
- Practices with regular, documented risk assessments including chemical storage and ventilation evaluations. Rationale: Proactive risk management.
- Offices with separate, up-to-date professional liability coverage in addition to BOP. Rationale: Ensures adequate coverage for malpractice exposures.

Acceptable

- Medical office with minor, resolved claims history and evidence of corrective action. Rationale: Shows willingness to address past issues.
- Dental office in an urban location with adequate security measures and documented safety training. Rationale: Urban risks mitigated by controls.
- Offices with moderate contents value (\$350,000–\$500,000) and documented inventory management. Rationale: Higher value but managed risk.

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- Practices with some minor OSHA or CDC citations that have been fully resolved and documented. Rationale: Past issues addressed.
 - Medical or dental offices with seasonal fluctuations in patient volume but consistent operational protocols. Rationale: Predictable business patterns.
 - Offices using a mix of manual and electronic record-keeping with secure storage for sensitive information. Rationale: Some cyber risk but controls in place.
 - Practices with older but well-maintained equipment and documented maintenance schedules. Rationale: Equipment risk managed.
 - Offices with some staff turnover but consistent employee training on hazardous materials. Rationale: Training mitigates risk.
 - Dental offices using materials with potential lead exposure but with documented mitigation protocols. Rationale: Risk addressed.
 - Medical offices with a single, minor malpractice claim in the past five years, fully resolved. Rationale: Isolated incident.
 - Practices with alarm systems but located in moderate-crime areas. Rationale: Security measures offset location risk.
 - Offices with documented but infrequent vendor supply chain disruptions. Rationale: Some risk but managed.

Not Acceptable

- Medical office offering unlicensed cosmetic injections or procedures behind curtains or in non-clinical areas. Rationale: High regulatory and liability risk.
- Offices with a history of multiple unresolved malpractice or bodily injury claims. Rationale: Indicates ongoing liability exposure.
- Practices operating without required state or federal licenses for healthcare providers. Rationale: Non-compliance with regulations.
- Offices with inadequate or no ventilation for chemical storage and use. Rationale: High risk of fire and health hazards.
- Dental offices using materials containing lead or other heavy metals without documented mitigation or disposal protocols. Rationale: Environmental and health risk.
- Medical or dental offices with no documented employee training on hazardous material handling. Rationale: Increased risk of accidents.
- Practices with repeated OSHA or CDC violations and no evidence of corrective action. Rationale: Ongoing regulatory non-compliance.
- Offices located in high-crime areas with no alarm or security systems. Rationale: Elevated theft and vandalism risk.
- Practices storing flammable or hazardous materials in non-compliant containers or locations. Rationale: Fire and chemical exposure risk.

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- Offices with unlicensed staff performing medical or dental procedures. Rationale: Legal and liability exposure.
 - Practices with no documented risk management or safety protocols. Rationale: Lack of proactive risk mitigation.
 - Medical or dental offices with a history of insurance fraud or misrepresentation. Rationale: Unacceptable moral hazard.
 - Offices with repeated supply chain failures leading to service interruptions. Rationale: Operational instability.
 - Practices with evidence of patient data breaches and no corrective action. Rationale: Cyber and privacy risk.
 - Offices with contents valued over \$1,000,000 and no inventory controls. Rationale: High property risk unmanaged.

Restrictions (with Reasons)

- **Rule:** All medical and dental offices must maintain current state and federal licenses for all practicing healthcare professionals. — Ensures compliance with legal and regulatory requirements.
- **Rule:** Practices must have documented employee training on hazardous material handling and emergency procedures. — Reduces risk of chemical exposure and workplace accidents.
- **Rule:** All hazardous and flammable materials must be stored in compliance with OSHA and local fire safety regulations. — Mitigates fire and chemical exposure risks.
- **Rule:** Ventilation systems must be adequate for the storage and use of disinfectants, anesthetics, and sterilizing agents. — Prevents buildup of toxic fumes and reduces health risks.
- **Rule:** Alarm or security systems are required for offices located in moderate- or high-crime areas. — Reduces risk of theft and vandalism.
- **Rule:** Unlicensed cosmetic or medical procedures are strictly prohibited. — Prevents regulatory violations and liability exposures.
- **Rule:** Practices must have documented risk management protocols, including regular risk assessments and safety reviews. — Ensures proactive identification and mitigation of risks.
- **Rule:** Dental offices using materials containing lead or heavy metals must have documented mitigation and disposal protocols. — Addresses environmental and health concerns.
- **Rule:** Professional liability coverage must be maintained separately from BOP policies. — Ensures adequate coverage for malpractice exposures.
- **Rule:** Offices with unresolved malpractice or bodily injury claims are not eligible. — Indicates ongoing liability and claims risk.
- **Rule:** Practices must have secure storage for patient records and comply with data privacy regulations. — Reduces risk of data breaches and privacy violations.

Medical & Hospital Supply Stores (BT-0095)

Appetite Level: **Acceptable**

Preferred

- Operations with a documented, proactive loss control program that includes regular staff training, equipment maintenance, and incident reporting procedures to minimize liability exposures.
- Stores that exclusively sell and rent verified, certified, and FDA-approved medical equipment, ensuring compliance with all relevant regulatory standards.
- Businesses with a proven track record of zero or minimal claims related to product liability, equipment malfunction, or bodily injury over the past five years.
- Locations that maintain clean, well-lit, and unobstructed retail spaces, with documented daily safety inspections and prompt hazard remediation.
- Stores with robust inventory management systems that track product recalls and expiration dates, reducing the risk of distributing defective or expired products.
- Operations that require all staff to complete annual training on equipment use, customer safety, and emergency response protocols.
- Businesses that perform documented, thorough sanitization and maintenance of all rental equipment between uses, following manufacturer and CDC guidelines.
- Stores with established relationships with reputable, vetted suppliers and manufacturers, ensuring consistent product quality and traceability.
- Operations with a dedicated compliance officer or team responsible for monitoring and implementing all applicable health and safety regulations.
- Locations that conduct quarterly safety audits and risk assessments, with documented follow-up on all identified issues.
- Stores that limit rental equipment to low-risk devices and require customer training and signed usage agreements prior to rental.
- Businesses that utilize electronic surveillance and access controls to prevent theft and unauthorized access to controlled medical products.

Acceptable

- Medical supply stores with a risk rating of 4-6, as determined by recent safety audits and claims history.
- Operations that maintain current business licenses, accreditations, and all required regulatory documentation.
- Stores with effective, but not exemplary, loss control programs that include regular staff training and equipment checks.
- Businesses that rent out medical devices but have documented procedures for customer instruction and equipment inspection.

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- Locations with moderate customer foot traffic and established protocols for managing slip-and-fall hazards.
 - Stores that have experienced minor, infrequent claims but have taken corrective action to address root causes.
 - Operations that sell a mix of basic and advanced medical supplies, provided all products are sourced from certified vendors.
 - Businesses that conduct annual safety audits and address identified hazards within a reasonable timeframe.
 - Stores that maintain written policies for equipment maintenance and sanitization, with periodic compliance checks.
 - Operations that provide staff with initial and refresher training on customer safety and equipment handling.
 - Businesses that display clear signage and floor markings to guide customers safely through the premises.
 - Stores that have a designated area for rental equipment returns and inspections to prevent cross-contamination.
 - Operations that maintain up-to-date records of all equipment maintenance, repairs, and customer complaints.
 - Stores that participate in product recall programs and promptly remove affected items from inventory.

Not Acceptable

- Businesses with a history of frequent or severe claims related to product liability, equipment malfunction, or bodily injury within the past three years.
- Operations that rent or sell unverified, uncertified, or non-FDA-approved medical equipment, regardless of intended use.
- Stores that lack current business licenses, required accreditations, or fail to comply with applicable health and safety regulations.
- Locations with documented poor maintenance practices, including infrequent or undocumented equipment inspections and sanitization.
- Businesses that do not provide staff with training on equipment use, customer safety, or emergency procedures.
- Operations that have received regulatory citations or fines for non-compliance with health and safety standards in the past two years.
- Stores with cluttered, poorly lit, or obstructed retail spaces that increase the risk of slip-and-fall or other customer injuries.
- Businesses that do not maintain written policies or records for equipment maintenance, sanitization, or customer instruction.

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- Operations that have been the subject of product recalls but failed to remove affected items from inventory promptly.
 - Stores that allow unsupervised customer access to high-risk or restricted medical devices.
 - Businesses that do not conduct regular safety audits or fail to address identified hazards in a timely manner.
 - Operations with high customer foot traffic but no protocols for managing crowding or emergency evacuation.
 - Stores that rent out complex medical devices without providing customer training or usage agreements.
 - Businesses that source products from unvetted suppliers or lack documentation of product certifications.
 - Operations with a pattern of late or incomplete responses to customer complaints or equipment malfunction reports.

Restrictions (with Reasons)

- **Rule:** Do not accept businesses with a history of frequent or severe claims related to product liability, equipment malfunction, or bodily injury. — Such claims indicate elevated risk and poor operational controls, increasing the likelihood of future losses.
- **Rule:** Do not accept operations that rent or sell unverified, uncertified, or non-FDA-approved medical equipment. — Uncertified equipment poses significant safety and regulatory risks, potentially resulting in severe liability.
- **Rule:** Do not accept stores lacking current business licenses, required accreditations, or compliance with health and safety regulations. — Legal operation and regulatory compliance are fundamental to risk management and insurability.
- **Rule:** Do not accept businesses with poor maintenance practices or inadequate loss control programs. — Lax maintenance and loss control increase the risk of equipment malfunction and customer injury.
- **Rule:** Do not accept operations that do not provide staff with training on equipment use, customer safety, or emergency procedures. — Untrained staff are more likely to contribute to accidents, misuse of equipment, and regulatory violations.
- **Rule:** Require risk evaluation for stores with high customer foot traffic or those renting out medical devices. — Increased exposure to bodily injury and product liability necessitates additional underwriting scrutiny.
- **Rule:** Do not accept stores with cluttered, poorly lit, or obstructed retail spaces. — Unsafe premises significantly increase the risk of slip-and-fall and other liability claims.
- **Rule:** Do not accept businesses that do not maintain written policies or records for equipment maintenance and sanitization. — Lack of documentation impedes risk assessment and increases the likelihood of undetected hazards.

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- **Rule:** Do not accept operations with a pattern of late or incomplete responses to customer complaints or equipment malfunction reports. — Failure to address issues promptly can lead to repeat incidents and higher claim frequency.
 - **Rule:** Do not accept stores that have received regulatory citations or fines for non-compliance within the past two years. — Recent regulatory actions indicate ongoing compliance issues and heightened risk.
 - **Rule:** Do not accept businesses that allow unsupervised customer access to high-risk or restricted medical devices. — Unsupervised access increases the risk of misuse, injury, and liability claims.

Monument & Tombstone Sales (BT-0096)

Appetite Level: **Acceptable**

Preferred

- Businesses with a proven track record of compliance with all local, state, and federal regulations related to funeral and memorial services, ensuring legal operation and reduced regulatory risk.
- Operations that maintain comprehensive employee training programs covering equipment safety, sanitation, and customer service, minimizing workplace accidents and liability exposure.
- Companies that source raw materials from reputable, established suppliers with documented quality controls, reducing the risk of defective products.
- Businesses with a history of low or no claims over the past five years, indicating effective risk management and operational stability.
- Firms that provide full documentation of contracts with funeral homes, cemeteries, and other service providers, clarifying liability and service expectations.
- Operations with robust risk management practices, including regular safety audits and documented sanitation protocols, reducing the likelihood of losses.
- Businesses that maintain adequate insurance coverage for property, equipment, and third-party liability, ensuring financial protection against common risks.
- Companies with a strong reputation in the community, as evidenced by positive reviews and references, indicating reliability and trustworthiness.
- Businesses that utilize modern, well-maintained equipment for stone cutting and engraving, reducing the risk of equipment failure and workplace injuries.
- Operations that have clear, written procedures for the safe handling, transport, and installation of monuments and tombstones, minimizing liability.
- Firms that demonstrate financial stability through audited financial statements and positive cash flow, reducing the risk of business interruption.
- Businesses that proactively address environmental risks associated with stone dust and waste disposal, ensuring compliance and community safety.

Acceptable

- Businesses that have minor, resolved claims in the past three years but have since implemented corrective risk management measures.
- Operations that primarily serve local markets but occasionally handle out-of-area installations, provided logistics and liability are well managed.
- Companies that use a mix of manual and automated equipment, with documented maintenance schedules and safety checks.
- Firms that offer online sales platforms in addition to physical showrooms, provided customer data and payment security protocols are in place.

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- Businesses that subcontract some installation work, provided subcontractors are properly insured and vetted.
 - Operations with seasonal fluctuations in demand, as long as staffing and inventory management practices are in place to handle peaks.
 - Companies that have undergone recent ownership changes but maintain continuity in management and operational practices.
 - Firms that have received minor regulatory citations in the past but have demonstrated corrective action and ongoing compliance.
 - Businesses that maintain basic employee training programs, with plans to expand or improve them in the near future.
 - Operations that have experienced minor supply chain disruptions but have contingency plans to ensure continued service.
 - Companies that rely on a small number of key vendors, provided there are backup suppliers identified.
 - Firms that are expanding product offerings (e.g., adding new stone types) with documented quality assurance processes.

Not Acceptable

- Businesses with a history of frequent or unresolved claims related to product defects, installation errors, or third-party injuries.
- Operations that fail to comply with local, state, or federal regulations governing funeral services or memorial products.
- Companies that lack documented safety protocols or employee training programs, increasing the risk of workplace accidents.
- Firms with a record of gross negligence or intentional acts leading to customer or third-party harm.
- Businesses that operate without adequate insurance coverage for property, equipment, or liability.
- Operations that have been subject to regulatory shutdowns, license revocations, or significant legal actions.
- Companies that do not maintain proper sanitation standards for products and facilities, posing health risks.
- Firms that use unvetted or uninsured subcontractors for installation or delivery services.
- Businesses with ongoing disputes or litigation with customers, vendors, or regulatory bodies.
- Operations that have significant environmental violations related to waste disposal or stone dust management.
- Companies that misrepresent products or services in marketing materials, leading to customer complaints or legal action.

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- Firms that lack clear documentation of contracts with funeral homes, cemeteries, or other partners.
 - Businesses that have experienced repeated supply chain failures without contingency planning.
 - Operations located in areas with high rates of vandalism or theft, without adequate security measures.
 - Companies that refuse to provide financial statements or demonstrate financial instability.

Restrictions (with Reasons)

- **Rule:** Coverage is excluded for intentional acts or gross negligence by the insured. — Intentional or grossly negligent actions significantly increase risk and are uninsurable.
- **Rule:** Businesses must maintain compliance with all applicable local, state, and federal regulations. — Non-compliance can result in legal action, fines, or business closure, increasing risk exposure.
- **Rule:** Liability coverage does not extend to subcontractors unless they are specifically named and insured. — Uninsured subcontractors can create gaps in coverage and increase liability risk.
- **Rule:** Coverage may be limited or denied for businesses with a history of frequent or unresolved claims. — A poor claims history indicates higher future risk and potential for losses.
- **Rule:** Businesses must provide documentation of employee training and safety protocols. — Proper training reduces workplace accidents and liability exposure.
- **Rule:** Environmental liability is excluded unless specifically endorsed. — Environmental risks, such as improper waste disposal, require specialized underwriting.
- **Rule:** Coverage limits are subject to review based on the size and scope of the business. — Larger or more complex operations may require higher limits to adequately address exposures.
- **Rule:** Businesses must maintain proper sanitation standards for all products and facilities. — Sanitation lapses can result in health hazards and regulatory penalties.
- **Rule:** Policies may exclude coverage for losses arising from marketing misrepresentation. — False advertising or misrepresentation can lead to legal action and reputational harm.
- **Rule:** Underwriters may require review of contracts with funeral homes and cemeteries. — Contractual clarity helps define liability and service obligations.

Musical Instrument Sales & Repair (BT-0097)

Appetite Level: **Acceptable**

Preferred

- Businesses with a fully operational alarm or security system in place, reducing theft risk.
- Retail storefronts located in low-crime, well-trafficked commercial areas.
- Repair technicians with formal training, certifications, or extensive experience in instrument repair.
- Businesses with a clean loss history, showing no repeated claims for theft or property damage in the past five years.
- Operations that maintain secure display cases for high-value instruments.
- Businesses with documented quality control processes for all repair and maintenance work.
- Establishments that require background checks for all staff handling repairs or customer property.
- Businesses with comprehensive product liability coverage for all sold instruments and accessories.
- Retailers that do not rent out instruments or equipment to customers.
- Operations with a documented customer dispute resolution process for repair services.
- Businesses that regularly review and update their vendor and supply chain relationships for financial stability.
- Retailers with a proactive approach to inventory management and sales tracking.
- Businesses that offer workshops or community engagement events, fostering positive customer relationships.
- Establishments that have not experienced any slip and fall claims in the past three years.
- Operations that conduct regular staff training on safety and security protocols.

Acceptable

- Businesses with basic alarm systems but lacking advanced security features such as video surveillance.
- Retailers located in mixed-use areas with moderate foot traffic.
- Repair technicians with on-the-job experience but lacking formal certifications.
- Businesses with one or two minor claims for property damage or theft in the past five years, with corrective actions taken.
- Operations that use lockable storage for instruments but do not have secure display cases.
- Businesses with informal but consistent quality control checks for repair services.
- Retailers that have had isolated customer disputes regarding repairs, all resolved satisfactorily.

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- Businesses that purchase instruments from reputable wholesalers but do not regularly assess vendor financial stability.
 - Retailers that occasionally experience inventory discrepancies but have corrective processes in place.
 - Operations that have experienced a single slip and fall claim, with subsequent safety improvements implemented.
 - Businesses that offer limited community events or workshops.
 - Retailers that have implemented some, but not all, recommended safety and security protocols.
 - Businesses with a moderate level of product liability coverage, with plans to increase limits.
 - Operations that have experienced minor supply chain disruptions but have contingency plans.
 - Retailers that have a basic customer dispute resolution process in place.

Not Acceptable

- Businesses operating without any alarm or security system, exposing inventory to high theft risk.
- Retailers with a history of repeated claims for theft or property damage within the past three years.
- Operations that rent out musical instruments or equipment, increasing liability exposure.
- Businesses with unqualified or uncertified repair technicians performing complex repairs.
- Retailers with no documented quality control process for repair services.
- Businesses with unresolved or frequent customer disputes related to repair work.
- Operations lacking product liability coverage for sold instruments and accessories.
- Retailers with a history of slip and fall claims that have not implemented corrective actions.
- Businesses located in high-crime areas without adequate security measures.
- Operations that do not secure high-value instruments in locked display cases or storage.
- Retailers with vendors or suppliers in poor financial standing, increasing supply chain risk.
- Businesses that have experienced significant supply chain disruptions without contingency planning.
- Operations with a history of bodily injury or property damage claims caused by sold products.
- Retailers that do not conduct background checks on staff handling repairs or customer property.
- Businesses that fail to comply with local business licensing or safety regulations.

Restrictions (with Reasons)

- **Rule:** Businesses must have an operational alarm or security system. — High-value, portable instruments are at increased risk of theft.
- **Rule:** Rental of musical instruments or equipment is prohibited. — Rental operations increase liability exposure and are not within appetite.

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- **Rule:** Repeated claims for theft or property damage within three years are not acceptable. — Frequent losses indicate inadequate risk management.
 - **Rule:** Repair technicians must have documented qualifications or experience. — Unqualified staff increase the risk of instrument damage and liability claims.
 - **Rule:** Businesses must maintain product liability coverage for all sold instruments and accessories. — Defective products can cause bodily injury or property damage.
 - **Rule:** Coverage must include bodily injury or property damage caused by sold products. — Instruments or accessories may cause harm if defective.
 - **Rule:** Secure display cases or locked storage must be used for high-value instruments. — Reduces risk of theft and loss.
 - **Rule:** Businesses must comply with all local business licensing and safety regulations. — Non-compliance increases regulatory and operational risk.
 - **Rule:** Customer dispute history for repair services must be reviewed. — Frequent or unresolved disputes indicate potential liability issues.
 - **Rule:** Businesses with a history of unresolved slip and fall claims are not eligible. — Indicates inadequate premises safety management.
 - **Rule:** Financial stability of the business and key vendors must be evaluated. — Reduces risk of supply chain disruptions and business interruption.

Office Supplies & Equipment (BT-0098)

Appetite Level: **Acceptable**

Preferred

- Businesses with a primary focus on retailing standard office supplies such as paper, pens, folders, and other stationery items; these products have low liability exposure.
- Operations that maintain a clean safety record and have implemented inventory management systems to reduce shrinkage and loss.
- Retailers with established relationships with reputable wholesalers and manufacturers, ensuring consistent product quality and supply chain reliability.
- Businesses that offer delivery services using owned or leased vehicles with proper insurance coverage and driver training programs.
- Companies that maintain a robust online ordering platform with secure payment processing and data protection measures.
- Operations that comply with all local, state, and federal regulations regarding product safety, labor, and environmental standards.
- Retailers that conduct regular staff training on customer service, workplace safety, and product knowledge.
- Businesses that have implemented recycling programs for office materials and promote environmentally friendly products.
- Operations with a documented process for handling product recalls and customer complaints efficiently.
- Companies that maintain adequate security measures for both physical locations and online platforms to prevent theft and data breaches.

Acceptable

- Businesses that sell a mix of standard office supplies and basic office furniture, provided all products meet safety and quality standards.
- Retailers with a seasonal sales pattern, such as back-to-school or fiscal year-end spikes, provided inventory management practices are in place.
- Operations that offer basic technology equipment (e.g., printers, monitors) but do not provide installation or repair services.
- Companies that utilize third-party delivery services with verified insurance and safety protocols.
- Businesses with a small staff, provided all employees receive appropriate training and supervision.
- Retailers that operate from a single storefront or warehouse location with standard security and fire prevention measures.
- Operations that occasionally offer promotional discounts or bundled deals during peak seasons.

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- Businesses that accept bulk orders from educational institutions or corporate clients, provided order fulfillment processes are documented.
 - Retailers that maintain a basic e-commerce presence without advanced customization or integration with external platforms.
 - Operations that handle customer returns and exchanges in accordance with clear, written policies.
 - Companies that source products from multiple vendors to ensure supply continuity and competitive pricing.
 - Businesses that participate in local or regional business associations to stay informed about industry trends and regulations.
 - Retailers that provide limited assembly of office furniture but do not engage in complex installations.
 - Operations that store inventory on-site with regular audits to prevent overstock or stockouts.
 - Companies that comply with standard tax and labor regulations but may require periodic compliance reviews.

Not Acceptable

- Businesses primarily engaged in manufacturing office supplies or equipment, as this introduces higher operational and product liability risks.
- Operations that provide installation, repair, or maintenance services for technology equipment or office furniture.
- Retailers that sell or distribute hazardous materials, such as industrial chemicals or high-risk electronics.
- Companies that operate multiple locations without standardized safety and operational procedures.
- Businesses with a history of regulatory violations, including labor law infractions or environmental non-compliance.
- Operations that lack adequate insurance coverage for property, liability, or delivery vehicles.
- Retailers that do not conduct background checks or training for delivery personnel.
- Companies that engage in international import/export of office supplies without proper documentation and compliance.
- Businesses that store large quantities of flammable or otherwise dangerous materials on-site.
- Operations with a significant portion of revenue from non-office supply products, such as electronics, appliances, or industrial equipment.
- Retailers that allow unsupervised customer access to warehouse or storage areas.
- Companies that have experienced repeated data breaches or customer information leaks.
- Businesses that fail to maintain clear records of inventory, sales, and customer transactions.

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- Operations that do not provide clear return, refund, or warranty policies to customers.
 - Retailers that sell recalled or counterfeit products, knowingly or unknowingly.

Restrictions (with Reasons)

- **Rule:** No coverage for businesses that manufacture office supplies or equipment. — Manufacturing introduces higher operational and product liability risks outside the scope of standard retail operations.
- **Rule:** No acceptance of businesses providing installation, repair, or maintenance services for technology equipment or furniture. — These services increase liability exposure and require specialized coverage.
- **Rule:** No coverage for operations selling hazardous materials or high-risk electronics. — Hazardous materials and certain electronics present significant safety and regulatory risks.
- **Rule:** Businesses must maintain compliance with all applicable local, state, and federal regulations. — Non-compliance can result in fines, legal action, and increased risk exposure.
- **Rule:** All delivery vehicles must be properly insured and drivers must be trained. — Uninsured vehicles and untrained drivers increase the risk of accidents and liability claims.
- **Rule:** No acceptance of businesses with a history of regulatory violations or repeated data breaches. — Past violations indicate ongoing risk management issues.
- **Rule:** No coverage for businesses storing large quantities of flammable or dangerous materials. — Such storage increases the risk of fire, explosion, and regulatory non-compliance.
- **Rule:** Businesses must have documented inventory management and loss prevention procedures. — Lack of procedures increases the risk of theft, loss, and operational disruption.
- **Rule:** No acceptance of operations with unsupervised customer access to storage or warehouse areas. — Unsupervised access increases the risk of theft, injury, and liability claims.
- **Rule:** No coverage for businesses primarily engaged in non-office supply sales, such as appliances or industrial equipment. — These products fall outside the intended risk profile for office supplies and equipment.
- **Rule:** All online sales platforms must have secure payment processing and data protection measures. — Insecure platforms increase the risk of data breaches and financial loss.

Optical Goods & Services (BT-0099)

Appetite Level: **Acceptable**

Preferred

- Independent opticians with a well-maintained security system and documented customer recall program, as this demonstrates strong risk management and customer engagement.
- Retail operations primarily focused on the sale of optical frames, lenses, and accessories, ensuring clear business activities and manageable exposures.
- Businesses with limited or no in-house laboratory processing, reducing risks associated with manufacturing errors.
- Optical retailers offering private label products sourced from reputable vendors, supporting product differentiation and supply chain reliability.
- Entities maintaining moderate inventory levels (up to \$1 million) with comprehensive loss prevention measures, minimizing theft and loss risks.
- Businesses with robust employee training programs covering product knowledge, customer service, and compliance, reducing operational errors.
- Operations with documented quality assurance protocols for prescription accuracy and product safety, ensuring regulatory compliance.
- Retailers utilizing technology for inventory tracking and customer relationship management, enhancing operational efficiency and reducing errors.
- Businesses with a history of no professional liability claims related to incorrect prescriptions, defective lenses, or improper fittings.
- Retailers that implement regular staff training on new products and industry best practices, supporting ongoing compliance and service quality.

Acceptable

- Optical retailers with in-house laboratory services limited to lens edging, coating, and minor frame repairs, provided all industry safety standards are met.
- Businesses operating in standalone stores, shopping mall kiosks, or integrated healthcare facility practices, as long as retail remains the primary focus.
- Entities sourcing inventory from multiple reputable suppliers to ensure product quality and supply chain resilience.
- Retailers with moderate inventory turnover and documented inventory management procedures, supporting loss prevention.
- Operations that conduct customer recall programs for eye exam follow-ups and prescription renewals, promoting customer retention and compliance.
- Businesses with a mix of licensed opticians, sales associates, and administrative staff, provided all are appropriately trained.

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- Retailers offering specialized optical products such as safety glasses or contact lenses, as long as all regulatory requirements are met.
 - Entities with a documented process for handling and resolving customer complaints, supporting quality assurance.
 - Retailers that experience some seasonality in sales but maintain stable year-round operations, ensuring business continuity.
 - Businesses with established relationships with key vendors and documented supply chain management practices.

Not Acceptable

- Entities with a history of professional liability claims related to incorrect prescriptions, as this indicates unacceptable risk.
- Businesses with claims related to defective lenses, reflecting poor quality control or supplier management.
- Operations with claims involving patient harm due to improper fitting of eyewear, indicating inadequate staff training or protocols.
- Retailers engaging in significant in-house manufacturing or laboratory processing beyond minor repairs and lens edging, increasing exposure to manufacturing risks.
- Businesses lacking documented employee training or quality assurance protocols, increasing the likelihood of operational errors.
- Entities operating without a comprehensive security system or loss prevention measures, raising the risk of theft or inventory loss.
- Retailers with inventory levels exceeding \$1 million without adequate loss prevention controls, presenting excessive property risk.
- Businesses failing to comply with industry safety standards for in-house lab services, exposing themselves to regulatory and liability risks.
- Entities with a pattern of customer complaints related to prescription errors or product defects, indicating systemic operational issues.
- Operations that do not implement customer recall or follow-up programs, reducing customer retention and compliance.
- Businesses with unlicensed or inadequately trained staff performing optical fittings or dispensing, increasing liability exposure.
- Retailers offering unregulated or non-compliant optical products, risking regulatory action and customer harm.
- Entities with a history of regulatory violations or sanctions, indicating poor compliance culture.
- Operations that do not maintain documented inventory management procedures, increasing the risk of loss or mismanagement.

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- Businesses that do not utilize any form of technology for inventory or customer management, reducing operational efficiency and increasing error rates.

Restrictions (with Reasons)

- **Rule:** No acceptance of businesses with a history of professional liability claims related to incorrect prescriptions. — Such claims indicate a high risk of recurring errors and potential harm to customers.
- **Rule:** Claims related to defective lenses are not acceptable. — Defective products can cause injury and reflect poor quality control.
- **Rule:** Claims involving patient harm due to improper fitting are not acceptable. — Improper fitting can lead to significant customer injury and liability exposure.
- **Rule:** In-house laboratory services must be limited to lens edging, coating, and minor frame repairs, and must comply with all industry safety standards. — Extensive in-house processing increases manufacturing risks and regulatory exposure.
- **Rule:** Inventory levels must not exceed \$1 million unless comprehensive loss prevention measures are in place. — High inventory without proper controls increases the risk of significant property loss.
- **Rule:** All staff involved in optical fitting and dispensing must be appropriately licensed and trained. — Unqualified staff increase the risk of errors and liability claims.
- **Rule:** Businesses must maintain documented quality assurance protocols and employee training programs. — These protocols are essential for minimizing operational errors and ensuring compliance.
- **Rule:** A well-maintained security system is required for all retail locations. — Security systems are necessary to prevent theft and protect inventory.
- **Rule:** Operations must primarily focus on retail sales of optical frames, lenses, and accessories. — Diversification into unrelated activities increases risk and complicates underwriting.
- **Rule:** No acceptance of businesses with a history of regulatory violations or sanctions. — Regulatory non-compliance indicates poor management and increased risk.

Paint & Wallpaper Stores (BT-0100)

Appetite Level: **Acceptable**

Preferred

- Retail operations with a primary focus on the sale of paint, wallpaper, and related supplies to residential and commercial customers; minimizes on-site application or contracting work.
- Stores located in commercial shopping centers or established retail districts with standard security and fire protection systems.
- Businesses with established relationships with major, reputable paint and wallpaper suppliers and manufacturers.
- Operations that provide in-store color matching and consultation services without performing off-site work.
- Retailers that maintain up-to-date safety data sheets (SDS) and train staff in hazardous material handling.
- Stores that participate in cooperative buying groups to enhance purchasing power and inventory reliability.
- Businesses that offer workshops or classes on painting and wallpapering techniques within the store premises.
- Retailers with robust inventory management systems to minimize excess stock and ensure product availability.
- Operations that comply with all local, state, and federal environmental and safety regulations regarding storage and disposal of chemicals.
- Stores that primarily serve walk-in customers and do not engage in significant delivery or installation services.
- Retailers that maintain clean, organized showrooms with clear emergency exits and accessible aisles.
- Businesses that utilize point-of-sale systems for transaction tracking and inventory control.
- Operations that promote indoor projects during off-peak seasons to maintain steady business flow.
- Retailers that provide a wide range of paint and wallpaper brands, including eco-friendly and low-VOC options.
- Stores with a documented emergency response plan and regular staff safety training.

Acceptable

- Retail paint and wallpaper stores with minor ancillary services such as basic delivery within a limited local radius.
- Stores that offer limited on-site consultations at customer locations, provided no application or installation is performed.

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- Businesses that sell a moderate selection of related home improvement products (e.g., brushes, rollers, drop cloths) in addition to core paint and wallpaper lines.
 - Retailers located in mixed-use commercial areas with standard retail foot traffic.
 - Operations that occasionally host vendor demonstrations or product launches in-store.
 - Stores that utilize third-party logistics providers for inventory replenishment and product delivery.
 - Retailers that offer online ordering and curbside pickup services.
 - Businesses that employ part-time or seasonal staff during peak renovation months.
 - Stores that maintain a small inventory of specialty or custom-order products.
 - Retailers that allow returns or exchanges of unopened paint and wallpaper products within a defined policy.
 - Operations that participate in local community events or sponsor home improvement workshops.
 - Stores that have undergone minor regulatory citations but have demonstrated corrective action and ongoing compliance.
 - Retailers that use basic security measures such as surveillance cameras and alarm systems.
 - Businesses that offer loyalty programs or customer rewards for frequent purchases.
 - Stores that provide basic informational materials on safe product use and disposal.

Not Acceptable

- Businesses that perform on-site painting, wallpaper installation, or contracting services as a primary revenue source.
- Operations that store or handle large quantities of flammable or hazardous chemicals without proper containment or ventilation.
- Retailers located in residential zones or areas with inadequate fire suppression or emergency access.
- Stores that fail to comply with local, state, or federal environmental and safety regulations.
- Businesses with a history of significant regulatory violations or unresolved citations related to hazardous materials.
- Operations that lack staff training in the safe handling and disposal of paints, solvents, and chemicals.
- Retailers that operate primarily as wholesalers or distributors to other businesses rather than serving end consumers.
- Stores that offer equipment rental or leasing of heavy machinery (e.g., spray rigs, scaffolding) for off-site use.
- Businesses that provide mobile paint mixing or color matching services at customer locations.
- Operations that have experienced significant losses due to fire, chemical spills, or environmental contamination in the past five years.

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- Retailers that store inventory in non-secure, non-climate-controlled, or off-site facilities.
 - Stores that engage in the sale of industrial coatings, automotive paints, or other high-risk chemical products.
 - Businesses that operate in regions with frequent natural disasters and lack adequate risk mitigation measures.
 - Operations that do not provide or maintain up-to-date safety data sheets (SDS) for all hazardous products.
 - Retailers that allow public access to storage or mixing areas containing hazardous materials.

Restrictions (with Reasons)

- **Rule:** No coverage for businesses performing on-site painting, wallpaper installation, or contracting services. — These activities introduce higher liability and risk exposures outside the retail environment.
- **Rule:** Coverage is restricted to retail operations with primary sales of paint, wallpaper, and related supplies. — Focus must remain on retail sales to maintain acceptable risk profile.
- **Rule:** No coverage for businesses with significant storage of hazardous or flammable chemicals without compliant containment and ventilation. — Improper storage increases risk of fire, explosion, and regulatory violations.
- **Rule:** Businesses must comply with all applicable environmental, health, and safety regulations. — Non-compliance can result in fines, shutdowns, and increased liability.
- **Rule:** No coverage for operations with a history of significant regulatory violations or unresolved citations. — Past violations indicate ongoing risk and lack of proper controls.
- **Rule:** No coverage for stores located in residential zones or buildings lacking adequate fire suppression systems. — Residential locations and inadequate fire protection elevate risk of property and liability losses.
- **Rule:** No coverage for businesses offering equipment rental or leasing of heavy machinery for off-site use. — Equipment rental introduces additional liability and operational risks.
- **Rule:** No coverage for retailers primarily engaged in wholesale or distribution to other businesses. — Wholesale operations have different risk profiles and are outside the intended appetite.
- **Rule:** No coverage for businesses that do not provide staff with training on safe handling and disposal of hazardous materials. — Untrained staff increase the likelihood of accidents and regulatory breaches.
- **Rule:** No coverage for operations with public access to hazardous material storage or mixing areas. — Public access to hazardous areas increases the risk of injury and liability claims.
- **Rule:** No coverage for businesses that have experienced significant fire, chemical spill, or environmental contamination losses in the past five years. — Recent major losses indicate elevated ongoing risk.

Pet Stores & Pet Grooming (BT-0101)

Appetite Level: **Preferred**

Preferred

- Businesses with a minimum of three consecutive years in operation, demonstrating ongoing stability and experience.
- Operations with a clean claims history, showing no prior insurance claims related to property damage, liability, or animal injury.
- Staff members holding formal certifications or documented training in animal handling, grooming techniques, and safety protocols.
- Facilities equipped with secure animal enclosures to prevent escapes or injuries to animals and customers.
- Premises featuring non-slip flooring throughout all animal handling and grooming areas to reduce slip-and-fall risks.
- Businesses with properly installed and maintained fire prevention systems, including alarms and extinguishers.
- Pet stores and grooming salons serving only common domestic animals such as dogs, cats, and small mammals.
- Mobile grooming operations that maintain active commercial auto insurance and adhere to all local transportation safety regulations.
- Businesses that have established long-term relationships with reputable suppliers and maintain consistent inventory management practices.
- Operations with documented protocols for animal welfare, including regular cleaning schedules and health monitoring.
- Grooming salons that require customer appointments and maintain accurate records of all services provided.
- Businesses with no history of incidents involving aggressive or exotic animals.
- Facilities with adequate ventilation systems to ensure a safe and comfortable environment for animals and staff.
- Operations that regularly engage in staff safety training and emergency preparedness drills.
- Businesses that demonstrate risk management maturity through written policies and ongoing compliance with regulatory standards.

Acceptable

- Businesses with at least one year but less than three years of continuous operation and no significant claims history.
- Staff with on-the-job training in animal handling and grooming, even if formal certification is not present.

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- Facilities with basic animal enclosures and partial non-slip flooring, with plans for future upgrades.
 - Pet stores and grooming salons that primarily serve dogs and cats, with occasional small mammals.
 - Mobile grooming operations with commercial auto insurance but limited experience in mobile services.
 - Operations that have had minor, non-injury incidents involving animals but have implemented corrective actions.
 - Businesses that occasionally use temporary staff who have received basic safety orientation.
 - Facilities with fire prevention equipment present but lacking recent inspection documentation.
 - Operations that are in the process of formalizing vendor relationships and inventory management systems.
 - Businesses that have recently updated their animal welfare protocols to align with industry standards.
 - Grooming salons that accept walk-in customers but maintain a log of all services performed.
 - Facilities with adequate ventilation in most, but not all, animal handling areas.
 - Operations that have undergone recent ownership changes but retained experienced staff.
 - Businesses that participate in community events and marketing but have limited digital presence.
 - Pet stores that sell a limited selection of live animals, ensuring compliance with local regulations.

Not Acceptable

- Businesses with any history of insurance claims involving animal attacks, bites, or escapes resulting in injury.
- Operations handling aggressive or exotic animals, including reptiles, large birds, or wild species.
- Facilities lacking secure animal enclosures, allowing for potential animal escapes or customer contact.
- Premises without non-slip flooring in animal handling or grooming areas.
- Businesses operating without any fire prevention systems or with expired fire safety certifications.
- Staff without any documented training or experience in animal handling or grooming.
- Mobile grooming operations lacking commercial auto insurance or operating unlicensed vehicles.
- Pet stores or salons with a history of regulatory violations related to animal welfare or health and safety.
- Operations with repeated incidents involving animal injuries, customer complaints, or property damage.
- Facilities with poor ventilation, leading to unsafe conditions for animals or staff.
- Businesses that have been in operation for less than one year or have frequent ownership changes.

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- Operations that accept aggressive or exotic animals for grooming or boarding services.
 - Facilities with documented pest infestations or unsanitary conditions.
 - Businesses that do not maintain any vendor relationships or have inconsistent inventory practices.
 - Operations with a pattern of non-compliance with local, state, or federal regulations.

Restrictions (with Reasons)

- **Rule:** No coverage for businesses with any history of incidents involving aggressive or exotic animals. — Such incidents significantly increase liability and risk of severe injury or regulatory action.
- **Rule:** Minimum of three years in continuous operation required for preferred status. — Demonstrates business stability and reduces risk associated with new ventures.
- **Rule:** All staff must have documented training in animal handling, grooming, and safety protocols. — Proper training is essential to prevent animal injury and ensure safe operations.
- **Rule:** Facilities must have secure animal enclosures, non-slip flooring, and fire prevention systems. — These features are critical for the safety of animals, customers, and staff.
- **Rule:** Mobile grooming operations must maintain active commercial auto insurance. — Covers liability risks associated with transporting animals and operating vehicles.
- **Rule:** No acceptance of businesses with a history of regulatory violations or animal welfare complaints. — Regulatory non-compliance indicates poor risk management and potential for future claims.
- **Rule:** Pet stores and grooming salons may only serve common domestic animals (dogs, cats, small mammals). — Limiting to common domestic animals reduces unpredictability and risk.
- **Rule:** No coverage for businesses with less than one year in operation. — New businesses lack operational history and present higher risk.
- **Rule:** Facilities must maintain proper ventilation in all animal handling and grooming areas. — Ensures a safe and healthy environment for animals and staff.
- **Rule:** Businesses must have a clean claims history for preferred appetite. — A clean claims history is a strong indicator of effective risk management.

Photography Studios & Supplies (BT-0102)

Appetite Level: **Preferred**

Preferred

- Photography studios with total inventory valued at less than \$500,000, ensuring manageable operational risk.
- Businesses primarily engaged in portrait, event, commercial, or product photography using standard studio equipment.
- Studios operating from dedicated studio spaces in urban or suburban locations.
- Operations that do not use drones for aerial photography, reducing liability exposure.
- Studios that do not engage in chemical processing or use darkroom chemicals, minimizing hazardous material risks.
- Businesses with a structured client booking and project management process.
- Studios maintaining strong vendor relationships for equipment and supply sourcing.
- Operations adhering to all local business, zoning, and health and safety regulations.
- Studios offering ancillary services such as makeup and hairstyling as a supplement to core photography services.
- Businesses with standard staffing models, including lead photographers, assistants, and administrative staff.
- Studios utilizing digital editing software and standard post-production workflows.
- Operations with a focus on client satisfaction and quality service delivery.
- Studios that market services through portfolio showcases and social media engagement.
- Photography businesses that do not provide pet grooming or unrelated services.
- Studios that maintain up-to-date insurance and licensing as required by local authorities.

Acceptable

- Studios offering ancillary services such as makeup and hairstyling, provided these are secondary to photography.
- Photographers conducting global travel for shoots, contingent on securing appropriate international endorsements.
- Businesses with inventory valued near but not exceeding \$500,000, subject to underwriting review.
- Studios located in mixed-use or non-traditional spaces, provided primary operations remain photography-focused.
- Operations that experience seasonal fluctuations in demand, such as wedding or holiday photography.

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- Studios sourcing props and backdrops from specialty retailers to meet diverse client needs.
 - Businesses employing freelance or contract staff for specific projects or events.
 - Studios that occasionally rent additional equipment for large-scale shoots.
 - Operations that provide commercial photography for marketing or branding initiatives.
 - Studios offering digital-only services, such as online galleries or virtual consultations.
 - Businesses that travel domestically for on-location shoots, with proper documentation.
 - Studios that participate in community events or local partnerships to expand clientele.
 - Operations that maintain a documented equipment maintenance and safety protocol.
 - Studios that provide minor set construction or staging for product photography.
 - Businesses that utilize cloud-based storage for digital assets, ensuring data security.

Not Acceptable

- Studios with inventory valued over \$500,000, exceeding preferred operational scale.
- Operations involving the use of darkroom chemicals or chemical processing for film development.
- Businesses that utilize drones for aerial photography or videography.
- Studios offering pet grooming or animal care services as part of their operations.
- Operations where non-photography services constitute the majority of business activities.
- Studios that do not comply with local business licensing, zoning, or health and safety regulations.
- Businesses engaging in hazardous activities unrelated to standard photography practices.
- Studios that operate primarily as equipment rental facilities rather than service providers.
- Operations that do not maintain adequate insurance coverage for staff and clients.
- Studios that fail to secure necessary endorsements for international travel or shoots.
- Businesses that use non-standard or experimental equipment posing increased risk.
- Studios located in high-risk or unapproved locations, such as industrial zones.
- Operations that regularly handle hazardous materials or waste.
- Studios offering tattooing, piercing, or other personal services unrelated to photography.
- Businesses with a history of regulatory violations or insurance claims related to prohibited activities.

Restrictions (with Reasons)

- **Rule:** Inventory must not exceed \$500,000 in total value. — Higher inventory values increase exposure and complicate risk management.
- **Rule:** Use of drones for photography or videography is prohibited. — Drones introduce additional liability and are outside preferred underwriting appetite.

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- **Rule:** Chemical processing, including use of darkroom chemicals, is not allowed. — Chemical use increases health, safety, and environmental risks.
 - **Rule:** Pet grooming or animal care services are excluded from acceptable operations. — These services are unrelated to photography and present unique liability exposures.
 - **Rule:** Primary business focus must be on photography services. — Non-photography operations dilute risk profile and fall outside intended coverage.
 - **Rule:** Studios must comply with all local business, zoning, and health and safety regulations. — Regulatory compliance is essential for risk mitigation and legal operation.
 - **Rule:** Endorsements are required for any global travel related to photography shoots. — International operations introduce additional risks and regulatory requirements.
 - **Rule:** Ancillary services such as makeup and hairstyling must remain secondary to photography. — Ancillary services should support, not replace, the core business function.
 - **Rule:** Standard studio equipment must be used; experimental or hazardous equipment is not permitted. — Non-standard equipment can increase operational risk and is not within appetite.
 - **Rule:** Studios must maintain adequate insurance coverage for all staff and clients. — Insurance is necessary to protect against liability and operational losses.
 - **Rule:** Studios must not operate primarily as equipment rental businesses. — Primary focus should be on providing photography services, not equipment leasing.

Plumbing & HVAC Contractors (BT-0103)

Appetite Level: **Preferred**

Preferred

- Contractors specializing in residential and light commercial boiler and furnace installation and repair, as these environments present lower operational risks.
- Operations strictly limited to low- and medium-risk settings, avoiding high-risk job sites to minimize potential for severe claims.
- Businesses with a documented, proactive safety program that includes OSHA compliance and regular safety audits.
- Contractors maintaining a clean or minimal claims history, demonstrating effective risk management and incident prevention.
- Regular, documented employee training on safety, equipment use, and regulatory compliance, ensuring workforce competency.
- Routine, logged maintenance of all tools and specialized equipment, reducing risk of malfunction or injury.
- Installation of associated alarm systems, such as carbon monoxide detectors, provided all regulatory requirements are met.
- Use of subcontractors for specialized tasks only if they carry appropriate insurance and are bound by indemnification agreements.
- Provision of ancillary services directly related to boiler and furnace systems, such as thermostat installation or system inspections, when compliant with regulations.
- Chemical treatments for boilers performed in accordance with all applicable environmental and safety regulations.
- Businesses with established relationships with reputable vendors, ensuring timely access to quality materials and parts.
- Contractors who actively document and monitor risk management strategies, including regular review of safety practices.
- Clear, up-to-date documentation of all employee training, equipment maintenance, and safety procedures.
- Operations that do not involve any hazardous material handling or abatement activities.
- Contractors who demonstrate a clear understanding of, and adherence to, all local, state, and federal safety and building codes.

Acceptable

- Contractors who occasionally perform light commercial work, provided all activities remain within low- to medium-risk parameters.

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- Businesses with a minor, well-documented claims history that shows improvement and implementation of corrective actions.
 - Use of subcontractors for non-core tasks, provided they meet insurance and indemnification requirements and do not engage in high-risk activities.
 - Seasonal fluctuations in workload, as long as staffing and safety standards are maintained year-round.
 - Installation of air conditioning systems in addition to heating systems, provided all work is compliant with industry standards.
 - Provision of maintenance services for existing boiler and furnace systems, with proper documentation and regulatory compliance.
 - Limited use of specialized equipment, provided all operators are trained and maintenance is documented.
 - Contractors who provide emergency repair services, as long as safety protocols are strictly followed.
 - Businesses that have recently updated their safety programs and can demonstrate ongoing compliance.
 - Contractors who utilize third-party vendors for supply chain needs, provided vendor reliability is documented.
 - Operations that include installation of non-hazardous ancillary components, such as thermostats or standard piping.
 - Contractors who have undergone recent regulatory inspections and have addressed any minor deficiencies.
 - Businesses that have implemented new risk management strategies in response to past incidents.
 - Contractors who provide written documentation of all subcontractor agreements and insurance certificates.
 - Operations that occasionally require after-hours work, provided safety and supervision standards are maintained.

Not Acceptable

- Contractors involved in demolition, blasting, or any high-risk construction activities, due to elevated risk of severe injury or property damage.
- Any operations involving asbestos or lead paint abatement, or handling of hazardous materials, which present unacceptable health and liability risks.
- Businesses with a history of frequent or severe claims, indicating poor risk management or unsafe practices.
- Contractors operating in high-risk environments, such as industrial plants, refineries, or large-scale commercial projects.

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- Use of subcontractors who lack appropriate insurance coverage or are not bound by indemnification agreements.
 - Failure to maintain or document regular employee safety training and equipment maintenance.
 - Operations that do not comply with local, state, or federal safety and building regulations.
 - Contractors who do not have a formal, documented safety program in place.
 - Businesses that cannot provide evidence of a clean or improving claims history.
 - Provision of services unrelated to boiler, furnace, or HVAC systems, such as electrical, roofing, or structural work.
 - Installation or servicing of systems in environments with known hazardous exposures (e.g., chemical plants, waste facilities).
 - Contractors who do not document or monitor risk management strategies.
 - Use of unlicensed technicians or failure to verify employee credentials.
 - Businesses that do not maintain relationships with reputable vendors, leading to unreliable supply chains.
 - Any operation where subcontractors are permitted to engage in high-risk activities.

Restrictions (with Reasons)

- **Rule:** No demolition, blasting, or high-risk construction activities permitted. — These activities present unacceptable risks of severe injury and property damage.
- **Rule:** No asbestos, lead paint abatement, or hazardous material handling allowed. — Exposure to hazardous materials significantly increases health and liability risks.
- **Rule:** All subcontractors must carry appropriate insurance and be bound by indemnification agreements. — This ensures risk transfer and protects against third-party liability.
- **Rule:** Regular, documented employee training and equipment maintenance is mandatory. — Ongoing training and maintenance reduce the likelihood of accidents and equipment failure.
- **Rule:** A clean or minimal claims history is required to qualify. — A strong claims history demonstrates effective risk management and safety practices.
- **Rule:** Operations must be limited to residential and light commercial environments. — These settings present lower operational risks compared to industrial or large-scale commercial sites.
- **Rule:** No unlicensed technicians or employees may perform installation or repair work. — Licensing ensures competency and compliance with regulatory standards.
- **Rule:** All services must comply with local, state, and federal safety and building codes. — Regulatory compliance is essential to minimize legal and safety risks.
- **Rule:** No provision of unrelated services such as electrical, roofing, or structural work. — Limiting services to HVAC and plumbing reduces exposure to unfamiliar or higher-risk activities.
- **Rule:** No operations in high-risk environments such as industrial plants or hazardous sites. — These environments present elevated risks not aligned with the preferred risk profile.

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- **Rule:** Documentation of all safety practices, training, and maintenance must be maintained and available for review. — Proper documentation is necessary for compliance verification and risk assessment.

Post Office & Shipping Centers (BT-0104)

Appetite Level: **Limited**

Preferred

- Standalone post office and shipping centers with established carrier partnerships (e.g., USPS, UPS, FedEx) and a minimum of three years of continuous operation; demonstrates stable revenue and compliance with postal regulations.
- Shipping centers with robust inventory management systems and documented staff training programs in shipping logistics and customer service.
- Centers located in low-crime, high-traffic retail areas with security systems and clear emergency protocols.
- Businesses with a documented history of regulatory compliance, including adherence to USPS and carrier guidelines for prohibited items and hazardous materials.
- Centers offering self-service kiosks and digital shipping solutions, reducing manual handling and improving operational efficiency.
- Shipping centers with established relationships with reputable packaging and office supply vendors, ensuring consistent supply chain operations.
- Facilities with regular staff safety training and written procedures for handling suspicious or restricted packages.
- Centers that maintain clear separation between shipping operations and ancillary services (e.g., printing, copying) to minimize operational risk.
- Businesses with comprehensive insurance coverage for property, liability, and employee theft.
- Centers that utilize secure, tamper-evident packaging and tracking for all shipments.
- Operations with documented seasonal staffing plans and procedures for managing peak periods (e.g., holidays, tax season).

Acceptable

- Shipping centers operating as authorized shipping outlets for major carriers but with less than three years of operation.
- Businesses offering ancillary services such as printing, copying, and mailbox rentals alongside core shipping services.
- Centers located within multi-tenant retail spaces or strip malls, provided they have dedicated, secure shipping areas.
- Operations with part-time or seasonal staff, provided all employees receive documented training in shipping procedures and customer service.
- Centers that handle limited international shipping, with documented compliance with customs and export regulations.
- Businesses with a moderate volume of walk-in customers and basic security measures in place.

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- Shipping centers that partner with local businesses for promotional services, provided these do not introduce additional regulatory or operational risks.
 - Centers that utilize basic inventory management systems and maintain regular supply chain reviews.
 - Operations with a history of minor, resolved regulatory infractions but no ongoing compliance issues.
 - Centers that offer limited packing and shipping of specialty items (e.g., artwork, electronics) with appropriate handling protocols.
 - Businesses that adjust operating hours during peak seasons to accommodate increased customer demand.
 - Centers with basic insurance coverage and a plan to address identified coverage gaps.
 - Shipping centers that have recently upgraded equipment or technology but are still integrating new systems.
 - Operations with a mix of full-time and part-time staff and moderate employee turnover.
 - Centers that have undergone recent ownership changes but maintain continuity in operations and compliance.

Not Acceptable

- Shipping centers operating without required licenses or failing to comply with USPS, carrier, or local regulatory requirements.
- Businesses with a history of unresolved regulatory violations, fines, or investigations related to shipping or postal operations.
- Centers that accept or ship prohibited, hazardous, or illegal items without proper documentation or controls.
- Operations with inadequate security measures, such as lack of surveillance cameras, alarm systems, or secure package storage.
- Shipping centers located in high-crime areas with repeated incidents of theft, vandalism, or package loss.
- Businesses that primarily operate as internet cafes, pawn shops, or check-cashing services with incidental shipping activity.
- Centers with no documented staff training in shipping, safety, or customer service procedures.
- Operations with frequent staff turnover and no background checks for employees handling sensitive shipments.
- Shipping centers that sublet space to unrelated businesses or share facilities with high-risk tenants (e.g., adult entertainment, cannabis dispensaries).
- Businesses with ongoing litigation or insurance claims related to lost, stolen, or damaged shipments.

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- Centers that routinely ship internationally without proper customs documentation or export compliance.
 - Operations with poor inventory management, resulting in frequent supply shortages or lost packages.
 - Shipping centers that have experienced bankruptcy, foreclosure, or significant financial instability in the past two years.
 - Businesses that do not maintain adequate insurance for property, liability, or employee dishonesty.
 - Centers that have received repeated customer complaints regarding fraud, package tampering, or privacy violations.

Restrictions (with Reasons)

- **Rule:** No acceptance of businesses operating without all required federal, state, and local licenses. — Licensing is essential for legal operation and regulatory compliance.
- **Rule:** No shipping centers with unresolved regulatory violations or ongoing investigations. — Active violations indicate elevated compliance and reputational risk.
- **Rule:** No acceptance of centers located in high-crime areas or with repeated incidents of theft or vandalism. — High-crime locations increase the risk of loss, liability, and insurance claims.
- **Rule:** No businesses that accept or ship prohibited, hazardous, or illegal items without proper controls. — Handling restricted items without controls exposes the business to legal and safety risks.
- **Rule:** No operations that lack documented staff training in shipping, safety, and customer service. — Untrained staff increase the likelihood of errors, accidents, and regulatory breaches.
- **Rule:** No centers with inadequate security measures, such as lack of surveillance or secure storage. — Security lapses heighten the risk of theft, fraud, and customer dissatisfaction.
- **Rule:** No businesses with ongoing litigation or insurance claims related to shipping losses or fraud. — Active legal or insurance issues signal unresolved operational risks.
- **Rule:** No acceptance of centers that sublet space to unrelated or high-risk businesses. — Shared or sublet spaces can introduce uncontrolled risks and regulatory complications.
- **Rule:** No operations with poor inventory management or frequent supply shortages. — Inventory issues can disrupt service and damage customer trust.
- **Rule:** No businesses that have experienced bankruptcy or foreclosure within the past two years. — Recent financial instability increases the risk of business interruption.

Printing & Copying Services (BT-0105)

Appetite Level: **Acceptable**

Preferred

- Businesses with documented preventive maintenance schedules and repair logs for all printing and copying equipment, ensuring regular inspections by qualified technicians.
- Operations with comprehensive employee training programs on equipment use, hazardous material handling, and safety protocols, with training records available for review.
- Locations with properly installed and maintained ventilation systems to control exposure to volatile organic compounds (VOCs) from inks and solvents.
- Businesses that maintain up-to-date cyber liability insurance and have implemented robust cybersecurity measures, including firewalls and encrypted customer data storage.
- Printing services that utilize modern, well-maintained equipment less than 10 years old, with no history of major breakdowns or fire incidents.
- Operations with established business continuity and disaster recovery plans, including procedures for cyber incidents and equipment failures.
- Businesses with a strong claims history, demonstrating minimal or no prior insurance claims related to property, liability, or cyber events.
- Companies that verify and document compliance with all applicable environmental regulations, including proper disposal of hazardous waste and VOC management.
- Businesses that limit high-risk printing processes, such as solvent-based large-format printing, to designated, well-ventilated areas with appropriate safety controls.
- Operations that maintain adequate general liability and transportation coverage, reflecting the scale and nature of their delivery services.
- Businesses with secure, web-based ordering systems that are regularly tested for vulnerabilities and have incident response protocols in place.
- Companies that maintain strong relationships with reputable vendors and suppliers, ensuring consistent quality and timely delivery of raw materials.
- Locations with clear separation between office and production areas, reducing cross-contamination and improving workplace safety.
- Businesses that conduct regular risk assessments to identify and mitigate operational hazards, with documentation available for underwriting review.
- Operations that maintain financial stability, as evidenced by positive cash flow and sufficient reserves to manage business interruptions.

Acceptable

- Businesses with partial documentation of equipment maintenance and repair, but with evidence of recent inspections by qualified personnel.

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- Operations where employee safety training is conducted annually, but records may be incomplete or not fully up to date.
 - Locations with basic ventilation systems in place, though not recently upgraded, but with no reported incidents of VOC overexposure.
 - Printing services using equipment between 10 and 15 years old, provided maintenance is current and no major breakdowns have occurred in the past three years.
 - Businesses with a moderate claims history, such as one or two minor property or liability claims within the last five years.
 - Companies that have implemented some cybersecurity measures, such as password protection and antivirus software, but lack a formal incident response plan.
 - Operations that handle hazardous materials in compliance with local regulations, though documentation may be limited or require updating.
 - Businesses with general liability and transportation coverage that meets minimum regulatory requirements, but may not fully reflect operational risks.
 - Locations where environmental compliance is verified through periodic inspections, but some minor deficiencies have been noted and are being addressed.
 - Printing services that offer a mix of digital and offset printing, with solvent-based processes limited to less than 20% of total production.
 - Operations that have experienced occasional equipment downtime, but have demonstrated prompt response and repairs to minimize business interruption.
 - Businesses with web-based ordering systems that are password-protected, but have not undergone recent vulnerability testing.
 - Companies that source raw materials from multiple vendors, with some variability in delivery times but no significant supply chain disruptions.
 - Locations with shared office and production spaces, provided safety barriers and protocols are in place to minimize risks.
 - Businesses that conduct informal risk assessments, with plans to formalize procedures within the next policy period.

Not Acceptable

- Businesses with no documented preventive maintenance or repair schedules for printing and copying equipment, or with a history of frequent equipment breakdowns.
- Operations lacking employee training on hazardous material handling, equipment use, or safety protocols, or with evidence of repeated safety violations.
- Locations with inadequate or non-functional ventilation systems, resulting in uncontrolled exposure to VOCs or other hazardous substances.
- Printing services using equipment older than 20 years, especially if maintenance is irregular or records are unavailable.

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- Businesses with a history of multiple or severe insurance claims, including property damage, fire, or significant liability incidents within the past three years.
 - Companies that do not carry cyber liability insurance despite accepting online orders or storing customer data electronically.
 - Operations that have experienced recent regulatory fines or citations for environmental non-compliance, hazardous waste mismanagement, or improper disposal of chemicals.
 - Businesses that regularly engage in high-risk printing processes, such as large-scale solvent-based printing, without adequate safety controls or designated areas.
 - Locations with no separation between office and production areas, leading to increased risk of cross-contamination and workplace accidents.
 - Printing services that lack general liability or transportation coverage, or whose coverage limits are insufficient for their operational scale.
 - Businesses with no business continuity or disaster recovery plans in place, particularly for cyber incidents or equipment failures.
 - Operations with a history of data breaches, cyber-attacks, or customer information compromise, especially if corrective actions have not been implemented.
 - Companies that fail to conduct risk assessments or address identified hazards, resulting in ongoing unsafe conditions.
 - Businesses with significant financial instability, such as negative cash flow or inability to cover operational expenses.
 - Locations in jurisdictions with known high regulatory risk or where local laws prohibit certain printing processes relevant to the business.

Restrictions (with Reasons)

- **Rule:** Coverage is restricted for businesses with equipment older than 15 years unless maintenance records demonstrate exceptional upkeep. — Older equipment poses increased risk of breakdown and fire, impacting insurability.
- **Rule:** Cyber liability coverage is mandatory for any business accepting online orders or storing customer data electronically. — Web-based operations are at elevated risk for data breaches and cyber-attacks.
- **Rule:** Businesses must provide documentation of employee training on hazardous material handling and equipment use. — Proper training reduces workplace accidents and regulatory violations.
- **Rule:** Operations must maintain adequate ventilation and PPE for employees working with inks, solvents, or other hazardous materials. — Mitigates occupational health risks from VOC exposure.
- **Rule:** Coverage may be limited or excluded for businesses with a history of frequent or severe insurance claims. — Poor claims history indicates higher future risk.

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- **Rule:** General liability and transportation coverage must reflect the scale and nature of delivery operations. — Delivery and transportation introduce unique liability exposures.
 - **Rule:** Environmental compliance must be verified through inspection reports or regulatory documentation. — Non-compliance can result in fines, shutdowns, and increased liability.
 - **Rule:** Coverage is not available for businesses with unresolved regulatory violations or outstanding fines related to environmental or safety standards. — Ongoing violations indicate unacceptable risk.
 - **Rule:** Business continuity and disaster recovery plans are required for operations with significant reliance on technology or web-based ordering. — Ensures resilience in the event of cyber incidents or equipment failure.
 - **Rule:** Coverage may be restricted for businesses engaging in high-risk printing processes without adequate safety controls or designated areas. — Certain printing methods increase fire and health hazards.

Real Estate Agencies (BT-0106)

Appetite Level: **Acceptable**

Preferred

- Agencies specializing in residential property sales with a clean claims history and robust risk management procedures in place.
- Firms operating exclusively as intermediaries in property transactions without involvement in property development or construction management.
- Agencies with well-documented compliance programs addressing fair housing, anti-discrimination, and licensing requirements.
- Businesses utilizing advanced technology for transaction management, client communications, and data security.
- Agencies maintaining strong, long-term relationships with reputable vendors such as title companies, mortgage lenders, and appraisers.
- Firms with experienced, licensed agents and a proven track record of successful property transactions.
- Agencies that provide detailed disclosures and documentation for all transactions, minimizing the risk of misrepresentation.
- Businesses with a stable financial background and positive credit history.
- Agencies that regularly train staff on regulatory compliance and risk mitigation best practices.
- Firms with a diversified client base, including first-time homebuyers and seasoned investors, but not specializing in high-risk or volatile markets.
- Agencies that have never been subject to regulatory penalties or significant litigation.
- Businesses with comprehensive insurance coverage, including professional liability and errors & omissions policies.
- Agencies that demonstrate proactive claims management and loss prevention strategies.
- Firms that operate in stable geographic markets with low incidence of property-related disputes.
- Agencies that can provide detailed operational and risk management documentation upon request.

Acceptable

- Agencies handling wholesale or bulk property transactions with robust insurance controls and risk management.
- Firms with a moderate claims history but evidence of improved risk management and compliance practices.
- Agencies operating in both residential and commercial markets, provided they do not engage in property development or active property management.

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- Businesses that have implemented basic technology solutions for client and transaction management.
 - Agencies with some exposure to high-value transactions, provided specialized coverage is in place.
 - Firms that have experienced minor regulatory issues but have since addressed compliance gaps.
 - Agencies that occasionally handle transactions in volatile markets but maintain strong risk controls.
 - Businesses with a mix of commission-based agents and administrative staff, provided roles and responsibilities are clearly defined.
 - Agencies that rely on third-party vendors for ancillary services, with proper vendor management protocols.
 - Firms that have experienced isolated tenant disputes but have effective dispute resolution procedures.
 - Agencies that provide limited property management services as an incidental part of their business, not as a core offering.
 - Businesses that have experienced minor losses or claims but have demonstrated corrective action.
 - Agencies with a moderate volume of transactions and adequate documentation practices.
 - Firms that are expanding into new markets but have a documented risk assessment plan.
 - Agencies that use standard BOP coverage but supplement with additional endorsements for unique exposures.

Not Acceptable

- Agencies involved in property development, construction management, or active property management as a primary business activity.
- Businesses primarily engaged in unrelated industries such as auto dealerships, bars, nightclubs, or gyms, even if they have real estate interests.
- Agencies with a history of significant claims, litigation, or regulatory penalties related to misrepresentation or transaction errors.
- Firms with inadequate or nonexistent risk management and compliance procedures.
- Agencies that routinely handle high-risk properties, such as those in flood zones, high-crime areas, or with known structural defects.
- Businesses with poor financial stability, negative credit history, or ongoing bankruptcy proceedings.
- Agencies that fail to disclose prior losses, claims, or regulatory investigations.
- Firms that provide construction, renovation, or maintenance services as part of their core operations.

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- Agencies with a high volume of tenant disputes or unresolved legal claims.
 - Businesses that do not comply with local, state, or federal real estate regulations.
 - Agencies with inadequate insurance coverage, particularly lacking professional liability or errors & omissions policies.
 - Firms that do not use technology to manage transactions, client data, or risk exposures.
 - Agencies operating in markets with extreme volatility or frequent regulatory changes without adequate risk controls.
 - Businesses that cannot provide detailed operational or risk management documentation when requested.
 - Agencies with a pattern of misstatements, misrepresentations, or fraudulent activity in property transactions.

Restrictions (with Reasons)

- **Rule:** Coverage is not available for agencies engaged in property development, construction management, or active property management. — These activities present higher liability risks and are outside the standard appetite for real estate agency coverage.
- **Rule:** Agencies must maintain current licensing and demonstrate compliance with all applicable real estate laws and regulations. — Regulatory non-compliance can result in significant legal liabilities and claims.
- **Rule:** Businesses primarily engaged in unrelated industries, such as auto dealerships, bars, nightclubs, or gyms, are not eligible for coverage. — These businesses have risk profiles and exposures that differ significantly from real estate agencies.
- **Rule:** Agencies must disclose all prior losses, claims, and regulatory actions related to property transactions. — Undisclosed claims or regulatory issues may indicate higher future risk and impact underwriting decisions.
- **Rule:** Coverage may be restricted or declined for agencies with a history of frequent claims, litigation, or unresolved tenant disputes. — A pattern of claims or disputes suggests inadequate risk management and higher exposure to future losses.
- **Rule:** Agencies must have adequate professional liability and errors & omissions insurance in place. — These coverages are essential to address the unique exposures of real estate transactions, such as misrepresentation or transaction errors.
- **Rule:** Coverage may be limited for agencies with significant exposure to high-risk properties or volatile markets. — Properties in high-risk areas or unstable markets increase the likelihood of claims and losses.
- **Rule:** Agencies must provide detailed information on operational practices, risk management strategies, and vendor relationships. — Comprehensive documentation is necessary to assess risk and ensure appropriate coverage.
- **Rule:** Agencies with inadequate financial stability or poor credit history may be subject to additional underwriting scrutiny or coverage restrictions. — Financial instability increases the risk of business failure and unpaid claims.

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- **Rule:** Standard BOP coverage is not sufficient for agencies involved in property development or management; specialized coverage is required. — These activities present unique risks not addressed by standard business owner policies.

Restaurants (Various Types: Full Service, Limited Service, Fast Food) (BT-0107)

Appetite Level: **Preferred**

Preferred

- Quick-service or fast casual restaurants with tray or self-service models and no bar area, as these reduce liquor liability and slip-and-fall exposures.
- Physical premises with a total floor area of 7,500 square feet or less, minimizing the risk of large-scale claims.
- Seating capacity not exceeding 150 customers, which limits crowd-related hazards.
- Alcohol sales limited to beer and wine only, with no liquor or spirits, reducing the potential for high-risk alcohol-related incidents.
- Quick-service restaurants where alcohol sales do not exceed 25% of total sales, maintaining a manageable risk profile.
- Full-service family restaurants where alcohol sales are limited to 30% of total revenue, ensuring food remains the primary focus.
- No bar or cocktail lounge present on the premises, which lowers the risk of liquor liability.
- Operations that maintain year-round business with no seasonal closures exceeding 30 consecutive days, ensuring consistent risk exposure.
- Quick-service restaurants with limited cooking appliances and processes that produce grease-laden vapors, provided proper ventilation and fire suppression systems are in place.
- Establishments with a diverse but moderate-sized staff, reducing the risk of employment-related claims.
- Food service focused primarily on on-premises consumption, with food away from premises not exceeding 10% of total sales.
- Vendors and suppliers are reputable and provide timely delivery of ingredients and supplies, supporting operational consistency.
- Establishments with a manageable risk profile and no history of significant claims or regulatory violations.
- Quick-service restaurants with no table service, which streamlines operations and reduces liability exposures.
- Full-service family restaurants serving beer and wine only with meals, further limiting liquor liability.

Acceptable

- Full-service family restaurants with alcohol sales between 25% and 30% of total revenue, provided alcohol is limited to beer and wine served with meals.

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- Limited-service restaurants with minimal table service, provided no bar area is present and alcohol sales are within acceptable limits.
 - Quick-service restaurants with minor off-premises food sales, as long as it does not exceed 10% of total sales.
 - Restaurants with slightly higher seating capacity (up to 150) if all other risk factors are well controlled.
 - Establishments with minor seasonal fluctuations in business, provided there are no closures exceeding 30 consecutive days.
 - Quick-service restaurants utilizing limited cooking appliances that produce some grease-laden vapors, provided all fire safety measures are in place.
 - Operations with moderate alcohol service, provided strict adherence to regulatory requirements and staff training on responsible service.
 - Restaurants located in mixed-use developments, as long as they maintain a focus on food service and comply with all other guidelines.
 - Establishments combining light food preparation with ancillary services (such as catering), provided these services are minor and do not increase overall risk.
 - Restaurants with a history of minor claims, provided corrective actions have been implemented and risk management practices are in place.
 - Operations with moderate staff turnover, provided adequate training and supervision are maintained.
 - Restaurants with some delivery or takeout services, as long as these do not exceed 10% of total sales and proper food safety protocols are followed.
 - Full-service restaurants with a small, separate area for beer and wine storage, provided no bar or lounge is present.
 - Quick-service restaurants with extended hours, provided security and lighting are adequate.
 - Establishments with minor renovations or expansions, as long as they remain within the 7,500 sq ft and 150-seat limits.

Not Acceptable

- Restaurants with a bar or cocktail lounge, as these significantly increase liquor liability exposure.
- Establishments where alcohol sales exceed 25% of total sales for quick-service or 30% for full-service family restaurants.
- Operations selling liquor or spirits beyond beer and wine, due to higher risk of alcohol-related incidents.
- Restaurants with a total floor area exceeding 7,500 square feet, increasing the potential for large-scale claims.
- Seating capacity greater than 150 customers, which raises crowd management and safety concerns.

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- Seasonal operations that close for more than 30 consecutive days, leading to inconsistent risk exposure.
 - Quick-service restaurants offering table service, which is outside the preferred operational model.
 - Establishments where food away from the insured's premises exceeds 10% of total sales, increasing delivery-related risks.
 - Restaurants with a history of significant claims, regulatory violations, or poor risk management practices.
 - Operations with high staff turnover and inadequate training, increasing the likelihood of employment-related claims.
 - Restaurants with inadequate fire suppression or ventilation systems in kitchens producing grease-laden vapors.
 - Establishments with a primary focus on alcohol sales rather than food service.
 - Quick-service restaurants with any bar area or lounge, regardless of alcohol sales percentage.
 - Operations with unlicensed or unregulated alcohol service, violating legal requirements.
 - Restaurants combining high-risk entertainment (such as live music or dancing) with food service, increasing liability exposures.

Restrictions (with Reasons)

- **Rule:** Alcohol sales must be limited to beer and wine only, with no liquor or spirits permitted. — Liquor and spirits increase liquor liability exposure and are not within the preferred risk profile.
- **Rule:** Alcohol sales in quick-service restaurants must not exceed 25% of total sales. — Higher alcohol sales increase the risk of alcohol-related incidents and claims.
- **Rule:** Alcohol sales in full-service family restaurants must not exceed 30% of total revenue. — Maintaining a food-focused operation reduces liquor liability exposure.
- **Rule:** No bar or cocktail lounge is permitted in quick-service restaurants. — Bar areas significantly increase liquor liability and slip-and-fall risks.
- **Rule:** Physical premises must not exceed 7,500 square feet in total floor area. — Larger venues present greater risks for large-scale incidents and claims.
- **Rule:** Seating capacity must not exceed 150 customers. — Higher capacity increases crowd management and safety concerns.
- **Rule:** No seasonal operations are allowed; establishments cannot be closed for more than 30 consecutive days. — Seasonal closures lead to inconsistent risk exposure and complicate coverage.
- **Rule:** Food away from the insured's premises must not exceed 10% of total sales. — Higher off-premises sales increase delivery and food safety risks.
- **Rule:** Quick-service restaurants must not have any table service. — Table service changes the operational model and increases liability exposures.

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- **Rule:** Establishments must maintain a focus on food service to qualify for coverage. — Operations primarily focused on alcohol or ancillary services are outside the preferred risk appetite.
 - **Rule:** Quick-service restaurants must have a manageable risk profile and no history of significant claims. — Past claims indicate higher ongoing risk and poor management practices.
 - **Rule:** All cooking appliances producing grease-laden vapors must have proper fire suppression and ventilation systems. — Inadequate fire safety measures increase the risk of fire-related losses.

Self Storage Facilities (BT-0108)

Appetite Level: **Acceptable**

Preferred

- Facilities with secure, controlled access systems including electronic gate entry and 24/7 surveillance cameras, ensuring robust security for stored items.
- Single-story or two-story self-storage facilities with enhanced fire suppression systems compliant with NFPA standards.
- Facilities that maintain strict documentation of all portable storage unit contents on-site, supporting transparency and regulatory compliance.
- Operations that prohibit storage of flammable, explosive, or toxic substances, reducing fire and contamination risks.
- Facilities with on-site or contracted security personnel present during all hours of operation to deter theft and vandalism.
- Self-storage businesses that offer climate-controlled units for sensitive items, provided all fire safety and building codes are met.
- Facilities that sell packing supplies (boxes, tape, protective materials) as a secondary retail operation, supporting customer needs.
- Facilities that maintain regular unit inspections and cleaning schedules, ensuring cleanliness and safety.
- Operations that utilize online platforms for customer interaction, payments, and rental agreements, improving efficiency and recordkeeping.
- Facilities that comply with all local zoning and building regulations, including restrictions on building height and materials stored.
- Facilities that do not permit cold storage or storage of industrial materials, chemicals, pollutants, or waste.
- Facilities that only allow limited quantities of household chemicals or small flammable liquids with proper endorsements and regulatory compliance.
- Facilities that have established relationships with reputable security system providers and maintenance contractors.
- Facilities that provide portable storage units on-site for less than or equal to 90 days, with full documentation and adherence to fire safety protocols.
- Facilities that maintain continuous (24/7) surveillance system operation, ensuring ongoing monitoring of premises.

Acceptable

- Facilities with portable storage units on-site for more than 90 days, provided specialized endorsements and risk mitigation measures are in place.

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- Multi-story (up to two stories) self-storage facilities with enhanced fire suppression systems and full compliance with local building codes.
 - Facilities that allow limited quantities of hazardous materials (such as household chemicals) with proper documentation, endorsements, and adherence to all regulations.
 - Facilities that contract out security personnel rather than employing them directly, as long as security coverage is continuous.
 - Facilities that experience seasonal fluctuations in occupancy and implement promotional offers during off-peak times to maintain business.
 - Facilities that provide storage solutions for contractors and small businesses, provided all storage is non-hazardous and compliant with regulations.
 - Facilities that utilize electronic access systems for customer entry and exit, with regular audits of access logs.
 - Facilities that maintain a retail area for packing supplies as a minor portion of their business operations.
 - Facilities that use portable storage units for temporary overflow, with strict adherence to fire safety and documentation protocols.
 - Facilities that maintain compliance with NFPA Standard #96 for any applicable operations.
 - Facilities that employ maintenance staff for routine repairs and cleaning, ensuring operational efficiency.
 - Facilities that maintain up-to-date records of customer contracts and storage unit assignments.
 - Facilities that have implemented risk mitigation measures for extended portable storage unit use.
 - Facilities that do not exceed two stories in height, with no limitation on floor area.
 - Facilities that provide storage for students, residential customers, and small businesses, excluding prohibited materials.

Not Acceptable

- Facilities that permit storage of flammable, explosive, or toxic substances without proper endorsements or in violation of regulations.
- Facilities that allow cold storage or storage of industrial materials, chemicals, pollutants, or waste.
- Facilities that exceed two stories in height, regardless of fire suppression systems.
- Facilities that lack controlled access systems or do not operate surveillance cameras continuously (24/7).
- Facilities that do not maintain documentation of portable storage unit contents on-site.
- Facilities that allow portable storage units to remain on-site for more than 90 days without specialized endorsements and risk mitigation.
- Facilities that do not comply with local building codes or zoning regulations.
- Facilities that do not have enhanced fire suppression systems in multi-story buildings.

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- Facilities that lack on-site or contracted security personnel for secure premises.
 - Facilities that permit dancing, live entertainment, or any activities beyond incidental music.
 - Facilities that do not comply with NFPA Standard #96 where applicable.
 - Facilities that do not adhere to fire safety protocols for portable storage units.
 - Facilities that allow storage of hazardous materials without proper endorsements and regulatory compliance.
 - Facilities that do not maintain regular unit inspections or cleaning schedules.
 - Facilities that do not comply with all regulatory requirements for storage practices.

Restrictions (with Reasons)

- **Rule:** No storage of flammable, explosive, or toxic substances without proper endorsements. — Reduces risk of fire, explosion, and environmental contamination.
- **Rule:** Self-storage facilities must not exceed two stories in height. — Limits fire and life safety risks in multi-story buildings.
- **Rule:** Portable storage units allowed on-site for 90 days or less with documentation and fire safety compliance. — Limits risk associated with temporary storage and ensures regulatory oversight.
- **Rule:** Portable storage units on-site for more than 90 days require specialized endorsements and risk mitigation. — Extended use increases risk and requires additional controls.
- **Rule:** No cold storage or storage of industrial materials, chemicals, pollutants, or waste is permitted. — Prevents high-risk and ineligible storage types.
- **Rule:** Continuous (24/7) surveillance systems and controlled access must be maintained. — Ensures ongoing security and monitoring of premises.
- **Rule:** On-site or contracted security personnel are required for secure premises. — Deters theft, vandalism, and unauthorized access.
- **Rule:** Enhanced fire suppression systems are mandatory for multi-story facilities. — Mitigates fire risk in larger buildings.
- **Rule:** Strict adherence to fire safety protocols for all portable storage units. — Reduces risk of fire and ensures compliance with regulations.
- **Rule:** Documentation of contents is required for all portable storage units on-site. — Supports transparency and regulatory compliance.
- **Rule:** No dancing or live entertainment (other than incidental music) is permitted. — Limits liability and maintains business eligibility.
- **Rule:** Compliance with local building codes and NFPA standards is required. — Ensures legal operation and safety of the facility.

Shoe Stores & Repair (BT-0109)

Appetite Level: **Preferred**

Preferred

- Businesses with stable and verifiable financial statements demonstrating consistent revenue and expense management.
- Fixed-location shoe stores with well-maintained, clean, and organized premises that meet or exceed local safety codes.
- Shoe repair shops employing skilled technicians or cobblers with documented training and experience.
- Operations with a documented strong safety record, showing minimal or no slip-and-fall incidents or workplace injuries over the past three years.
- Retailers and repair shops that do not engage in equipment rental or leasing as part of their business model.
- Mobile shoe repair services operating exclusively with properly insured commercial vehicles and drivers with clean driving records.
- Businesses that maintain up-to-date inventory management systems and regularly review stock to match seasonal demand.
- Operations that have implemented corrective measures following any moderate claims history, with evidence of improved safety protocols.
- Shoe stores and repair shops sourcing inventory and materials from reputable, established vendors or suppliers.
- Businesses with clear, documented policies for customer service, returns, and complaint resolution.
- Retailers and repair shops that actively participate in local advertising, social media, or community events to attract and retain customers.
- Mobile repair services that comply with all geographic service area restrictions and local licensing requirements.
- Shoe repair operations using only non-hazardous materials and standard, low-risk equipment for repairs.
- Businesses with regular staff safety training and compliance checks documented annually.
- Operations with no history of regulatory violations, fines, or unresolved safety code infractions.

Acceptable

- Shoe stores or repair shops with moderate claims history, provided that documented corrective actions have been taken.
- Mobile shoe repair services with minor past insurance lapses, now fully compliant and properly insured.

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- Businesses with minor, resolved safety code violations and evidence of ongoing compliance.
 - Retailers with older premises that have undergone recent renovations to address safety and accessibility.
 - Operations with limited marketing or community engagement but strong customer retention and satisfaction metrics.
 - Repair shops using basic adhesives and materials, provided all substances are stored and handled according to safety guidelines.
 - Businesses with part-time or seasonal staff, provided all employees receive adequate safety and operational training.
 - Retailers or repair shops with a small number of customer complaints, all of which have been resolved satisfactorily.
 - Mobile services operating in multiple jurisdictions, provided all necessary permits and insurance are in place.
 - Shoe stores with limited display space but effective inventory management and customer service practices.
 - Repair shops with a single skilled technician, provided there is a documented backup plan for coverage during absences.
 - Businesses sourcing materials from a mix of local and national suppliers, with no supply chain disruptions in the past year.
 - Operations with minor, non-recurring workplace injuries that have resulted in updated safety protocols.
 - Retailers or repair shops with moderate seasonal fluctuations in revenue, but stable year-over-year financials.
 - Businesses with a recent change in ownership, provided there is continuity in safety and operational procedures.

Not Acceptable

- Businesses engaged in equipment rental or leasing as a primary or secondary business activity.
- Shoe repair operations using hazardous chemicals, solvents, or high-risk machinery not suitable for small-scale operations.
- Mobile repair services operating without proper commercial vehicle insurance or with a history of uninsured incidents.
- Retailers or repair shops with unresolved or repeated safety code violations or regulatory fines.
- Businesses with a history of frequent slip-and-fall incidents or workplace injuries without evidence of corrective action.
- Operations with unverified or incomplete financial records, or evidence of financial instability.
- Shoe stores or repair shops located in premises with significant structural issues or ongoing maintenance problems.

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- Mobile services operating outside of permitted geographic service areas or without required local licenses.
 - Businesses with ongoing or unresolved customer complaints related to safety, service, or product quality.
 - Repair shops using industrial-grade equipment or materials classified as hazardous by local or federal regulations.
 - Retailers or repair shops with a pattern of insurance claims indicating poor risk management or unsafe practices.
 - Operations with no documented staff training or safety protocols in place.
 - Businesses with a history of supply chain disruptions leading to frequent inventory shortages or customer dissatisfaction.
 - Shoe stores or repair shops sharing premises with unrelated high-risk businesses (e.g., auto repair, chemical processing).
 - Operations that have been subject to regulatory shutdowns, license revocations, or legal actions related to safety or compliance.

Restrictions (with Reasons)

- **Rule:** No businesses engaged in equipment rental or leasing are permitted. — Equipment rental or leasing introduces additional liability and operational risks outside the scope of standard shoe retail or repair.
- **Rule:** All fixed-location premises must be well-maintained and compliant with local safety codes. — Poorly maintained premises increase the risk of accidents and regulatory violations.
- **Rule:** Mobile shoe repair services must operate only with properly insured commercial vehicles. — Uninsured vehicles present significant liability exposure in the event of accidents or claims.
- **Rule:** Mobile services must comply with all geographic service area restrictions and local licensing requirements. — Operating outside permitted areas or without proper licenses can result in legal and regulatory penalties.
- **Rule:** Small-scale shoe repair operations must not use hazardous materials or high-risk equipment. — Hazardous materials and high-risk equipment elevate the potential for workplace injuries and environmental hazards.
- **Rule:** Businesses must maintain a documented strong safety record with minimal or no slip-and-fall incidents or workplace injuries. — A poor safety record indicates inadequate risk management and increases the likelihood of future claims.
- **Rule:** Moderate claims history is only acceptable if corrective measures have been implemented and documented. — Corrective actions demonstrate a commitment to improving safety and reducing future risk.
- **Rule:** All staff must receive regular safety and operational training, with records maintained annually. — Ongoing training reduces the risk of accidents and ensures compliance with best practices.

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- **Rule:** Businesses must have verifiable financials and demonstrate financial stability. — Financial instability increases the risk of business failure and associated insurance claims.
 - **Rule:** No unresolved or repeated regulatory violations or safety code infractions are permitted. — Ongoing non-compliance indicates systemic issues and heightened risk exposure.

Shopping Centers & Strip Malls (BT-0110)

Appetite Level: **Preferred**

Preferred

- Properties with a tenant mix consisting primarily of low-risk businesses such as professional offices, boutique retail stores, and service-oriented businesses, as these tenants present lower liability and property risk.
- Shopping centers anchored by pharmacies, coffee shops, or small accounting firms, which typically generate steady foot traffic and have a stable business model.
- Buildings with up-to-date fire suppression systems, including sprinklers and fire alarms, to mitigate fire risk.
- Properties with comprehensive security measures, such as security cameras, alarm systems, and adequate exterior and interior lighting, to deter crime and vandalism.
- Centers with a clean claims history, showing no or minimal prior losses, indicating effective risk management and maintenance practices.
- Properties located in areas with low crime rates, reducing the likelihood of theft, vandalism, and liability claims.
- Well-maintained buildings with regular maintenance schedules and documented repairs, ensuring property condition is consistently high.
- Properties with adequate and well-marked parking facilities, minimizing slip-and-fall exposures and improving customer safety.
- Centers that comply fully with all local safety regulations and building codes, including ADA accessibility requirements.
- Properties with stable, long-term tenants under clear lease agreements, reducing turnover and vacancy risk.
- Shopping centers that have undergone recent renovations or upgrades to address aging infrastructure and improve safety features.
- Properties with no history of environmental hazards or contamination, reducing potential liability and cleanup costs.
- Centers with amenities such as parks or playgrounds that are well-maintained and regularly inspected for safety.
- Properties with effective tenant screening and lease management processes in place, ensuring a consistent risk profile.
- Centers located in economically stable areas with strong consumer demand, supporting tenant viability and occupancy rates.

Acceptable

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- Properties with a broader tenant mix, including some moderate-risk businesses such as small restaurants or fitness studios, provided overall risk remains reasonable.
 - Centers with minor prior claims that have been fully remediated and have implemented corrective actions to prevent recurrence.
 - Buildings with older safety systems that are functional but scheduled for upgrades within a defined timeframe.
 - Properties located in areas with moderate crime rates but with enhanced security measures in place.
 - Centers with a mix of short-term and long-term tenants, provided vacancy rates are low and lease terms are stable.
 - Properties with minor deferred maintenance issues that are documented and scheduled for repair.
 - Centers with public parking availability that meets local standards, even if not exclusively dedicated to the property.
 - Properties with some exposure to environmental hazards that have been assessed and mitigated according to regulatory requirements.
 - Centers with amenities such as playgrounds or parks that have documented safety inspections and maintenance logs.
 - Properties with a limited history of slip-and-fall claims, provided risk mitigation measures have been implemented.
 - Centers in areas experiencing moderate economic fluctuation but with a history of stable occupancy.
 - Properties with tenants in higher-risk categories (e.g., small restaurants) that have strong safety protocols and loss control measures.
 - Centers with older buildings that have been partially renovated to address key safety and structural concerns.
 - Properties that are in compliance with most, but not all, local codes, with a documented plan to achieve full compliance.
 - Centers with a history of minor vandalism incidents that have been addressed through improved security.

Not Acceptable

- Properties with a tenant mix dominated by high-risk businesses such as nightclubs, bars, cannabis dispensaries, or adult entertainment venues, due to elevated liability and property risks.
- Centers with a history of frequent or severe claims, including multiple slip-and-fall incidents, fires, or vandalism, indicating poor risk management.
- Buildings with outdated or non-functional fire suppression and alarm systems, increasing the risk of catastrophic loss.

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- Properties located in high-crime areas without adequate security measures, significantly raising the risk of theft and liability claims.
 - Centers with significant deferred maintenance, structural deficiencies, or code violations that have not been addressed.
 - Properties with known environmental contamination or unresolved hazardous material issues, posing substantial liability exposure.
 - Centers with inadequate or poorly maintained parking facilities, leading to increased risk of accidents and liability claims.
 - Properties with a high percentage of vacant units or unstable tenant base, increasing the risk of property deterioration and loss of income.
 - Centers that do not comply with local safety regulations, building codes, or ADA requirements, exposing owners to regulatory penalties.
 - Properties with amenities such as playgrounds or parks that lack regular safety inspections or have a history of injury claims.
 - Centers in economically distressed areas with high vacancy rates and declining tenant demand.
 - Properties with tenants engaged in illegal or unlicensed activities, creating significant legal and reputational risks.
 - Centers with repeated claims related to water damage, mold, or other maintenance-related issues that have not been properly remediated.
 - Properties with no documented maintenance or risk management procedures, indicating a lack of proactive loss control.
 - Centers with significant exposure to natural disaster risks (e.g., flood zones, wildfire areas) without appropriate mitigation measures in place.

Restrictions (with Reasons)

- **Rule:** Do not accept properties with a majority of high-risk tenants such as nightclubs, bars, cannabis dispensaries, or adult entertainment venues. — These tenants significantly increase liability and property risk, leading to higher frequency and severity of claims.
- **Rule:** Do not accept properties with unresolved code violations or non-compliance with local safety regulations. — Non-compliance exposes the property to regulatory action and increases the risk of loss.
- **Rule:** Do not accept properties with a history of frequent or severe claims, including multiple slip-and-fall, fire, or vandalism incidents. — A poor claims history indicates ineffective risk management and higher future loss potential.
- **Rule:** Do not accept properties with significant deferred maintenance or structural deficiencies. — Deferred maintenance increases the likelihood of property damage and liability claims.
- **Rule:** Do not accept properties with known environmental contamination or unresolved hazardous material issues. — Environmental hazards pose substantial liability and cleanup costs.

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- **Rule:** Do not accept properties located in high-crime areas without adequate security measures in place. — High-crime locations increase the risk of theft, vandalism, and liability claims.
 - **Rule:** Do not accept properties with inadequate or poorly maintained parking facilities. — Poor parking conditions increase the risk of accidents and liability exposures.
 - **Rule:** Do not accept properties with a high percentage of vacant units or unstable tenant base. — High vacancy increases the risk of property deterioration and loss of rental income.
 - **Rule:** Do not accept properties with amenities such as playgrounds or parks that lack regular safety inspections. — Uninspected amenities increase the risk of injury claims and liability.
 - **Rule:** Do not accept properties with tenants engaged in illegal or unlicensed activities. — Illegal activities create significant legal, regulatory, and reputational risks.
 - **Rule:** Do not accept properties with repeated claims related to water damage, mold, or maintenance issues that have not been remediated. — Unresolved maintenance issues indicate ongoing risk and potential for future claims.

Sporting Goods Stores (BT-0111)

Appetite Level: **Acceptable**

Preferred

- Stores with no sales, rental, or repair of firearms or ammunition; reduces exposure to high-severity liability claims.
- Retailers specializing in non-motorized sporting goods such as apparel, footwear, and general fitness equipment; lower product liability risk.
- Stores with a documented history of risk management practices and no significant claims in the past five years; demonstrates strong operational controls.
- Locations with robust safety protocols and staff certifications for all instructional activities; mitigates injury risk.
- Stores that maintain up-to-date documentation of product safety recalls and compliance with manufacturer guidelines; reduces recall-related liability.
- Retailers with less than 10% of annual receipts from rental operations and comprehensive rental agreements; limits exposure from equipment misuse.
- Stores that do not offer high-risk sports equipment such as climbing gear, scuba equipment, or motorized vehicles; lowers underwriting risk.
- Businesses with established vendor relationships and documented supply chain quality controls; ensures product reliability.
- Stores that conduct regular employee training on customer safety and product use; minimizes injury claims.
- Retailers located in commercial districts with adequate security and loss prevention measures; reduces theft and premises liability.
- Stores with seasonal staffing adjustments and documented onboarding/training for temporary staff; maintains consistent safety standards.
- Retailers that do not offer on-site repair or modification of sporting equipment; avoids liability from improper repairs.
- Stores with less than 5% of annual receipts from gun or ammunition sales, with no repair or rental; aligns with underwriting guidelines.
- Retailers that provide clear customer instructions and signage for safe equipment use; supports risk mitigation.
- Stores with a proactive approach to regulatory compliance and regular internal audits; ensures adherence to local laws.

Acceptable

- Stores with limited sales (less than 5% of receipts) of firearms or ammunition, with no repair or rental; exposure is controlled.

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- Retailers offering instructional services for low- to moderate-risk sports (e.g., tennis, golf, running) with certified staff; manageable injury risk.
 - Stores with seasonal rental operations for non-motorized equipment, provided maintenance logs are kept; risk is monitored.
 - Retailers selling a moderate volume of high-risk sports equipment (e.g., archery, cycling) with documented safety protocols; risk controls in place.
 - Stores with a minor history of claims, provided corrective actions and improved risk management are demonstrated; risk is improving.
 - Retailers with a mix of general sporting goods and niche products, provided high-risk items are a small portion of sales; exposure is diversified.
 - Stores that participate in manufacturer recall programs and promptly remove affected products; liability is managed.
 - Retailers with instructional activities requiring waivers and participant acknowledgment of risks; legal exposure is reduced.
 - Stores that provide equipment rental with customer orientation and signed agreements; risk is addressed.
 - Retailers located in shopping malls or commercial centers with shared security; premises risk is moderate.
 - Stores with a mix of permanent and temporary staff, provided all receive safety training; maintains operational standards.
 - Retailers with some high-value inventory, provided theft prevention measures are in place; property risk is controlled.
 - Stores with a moderate volume of product sales from reputable brands; supply chain risk is acceptable.
 - Retailers that sell or rent motorized sporting equipment but have specialized coverage and risk controls; higher risk but manageable.
 - Stores with a history of minor regulatory violations, provided corrective actions have been implemented; compliance is improving.

Not Acceptable

- Stores with more than 5% of annual receipts from gun or ammunition sales, or any repair or rental of firearms; exceeds underwriting guidelines.
- Retailers offering repair or modification services for firearms, ammunition, or high-risk motorized equipment; unacceptable liability exposure.
- Stores with significant sales or rentals of motorized sporting equipment (e.g., ATVs, jet skis) without specialized risk controls; high injury risk.
- Retailers with a history of frequent or severe liability claims related to product defects or customer injuries; unacceptable claims experience.

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- Stores lacking documented safety protocols or staff certifications for instructional activities; insufficient risk management.
 - Retailers that do not comply with local, state, or federal safety and liability regulations; regulatory risk is too high.
 - Stores with a high volume of high-risk sports equipment sales (e.g., climbing, scuba, skydiving) without adequate risk controls; exposure is excessive.
 - Retailers with ongoing or unresolved product recall issues; liability risk is unmanageable.
 - Stores that allow unsupervised use of rental equipment or lack customer orientation; increases injury risk.
 - Retailers with no documented employee training on safety or product use; operational risk is unacceptable.
 - Stores with a pattern of failing to respond to manufacturer safety bulletins or recalls; product liability is elevated.
 - Retailers with inadequate or missing documentation of risk management practices; cannot verify controls.
 - Stores that routinely modify or alter sporting equipment for customers; increases product liability.
 - Retailers with a history of regulatory enforcement actions or fines for safety violations; compliance risk is too high.
 - Stores with significant claims related to instructional activities and no corrective action taken; ongoing exposure.

Restrictions (with Reasons)

- **Rule:** No coverage for stores with more than 5% of annual receipts from gun or ammunition sales. — High-severity liability exposure from firearms exceeds underwriting appetite.
- **Rule:** No coverage for any repair or rental of firearms or ammunition. — Repair and rental activities introduce unacceptable product liability and injury risks.
- **Rule:** Specialized coverage and risk controls required for stores selling or renting motorized sporting equipment. — Motorized equipment presents elevated injury and product liability risks.
- **Rule:** All instructional activities must be conducted by certified staff with documented safety protocols. — Proper training and protocols are essential to mitigate injury claims.
- **Rule:** Stores must maintain documentation of safety protocols, staff certifications, and product recalls. — Documentation is necessary for underwriting and claims defense.
- **Rule:** Rental operations require signed customer agreements and equipment maintenance logs. — Reduces liability from misuse or malfunction of rented equipment.
- **Rule:** Coverage may be limited or excluded for stores with a history of frequent or severe claims. — Past claims indicate ongoing or unaddressed risk exposures.
- **Rule:** Stores must comply with all local, state, and federal safety and liability regulations. — Regulatory compliance is critical to avoid fines and liability claims.

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- **Rule:** Additional underwriting information required for stores with high-risk product sales or instructional services. — Detailed risk assessment is needed for higher-exposure operations.
 - **Rule:** Liability coverage limits may be adjusted based on the nature and volume of products sold. — Higher-risk products require higher limits or additional exclusions.
 - **Rule:** Stores must implement customer safety measures, including signage and instructions for equipment use. — Proactive safety measures help reduce the likelihood of injury claims.

Stationery & Paper Products (BT-0112)

Appetite Level: **Acceptable**

Preferred

- Retail stationery stores operating from a single physical location with standard business hours (lower risk profile, easier to monitor).
- Businesses with robust inventory management systems and regular stock audits (reduces risk of loss or mismanagement).
- Operations that source products from established, reputable suppliers with documented quality controls (minimizes product liability exposure).
- Businesses that implement clear labeling and safety information on all products, especially those intended for children (compliance with regulatory standards).
- Retailers with a documented waste management and recycling program for paper and packaging materials (demonstrates environmental responsibility).
- Enterprises with a diversified customer base including individuals, schools, and businesses (reduces reliance on a single revenue stream).
- Businesses with a strong online presence and secure e-commerce platforms (expands market reach, supports business continuity).
- Retailers that conduct regular staff training on customer service and product knowledge (improves customer satisfaction and reduces errors).
- Operations with established relationships with multiple suppliers to mitigate supply chain disruptions (ensures inventory availability).
- Businesses that maintain up-to-date insurance coverage for property, liability, and inventory (reduces financial risk).
- Retailers with clear return and refund policies for defective or unsatisfactory products (enhances customer trust and reduces disputes).
- Businesses that participate in community engagement or educational programs (strengthens brand reputation and local support).

Acceptable

- Stationery stores with both physical and online sales channels (hybrid operations are common and manageable).
- Small chains with up to five locations in the same metropolitan area (manageable expansion, moderate risk).
- Retailers offering limited custom printing services for stationery and invitations (low to moderate additional risk).
- Businesses that stock a mix of branded and generic stationery products (standard industry practice).

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- Operations that experience seasonal sales fluctuations, such as back-to-school and holiday peaks (requires standard inventory planning).
 - Retailers that employ part-time or seasonal staff during peak periods (common practice, manageable with proper oversight).
 - Businesses that store inventory in off-site warehouses within the same region (logistically feasible, moderate risk).
 - Retailers that sell art and craft supplies as a secondary product line (related, low incremental risk).
 - Businesses that offer basic gift wrapping services (minimal additional risk).
 - Retailers that accept bulk orders from schools or businesses (standard practice, manageable with contracts).
 - Operations that use standard point-of-sale and inventory software (industry norm, supports efficiency).
 - Businesses that maintain physical records and valuable papers in secure, fire-resistant storage (prudent risk management).
 - Retailers that participate in local business associations or trade groups (supports best practices and networking).

Not Acceptable

- Businesses manufacturing or importing stationery products without documented compliance with safety and labeling regulations (high regulatory and liability risk).
- Retailers selling counterfeit or unlicensed branded stationery products (legal and reputational risk).
- Operations storing large quantities of flammable or hazardous materials (exceeds standard risk profile for this sector).
- Businesses with a history of repeated regulatory violations or fines (demonstrates poor compliance culture).
- Retailers operating exclusively in high-crime or politically unstable regions (elevated property and operational risk).
- Businesses that do not maintain any form of inventory tracking or loss prevention measures (increased risk of loss and mismanagement).
- Operations offering high-value collectibles or rare manuscripts as a primary business (specialty risk, outside standard appetite).
- Retailers providing printing services for sensitive or regulated documents (e.g., government IDs, legal certificates; elevated liability).
- Businesses that store or handle large amounts of cash on premises without adequate security (theft risk).

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- Retailers with a significant portion of sales from unrelated high-risk products (e.g., fireworks, chemicals).
 - Operations that do not provide staff training on product safety or customer service (increased risk of incidents and claims).
 - Businesses with inadequate fire safety measures or non-compliance with local building codes (property and liability risk).
 - Retailers with a poor claims history or unresolved insurance disputes (indicates ongoing risk issues).
 - Operations that do not comply with local waste disposal and recycling regulations (environmental and regulatory risk).
 - Businesses that lack any form of cyber security for online sales platforms (exposure to data breaches and fraud).

Restrictions (with Reasons)

- **Rule:** No acceptance of businesses manufacturing or importing stationery products without documented regulatory compliance. — Ensures adherence to safety, labeling, and environmental standards; reduces liability exposure.
- **Rule:** No coverage for operations selling counterfeit or unlicensed branded products. — Legal and reputational risks are significant and uninsurable.
- **Rule:** No acceptance of businesses storing or handling large quantities of hazardous or flammable materials. — Exceeds standard risk profile for stationery and paper products sector.
- **Rule:** No coverage for businesses with a primary focus on rare manuscripts, collectibles, or high-value art. — Specialty risks outside standard appetite; requires specialized underwriting.
- **Rule:** No acceptance of retailers providing printing services for regulated or sensitive documents. — Elevated liability and regulatory risk.
- **Rule:** No coverage for businesses with repeated regulatory violations or unresolved fines. — Indicates poor compliance and increased risk of future incidents.
- **Rule:** No acceptance of operations with inadequate fire safety measures or non-compliance with building codes. — Increases property and liability risk.
- **Rule:** No coverage for businesses with a poor claims history or unresolved insurance disputes. — Demonstrates ongoing risk management issues.
- **Rule:** No acceptance of businesses lacking inventory tracking or loss prevention systems. — Increases risk of loss, theft, and mismanagement.
- **Rule:** No coverage for operations that do not comply with local waste disposal and recycling regulations. — Environmental and regulatory compliance is mandatory.
- **Rule:** No acceptance of businesses lacking basic cyber security measures for online sales platforms. — Exposure to data breaches and fraud is unacceptably high.

Supermarkets & Grocery Stores (BT-0113)

Appetite Level: **Preferred**

Preferred

- Supermarkets or grocery stores with a floor area of 3,000 sq ft or greater, as these typically have established risk management protocols and infrastructure.
- Businesses that do not sell gasoline or operate fuel pumps on-site, minimizing environmental and fire risks.
- Stores with full compliance with local and federal food safety regulations, including documented employee training and regular inspections.
- Operations that demonstrate adherence to the FDA Food Code and HACCP protocols, ensuring food safety and quality control.
- Businesses with a dedicated management team overseeing inventory, safety, and regulatory compliance.
- Stores that maintain a clean, organized, and well-lit environment, reducing slip, trip, and fall exposures.
- Supermarkets with specialized staff such as butchers, bakers, and produce managers, indicating a focus on product quality and safety.
- Businesses with robust supply chain management and established relationships with reputable vendors.
- Stores that implement regular employee safety training, including food handling and emergency procedures.
- Operations that conduct and document regular pest control and sanitation procedures.
- Businesses that utilize modern point-of-sale and inventory management systems to minimize shrinkage and loss.
- Stores with established protocols for handling product recalls and foodborne illness incidents.
- Supermarkets that offer a wide variety of fresh, frozen, and packaged foods, meeting diverse customer needs.
- Businesses that have a history of passing health and safety inspections without violations.
- Stores that participate in local or national food safety certification programs.

Acceptable

- Grocery stores or supermarkets with a floor area between 1,000 and 3,000 sq ft, provided they demonstrate compliance with all safety and regulatory requirements.
- Stores that sell gasoline or operate fuel pumps, if they maintain full environmental compliance and adhere to underground storage tank (UST) regulations.

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- Convenience food stores that primarily sell canned goods, dairy products, prepackaged meats, and incidental grocery items, provided they follow food safety protocols.
 - Businesses that offer limited cooking or quick-service food options, categorized as convenience food store/restaurants, if they comply with health and fire safety standards.
 - Stores that sell beer, wine, cigarettes, and novelties, provided all sales are in accordance with local licensing and age restriction laws.
 - Operations that have undergone recent renovations to improve safety or environmental controls.
 - Stores with a history of minor, non-recurring health or safety violations that have been fully corrected.
 - Businesses that conduct regular employee training but may not have advanced risk management infrastructure.
 - Stores that rely on third-party vendors for some supply chain needs, provided vendor compliance is verified.
 - Operations that participate in seasonal promotions or community events, increasing customer traffic but maintaining safety protocols.
 - Stores that use older but well-maintained refrigeration and cooking equipment, with documented maintenance schedules.
 - Businesses that have implemented basic inventory management systems to reduce waste and loss.
 - Stores that have a documented plan for emergency response and evacuation.
 - Operations that maintain compliance with local zoning and occupancy regulations.
 - Stores that have passed recent environmental and fire safety inspections.

Not Acceptable

- Stores with a history of repeated or unresolved health, safety, or environmental violations.
- Businesses that fail to comply with local, state, or federal food safety regulations, including lack of documented employee training.
- Operations that sell gasoline or operate fuel pumps without full environmental compliance or proper UST management.
- Stores with a floor area less than 1,000 sq ft, as these often lack adequate risk management infrastructure.
- Businesses that do not conduct regular inspections or fail to document safety and sanitation procedures.
- Stores with significant fire hazards, such as improper storage of flammable materials or lack of fire suppression systems.
- Operations with inadequate pest control or evidence of infestation.
- Businesses that have failed recent health, safety, or environmental inspections.

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- Stores that do not maintain proper refrigeration or temperature controls for perishable goods.
 - Operations that lack a clear emergency response or evacuation plan.
 - Businesses that have experienced recent product recalls due to foodborne illness outbreaks.
 - Stores that allow on-site food preparation without proper permits or safety measures.
 - Operations that do not verify the compliance of their key vendors or suppliers.
 - Stores that sell restricted items (e.g., alcohol, tobacco) without proper licensing.
 - Businesses that have unresolved claims or litigation related to food safety or environmental incidents.

Restrictions (with Reasons)

- **Rule:** Stores with on-site fuel sales must demonstrate full compliance with environmental regulations, including UST management. — Fuel operations introduce significant environmental and fire risks requiring strict oversight.
- **Rule:** Businesses must maintain a minimum floor area of 1,000 sq ft to be considered for coverage. — Smaller stores often lack adequate risk management and safety infrastructure.
- **Rule:** All stores must comply with local and federal food safety regulations, including documented employee training and regular inspections. — Non-compliance increases the risk of foodborne illness and regulatory penalties.
- **Rule:** Stores with a history of unresolved or repeated health, safety, or environmental violations are not eligible. — Past violations indicate ongoing operational risks.
- **Rule:** Businesses must maintain proper refrigeration and temperature controls for all perishable goods. — Improper storage can lead to spoilage and foodborne illness.
- **Rule:** Operations must have a documented emergency response and evacuation plan. — Preparedness reduces risk in the event of fire, natural disaster, or other emergencies.
- **Rule:** Stores must conduct and document regular pest control and sanitation procedures. — Pest infestations pose health risks and can lead to regulatory action.
- **Rule:** Businesses selling restricted items such as alcohol or tobacco must have all required licenses. — Unlicensed sales are illegal and increase liability exposure.
- **Rule:** Stores must verify that all key vendors and suppliers comply with food safety and quality standards. — Vendor non-compliance can introduce risk into the supply chain.
- **Rule:** Operations with on-site food preparation must have proper permits and safety measures in place. — Improper food handling increases the risk of contamination and fire.
- **Rule:** Stores must maintain a clean, organized, and well-lit environment. — Cleanliness reduces slip, trip, and fall hazards and improves customer safety.

Tailors & Dressmakers (BT-0114)

Appetite Level: **Preferred**

Preferred

- Small tailoring shops providing custom garment creation and alterations for individual clients (personalized service, low hazard exposure).
- Dressmaking studios specializing in wedding attire and formalwear (high-value inventory, but manageable risk with proper controls).
- Home-based tailors offering clothing repairs and adjustments (limited foot traffic, reduced property exposure).
- Boutique businesses focused on bespoke menswear and suits (skilled labor, moderate equipment risk).
- Tailoring businesses utilizing appointment-only systems for customer fittings (controlled customer flow, lower liability).
- Clothing alteration shops with pressing and minor repair services (core appetite, standard operations).
- Businesses renting formalwear such as tuxedos and gowns (inventory management, but no on-premises cleaning).
- Photographic studios offering portrait services alongside tailoring (related service, low risk).
- Funeral directors with in-house tailoring for ceremonial garments (specialized, but within risk appetite).
- Photocopying and blueprinting services co-located with tailoring (ancillary, low hazard).
- Letter services (mailing or addressing) operated in conjunction with tailoring (administrative, minimal risk).
- Linen supply businesses providing tablecloths and uniforms for events (inventory, but manageable exposure).
- Photofinishing laboratories attached to tailoring shops (related to customer service, low risk).
- Engraving businesses offering monogramming on garments (complementary, low hazard).
- Administrative offices for tailoring chains (no direct manufacturing, low risk).

Acceptable

- Clothing rental businesses with limited on-premises inventory (higher theft risk, but manageable with controls).
- Dry cleaning plants excluding rug cleaning (chemical exposure, but standard for industry).
- Laundry and dry cleaner pick-up stations with no on-premises cleaning (reduced chemical risk).
- Diaper services operating as part of a tailoring business (increased hygiene requirements, but manageable).

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- Dental labs sharing premises with tailoring (distinct operations, but possible cross-exposure).
 - Commercial printing services co-located with tailoring (fire risk from equipment, but standard controls apply).
 - Businesses using advanced CAD software for pattern making (cyber risk, but mitigated with coverage).
 - Tailoring shops with small retail fabric sales area (inventory risk, but within appetite).
 - Administrative offices for dry cleaning or tailoring businesses (minimal operational hazard).
 - Tailoring businesses with minor on-premises embroidery services (additional equipment, but low risk).
 - Boutique tailoring shops offering costume design for theater (unique inventory, but manageable).
 - Tailors providing specialized cultural or religious attire (niche market, standard operations).
 - Businesses with limited employee count and strong inventory controls (reduced dishonesty risk).
 - Tailoring businesses with seasonal staffing increases (temporary risk, but manageable).
 - Tailors using third-party vendors for specialty fabrics (supply chain risk, but standard practice).

Not Acceptable

- Self-service coin-operated laundries (unattended operations, high property and liability risk).
- Attended coin-operated laundries (high customer turnover, increased slip/fall exposure).
- Industrial laundries processing large-scale commercial loads (industrial equipment, high fire risk).
- Power laundries (not auto) with heavy machinery (significant equipment and fire hazard).
- Electrotyping businesses (specialized industrial process, not related to tailoring).
- Linotyping operations (printing industry, not tailoring-related, high equipment risk).
- Lithographing businesses (industrial printing, outside tailoring appetite).
- Photoengraving services (chemical use, unrelated to tailoring, high hazard).
- Rug cleaning plants (excluded due to high water and chemical exposure).
- Tailoring businesses with on-premises dry cleaning using hazardous chemicals (increased environmental risk).
- Tailoring shops operating as full-scale manufacturing plants (industrial scale, outside small business appetite).
- Businesses with 24/7 operations and no staff supervision (increased theft and liability risk).
- Tailoring businesses with significant e-commerce operations and no cyber controls (unacceptable cyber risk).
- Tailoring shops located in industrial zones with heavy machinery (outside standard risk appetite).
- Tailoring businesses with history of regulatory violations or repeated claims (unacceptable risk profile).

Restrictions (with Reasons)

- **Rule:** No self-service or attended coin-operated laundries are permitted. — Unattended operations and high customer turnover increase property and liability risks.
- **Rule:** Industrial laundries and power laundries (not auto) are not eligible. — Heavy machinery and large-scale operations present unacceptable fire and equipment hazards.
- **Rule:** Rug cleaning plants are excluded from coverage. — High water and chemical exposure increases property and environmental risks.
- **Rule:** No on-premises dry cleaning with hazardous chemicals. — Chemical use elevates environmental and health risks beyond acceptable levels.
- **Rule:** Electrotyping, linotyping, lithographing, and photoengraving businesses are restricted. — These are industrial printing processes unrelated to tailoring, with high equipment and chemical hazards.
- **Rule:** Tailoring businesses must not operate as full-scale manufacturing plants. — Industrial-scale operations exceed the small business risk appetite.
- **Rule:** Businesses with 24/7 unsupervised operations are not eligible. — Lack of supervision increases theft, property, and liability exposures.
- **Rule:** Tailoring businesses with a history of regulatory violations or repeated insurance claims are restricted. — Poor compliance and claims history indicate unacceptable risk.
- **Rule:** Significant e-commerce operations without adequate cyber controls are not acceptable. — Increased risk of data breaches and cyber liability without proper safeguards.
- **Rule:** Tailoring shops located in industrial zones with heavy machinery are not eligible. — Industrial environments present hazards not aligned with standard tailoring operations.

Tax Preparation & Accounting (BT-0115)

Appetite Level: **Acceptable**

Preferred

- Firms providing individual tax preparation services for clients with straightforward tax situations, as this aligns with core competencies and regulatory compliance.
- Businesses offering basic bookkeeping and accounting services to small businesses, supporting essential financial recordkeeping needs.
- Operations that utilize secure, industry-standard accounting software and maintain strong data security protocols to protect client information.
- Firms with staff holding current CPA or enrolled agent certifications, ensuring professional standards and regulatory adherence.
- Businesses that maintain clear, written client engagement agreements detailing the scope of services and associated fees.
- Firms that conduct regular internal audits of accounting practices and client records to ensure ongoing compliance and quality control.
- Operations that require and maintain professional liability insurance to mitigate risks associated with accounting services.
- Businesses that provide services exclusively to domestic clients with no significant international exposure, reducing regulatory complexity.
- Firms that actively monitor and adapt to changes in tax laws and regulations, demonstrating commitment to compliance.
- Operations that maintain transparent pricing structures and clearly communicate service offerings to clients.

Acceptable

- Firms offering remote or virtual tax preparation and bookkeeping services, provided data security measures are robust and regulatory compliance is maintained.
- Businesses that hire temporary or seasonal staff during peak tax season, as long as all personnel are properly trained and supervised.
- Operations that provide payroll processing as an ancillary service to small business clients, provided it does not involve complex benefits administration.
- Firms that use reputable third-party vendors for accounting software and office supplies, ensuring vendor reliability and data security.
- Businesses that serve clients with minor business deductions or credits, as long as the financial situations remain uncomplicated.
- Firms that operate in shared office or co-working environments, provided client confidentiality and data security are not compromised.

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- Operations that provide basic audit support for small businesses, excluding complex forensic or investigative accounting.
 - Businesses that offer year-round bookkeeping and tax planning for individuals and small businesses, within the limits of standard accounting practices.
 - Firms that periodically review and update internal policies and procedures to reflect regulatory changes and best practices.
 - Operations that implement and enforce a clear conflict of interest policy to ensure ethical standards are maintained.

Not Acceptable

- Businesses providing financial planning, investment advice, or wealth management services, as these fall outside standard accounting and tax preparation.
- Firms involved in complex tax strategies, offshore tax shelters, or aggressive tax avoidance schemes, due to elevated regulatory and reputational risks.
- Operations serving clients with significant international exposure, such as multinational corporations or expatriate tax services.
- Businesses accepting clients with a known history of tax evasion, fraud, or other financial crimes, increasing risk of regulatory action.
- Firms offering services to high-risk industries, such as cannabis, gambling, or cryptocurrency, due to heightened compliance and legal risks.
- Operations providing specialized advisory services, such as mergers and acquisitions consulting or business valuation for complex transactions.
- Businesses that do not require or maintain professional liability insurance, exposing the firm to significant financial risk.
- Firms lacking proper licensing or employing unqualified staff, resulting in non-compliance with regulatory standards.
- Operations that fail to implement adequate data security measures, risking client confidentiality and potential data breaches.
- Businesses that do not conduct regular audits of their accounting practices or client records, increasing the likelihood of errors or non-compliance.
- Firms that do not establish clear client engagement agreements, leading to misunderstandings and potential disputes.
- Operations that partner with or refer clients to high-risk financial entities or unregulated service providers.
- Businesses that provide services to clients with highly complex financial situations requiring specialized knowledge beyond standard accounting.
- Firms that do not maintain transparency in pricing or service offerings, increasing the risk of client dissatisfaction or regulatory scrutiny.

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- Operations that offer any services that could be construed as investment advice, violating regulatory boundaries.

Restrictions (with Reasons)

- **Rule:** Do not accept businesses providing financial planning or investment advisory services. — These services fall outside the scope of standard tax preparation and accounting and introduce regulatory and liability risks.
- **Rule:** Exclude clients with a history of tax evasion, fraud, or financial crimes. — Such clients present elevated compliance and reputational risks.
- **Rule:** Do not permit operations with significant international exposure or multinational client bases. — International tax matters introduce complex regulatory and compliance challenges.
- **Rule:** Require all staff to hold appropriate certifications and maintain current licensing. — Ensures compliance with professional standards and regulatory requirements.
- **Rule:** Mandate professional liability insurance for all accounting services. — Protects the business from claims arising from errors or omissions in service delivery.
- **Rule:** Prohibit partnerships or referrals to high-risk financial entities or unregulated service providers. — Reduces exposure to regulatory violations and reputational harm.
- **Rule:** Limit services to individual taxpayers and small businesses with straightforward financial needs. — Complex financial situations require specialized expertise not covered by standard accounting practices.
- **Rule:** Implement and regularly update robust data security measures. — Protects sensitive client information from unauthorized access or breaches.
- **Rule:** Require clear, written client engagement agreements for all services. — Establishes mutual understanding of service scope and fees, reducing disputes.
- **Rule:** Conduct regular internal audits of accounting practices and client records. — Ensures ongoing compliance and identifies potential issues proactively.
- **Rule:** Maintain a clear conflict of interest policy and enforce ethical standards. — Prevents unethical behavior and maintains trust with clients.

Tire & Automotive Centers (BT-0116)

Appetite Level: **Preferred**

Preferred

- Operations focused on tire sales, installation, balancing, and rotation for passenger vehicles and light trucks, as these services are low risk and core to the business.
- Facilities providing basic automotive maintenance such as oil changes, battery replacements, and fluid top-offs, which are routine and present minimal liability.
- Businesses that exclusively sell and install new tires sourced from reputable, established manufacturers, ensuring product quality and safety.
- Centers with a documented safety program and regular staff training on equipment use and hazardous material handling, reducing workplace accidents.
- Facilities maintaining minimal inventory of hazardous materials, such as oils and lubricants, and following proper storage and disposal protocols.
- Centers that do not offer towing, contract wrecking, or roadside assistance services, thereby avoiding high-risk exposures.
- Businesses that provide preventive maintenance services, including tire inspections and scheduled service reminders, to reduce the likelihood of vehicle failures.
- Centers with a customer waiting area and clear separation between service bays and public spaces, enhancing customer safety.
- Operations that offer vehicle pickup and delivery for service appointments, provided vehicles are driven by employees with clean driving records.
- Facilities with up-to-date diagnostic equipment and tools maintained in good working order, ensuring safe and efficient service.
- Centers that comply with all local, state, and federal regulations regarding environmental protection and waste disposal.
- Businesses with established relationships with reputable automotive parts suppliers, ensuring timely access to quality inventory.
- Facilities with secure, well-lit premises and controlled access to service areas, reducing theft and vandalism risk.
- Centers that implement seasonal promotional campaigns to manage workflow and customer demand effectively.
- Operations that do not modify or repair high-performance, specialty, or commercial vehicles beyond basic tire and maintenance services.

Acceptable

- Centers that perform minor brake repairs or replacement, provided all technicians are certified and proper safety protocols are followed.

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- Facilities that offer wheel alignment services using manufacturer-approved equipment and procedures.
 - Businesses that provide tire storage for customers' seasonal tires, with secure and climate-appropriate storage areas.
 - Operations that offer windshield wiper replacement and headlight/taillight bulb changes as ancillary services.
 - Centers that sell automotive accessories (e.g., floor mats, air fresheners) in addition to core tire and maintenance services.
 - Facilities that perform minor suspension work (e.g., shock or strut replacement) on standard passenger vehicles.
 - Centers that accept used tires for recycling, provided they follow all environmental and regulatory guidelines.
 - Businesses that offer nitrogen tire inflation services using certified equipment.
 - Facilities that provide fleet maintenance services for small business clients, limited to basic repairs and tire work.
 - Centers that perform tire repairs (e.g., patching, plugging) in accordance with industry safety standards.
 - Operations that occasionally service light commercial vans or pickups, provided no heavy-duty or specialty vehicles are included.
 - Centers that offer limited mobile tire installation services within a defined local area, using properly equipped and insured vehicles.
 - Facilities that participate in manufacturer recall programs for tire replacement, following all required procedures.
 - Centers that provide basic vehicle inspections for state or local compliance, excluding emissions testing.
 - Businesses with a small inventory of hazardous materials, provided all are stored and disposed of per regulations.

Not Acceptable

- Operations that provide towing, roadside assistance, or contract wrecking services, as these significantly increase liability and property exposures.
- Centers that perform major engine, transmission, or drivetrain repairs, which are outside the scope of basic automotive maintenance.
- Facilities that service heavy-duty trucks, buses, agricultural, or construction vehicles, due to increased operational risk.
- Businesses that sell or install used, retreaded, or salvaged tires, which present safety and liability concerns.

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- Centers that engage in vehicle bodywork, painting, or collision repair, as these require specialized facilities and carry higher risks.
 - Operations that modify or install aftermarket performance parts, lift kits, or custom wheels beyond manufacturer specifications.
 - Facilities that store or handle large quantities of hazardous materials, such as bulk fuel or chemicals, exceeding regulatory thresholds.
 - Centers that operate 24/7 without adequate staffing or security measures, increasing exposure to theft and accidents.
 - Businesses with a history of regulatory violations, environmental fines, or repeated safety infractions.
 - Facilities located in high-crime areas without adequate security controls, increasing risk of theft or vandalism.
 - Centers that do not maintain clear separation between customer and service areas, exposing customers to potential hazards.
 - Operations that subcontract core services (e.g., tire installation, oil changes) to third parties without oversight.
 - Facilities that lack documented safety protocols or fail to provide regular staff training.
 - Centers that perform emissions testing or repairs requiring specialized certification not held by staff.
 - Businesses that operate as part of a salvage yard, auto dismantler, or used parts reseller.

Restrictions (with Reasons)

- **Rule:** No towing, contract wrecking, or roadside assistance operations permitted. — These activities significantly increase liability and property exposures beyond the intended risk profile.
- **Rule:** No major engine, transmission, or drivetrain repairs allowed. — Such repairs are outside the scope of basic maintenance and present higher operational risks.
- **Rule:** No servicing of heavy-duty, agricultural, or construction vehicles. — These vehicles require specialized equipment and training, increasing risk and complexity.
- **Rule:** No sale or installation of used, retreaded, or salvaged tires. — These products may not meet safety standards and increase liability exposure.
- **Rule:** No bodywork, painting, or collision repair services. — These services require specialized facilities and carry higher property and environmental risks.
- **Rule:** Hazardous material inventory must be minimal and stored per regulatory requirements. — Limiting hazardous materials reduces fire, environmental, and regulatory risks.
- **Rule:** All technicians must be certified and receive regular safety training. — Proper training and certification reduce workplace accidents and ensure service quality.
- **Rule:** No subcontracting of core services without direct oversight. — Direct oversight ensures quality control and reduces liability from third-party errors.

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- **Rule:** Facilities must maintain clear separation between customer and service areas. — This minimizes the risk of customer injury and enhances safety.
 - **Rule:** No operations in conjunction with salvage yards or auto dismantling businesses. — These operations introduce additional risks not aligned with the preferred appetite.
 - **Rule:** No 24/7 operations unless adequate staffing and security measures are in place. — Extended hours without proper controls increase exposure to theft and accidents.
 - **Rule:** All environmental and waste disposal regulations must be strictly followed. — Compliance reduces the risk of fines, environmental damage, and reputational harm.

Toy Stores (BT-0117)

Appetite Level: **Preferred**

Preferred

- Toy stores with robust cybersecurity measures in place, including up-to-date firewalls and data encryption to protect customer and transaction data.
- Businesses that conduct regular employee training on phishing awareness and data breach prevention, with documented participation records.
- Stores maintaining comprehensive safety training programs for all employees, specifically covering product handling, customer interactions, and emergency procedures.
- Toy stores with a proven track record of no recent product liability or premises liability claims within the past three years.
- Operations demonstrating consistent revenue streams and financial stability, supported by a strong credit history and positive financial statements.
- Retailers performing regular stock audits and maintaining well-documented inventory controls to minimize shrinkage and loss.
- Businesses that securely store toys and maintain clear, up-to-date documentation of all toy sourcing and supplier vetting processes.
- Stores that comply fully with all relevant safety regulations, including CPSC standards, and retain documentation of compliance for all products.
- Retailers with point-of-sale systems and inventory management software that are regularly updated and patched for security.
- Toy stores that have established relationships with reputable, vetted suppliers and manufacturers, ensuring product safety and regulatory compliance.
- Businesses with a clean claims history, showing no recent insurance claims related to product safety, customer injury, or data breaches.
- Stores that implement and enforce written policies for customer service, safety, and data protection.
- Retailers that adjust inventory and marketing strategies seasonally, demonstrating proactive management of peak sales periods.
- Toy stores with a documented emergency response plan, including procedures for product recalls and customer notifications.
- Operations that conduct background checks on employees and provide ongoing training in both safety and customer service.

Acceptable

- Toy stores with moderate cybersecurity measures, such as password-protected systems and basic antivirus software, but lacking formal documentation.

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- Businesses providing informal or periodic employee training on safety and data security, with some records of participation.
 - Stores with minor or infrequent claims history, such as occasional slip-and-fall incidents, but no pattern of repeated claims.
 - Retailers maintaining basic inventory controls, such as manual stock counts, but without automated tracking or regular audits.
 - Operations with moderate financial stability, showing adequate revenue streams but some fluctuations in cash flow.
 - Toy stores that source products from a mix of large manufacturers and smaller suppliers, with partial documentation of supplier vetting.
 - Businesses that comply with most safety regulations but may have minor, non-critical lapses in documentation or record-keeping.
 - Stores with seasonal staffing adjustments but limited formal training for temporary employees.
 - Retailers that have experienced isolated, resolved regulatory issues in the past two years.
 - Toy stores with basic customer service policies in place, but lacking comprehensive written procedures.
 - Businesses that have experienced a single, resolved data security incident with corrective actions taken.
 - Operations with some gaps in emergency response planning, but a demonstrated willingness to improve.
 - Stores that conduct occasional product recalls or safety checks as required by suppliers or regulators.
 - Retailers with some reliance on manual processes for inventory and sales, but no significant history of loss.
 - Toy stores that have experienced minor supply chain disruptions but have implemented corrective measures.

Not Acceptable

- Toy stores with no cybersecurity measures in place, such as unprotected networks or outdated software, exposing customer data to risk.
- Businesses with a history of repeated or unresolved product liability or premises liability claims within the past three years.
- Stores that do not provide any employee training on safety, product handling, or data security.
- Retailers with significant financial instability, such as ongoing losses, bankruptcy filings, or poor credit history.
- Operations that fail to comply with CPSC or other relevant safety regulations, resulting in fines or product seizures.

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- Toy stores with no documented inventory controls or stock audits, leading to frequent losses or shrinkage.
 - Businesses sourcing toys from unvetted or high-risk suppliers, with no documentation of product safety or regulatory compliance.
 - Stores that have experienced multiple unresolved data breaches or customer data exposures.
 - Retailers with a pattern of regulatory violations, such as repeated failure to meet safety standards or recall requirements.
 - Toy stores operating in unsafe or non-compliant premises, such as buildings with unresolved safety hazards.
 - Businesses that do not maintain any records of supplier vetting, product sourcing, or compliance documentation.
 - Stores with a history of fraudulent activity, such as knowingly selling counterfeit or recalled toys.
 - Operations with no emergency response or recall procedures in place.
 - Toy stores that routinely ignore or fail to implement corrective actions after regulatory inspections.
 - Retailers with ongoing, unresolved customer complaints related to product safety or service.

Restrictions (with Reasons)

- **Rule:** No coverage for toy stores lacking documented cybersecurity measures, including firewalls and data encryption. — Absence of cybersecurity exposes sensitive customer and transaction data to breaches.
- **Rule:** Toy stores with unresolved product or premises liability claims in the past three years are ineligible. — Recent claims indicate ongoing risk and poor risk management practices.
- **Rule:** Businesses without regular employee training on safety, product handling, and data security are restricted. — Lack of training increases the likelihood of accidents, product mishandling, and data breaches.
- **Rule:** Toy stores failing to comply with CPSC or other relevant safety regulations are not acceptable. — Non-compliance with safety standards poses significant legal and reputational risks.
- **Rule:** Retailers with no inventory controls or stock audit processes are restricted. — Inadequate inventory management leads to increased loss, theft, and operational inefficiency.
- **Rule:** Toy stores with significant financial instability or poor credit history are not eligible. — Financial instability increases the risk of business failure and claim frequency.
- **Rule:** Businesses sourcing toys from unvetted or non-compliant suppliers are restricted. — Unvetted suppliers may provide unsafe or non-compliant products, increasing liability exposure.
- **Rule:** Toy stores with a pattern of regulatory violations or unresolved compliance issues are not acceptable. — Repeated violations indicate systemic management and operational failures.
- **Rule:** Retailers with no emergency response or recall procedures are restricted. — Lack of planning impedes effective response to product safety incidents.

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- **Rule:** Toy stores with ongoing, unresolved customer complaints related to safety or service are not eligible. — Unresolved complaints suggest poor customer service and potential legal exposure.
 - **Rule:** Businesses operating in unsafe or non-compliant premises are restricted. — Unsafe premises increase the risk of injury and liability claims.

Travel Agencies (BT-0118)

Appetite Level: **Acceptable**

Preferred

- Travel agencies with documented, annually reviewed cybersecurity policies and incident response plans in place, as evidenced by internal audits or third-party assessments.
- Agencies that utilize up-to-date, enterprise-grade firewall and antivirus protections on all business devices and networks.
- Businesses with a clean history of data breaches or cyber incidents for the past five years, verified by loss runs and claims history.
- Agencies that require all employees to complete annual cybersecurity and data privacy training, with records of completion.
- Operations that exclusively book travel to low-risk, politically stable destinations with established tourism infrastructure.
- Agencies that use encrypted, PCI-compliant payment processing systems for all customer transactions.
- Businesses that maintain active relationships with reputable, regulated vendors (airlines, hotels, car rentals) and avoid unregulated suppliers.
- Agencies that have a written, board-approved data retention and destruction policy for customer information.
- Operations that conduct annual risk assessments of all travel destinations offered, with documented findings and mitigation steps.
- Agencies that have not had any regulatory actions or fines related to data protection or consumer rights in the past five years.

Acceptable

- Travel agencies with basic cybersecurity measures in place, such as password policies and antivirus software, but lacking formal annual reviews.
- Agencies that have experienced a minor data breach in the past five years but have since implemented corrective actions and improved controls.
- Businesses offering a mix of low- and moderate-risk travel destinations, with documented risk assessments for higher-risk locations.
- Agencies that provide employee cybersecurity training at onboarding but do not require annual refreshers.
- Operations that use reputable booking software but have not undergone a third-party cybersecurity audit.
- Agencies that occasionally partner with smaller or less-established vendors, provided due diligence is documented.

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- Businesses with a written, but not board-approved, data handling and privacy policy.
 - Agencies that have had minor regulatory inquiries but no fines or penalties related to data protection.
 - Operations that have an incident response plan, but it has not been tested or updated in the past 18 months.
 - Agencies that offer adventure or niche travel services in moderate-risk regions, with enhanced customer disclosures and insurance.

Not Acceptable

- Travel agencies with no documented cybersecurity policies or incident response plans in place.
- Agencies that have experienced multiple or unresolved data breaches in the past five years.
- Businesses that store unencrypted customer personal or payment information on local devices or unsecured servers.
- Agencies that do not provide any cybersecurity or data privacy training to employees.
- Operations offering unregulated adventure tours in politically unstable or sanctioned regions without comprehensive risk assessments.
- Agencies that have been fined or sanctioned for violations of data protection or consumer rights regulations in the past three years.
- Businesses that use outdated or unsupported booking software with known security vulnerabilities.
- Agencies that refuse to disclose previous claims or incidents related to data breaches.
- Operations that lack any form of firewall or antivirus protection on business networks.
- Agencies with a history of failing to notify customers or authorities in the event of a data breach.
- Businesses that do not require secure authentication for access to sensitive customer data.
- Agencies that have had coverage declined or cancelled by another insurer due to cybersecurity deficiencies.
- Operations that regularly book travel to high-risk destinations without documented risk mitigation or insurance.
- Agencies that cannot provide documentation of compliance with applicable data protection regulations.
- Businesses with a pattern of regulatory non-compliance or unresolved consumer complaints regarding data handling.

Restrictions (with Reasons)

- **Rule:** Coverage is restricted for agencies offering unregulated adventure tours in politically unstable or sanctioned regions. — These activities present elevated risks of liability, customer harm, and regulatory violations.

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- **Rule:** Agencies must provide documentation of current cybersecurity measures, including firewall and antivirus protections. — Lack of adequate cybersecurity increases the risk of data breaches and associated losses.
 - **Rule:** Employee cybersecurity training must be conducted at least annually and documented. — Untrained staff are more likely to cause or fail to detect data breaches.
 - **Rule:** Coverage may be limited or excluded for agencies with a history of unresolved or multiple data breaches. — Prior incidents indicate ongoing vulnerabilities and higher future risk.
 - **Rule:** Agencies must disclose all previous claims or incidents related to data breaches or cyber liability. — Full disclosure is necessary for accurate risk assessment and underwriting.
 - **Rule:** Coverage is not available for agencies that do not comply with applicable data protection regulations. — Non-compliance exposes the insurer to regulatory and reputational risk.
 - **Rule:** Agencies must have a written incident response plan for data breaches and cyber incidents. — Preparedness reduces the impact and liability of potential breaches.
 - **Rule:** Agencies storing unencrypted customer data or using unsupported booking software are ineligible for coverage. — These practices create unacceptable exposure to cyber threats.
 - **Rule:** Coverage may be subject to higher premiums or sublimits for agencies involved in high-risk travel sectors. — High-risk activities increase the likelihood and severity of claims.
 - **Rule:** Underwriters must review the agency's risk assessment process for all travel destinations offered. — Proper risk assessment is essential for managing exposures related to travel activities.

Trophy & Awards Shops (BT-0119)

Appetite Level: **Acceptable**

Preferred

- Shops with documented, formalized quality control processes for all custom and stock products, reducing product liability exposures.
- Businesses maintaining up-to-date records of equipment maintenance and regular safety inspections, especially for laser engravers and CNC machines.
- Operations with controlled access to production, storage, and display areas to minimize theft and vandalism risks.
- Shops with secure, alarmed storage for high-value inventory such as metals, glass, and finished awards.
- Businesses that provide regular, documented safety training for all staff handling machinery or hazardous materials.
- Shops with a history of no or minimal safety violations over the past three years.
- Operations that utilize vetted third-party vendors for specialized engraving or finishing work, ensuring all subcontractors carry appropriate insurance.
- Businesses with robust inventory management systems that track raw materials, work-in-progress, and finished goods.
- Shops that implement secure shipping and tracking procedures for all online and phone-based orders.
- Operations that maintain comprehensive insurance coverage for property, liability, and employee safety.
- Businesses with a dedicated customer service team trained in handling custom orders and customer inquiries.
- Shops that have diversified product offerings to manage seasonality and maintain steady revenue streams.
- Operations that have established relationships with reliable suppliers for timely and quality material delivery.
- Shops that conduct regular internal audits of safety, inventory, and quality control processes.
- Businesses that have implemented recent improvements in equipment maintenance and employee training following moderate safety records.

Acceptable

- Online or phone-based trophy and awards shops with strict inventory controls and secure shipping procedures.
- Businesses subcontracting specialized engraving or finishing work to vetted third parties with appropriate insurance coverage.

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- Shops with moderate safety records that have implemented recent improvements in equipment maintenance and employee training.
 - Operations with basic but functional inventory control systems in place for tracking high-value items.
 - Shops that have experienced isolated safety incidents but have taken corrective action and improved training.
 - Businesses operating from a single physical location with secure, lockable storage for inventory.
 - Shops that use manual recordkeeping for equipment maintenance but can provide documentation upon request.
 - Operations with seasonal staffing adjustments to meet demand, provided all staff receive safety training.
 - Shops that have experienced minor theft or vandalism incidents but have since upgraded security measures.
 - Businesses that rely on a small number of suppliers but have backup vendors identified for critical materials.
 - Shops with a mix of skilled artisans and general staff, provided all employees are trained in equipment safety.
 - Operations that have implemented basic quality control checks for custom orders.
 - Shops that use standard shipping carriers for online orders with package tracking enabled.
 - Businesses that have recently transitioned to more advanced engraving equipment and are in the process of updating safety protocols.
 - Shops that maintain insurance coverage for property and liability, but may have minor gaps in employee coverage being addressed.

Not Acceptable

- Businesses with repeated safety violations, such as failure to maintain or inspect laser engraving equipment.
- Shops with poor equipment maintenance records leading to frequent breakdowns or safety incidents.
- Operations lacking secure storage for inventory, especially high-value metals or glass trophies.
- Shops with a history of theft or vandalism incidents due to inadequate security measures.
- Businesses that do not provide regular safety training for staff operating machinery.
- Operations with no formal quality control processes, resulting in frequent product defects or customer complaints.
- Shops that subcontract work to unvetted third parties lacking appropriate insurance coverage.
- Businesses with no documented equipment maintenance or inspection records.

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- Shops that have been cited for regulatory violations related to workplace safety or hazardous materials.
 - Operations that do not track inventory, leading to frequent losses or discrepancies.
 - Shops with a pattern of failing to deliver products on time due to supply chain mismanagement.
 - Businesses that have experienced multiple liability claims related to product defects or injuries.
 - Shops operating from unsecured or shared spaces without controlled access to production and storage areas.
 - Operations that ignore insurance requirements for high-value inventory or subcontracted work.
 - Shops that have not addressed prior safety or security incidents with corrective actions.

Restrictions (with Reasons)

- **Rule:** No acceptance of businesses with repeated safety violations or regulatory citations. — Indicates ongoing disregard for safety standards, increasing liability and claim risk.
- **Rule:** Operations must maintain secure, lockable storage for all high-value inventory. — Prevents theft and reduces potential for significant property loss.
- **Rule:** All subcontracted engraving or finishing work must be performed by vetted third parties with current insurance. — Mitigates liability exposure from outsourced work.
- **Rule:** Shops must have documented equipment maintenance and inspection records, especially for laser engravers and CNC machines. — Ensures machinery is safe to operate and reduces risk of accidents.
- **Rule:** Regular, documented safety training for all staff operating machinery is required. — Reduces risk of workplace injuries and regulatory violations.
- **Rule:** No acceptance of businesses lacking formalized quality control processes for custom and stock products. — Prevents product defects and reduces product liability claims.
- **Rule:** Shops must implement strict inventory controls for raw materials, work-in-progress, and finished goods. — Prevents inventory loss and supports accurate financial reporting.
- **Rule:** Operations must have secure shipping and tracking procedures for all online and phone-based orders. — Reduces risk of lost or stolen shipments and customer disputes.
- **Rule:** No acceptance of shops with a history of unresolved theft or vandalism incidents. — Indicates inadequate security measures and higher property risk.
- **Rule:** Businesses must maintain adequate insurance coverage for property, liability, and employee safety. — Protects against financial loss from claims or accidents.

Upholstery Services (BT-0120)

Appetite Level: **Acceptable**

Preferred

- Businesses with staff formally trained or certified in upholstery techniques, including fabric handling, cleaning, and repair, ensuring technical competency.
- Operations that use only industry-standard equipment and materials, reducing risk of equipment failure or substandard work.
- Businesses with a clean claims history and no significant losses in the past five years, indicating strong risk management.
- Upholstery services that maintain documented safety protocols for handling chemicals, adhesives, and machinery, minimizing workplace accidents.
- Mobile upholstery services that maintain comprehensive commercial auto insurance with adequate liability limits.
- Commercial upholstery services focusing on office furniture, hospitality, or institutional clients, reflecting stable and predictable work environments.
- Businesses with moderate inventory levels and robust security measures, such as alarm systems or off-site storage, to prevent theft or loss.
- Operations that conduct regular audits of safety and quality control measures, ensuring ongoing compliance with industry standards.
- Businesses that implement ongoing safety training for staff, including emergency response procedures and chemical handling.
- Companies that use non-toxic and environmentally friendly materials, reducing environmental and health risks.
- Businesses with established customer feedback mechanisms to monitor and improve service quality.
- Operations that maintain a documented disaster recovery plan to address potential business interruptions.
- Businesses that review and update insurance coverage annually to ensure adequate protection.
- Companies that comply fully with all local regulations and industry standards, demonstrating strong operational controls.
- Businesses that maintain documented quality control measures for all commercial upholstery projects.

Acceptable

- Small upholstery businesses operating from a fixed workshop with standard security measures in place.

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- Mobile upholstery services that provide proof of commercial auto insurance but may have limited liability limits.
 - Businesses with staff who have on-the-job training but lack formal certification, provided ongoing training is documented.
 - Operations that use a mix of industry-standard and older equipment, provided all machinery is maintained and inspected regularly.
 - Companies with minor, non-recurring claims in their history, provided corrective actions have been implemented.
 - Businesses that maintain moderate inventory levels but rely on basic security measures, such as locked storage rooms.
 - Commercial upholstery services that occasionally serve residential clients, provided the majority of work is commercial.
 - Operations that have documented safety protocols but conduct audits less frequently than annually.
 - Businesses that use a combination of non-toxic and standard materials, provided hazardous materials are handled per regulations.
 - Companies that have informal customer feedback processes but address complaints promptly.
 - Businesses that have a basic disaster recovery plan but have not tested it in the past year.
 - Operations that comply with most, but not all, local regulations, with a plan in place to address deficiencies.
 - Businesses that conduct safety training annually but do not update materials regularly.
 - Companies that review insurance coverage every two years instead of annually.
 - Businesses that have quality control measures in place for most, but not all, projects.

Not Acceptable

- Businesses engaging in high-risk activities, such as upholstery for marine, aviation, or heavy industrial equipment.
- Operations that use hazardous or banned materials, such as asbestos or highly flammable adhesives.
- Businesses with a history of significant or recurring insurance claims, indicating poor risk management.
- Companies lacking any documented safety protocols for handling chemicals, adhesives, or machinery.
- Mobile upholstery services operating without commercial auto insurance or with lapsed coverage.
- Businesses that do not maintain any security measures for inventory, leading to increased risk of theft or loss.

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- Operations that do not comply with local regulations or industry standards, exposing the business to legal and safety risks.
 - Companies with no formal or ongoing safety training for staff, increasing the likelihood of workplace accidents.
 - Businesses that do not conduct any quality control or safety audits, resulting in inconsistent service quality.
 - Operations that use only toxic or environmentally hazardous materials without proper handling procedures.
 - Businesses that lack any customer feedback mechanisms, making it difficult to address service issues.
 - Companies with no disaster recovery plan or contingency measures for business interruptions.
 - Operations that have been cited for regulatory violations or have outstanding compliance issues.
 - Businesses that do not maintain adequate liability insurance, especially for mobile services.
 - Companies that have experienced significant losses due to theft, fire, or other preventable incidents in the past three years.

Restrictions (with Reasons)

- **Rule:** Staff must be formally trained or certified in upholstery techniques, including fabric handling, cleaning, and repair. — Ensures technical competency and reduces risk of errors or accidents.
- **Rule:** Use of industry-standard equipment and materials is mandatory. — Reduces risk of equipment failure and ensures quality workmanship.
- **Rule:** Documented safety protocols for handling chemicals, adhesives, and machinery are required. — Minimizes workplace accidents and exposure to hazardous substances.
- **Rule:** Mobile upholstery services must maintain comprehensive commercial auto insurance with adequate liability limits. — Protects against risks associated with on-site operations and transportation.
- **Rule:** Moderate inventory levels must be maintained with adequate security measures, such as alarm systems or off-site storage. — Prevents significant losses from theft or damage.
- **Rule:** Businesses must not engage in high-risk activities or use hazardous materials. — Reduces exposure to severe claims and regulatory violations.
- **Rule:** Regular audits of safety and quality control measures are required. — Ensures ongoing compliance with industry standards and identifies areas for improvement.
- **Rule:** Insurance coverage must be reviewed and updated regularly. — Ensures adequate protection as business operations evolve.
- **Rule:** Claims history should reflect minimal or no significant losses. — Indicates effective risk management and operational controls.

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- **Rule:** Compliance with all local regulations and industry standards is essential. — Prevents legal issues and ensures safe operations.
 - **Rule:** Customer feedback mechanisms must be established to ensure service quality. — Allows for prompt resolution of issues and continuous improvement.
 - **Rule:** Training programs must include emergency response procedures and be updated regularly. — Prepares staff for emergencies and maintains a safe work environment.

Vacuum Cleaner Sales & Service (BT-0121)

Appetite Level: **Acceptable**

Preferred

- Retail storefronts specializing in new vacuum cleaner sales with established vendor relationships and documented quality controls.
- Service centers providing in-shop repair and maintenance of residential and light commercial vacuum cleaners with certified technicians.
- Businesses offering only sales of vacuum cleaner accessories, filters, and replacement parts sourced from reputable manufacturers.
- Operations with a documented safety training program for all staff handling electrical repairs.
- Retailers with robust inventory management systems and regular vendor quality assessments.
- Businesses with a history of no product liability or property damage claims in the past five years.
- Service providers performing minor repairs and maintenance at customer premises with written safety protocols.
- Retailers with a strong online presence and secure e-commerce platforms for vacuum cleaner sales.
- Businesses that do not engage in any manufacturing or modification of vacuum cleaners or parts.
- Operations that maintain up-to-date business licenses and comply with all local electrical safety regulations.

Acceptable

- Retailers selling both new and refurbished vacuum cleaners with clear disclosure to customers.
- Service businesses offering mobile repair services to residential and small commercial clients with adequate supervision.
- Operations that perform carpet, rug, furniture, or upholstery cleaning as an ancillary service under specific underwriting guidelines.
- Retailers that sell vacuum cleaners from multiple manufacturers, provided all products meet current safety standards.
- Businesses that perform minor assembly or installation of vacuum cleaners at customer locations.
- Service centers that handle warranty repairs for major vacuum cleaner brands with documented procedures.
- Retailers that accept trade-ins or offer recycling of old vacuum cleaners under controlled processes.
- Businesses with a moderate claim history but demonstrated improvements in risk management.
- Operations that provide product demonstrations in-store or at customer premises with supervision.

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- Retailers that offer extended warranties or service contracts with clear terms and conditions.

Not Acceptable

- Entities engaged in the manufacturing or assembly of vacuum cleaners or vacuum cleaner components.
- Wholesale distributors of vacuum cleaners or parts supplying to other retailers or commercial buyers.
- Businesses involved in the manufacturing or distribution of chemical cleaning agents or toxic substances.
- Operations performing extensive electrical modifications or customizations to vacuum cleaners.
- Businesses with a history of frequent product liability, fire, or electrical shock claims.
- Service providers conducting repairs on industrial or heavy-duty vacuum equipment for hazardous environments.
- Retailers selling recalled, counterfeit, or non-compliant vacuum cleaner products.
- Operations lacking proper business licenses or failing to comply with electrical safety regulations.
- Businesses performing chimney cleaning, cement/plaster manufacturing, or other unrelated high-risk activities.
- Retailers or service providers with no documented safety protocols or staff training for electrical repairs.
- Businesses with a history of regulatory violations related to product safety or environmental disposal.
- Operations that allow unsupervised onsite repairs or demonstrations at customer premises.
- Businesses engaged in the manufacturing or sale of children's or infant's clothing, charcoal, coal briquettes, or other unrelated products.

Restrictions (with Reasons)

- **Rule:** No underwriting for businesses engaged in vacuum cleaner manufacturing or component assembly. — Manufacturing activities present higher product liability and operational risks requiring specialized underwriting.
- **Rule:** Wholesale distribution of vacuum cleaners or parts is not eligible under standard BOP. — Wholesale operations involve larger inventories and supply chain exposures beyond retail/service scope.
- **Rule:** All vendors must be assessed for product quality controls, recall history, and warranty policies. — Vendor reliability directly impacts product safety and liability risk.
- **Rule:** Onsite repairs or demonstrations must be supervised by trained personnel. — Supervision mitigates risks of property damage or bodily injury during service activities.
- **Rule:** Businesses must comply with all local electrical safety and environmental disposal regulations. — Non-compliance increases exposure to regulatory penalties and liability claims.

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- **Rule:** No acceptance of operations with a history of frequent product defect or overheating claims. — Repeated claims indicate inadequate risk controls and higher future loss potential.
 - **Rule:** Carpet, rug, furniture, or upholstery cleaning is only acceptable if performed under specific underwriting guidelines. — These services introduce additional liability exposures that require defined controls.
 - **Rule:** No acceptance of businesses performing unrelated high-risk activities such as chemical manufacturing, chimney cleaning, or cement/plaster production. — Such activities fall outside the risk appetite for vacuum cleaner sales and service operations.
 - **Rule:** All staff performing repairs must receive documented safety and technical training. — Proper training reduces the likelihood of accidents and claims related to improper repairs.
 - **Rule:** No acceptance of businesses selling recalled, counterfeit, or non-compliant vacuum cleaners. — These products significantly increase the risk of liability and regulatory action.

Variety & General Merchandise Stores (BT-0122)

Appetite Level: **Preferred**

Preferred

- Retailers offering a broad range of new consumer goods including household items, clothing, toys, and personal care products, with in-store sales as the primary revenue source.
- Annual gross sales consistently less than \$500,000, indicating manageable risk and scale.
- Physical retail locations with less than 75% of total sales derived from online channels, maintaining a traditional retail presence.
- Repair or offsite service operations accounting for less than 25% of total business activities, minimizing exposure to off-premises risks.
- Strong inventory controls in place, including regular inventory audits and reconciliation procedures.
- Established loss prevention measures such as security cameras, electronic article surveillance, and employee training.
- Use of modern point-of-sale systems and inventory management software to track sales and stock levels.
- Staffing models that include background checks and clear employee roles to reduce internal theft risk.
- Vendor relationships with reputable, licensed wholesalers and distributors for product sourcing.
- Compliance with all local, state, and federal regulations, including sales tax collection and labor laws.
- Seasonal inventory and staffing adjustments based on historical sales data and anticipated demand.
- Active participation in community engagement and local marketing initiatives to drive foot traffic.
- Limited or no sale of high-value electronics, jewelry, or other easily fenced items.
- Routine staff training on loss prevention, customer service, and emergency procedures.
- Physical premises equipped with adequate lighting, secure storage areas, and clear emergency exits.

Acceptable

- Annual gross sales up to \$1 million, provided strong inventory and loss prevention controls are documented and maintained.
- Online sales exposure between 75% and 90% of total sales, contingent on robust cybersecurity protocols and fraud prevention controls.
- Repair or offsite service operations between 25% and 40% of total business activities, with clear risk mitigation strategies.

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- Stores with a mix of new and limited used goods, provided all used items are inspected and meet safety standards.
 - Operations in higher-traffic urban locations with enhanced security measures and staff training.
 - Use of third-party delivery or fulfillment services with documented vendor agreements and insurance.
 - Participation in major seasonal or promotional events that temporarily increase sales volume and foot traffic.
 - Implementation of customer loyalty programs and targeted marketing efforts to retain and attract customers.
 - Stores with multiple locations under common ownership, provided each location meets operational standards.
 - Acceptance of returns and exchanges with clear, documented policies to prevent fraud.
 - Use of cloud-based inventory and sales platforms with multi-factor authentication and regular security updates.
 - Engagement in limited online marketplaces (e.g., Amazon, eBay) with established seller protections.
 - Periodic external audits of inventory and financial records to ensure compliance and detect discrepancies.
 - Stores offering limited financial services (e.g., bill pay, money orders) with appropriate controls.
 - Operations in leased retail spaces with landlord-provided security and maintenance services.

Not Acceptable

- Annual gross sales exceeding \$1 million without demonstrable, robust inventory and loss prevention controls.
- Online sales exceeding 90% of total sales, especially without advanced cybersecurity and fraud prevention measures.
- Repair or offsite service operations constituting more than 40% of total business activities.
- Sale of firearms, ammunition, tobacco, vaping products, or other regulated/high-risk merchandise.
- Primary focus on pawn, consignment, or secondhand goods without strict intake and verification processes.
- Lack of inventory management systems or failure to conduct regular inventory audits.
- Absence of loss prevention measures such as security cameras, alarm systems, or employee training.
- Non-compliance with local, state, or federal regulations, including labor, tax, or consumer protection laws.
- Frequent history of theft, fraud, or insurance claims related to inventory loss.
- Operations in high-crime areas without enhanced security protocols.

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- No documented vendor relationships or sourcing from unverified suppliers.
 - Sale of counterfeit, recalled, or unsafe products.
 - Failure to implement cybersecurity protocols for online sales and customer data protection.
 - No return or exchange policy, or policies that encourage fraudulent returns.
 - Stores operating exclusively online without any physical retail presence.

Restrictions (with Reasons)

- **Rule:** Annual gross sales must not exceed \$1 million unless exceptional inventory and loss prevention controls are in place. — Higher sales volumes increase risk exposure and require advanced risk mitigation.
- **Rule:** Online sales must not exceed 90% of total sales without robust cybersecurity and fraud prevention controls. — High online sales exposure increases vulnerability to cyber threats and fraud.
- **Rule:** Repair or offsite service operations must remain below 40% of total business activities. — Higher offsite activity introduces risks outside the controlled retail environment.
- **Rule:** Sale of firearms, ammunition, tobacco, vaping products, or other regulated items is prohibited. — These products carry significant regulatory and liability risks.
- **Rule:** Stores must maintain documented inventory management and loss prevention procedures. — Effective controls are essential to minimize shrinkage and financial loss.
- **Rule:** All staff must receive training in loss prevention, customer service, and emergency procedures. — Well-trained staff reduce operational and liability risks.
- **Rule:** Vendors and suppliers must be reputable and properly licensed. — Reliable sourcing reduces the risk of counterfeit or unsafe products.
- **Rule:** Non-compliance with local, state, or federal regulations will result in ineligibility. — Regulatory violations can lead to fines, legal action, and reputational harm.
- **Rule:** Physical premises must have adequate security measures, including lighting, surveillance, and secure storage. — Physical security reduces theft and protects assets.
- **Rule:** Customer data collected through online sales must be protected by current cybersecurity standards. — Protecting customer data is critical to maintaining trust and avoiding legal penalties.
- **Rule:** Sale of counterfeit, recalled, or unsafe products is strictly prohibited. — Such sales expose the business to liability and regulatory action.

Video & Media Stores (BT-0123)

Appetite Level: **Preferred**

Preferred

- Businesses with at least 3 consecutive years of operation and no significant loss history, demonstrating operational stability and risk management.
- Locations equipped with a professionally monitored burglar and fire alarm system, ensuring prompt response to security incidents.
- Premises featuring controlled access points, such as locked entry doors or staff-monitored entrances, to reduce unauthorized access.
- Stores with comprehensive employee training programs covering customer service, safety protocols, and loss prevention.
- Businesses utilizing inventory management software to track and control stock, minimizing shrinkage and errors.
- Retail spaces with adequate interior and exterior lighting, deterring theft and enhancing customer safety.
- Operations with a documented loss prevention plan, including regular audits and incident reporting procedures.
- Stores with security cameras covering all public and sensitive areas, providing evidence and deterrence against theft.
- Businesses maintaining strong vendor relationships to ensure timely and legitimate supply of media products.
- Locations with clear age-restriction enforcement policies for regulated content, reducing legal and reputational risk.
- Stores that regularly update and test their security systems to ensure ongoing effectiveness.
- Retailers with a clean record of regulatory compliance, including copyright and licensing adherence.
- Businesses that host special events only with proper permits and additional security measures in place.
- Stores with a documented emergency response plan for fire, theft, and other incidents.
- Operations that conduct regular staff background checks as part of their hiring process.

Acceptable

- Specialty or niche video/media stores, including those focusing on vintage, foreign, or independent media, provided they meet security and regulatory standards.
- Businesses with moderate loss history that have implemented clear and effective mitigation measures, such as upgraded alarms or revised procedures.

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- Stores that have recently (within the last 3 years) upgraded their security systems or operational controls, demonstrating proactive risk management.
 - Online video/media retailers with robust cybersecurity protocols and secure payment processing.
 - Locations with partial security coverage (e.g., cameras but not full alarm systems) but with a plan to achieve full compliance within 12 months.
 - Businesses operating in shared commercial spaces, provided they have dedicated security measures for their area.
 - Retailers with less than 3 years of operation but with experienced management and documented loss prevention strategies.
 - Stores that occasionally host special events, provided they obtain necessary endorsements and implement temporary security enhancements.
 - Businesses with minor regulatory infractions in the past, now fully compliant and with corrective actions documented.
 - Operations with a seasonal business model, provided they maintain security and inventory controls during both peak and off-peak periods.
 - Stores that use third-party vendors for some inventory, provided vendor vetting and supply chain controls are in place.
 - Retailers with a mix of physical and online sales, provided both channels meet security and compliance requirements.
 - Businesses that have undergone recent ownership changes but retained experienced staff and operational continuity.
 - Stores with customer loyalty programs that include data privacy protections.
 - Operations that have experienced isolated theft incidents but responded with improved security protocols.

Not Acceptable

- Businesses operating without any burglar or fire alarm systems, leaving premises vulnerable to theft and property loss.
- Locations lacking any form of security cameras or surveillance, increasing risk of undetected incidents.
- Stores with a history of repeated, unresolved theft or loss events, indicating poor risk management.
- Retailers with no employee training on safety, loss prevention, or regulatory compliance.
- Operations with ongoing regulatory violations, such as copyright infringement or failure to enforce age restrictions.
- Businesses that do not control access to sensitive areas, such as stockrooms or cash handling zones.
- Stores operating in high-crime areas without enhanced security measures in place.

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- Retailers that host public events without obtaining required permits or implementing additional security.
 - Businesses with no documented inventory management or loss prevention procedures.
 - Locations with poor lighting or physical conditions that compromise customer and staff safety.
 - Operations that have experienced major uninsured losses in the past 24 months.
 - Stores with a pattern of customer or employee injuries due to unsafe premises.
 - Businesses that fail to comply with local business licensing or health and safety regulations.
 - Retailers that allow unrestricted access to age-restricted media without verification.
 - Operations with unresolved disputes or poor standing with key vendors or suppliers.

Restrictions (with Reasons)

- **Rule:** All insured locations must have a professionally monitored burglar and fire alarm system. — To ensure prompt response to theft, fire, and other emergencies, reducing risk of major losses.
- **Rule:** Security cameras must cover all public areas and sensitive zones such as cash registers and stockrooms. — To deter theft, provide evidence in case of incidents, and support loss prevention efforts.
- **Rule:** Businesses must have a documented employee training program covering safety, customer service, and loss prevention. — To minimize operational risk and ensure staff are prepared to handle incidents appropriately.
- **Rule:** All stores must enforce age restrictions for regulated media content and maintain records of compliance. — To comply with legal requirements and avoid regulatory penalties.
- **Rule:** Special events hosted on premises require appropriate permits and additional temporary security measures. — To manage increased risk and ensure compliance with local regulations during high-traffic events.
- **Rule:** Businesses must maintain up-to-date inventory management systems and conduct regular audits. — To detect and address discrepancies promptly, reducing the likelihood of undetected loss.
- **Rule:** Retailers must comply with all applicable copyright, licensing, and business operation laws. — To avoid legal exposure and maintain eligibility for coverage.
- **Rule:** Locations in high-crime areas must implement enhanced security protocols, such as reinforced entry points and additional surveillance. — To mitigate elevated risk associated with the location.
- **Rule:** Businesses with a loss history must provide evidence of corrective actions and ongoing monitoring. — To demonstrate proactive risk management and reduce the likelihood of repeat incidents.
- **Rule:** Online operations must have secure payment processing and data protection measures in place. — To protect customer information and prevent cyber-related losses.

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- **Rule:** All premises must have adequate interior and exterior lighting during operating hours. — To deter criminal activity and ensure safety for customers and staff.

Web Design & Online Services (BT-0124)

Appetite Level: **Acceptable**

Preferred

- Businesses with robust cyber hygiene practices, including regular vulnerability assessments and employee cybersecurity training, as this reduces the risk of data breaches.
- Operations that maintain clear separation from media production and broadcasting activities, ensuring risk exposure remains within web design and online services.
- Businesses with comprehensive professional liability (E&O;) coverage in place, minimizing exposure to claims from professional errors.
- Companies that use reputable, up-to-date software and development tools, lowering the risk of cyber incidents due to outdated technology.
- Firms with documented data privacy and protection policies compliant with GDPR, CCPA, or other relevant regulations, demonstrating regulatory awareness.
- Businesses that utilize secure cloud hosting providers with strong security certifications (e.g., ISO 27001), reducing infrastructure-related risks.
- Operations that require multi-factor authentication (MFA) for all remote access and critical systems, strengthening access controls.
- Companies that conduct regular client communication and maintain clear project documentation, reducing the likelihood of misunderstandings and disputes.
- Businesses that have incident response and business continuity plans in place, ensuring preparedness for cyber events or service interruptions.
- Firms that restrict access to sensitive client data on a need-to-know basis, minimizing internal data exposure.
- Operations that do not accept or process cryptocurrency payments, avoiding emerging risks in digital financial transactions.
- Businesses that regularly review and update their risk management strategies in response to evolving industry threats.
- Companies that utilize project management software with secure collaboration features, supporting secure workflow management.
- Firms that have not experienced a significant cyber incident or professional liability claim in the past three years.
- Businesses that provide ongoing staff training on regulatory compliance and data privacy requirements.

Acceptable

- Businesses with basic cyber hygiene measures in place, such as antivirus software and firewalls, but lacking advanced controls.

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- Operations that occasionally subcontract specialized work, provided subcontractors are vetted and insured.
 - Companies that use mainstream content management systems (CMS) with regular security updates.
 - Firms that have professional liability coverage but may need increased limits or broader coverage.
 - Businesses that primarily serve local or regional clients, limiting exposure to international regulatory requirements.
 - Operations that use third-party hosting providers with standard security protocols.
 - Companies that have experienced minor, non-systemic cyber incidents but have remediated vulnerabilities.
 - Firms that accept online payments through established, PCI-compliant processors.
 - Businesses that have a mix of remote and in-office staff, provided secure remote access protocols are enforced.
 - Operations that provide digital marketing services as an adjunct to web design, but do not engage in media production.
 - Companies that are in the process of updating their data privacy policies to meet new regulations.
 - Firms that use open-source development tools with active security support.
 - Businesses that have some documentation gaps in project management but are working to improve processes.
 - Operations that occasionally work with nonprofit or educational clients with higher data sensitivity, provided enhanced controls are in place.
 - Companies that are monitoring but not currently integrating emerging technologies such as AI or blockchain.

Not Acceptable

- Businesses involved in media production, such as video or audio content creation, due to increased liability and copyright risks.
- Operations engaged in broadcasting activities, including streaming or live event production.
- Companies that accept or process cryptocurrency payments, due to the volatility and regulatory uncertainty of digital currencies.
- Firms lacking basic cyber hygiene controls, such as firewalls, antivirus, or secure passwords.
- Businesses with a history of significant, unresolved cyber incidents or data breaches.
- Operations that do not carry professional liability (E&O;) insurance.
- Companies that fail to comply with applicable data protection regulations (e.g., GDPR, CCPA).
- Firms that store sensitive client data without encryption or access controls.
- Businesses that outsource core web development functions to unvetted or uninsured third parties.

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- Operations that have experienced multiple professional liability claims in the past three years.
 - Companies that do not have incident response or business continuity plans.
 - Firms that provide services to high-risk industries (e.g., adult content, gambling) without enhanced controls.
 - Businesses that lack clear operational boundaries between web design and prohibited activities.
 - Operations that use unsupported or obsolete software for client projects.
 - Companies that have been subject to regulatory enforcement actions for data privacy violations.

Restrictions (with Reasons)

- **Rule:** Exclude businesses engaged in media production activities. — Media production introduces additional liability and copyright risks outside the scope of web design.
- **Rule:** Exclude businesses engaged in broadcasting activities. — Broadcasting presents unique regulatory and operational risks not covered by standard web design policies.
- **Rule:** Restrict coverage for businesses accepting or processing cryptocurrency payments. — Cryptocurrency transactions carry emerging risks and regulatory uncertainty.
- **Rule:** Require evidence of strong cyber hygiene practices for all applicants. — Weak cyber controls significantly increase the risk of data breaches and cyber incidents.
- **Rule:** Decline businesses lacking professional liability (E&O;) coverage. — Professional liability insurance is essential to mitigate risks from errors and omissions.
- **Rule:** Scrutinize businesses with a history of significant cyber incidents or professional liability claims. — Past incidents may indicate ongoing vulnerabilities or operational weaknesses.
- **Rule:** Exclude businesses that fail to comply with data protection regulations (e.g., GDPR, CCPA). — Non-compliance exposes the business to regulatory penalties and reputational harm.
- **Rule:** Restrict coverage for businesses storing sensitive client data without encryption. — Unencrypted data storage increases the risk of data loss and regulatory violations.
- **Rule:** Monitor and review the impact of emerging technologies (e.g., AI, blockchain) on risk exposure. — New technologies may introduce unforeseen risks that require updated underwriting guidelines.
- **Rule:** Require clear operational boundaries to exclude prohibited activities. — Ambiguous operations may inadvertently include higher-risk activities.
- **Rule:** Assess adequacy of incident response and business continuity plans. — Preparedness for cyber events is critical to minimize operational disruption.
- **Rule:** Decline businesses with unresolved regulatory enforcement actions. — Regulatory issues indicate potential ongoing compliance failures.

Wedding Services & Chapels (BT-0125)

Appetite Level: **Limited**

Preferred

- Businesses operating solely as wedding planners with no direct ownership or operation of physical venues; lower exposure to property and liability risks.
- Wedding service providers offering off-site coordination only, with no responsibility for food, alcohol, or on-site event management.
- Home-based wedding consultants with no client meetings or events held at their residence.
- Businesses that subcontract all catering, floral, and entertainment services to licensed third parties, reducing direct liability.
- Providers specializing in virtual or remote wedding planning services, with no physical event involvement.
- Photographers or videographers specializing in weddings, operating from a studio with no on-site hosting or catering.
- Businesses with a documented history of no claims or losses in the past five years.
- Wedding service providers with written contracts outlining clear limits of liability and client responsibilities.

Acceptable

- Small wedding chapels hosting ceremonies only, with no on-site receptions or alcohol service.
- Florists or decorators providing services exclusively for weddings, with no installation of large structures or use of open flames.
- Businesses operating in commercial venues with up-to-date fire and safety inspections.
- Wedding planners who occasionally coordinate on-site events but do not provide catering or alcohol.
- Providers who require all vendors (caterers, bakers, musicians) to carry their own insurance.
- Businesses with a formal risk management plan addressing crowd control, emergency exits, and weather contingencies.
- Wedding service providers with seasonal operations, demonstrating off-season risk mitigation strategies.
- Businesses that limit event size to under 100 attendees per event.
- Providers who use only licensed and inspected rental equipment for events.
- Businesses with staff trained in basic first aid and emergency procedures.
- Wedding chapels with no overnight accommodations or lodging services.
- Providers who do not allow fireworks, pyrotechnics, or open flames as part of ceremonies.

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- Businesses that do not offer transportation services as part of their packages.
 - Wedding service providers with a clear cancellation and refund policy in place.

Not Acceptable

- Wedding chapels or venues that host receptions with on-site alcohol service or operate as bars/nightclubs.
- Businesses providing catering services without proper food handling permits or health inspections.
- Operations that host events exceeding 300 attendees at any time.
- Businesses that allow or provide pyrotechnics, fireworks, or open flames as part of ceremonies or receptions.
- Wedding venues offering overnight accommodations, such as bed & breakfast or hotel operations.
- Providers who own or operate transportation services, including limousines or shuttle buses.
- Businesses with a history of claims related to property damage, bodily injury, or liquor liability in the past three years.
- Operations located in residential areas without proper zoning or event permits.
- Businesses that construct or install temporary structures (e.g., large tents, stages) without licensed contractors.
- Providers offering adventure or destination weddings involving high-risk activities (e.g., skydiving, boating, remote locations).
- Wedding service providers who serve or allow cannabis or other controlled substances at events.
- Businesses that do not require written contracts or waivers for all clients and vendors.
- Operations with no formal risk management or emergency response plan.
- Providers who allow unsupervised minors or children's parties as part of their services.
- Businesses operating in areas with a history of frequent natural disasters without adequate contingency planning.

Restrictions (with Reasons)

- **Rule:** No coverage for businesses providing or serving alcohol on premises. — Alcohol service significantly increases liability exposure and is outside underwriting appetite.
- **Rule:** No coverage for venues offering overnight accommodations. — Lodging operations introduce additional property and liability risks not contemplated in this class.
- **Rule:** No coverage for events exceeding 300 attendees. — Large gatherings increase risk of crowd control issues, property damage, and bodily injury.
- **Rule:** No coverage for businesses operating without required local permits or licenses. — Unlicensed operations are non-compliant and present unmanageable regulatory risks.

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- **Rule:** No coverage for businesses with a history of claims or losses in the past three years. — Recent claims history indicates higher risk profile.
 - **Rule:** No coverage for businesses providing transportation services. — Transportation introduces auto liability exposures not covered under this policy.
 - **Rule:** No coverage for businesses constructing or installing temporary structures without licensed contractors. — Improperly installed structures can lead to significant property and injury claims.
 - **Rule:** No coverage for businesses allowing fireworks, pyrotechnics, or open flames. — These activities present severe fire and injury hazards.
 - **Rule:** No coverage for businesses operating in residential areas without proper zoning. — Non-compliance with zoning laws can result in legal and regulatory action.
 - **Rule:** No coverage for businesses without a formal risk management or emergency response plan. — Lack of planning increases the likelihood and severity of losses.
 - **Rule:** No coverage for businesses serving cannabis or controlled substances. — Controlled substances are not insurable under standard commercial policies.

Window Treatments & Blinds (BT-0126)

Appetite Level: **Acceptable**

Preferred

- Businesses performing non-motorized window treatment installations using trained and certified personnel (ensures compliance and reduces risk).
- Operations with documented proof of staff training programs in installation and safety standards (demonstrates commitment to safety and quality).
- Firms using only direct employees for installation and repair work (greater control over quality and liability).
- Businesses maintaining active relationships with reputable, established vendors and manufacturers (reduces supply chain risk).
- Firms utilizing CRM systems for customer management and scheduling (improves operational efficiency and reduces errors).
- Operations that regularly conduct staff training on new products and installation techniques (keeps skills current and reduces accident risk).
- Businesses providing residential and light commercial window treatments (lower exposure than heavy commercial or industrial).
- Companies with a documented process for verifying subcontractor licensing and insurance (ensures compliance with coverage requirements).
- Firms using Installation Floater coverage for products in transit (protects inventory and reduces claims).
- Businesses that do not perform any electrical work beyond low-voltage systems for motorized blinds (limits electrical hazard exposure).

Acceptable

- Businesses using licensed and insured subcontractors for installation or repair work (provided documentation is maintained).
- Firms installing motorized window treatments where all electrical work is performed by certified electricians or low-voltage technicians (meets regulatory and coverage requirements).
- Operations offering both residential and commercial services, provided commercial work does not exceed 50% of total revenue (limits exposure to higher-risk environments).
- Businesses with seasonal fluctuations in staffing, provided all temporary staff are trained and certified (maintains safety standards).
- Firms purchasing directly from manufacturers and managing their own logistics (acceptable if proper transit coverage is in place).
- Companies offering basic integration with home automation systems, provided only certified personnel perform the work (controls risk of improper installation).

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- Businesses operating in regions with moderate climate-related seasonality (acceptable if risk management practices are in place).
 - Firms providing minor repair services for window treatments, excluding major structural or electrical work (limits exposure to complex risks).
 - Operations with a mix of showroom and on-site consultation activities (acceptable if safety protocols are followed).
 - Businesses that use third-party logistics providers for product delivery, provided coverage is maintained during transit (ensures continuity of protection).

Not Acceptable

- Businesses installing or servicing motorized window treatments that integrate with home automation systems without certified electricians or low-voltage technicians (high electrical and liability risk).
- Operations employing untrained or uncertified personnel for installation or repair work (increases risk of injury and claims).
- Firms unable to provide proof of staff training or adherence to industry safety standards (lack of compliance undermines risk management).
- Businesses using subcontractors who do not hold valid licenses or lack their own liability insurance (unacceptable transfer of risk).
- Companies performing major electrical work or rewiring as part of window treatment installation (outside scope of acceptable risk).
- Firms engaging in heavy commercial, industrial, or institutional installations (exceeds acceptable exposure for this class).
- Businesses with a history of regulatory violations or non-compliance with installation standards (demonstrates poor risk profile).
- Operations transporting window treatments without Installation Floater or equivalent transit coverage (unprotected inventory risk).
- Companies offering repair or installation services for products not originally supplied or installed by them (increases product liability exposure).
- Firms performing work in hazardous or high-security environments (e.g., correctional facilities, chemical plants) (unacceptable risk profile).
- Businesses with no documented process for verifying subcontractor credentials (increases risk of uninsured losses).
- Operations providing window treatment services as part of broader general contracting or remodeling activities (scope too broad for this class).
- Businesses with more than 50% of revenue from commercial or industrial clients (exceeds acceptable exposure).
- Firms with a pattern of claims related to improper installation or property damage (demonstrates ongoing risk issues).

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- Companies offering integration with high-voltage or complex automation systems beyond standard window treatments (outside appetite).

Restrictions (with Reasons)

- **Rule:** Installation activities must be performed by trained and certified personnel. — Ensures compliance with safety standards and reduces risk of improper installation.
- **Rule:** Proof of training programs and adherence to industry safety standards is mandatory for coverage. — Demonstrates commitment to quality and regulatory compliance.
- **Rule:** Use of subcontractors for installation or repair work is permitted only if they hold valid licenses. — Prevents liability from unqualified or unlicensed workers.
- **Rule:** Subcontractors must carry their own liability insurance to qualify for coverage. — Ensures risk is not transferred to the primary insured.
- **Rule:** Coverage excludes installation or servicing of motorized window treatments that integrate with home automation systems unless performed by certified electricians or low-voltage technicians. — Reduces exposure to electrical hazards and complex integration risks.
- **Rule:** Installation Floater coverage is required for window treatments and blinds while in transit. — Protects inventory and reduces risk of loss or damage during transportation.
- **Rule:** Major electrical work or rewiring as part of installation is not covered. — Such work falls outside the expertise and risk appetite for this business class.
- **Rule:** Work in hazardous or high-security environments is excluded. — These settings present elevated and unmanageable risks.
- **Rule:** Repair or installation of products not originally supplied or installed by the business is excluded. — Increases product liability and complicates claims handling.
- **Rule:** Businesses must maintain documentation of subcontractor credentials and insurance. — Ensures ongoing compliance and facilitates claims processing.

Woodworking & Carpentry (BT-0127)

Appetite Level: **Limited**

Preferred

- Custom woodworking projects with documented safety protocols and dust control systems in place (minimizes fire and health risks)
- Carpentry businesses operating exclusively on non-structural interior projects (lower liability exposure)
- Workshops with modern, well-maintained equipment and regular safety inspections (reduces accident frequency)
- Businesses with no on-site finishing using flammable chemicals (limits fire hazard)
- Operations with written employee safety training and PPE requirements (demonstrates risk management)
- Carpentry businesses with less than 5 employees and no subcontracted labor (simplifies risk profile)
- Woodworking shops located in commercial zones with compliant fire suppression systems (meets code requirements)
- Businesses sourcing materials from certified, reputable suppliers (reduces supply chain issues)
- Workshops with separate, ventilated finishing areas (improves air quality and fire safety)
- Carpentry businesses with no exterior or roofing work (avoids height and weather risks)

Acceptable

- General carpentry businesses performing both residential and commercial work with standard safety measures
- Workshops with a mix of hand and power tools, provided all equipment is regularly serviced
- Businesses offering both design and build services for custom furniture and cabinetry
- Carpentry businesses that occasionally perform on-site installations at customer locations
- Operations with a small team (up to 10 employees) and documented hiring practices
- Workshops located in mixed-use or light industrial areas with up-to-date occupancy permits
- Businesses using water-based or low-VOC finishes for most projects
- Carpentry businesses with a history of compliance with local building codes and permit requirements
- Operations that subcontract specialized tasks (e.g., electrical, plumbing) to licensed professionals
- Businesses with a documented process for customer consultations and project approvals

Not Acceptable

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- Woodworking or carpentry businesses engaged in large-scale structural construction or framing (high liability)
 - Operations using highly flammable or toxic chemicals without proper ventilation or storage
 - Businesses with a history of OSHA violations or workplace safety citations
 - Workshops located in residential garages without proper zoning or fire protection
 - Carpentry businesses performing exterior work above two stories (increased fall risk)
 - Operations lacking any employee safety training or written safety policies
 - Businesses with open-flame finishing or heat treatment processes on-site
 - Workshops with significant combustible dust accumulation and no dust extraction system
 - Carpentry businesses that manufacture or install playground equipment or other high-liability products
 - Operations with more than 20 employees and no dedicated HR or risk management staff
 - Businesses with a record of unresolved customer complaints or legal disputes
 - Workshops operating in flood-prone or wildfire-prone areas without mitigation plans
 - Carpentry businesses that regularly perform demolition or hazardous material removal
 - Operations with significant off-site storage of lumber or chemicals in unsecured locations
 - Businesses that do not carry required local or state licenses for construction or carpentry work

Restrictions (with Reasons)

- **Rule:** No acceptance for businesses performing structural framing or load-bearing construction. — Structural work carries significantly higher liability and risk of catastrophic loss.
- **Rule:** No coverage for operations using flammable or toxic finishing chemicals without compliant ventilation and storage. — Improper chemical handling increases fire and health hazards.
- **Rule:** Workshops must have documented safety protocols and employee training. — Lack of safety procedures leads to higher accident rates and claims.
- **Rule:** No acceptance for businesses with a record of OSHA violations in the past three years. — Recent safety violations indicate ongoing risk management issues.
- **Rule:** Workshops must be located in properly zoned commercial or industrial spaces with up-to-date fire protection. — Improper zoning and inadequate fire safety increase risk of regulatory action and loss.
- **Rule:** No acceptance for businesses performing exterior work above two stories. — Work at height increases fall and injury risk.
- **Rule:** No coverage for businesses manufacturing playground equipment or other products intended for children. — Children's products carry elevated liability and regulatory scrutiny.
- **Rule:** No acceptance for businesses with more than 20 employees unless dedicated risk management is demonstrated. — Larger operations require formal risk controls to manage exposures.

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- **Rule:** No acceptance for businesses with unresolved legal disputes or outstanding regulatory actions. — Legal and regulatory issues signal ongoing operational risk.
 - **Rule:** No coverage for operations in areas with high wildfire or flood risk unless mitigation measures are in place. — Environmental hazards can lead to catastrophic property loss.